

Elecon Engg.Co (ELECON)

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To,

The Manager (Listing), The Manager (Listing),
The BSE Ltd. National Stock Exchange of India Ltd.
Mumbai Mumbai

Company's Scrip Code: 505700 Company's Scr!E_ Code: ELECON

Sub Transcript of the Investor Call held on 22nd July, 2022 ~A=, IS09001 :2008

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Ref Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Dear Sir,

With reference to the above referred Regulation and in continuation of our letter dated 19th July, 2022 regarding schedule of Investor Call, please find attached herewith the transcript of the Investor call held on 22nd July, 2022 for Q1 for the Financial Year 2022-23. The same is available on the website of the Company at bt-L_ps:/h<\·\<\rw.elecon.comfjinvestors/finandal reports.

You are requested to take the same on your records.

Thanking you.

Yours faithfully,

For Elecon Engineering Company Limited,
~ Bharti Isarani

Company Secretary & Compliance Officer

Encl.: As above

Rubber Industry Marine Industry Plastic Industry Power Industry Steel Industry Sugar .Industry Mining Cement Industry
Gearing industries. Gearing economies . -----

ELECON ENGINEERING COMPANY LIMITED, Post Box# 6, Vallabh Vidyanagar- 388 120, Gujarat, India Tel.: +91
-2692-238701, 238702. Fax: +91 -2692-227484.

CIN L29100GJ1960PLC001082 I infogear@elecon.com www.elecon.com

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"Elecon Engineering Co mpany Limited Q1 FY-23
Earnings Conference Call"

July 22, 2022

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ANAGEMENT : M R. PRAYASVIN PATEL – CMD.

MR. KAMLESH SHAH – GROUP CFO.

MR. NARASIMHAN RAGHUNATHAN – CFO.

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY23 Post Earning s Conference Call of Elecon Engineering Company Limited hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Shou ld you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Apurva Shah from PhillipCapital. Thank you and over to you, Mr. Apurva .

Apurva Shah: Thank you, Peter. Good afternoon to all the participants on the call. And thanks for joining for this Q1 FY23 Earning Conference Call of Elecon Engineering Company Limited. To take us through the results of this quarter and answer your questions we have with us the management of Elecon Engineering represented by Mr. Prayasvin Patel – CMD, Mr. Kamlesh Shah – Group CFO and Mr. Narasimhan Raghunathan - CFO. Mr. Prayasvin Patel will give a brief overview of the company for the quarter gone past and then we'll open the floor for Q&A session. With that said, I would now hand over the call to Mr. Prayasvin Patel. Over to you sir.

Prayasvin Patel: Thank you. Good evening, everyone. Ladies and gentlemen, a very warm welcome to our Q1 FY2023 conference call. We are pleased to report strong financial performance during the quarter and have delivered consistent improvement in our results over the last many quarters. Discussing the results at a standalone level. The total operating income increased by 16.4% year-on-year to Rs.257.2 crores compared to Rs.221.0 crores in the corresponding quarter of the previous year. The EBITDA on absolute basis increased by 9.8% year-on-year to Rs.55 crores as compared to Rs.50 crores during the corresponding period of the previous year. This translates to EBITDA margin of 21.4% in Q1 FY23 compared to 22.6% in Q1 FY 22. We closed this quarter with a net profit of 32.9 crores as compared to 23.1 crores during the corresponding period of the previous year reflecting an increase of 42.4%.

Let me highlight few points related to the results. The gear business witnessed strong demand from the end user industries like cement, steel, sugar, power, et cetera. Gear revenue includes Rs.9.95 crores from marine project in Q1 FY23 compared to 61.19 crore in Q1 FY22.

On the back of our strategic initiatives, the MHE business has seen remarkable turnaround and turned profitable which is expected to continue for the full year FY23 and ahead. Moreover, there has been substantial reduction in receivables led by our relentless focus, two out of three legacy projects are cleared and settled whereas the balance is expected to be settled by Q2.

Coming to the consolidated financials of the Q1 FY23. The operating revenues increased by 11.4% year-on-year to 327.7 crores as compared to 294.2 crores in Q1FY22. EBITDA increased by 10.2% year-on-year to 64.9 crores versus 58.9 crores in Q1 FY22. EBITDA margin stood at 19.8% in Q1 FY23 as against 20% in Q1 FY22. The consolidated profit after taxes stood at 42.3 crores on Q1 FY23 as compared to 27.3 crores in the corresponding period of the previous year, an increase of 54.9%. Overseas revenue from Q1 FY23 is flat as compared to Q1FY22. The Elecon Engineering Company Limited
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same is impacted due to global logistic challenges. However, we are confident to achieve our annual overseas revenue target as we expect things to normalize. Orders on hand in overseas business is Rs.114 crores. Demand environment continues to be robust, resulting in significant ramp up in the order booking with orders worth 282 crores booked in gear business and orders worth 45 crores in m

aterial handling business during the quarter. In the gear business the orders on hand is 400 crores and in MHE business, the orders on hand is Rs. 102 Crores. The Company is monitoring the impact of inflation and slowdown in the global economy and is taking necessary measures to mitigate the impact of the same.

I'm delighted to announce that we have become net debt free. Along with this our focus on debottlenecking and ensuring better utilization of available capacity, along with working capital optimization and cost control has led to improvement in margins and profitability and return ratios. We continue to focus on improving share of exports, which will help to further boost the overall performance. We are confident of improved performance in the coming quarters on the back of strong order book and order inquiry both in domestic and international business. We continue to monitor emerging trends in inflation and economic slowdown in Western countries and remain well prepared to take necessary steps to minimize the impact arising out of these headwinds. Thank you all. We will be happy to address your specific queries about the business going forward. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from line of Shubham Agarwal with Aequitas India. Please go ahead.

Shubham Agarwal: Sir my first question is related to the subsidiary business. So, this quarter we saw a decline, muted execution and profitability. So, if you can elaborate on what were the key reasons for that, and how do we see this subsidiary business for the rest of the year?

Management: As you know that there are two things which are affecting the subsidiary businesses, one is the war which is going on between Ukraine and Russia which is having an impact on the energy cost and the other one is high inflation. In spite of this, there are very healthy inquiries available with our foreign subsidiaries and we are confident that by the end of the year we should be able to do as projected or even better for the exports.

Shubham Agarwal: Okay. And what would be our total projection for the year?

Management: Our projection over a ll was 140 crores.

Management: 1000 crores on standalone basis and 1500+ crore on a consolidated.

Management: I was talking about the total exports, fine anyway go ahead.

Shubham Agarwal: So, that the number clearly can you once again tell the total export number?

Management: Total export what we are expecting from India should be 140+ crore.

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Shubham Agarwal: Okay, got it. Sir, secondly on the standalone business, so this quarter we observed that both employee cost and other expenses were on the higher side. So, sir if you can elaborate as to what were the key reason because employee costs almost jumped by 50% Y-o-Y and around 35% Q-o-Q. So, yes, if you can elaborate on this?

Management: We have increased our strength in business development also on the logistics that is SCM and in the design and engineering, because we believe that for the growth of the organization, these three areas would have to be further enhanced to grow the business especially the exports.

Shubham Agarwal: Okay, got it. And lastly on the order book sir, you said you have a very healthy pipeline of order which is expected. So, again, if you can help us understand where all or which industry you are observing and given the recent changes in the global headwind which we are seeing, are we seeing any order that is getting either postponed or getting rejected?

Management: We are not seeing postponement, but we are seeing that some of the companies in India are pausing for a while, and they are pausing for a while because they feel that the prices of steel especially have gone down and they are wanting to sit on the fence to see if they're further going

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down. So, that they can order a bit later and get cheaper prices. But all in all the demand, we are not seeing a reduction in demand, it is just that they want to delay the ordering process. However, as you have seen our orders on hand are sufficient for us. So, it is not impacting us probably it is helping us so that we are able to streamline our output in a better way.

Moderator: Thank you. Our next question comes from Kashyap Javeri from E m Kay Investment Managers. Please go ahead.

Kashyap Javeri: I have just one question, in your notes to accounts there is something about a settlement of claim with vendors roughly about eight crores, So, what is that and second question, in your presentation, you haven't given consolidated order books. So, what is the total consolidated order book including the overseas business?

Management: The consolidated order book position including the overseas is 617 crores. In regards to that note, what is reflected in our Q1 finances it is not 826.95 crore that is some negotiation with the vendor who are controller supplier to us, they were negotiating about a price hike because of this Ukraine and Russia war, they got impacted. So, we have settled that amount with the respective vendors by giving some price rise to them so, that our continuity of supply will continue.

Kashyap Javeri: In this settlement with respect to the previous period supplies or is it with respect to the raw material for this particular quarter?

Management: That settlement is for the period from January 2022 to March 22.

Kashyap Javeri: So, for the previous quarter?

Management: Yes, previous quarter.

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Kashyap Javeri: Okay. And you said consolidated order book is 617 crores?

Management: 617 crores.

Moderator: Thank you. Our next question comes from Pritesh Chheda from Lucky Investment Managers. Please go ahead.

Pritesh Chheda: Sir, just want to confirm on the sales number, you mentioned a number of 1500 crores in some of the releases. So, is 1500 crore the number for consolidated sales expectation for FY23 and if yes, then within that what will be the gears business number?

Management: The 1500 crore is on a consolidated level. So, of this nearly 200 crore would be from export and balance 1300 crore will be from gear business.

Pritesh Chheda: Okay. Just to confirm this is FY23 numbers, so the current going year number?

Management: Yes, correct.

Pritesh Chheda: Okay. Based on the cycle or based on the order inquiry that you are seeing, are you seeing a case where you would be in a strong growth scenario for 23 and 24 both and we can see a 20% type growth rate in gears for the next two years that is this year and next year?

Management: Basically, I would not be able to comment on it. The fact remains that right now there are headwinds from all directions however, as of now we are not seeing any deterioration in the inquiry levels at all which means the offers that we are giving are robust and the requirement is strong. However, as I told you, considering the fact that all the countries of the world are trying

to increase the interest rates to curb inflation, we do not know how the situation would be globally. So, it would be difficult to comment, but we are pretty confident and strong that it should continue.

Ritesh Chheda: Okay. On the interest cost side sir from your release it's clear that we are debt free. Does this mean that the interest cost from next quarter onwards will be zero in the P&L or there will be some cost and if yes, if you could quantify the same?

Management: Yes, there will be some cost, that is net debt what we have that is net debt free. So, we will have some portion of my interest income as well as my interest expense also. We are expecting that will be in the range of 1.5 to 2 crore maximum.

Pritesh Chheda: Net basis?

Management:

I'm talking about gross, in the net basis it maybe zero after Q2 onwards.

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Pritesh Chheda: Okay. And lastly sir on the gears business margins. So, as we move higher in terms of the size of the business, is there a scope for improving the margins from the 20% that we have seen for some time, is there a scope to improve these margins?

Management: I would say yes. And the reason is very simple that the fixed cost gets distributed over a higher turnover. And therefore, it definitely would improve the margins. Normally the gear industry is very capital intensive, so the fixed costs are relatively high.

Pritesh Chheda: Okay. So, let's say in gears what is the contribution margin that we operate at usually?

Management: Contribution margin in the sense, about the EBITDA margins?

Pritesh Chheda: No. So, contribution margin is basically revenue minus all the variable expenditure.

Management: So, it ranges from 50% to 55% - my variable cost.

Pritesh Chheda: Variable right?

Management: Yes.

Pritesh Chheda: Which means that if you move your revenue from 1100 crores to 1600 crores which is 500 crore extra, this 500 crore extra has a probability to generate 200 crore of extra profitability?

Management: Yes.

Pritesh Chheda: Is that correct, sir?

Management: Yes, it's correct if you're talking about on the variable cost.

Pritesh Chheda: Yes, based on whatever answer that you all gave. In that scenario sir what happens is, the EBITDA margin starts looking like 25%, 26% we are not way off the curve on this number right.

It can make a 25% margin business also?

Management: Yes, it may generate or so.

Pritesh Chheda: It can generate right?

Management: It will definitely be dependent on the product mix, but considering the product mix that we have today. And that's what we have been adding in the past and yes, these figures sound true.

Pritesh Chheda: Yes, they are not something which is completely haywire they can be achieved is what I wanted to understand.

Management: Definitely.

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Moderator: Thank you. Our next question comes from Pratik Kothari with Unique Portfolio Management.

Please go ahead.

Pratik Kothari: My first question is on the gross margins, if we exclude this seven crore settlement that we had to do the prior quarter, gross margins have improved substantially compared to the previous quarter or the previous year. So, can you highlight a bit more, in this inflationary scenario how did we manage to get such a high gross margin?

Management: See, basically we had a very good control over the supply chain, and we were anticipating a price increase. So, our validity of the offers we had kept them to be very, very short. And there we had made offers since the prices had increased we went back to our customers and asked for an increase in prices.

Pratik Kothari: But in that case, our gross margins should have stayed similar, we have done much, much better?

Management: It is the question of how you negotiate things with your supplier as well as with your customers.

So, I can proudly say that our boys have done a fantastic job.

Pratik Kothari: Absolutely, it's very impressive. Second question, what would be the export number for this quarter from a standalone view? In the meanwhile, we have been trying for a while and we did see some early success in terms of entering U.S. as a geography so, just some highlights on that if you can?

Management: We are expecting our Q2 export will be in the range of 25 to 30 crore from India.

Pratik Kothari: What about this quarter, the one which went by?

Management: It was nearly at least 22 crore for this quarter.

Pratik Kothari: 22 crore fair enough. Sir, your comments on our entry into U.S. and how are we approaching that?

Management: Sorry, can you repeat

that please?

Pratik Kothari: My question was, for a while we have been trying to enter U.S. and we did see some early success in terms of exporting to U.S. as a geography which is a much larger market. So, how is the exact thing, how are we progressing there?

Management: We are doing well, there are various new opportunities that have come our way. We are seeing that we have been able to also break through with a couple of large customers who are large users of gearboxes and when we last talked with our U.S. marketing team, they were pretty confident that they will get some good orders from these big customers. Once we have that opening, it would open up larger opportunities for us in the future.

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Pratik Kothari: Sir my last question, you did highlight that two of our three legacy projects we have completely closed and second one will be done now. So, we have whatever those retention receivables that we had all of that has released or it's only the execution which has been completed?

Management: Execution we already completed in the previous year that we already talked, now we were chasing for the money, substantial amount is already for one project is closed and settle all the amount. For the second project which we close and we realized the money, part amount is pending related to the price difference which is also expected in Q2 anytime.

Pratik Kothari: So, this 110 crores retention receivables that we had at the close of March, what would that number be currently?

Management: Presently it is Rs.83 crore as on 30th June 2022.

Moderator: Our next question is from line of Gunjan Kabra with Niveshaay. Please go ahead.

Gunjan Kabra: Sir, my first question is like a lot of data points including our order book too, is –suggesting CAPEX cycle revival and the last good cycle in manufacturing was in 2003 - 08. So, then even our revenue grew a lot significantly. So, what is your view this time in terms of maybe longevity or how are you seeing market this time. There might be a short term hiccup in between like what is happening right now, but what's your view on the overall market this time?

Management: See, as you rightly said that, the CAPEX cycle is now long overdue. And we have just seen the beginning of the CAPEX cycle. The unfortunate part is in between as I said earlier that the interest rates are being hiked up to control the inflation which according to me may not be a deterrent through the purchases and the CAPEX cycle that is expected to run through and therefore, I believe that people may actually make even higher investments because the cost of investment is going to become cheaper. So, I believe it is the way people will perceive the entire situation. Okay, I'm reasonably confident that this will continue.

Gunjan Kabra: Okay. Sir, also like what is the lifespan of gears like small and the big gears both right now, what would be the mix of demand source in terms of fresh requirement or the replacement demand, like do we cater to more on the fresh CAPEX or on the replacement demands also, like because majority of the CAPEX like huge CAPEX was done in the previous cycle so?

Management: Normally, the ratio is 80:20, 80 is fresh and 20 is replacements and then normally we see that the replacements are where the profit margins are even higher.

Gunjan Kabra: Okay. Sir what will be the life span of the gears for the small ones and for the big ones?

Management: The theoretical life of the gear is infinite, but in practical terms it can vary from two years to 20 years, depending upon the kind of application, the kinds of conditions, the kind of maintenance and so forth.

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Gunjan Kabra: Okay. And sir what would be our mix in large gearbox and small gearbox, what would be our mix in our portfolio?

Man

agement: I would say it might be almost close to 50:50.

Gunjan Kabra: Okay. And sir any margin difference in the two?

Management: Normally, the larger gears should have a higher profit margin, but it varies from contract to contract.

Moderator: Thank you. Our next question comes from Ankit Babel with Subh kam Ventures. Please go ahead.

Ankit Babel: Sir my first question is, what was the need to highlight this 6.95 crore vendor settlement figure, was it exceptional in nature or it's a regular part of the business?

Management: Because it is related to previous period, so that is why it is required to be highlighted.

Ankit Babel: Okay. So, adjusted to that actually your margins were higher for this particular quarter?

Management: Yes.

Ankit Babel: Okay. Sir my second question is, the difference between the standalone and console revenue for last year that is FY22 was around 328 crores so which is basically the revenue of your overseas subsidiaries. So, what kind of revenue you see in FY23 of these subsidiaries versus this 320 crores?

Management: About 400 crores.

Ankit Babel: 400 which was around 70 crores this particular quarter, which was flagged Y-o-Y?

Management: Yes.

Ankit Babel: Okay. So, what I was trying to understand was 1000 crore stand alone gear business revenues what you're targeting another 200 crore from material handling and 400 crore from overseas subsidiary. So, a 1600 crore kind of consolidated turnover is what you're looking at for FY23 is my calculations correct?

Management: Yes, 1600 crore will be at a gross level because we have to do the elimination also, the goods which we are supplying from here as a sale which will get knock off at the consolidated level.

Ankit Babel: But that would be what like 20, 50 crores or?

Management: It will be 100, 120, 150 depend upon how it works out.

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Ankit Babel: Okay. And the EBITDA margins in this overseas business would be what?

Management: EBITDA margin we can expect nearly 14% to 15%.

Ankit Babel: Okay. And sir lastly that calculation if you can make me understand that the order inflow, the order book in the gear business was around 410 crores in last quarter, and when your inflows are higher than your execution, still the order book is down. So, if you can explain that calculation sir both in MHE and gear business?

Management: Sure. In gear business generally under the IndAS we have to do some reversal offsets because of the eco terms. So, that has an impact of 13 crore within gear. And further for marine we were doing a revenue recognition on the POC basis percentage of completion basis under the contract accounting. So, that has an impact of 62 crores the revenue recognized in the earlier period and invoicing has happened in this quarter. So, that is an impact of 62 crores. So, that is when a gap of 77 crore is there, you're net maybe talking about the 77 crore difference.

Ankit Babel: Yes. So, that 400 crore is the real order book now in the standalone gear business?

Management: Yes.

Ankit Babel: Or you feel that there could be further adjustments to this also?

Management: No, this mainly be all because of the POC revenue recognition and the contract accounting. Now as marine project already completed, there is nothing pending now. So, we don't find such kind of impact. However, reversal and sales particularly and the Ind AS guidelines for the revenue recognition may have the impact, maybe a positive side or on the negative side in terms of the total revenue.

Ankit Babel: So, what kind of order inflows you're targeting in the standalone gear business for this year? You've already done 282 in the first quarter?

Management: Yes, so that same order inflow will continue for us.

Ankit Babel: Similar run rate of around 300 crores for the next three quarters?

Management: Yes.

Ankit Babel: Okay and last question is on the material handling now, since we are now having decent profits and turnover is also at the run rate of around 45 crores. So, this business what is the outlook for the next couple of years like suppose this year, I guess you're estimating 200 crores. So, next two years, what is the target here?

Management: See, over a period of time this will grow, we are expected to add also new products to this business. So, I would say you should expect at least a growth of 20% to 25% year-on-year.

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Ankit Babel: And margins?

Management: Margin should be similar or going forward a bit better. I would say between 17 to 20.

Moderator: Thank you. Our next question is from line of Balasubramanian with Arihant Capital. Please go ahead.

Balasubramanian: Sir in the CAPEX front, installation of solar plants and windmills could you please throw some light on that, so what kind of energy consumption it will replace and when it will be executed?

Management: The installation of solar is already under process and we are expected that it may get closed by Q3 during monsoon and we cannot do the installation that's why. In regard to the benefit first that will help us to go towards the green energy that is the main benefit maybe in a monetary or

non-monetary way we can consider the benefit. But, yes down the line we are expecting that will have result in a positive way in terms of the IRR. So, we are looking for positive IRR and payback period by nearly between 7 to 10 years depend upon how the solar radiation and generation of the electricity.

Balasubramanian: Okay, sir. Sir, my next question is export on steel products might postpone CAPEX plan for steel players for short term to medium term, Elecon Engineering has significant portion of order around 20% on consolidated basis from steel sector is the really short term to medium term at times for order from steel sector, could you please throw some light on that?

Management: Sorry, can you repeat it because I'm not able to hear you?

Balasubramanian: Sir, export duty on steel products might postpone CAPEX plan for steel players for short term to medium term. Elecon Engineering has a significant portion of orders book from steel sector, is there any short term to medium term headwind for orders from steel sectors, could you please throw some light on that?

Management: We are not seeing any change and the requirements that have been firm up by the companies they are still continuing to process them and execute them. So, as of now, we are not seeing any impact to whatsoever of this.

Management: Second, while not discarding from exports on the steel sector because in export duty, we believe that it is of temporary nature and may get lifted, maybe in Q2 sometime.

Moderator: Thank you. Our next question is from the line of Sanket with Kedia Securities. Please go ahead.

Sanket B: Just wanted to understand like currently are we servicing any defense orders or are we seeing any more traction from the defense segment side and also will our margins for the export business versus the domestic business be same or for exports we will get higher margins?

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Management: We have recently got an order of about 130 odd crores from the Marine business or the Indian Navy. And going forward, there are reasonably good inquiries on hand. This order would be executed in a period of two years, the one that we have on hand. Sorry, does that answer your question.

Sanket B: Yes, wanted to understand the margins between our export and the domestic business are they in the same category or for the export we enjoy higher margins?

Management: Exports normally are giving us higher margins as of now, but I would be saying this very proudly that the domestic margin

is also catching up and going to a higher level over a period of time as of now.

Sanket B: Understood. And for the recent government schemes announced like PLI are we seeing any more traction on the ground or any more inquiries like how is the thing shaping up on the ground with the recent announcements which have been there?

Management: We've not seen the impact as of now.

Management: The scheme we studied so far as we are concerned it is not having so much benefit compared to the obligations which are carrying under this PLI scheme.

Sanket B: Understood. Even from the end user side are we seeing any more inquiries or is it still in the study phase only and no material impact on?

Management: Yes, if you see some manufacturing setup are coming up, because our gear products are being used across the industry from A to Z. So, we are catering to all the industries so that as and when it is coming up, when the traction is coming for utilizing PLI scheme by our client or prospective client that naturally it will help us.

Moderator: Thank you. Our next question is from Himanshu Yadav with Edelweiss Wealth Research. Please go ahead.

Himanshu Yadav: One is the confirmation you said the navy order is 150 crore. Is this a new order you are talking about?

Management: 130 crores, it's a new order it is 130 crores.

Himanshu Yadav: Okay understood. And sir just felt that you are hopeful of achieving the target sales this year which would imply our remaining quarters rate of say 22% to 24% kind of a growth. So, does the math work as per your order inquiries and all, what's bringing you that confidence?

Management: Yes definitely. We have had a good run rate up till now. And normally the first quarter in an engineering firm is always the weakest. And going forward the fourth quarter like the last five

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overs of the cricket match are the most interesting. So, we are on the positive ground and we will continue to grow in turnover and achieve our results we are reasonably confident.

Himanshu Yadav: Right. And sir last question on with you say this newer maybe order so margins would be similar to the last order which we had or is it also a high margin order for us and overall guidance on

margin you expect in too much because of operating leverage in general. But apart from that, do you think and there are any risk to our margin guidance?

Management: So, we believe that the 130 crores would have similar margins to the one that we have just recently executed, the marine order that we have executed.

Moderator: Thank you. Our next question is from line of Sunil Kothari with Unique PMS. Please go ahead.

Sunil Kothari: Thanks for opportunity. Congratulations Prayasvinbhai for after a long we were able to come out of debt and now with MHE also turning positive, I hope you will be very relaxed.

Management: Absolutely. I'm able to sleep better now and thank you very much, because Sunilbhai your good wishes, and your continued support to us, has always helped us in keeping ourselves cheerful and confident that we will ultimately achieve this.

Sunil Kothari: Thank you sir for your good wishes. And sir my question is now because we are totally debt free, we will be generating really good cash flow also, your time you personally will be allocating to maybe this defense opportunity more or you feel exports and defense both can be very bigger opportunity because this marine gears may be coming of a different some longer frequency but some spares or some other products from maybe army or something, any thought process, maybe over two, three years have you seen any sizable opportunity and how prepared, or we are preparing ourselves?

Management: As I told you we have set up within our group, people who will be looking at various opportunities for defense. This is not only in Nav

y but also in the Army and Air Force. And the

video that you sent me about Baba Kalyani was very inspiring. I have been showing this and I want to discuss this among our team, and see how we can also pursue certain areas when we feel that there are opportunities. So, that is one aspect, but in the business front, I believe exports has got huge potential. Because, we are talking about the entire globe especially South America there are very good possibilities apart from the United States, because South America is very similar to us. But the gear companies out there are not as matured and as capable as what we are and we believe that the opportunities are great out there. So, those also we want to pursue. However, in South America we will have to be a bit careful as long as payments are concerned, because those are the countries where we have not dealt with them in the past.

Moderator: Thank you. Our next question is from Barshan Javeri with Crown Capital. Please go ahead.

Barshan Javeri: So, most of my questions have already been answered. So, I'll just have one question. What kind of risk do you see that can probably impact us in achieving our stated guidance, is there some Elecon Engineering Company Limited

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element that we should be on the lookout for or anything could you could just guide us on that, that would be great sir.

Management: Right now, the greatest risk that I perceive is the situation in the economy, because though India is being doing exceptionally well, considering the global environment as well as the domestic environment changing, even the neighboring countries have gone through a big turmoil. So, the entire world is going through changes, and these changes, if they impact the economy then things would be a bit different. But otherwise, we feel that we are on a very sound footing, especially because we are now at a zero debt level. So, the strength of the organization is quite strong. And we believe that if we even under the limited situations, if there is a recession, I believe exports should still be attractive to us, especially because our prices would be lower than the prices of the companies locally in that country, especially the western nations. And in the recession period, everyone is looking for a cheaper alternative. So, quite often, recession works in our favor rather than work against us, especially in exports. So, they are challenging times, being dynamic as an organization we feel we will be able to maneuver ourselves very strongly.

Moderator: Thank you. Our next question is from line of Sachin Kasera with Svan Investments. Please go ahead.

Sachin Kasera: Just two small query sir. One was you mentioned that, the clients are taking some sort of pause because of what is happening on the steel prices. So, if you could just tell us a little bit about how do we book the orders and how do we hedge our side of the steel, when we are taking any orders?

Management: Sorry, can you repeat it because I am not able to hear you properly.

Sachin Kasera: Sir, you mentioned that the clients are taking a pause, because they're expecting steel prices to go down, so I'm just trying to understand how do we hedge ourselves on the steel in the sense is it possible that we have already bought the steel at higher prices, and eventually when the client confirmed the order we get a lower realization and hence our margin could get impacted anything like that is possible or we do a back to back order of booking only?

Management: For the large and complicated gearboxes, we do not stock material. So, it is based on back to back orders, but for the small to medium size gearboxes, they are produced from stock to material. So, what we have done is, we have made some advance contracts which were continuing with the prices which were there when the prices were at a lower level. During the

period that there

was an increase, we have given the suppliers an increase which you have seen has impacted our values which were shown in the financials. But going forward, they will again get reset to 00 levels.

Sachin Kasera: So, just to clarify sir, is the real risk that are we getting from raw material inventory, which is at a higher price and against which there are no bookings and hence as and when the order gets finalized in the small and the medium sized our margins could have some compression in Q2?

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Management: No, the answer is no. The reason is the stocking is barely for 15 to 30 days, or going almost till 45 days, nothing more than that. So, that can be corrected very easily and therefore, we don't see an impact. When the prices went up, also the impact as you see in the margins, were not there. Similarly, when the prices go down also the impact will not be there.

Sachin Kasera: Sure. And sir you said that there's a little bit of a pause in terms of finalization of orders, you see that if this continues a little more, it can have impact on the overall numbers you are guiding for FY23 or you are very confident that despite the pause that we have seen not too much of risk in FY23 numbers?

Management: We are not seeing any changes because this pause as I told you might be even helpful to us because we have sufficient number of orders on hand. So, if they pause it, they give us an opportunity to streamline our production based on the delivery times. So, we are not seeing any changes whatsoever and when our marketing people go to these large companies, they get a feedback from various departments and quite often the rest of them also spilled the beans that the project is going to continue, he's only waiting for the prices to go down. So, they are smart enough to wait for a while and then pick up the order. So, I don't see any significant impact at all whatsoever. It is only that they are consuming a bit of time.

Sachin Kasera: Sure, my second question is sir on the capital allocation. You mentioned that now we have become net debt free and our CAPEX for the next year is only 100 crores and we are expecting some more retention to get released plus there's going to be healthy cash generation. So, are we looking at some opportunities we really look in terms of some inorganic growth or are we looking at some new CAPEX on greenfield or are we looking at increasing dividend payout and do some sort of a buyback. Can you give us some sense for next two years what is the plan utilization for the surplus cash, now that will generate over and above this 100 crores of CAPEX?

Management: As of now, we are not exploring anything seriously. However, we want to make sure that we collect the surplus funds and park them in a way that they will give us reasonably good returns and then as and when the opportunity arises, we will maneuver these funds for those kinds of investments, if there are any further opportunities that come our way.

Moderator: Thank you. Our next question is from line of Renjith Sivaram with Mahindra Mutual Fund.

Please go ahead.

Renjith Sivaram: Just a small clarification, in our press release we have given our target of revenue as 1500 for FY24 and answering to one of the previous question you told your target is 1500 crore for FY23.

So, just wanted to clarify is it for 24 or 23 we are looking at this 1500 crore of revenue and is it standalone or console?

Management: The 1500 crore turnover which we are putting in our investor presentation for FY24 it is on a standalone basis. Whereas, now during this call when someone was asked this question when we replied that 1500+ crore is with consolidation figure.

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Renjith Sivaram: Okay. So, 1500 crore of console revenue for FY23 and 1500

crore in a standalone basis for

FY24. So, what will be the console FY24 target?

Management: It will be 2000+ crore.

Renjith Sivaram: Okay. So, that means the domestic gear business in FY22 was around 800 crore should reach to 1500 crore right?

Management: That will reach to 1200 crore at standalone level in FY23.

Renjith Sivaram: And it should reach 1500 crores in FY24? The 800 crore of domestic gear business moving to 1500 crore in the next two years, that is the kind of projection which we are working on. Just wanted to clarify.

Management: Yes.

Renjith Sivaram: Okay. So, in this with this commodity deflation a challenge because last year, the commodity inflation helped us because there was some 20%, 30% increase in the steel prices, now the steel prices have come down and it is likely to further come down. So, the realization per gearbox

will come down. So, your absolute volume growth and your absolute EBITDA growth will come down, though your EBITDA margins will be intact. So, just want some clarity on that.

Management: You are right, but on the other hand, we would be boosting up the sales of exports, there our margins are healthier. So, we are expecting that, that would compensate.

Renjith Sivaram: Okay, I understood that, but like FY22 was a year when we got a lot of tailwind in terms of this commodity price movement of 25% to 30%. So, now that is deflating, so don't you think it will be a challenge for you if the commodity prices continue to come down to achieve this revenue target though your volume target can be achieved?

Management: Yes, but the volume we are expected that the volume would grow and apart from that, as I told you that, we are trying to further increase our exports and that would compensate margin wise as well as turnover wise.

Moderator: Thank you. Our next question is from line of Arun Subrahmanya m with Ampersand. Please go ahead.

Arun Subrahmanyam: I just wanted to clarify one thing that you mentioned that your demand is somewhat getting affected, because clients are trying to reconcile with steel price dynamics isn't that bit of a difficult thing to handle, because considering the gear is such an important thing that the customer is waiting for to place the order because of the steel price outlook?

Management: See, I will tell you one thing, the purchase people are always very smart, they wait for a month or two hoping that the prices if they go down further then they can delay by a certain period of

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time, but since if you're dealing with very large projects, then the delays cannot be afforded beyond that kind of period. So, what we see is that they try to delay it by a month or so or month or two, just to see whether the wind is blowing and whereby they can get better prices. However, when they feel that it is not changing then they go ahead and place the orders. So, it's kind of a move where they would try to find out whether that helps them or not. However, we see that ultimately they do come up and then place order. So, it's not affecting us in any way whatsoever.

Arun Subrahmanyam: Understood. But is there any improvement now that the prices are kind of stabilizing?

Management: Improvement in which way?

Arun Subrahmanyam: In order placement and decision making?

Management: Yes. See as I told you, if the delay it's like from order, from inquiry level to an order normally if it was taking 15 days, what we find is now it may be taking 21 days or 30 days that is the only difference that is happening.

Arun Subrahmanyam: Okay. And sir my question relating to your clarification that you gave seven crore of settlement. So, if I adjust for that so your margin would have been 200 basis point higher that is 22%, is that correct?

Management: Yes.

Arun Subrahmanyam: And that really is the sustainable margin that we should be

looking forward to?

Management: Yes.

Arun Subrahmanyam: Understood. And the last question that I wanted to kind of clarify so, this exports that you do. Do you do that entirely to your subsidiary or you also export to them independently, that is directly?

Management: Both.

Arun Subrahmanyam: The bulk of it is to subsidiary or how should I look at it?

Management: See it's both, it depends on which country and which client. Quite often the invoicing is direct and in certain cases it is invoiced to our subsidiary and the subsidiary then invoices to the customer.

Arun Subrahmanyam: Understood. And you just said that because of this Ukraine conflict, your subsidiary performance was little affected that it could not really grow. And all your guidance which you have given including 400 crore for subsidiary is probably conservative to the extent that you are not really looking for any normalization. Otherwise, the number would have been better, is that how you're looking at it or?

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Management: No, there are inquiries on hand but they're also because suddenly, because the interest rates have gone up and quite often the energy rates have gone up through the roof plus on top of it, the freight cost have increased drastically. So, the whole scenario has become very, it is full of turmoil and therefore quite often we see that customers are feeling anxious in ordering immediately. So, they are again quite often forcing. But we have very good inquiries on hand as of now. So, we believe that within the next three or four months we will get reasonably good orders coming through.

Arun Subrahmanyam: And sir you have increased your employee base, you said that you have increased your business development meaningfully. So, the benefit of this initiative which kind of led to this jump in employee cost, that is something which will come with a lag that is your revenue and number will be much better because of this expansion of sales force probably six, nine months down the line or they will, or we will do much better even before that?

Management: See, we have not only increased the manpower in the business development, but we have also increased them in the supply chain and in the engineering. The reason is we would like to execute orders faster. So, that we are able to support our export trust in a better way because today the logistics is consuming a much higher time period than before. Especially shipments to Europe and USA are taking much longer than before and so we would like to cut down the time period for processing the order as well as we believe that going forward if we have to grow, we will need this additional manpower to see to it that we are able to sustain the growth and not get into any kind of situation where we delay the execution. And we believe that this increase will get compensated by the increase in turnover. So, the percentage cost of manpower over a higher turnover would practically remain same or might even go a bit lower.

Moderator: Thank you. Our next question is from line of Karthi with Sush Advisors. Please go ahead.

Karthi: A couple of things one is so, can you talk a bit about the U.S. customers that you are referring to large ones, what is the profile of these customers, what kind of requirements do you have. And therefore, how should one take a hit on that?

Management: Sorry, can you repeat your question because I have not been able to hear it properly.

Karthi: In the early part of your commentary you spoke about negotiating with a couple of large US customers who are big users of gears. I am just trying to understand the profile of these customers and the nature of requirements that can emerge from there?

Management: These are large customers in steel and cement sector. First of all, the biggest challenge has been to get our brand

and company accepted with these customers. Since we have international customers even in India with big brand names so it is helping us because the references in India are also acceptable to the client. Normally, when these clients want to try you out they give you a small order, of smaller size gear units, put them to test and if they work satisfactorily then you are an accepted brand name which is accepted even for the large projects, large quantities or large gearboxes. So, this the first step is to get a small order from them and get yourself accepted.

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So, this is the phase we are in and we believe that the gearboxes of ours would be working well and then that would open up a large opportunities in the future.

Karthi: Sure. And the second thing is marine orders, is that already included in the 280 crores of inflows that you referred to or is this after the quarter?

Management: No, it is not included. It has just been received in the last two or three days.

Karthi: Okay, great. The third part of it said is that the seven crore negotiation that you spoke about, does it often happen that your customers do back and forth and hassle on price at the time of settlement, or how exactly does it arise, it's a bit odd for you to settle old contract after the period. So, just curious to understand why this happens?

Management: No, this has happened just because of the steep increase in the price from January to April. Which a vendor has suffered and accordingly they just came and we consider that request because our all vendors are generally, most of our vendors are associated with us last more than two or three decades. And they have supported us during our challenging time. So, it is also our duty to hear for their take and support.

Karthi: Right. And lastly sir on the CAPEX that you spoke about. Just want to understand one thing, I heard you about preserving cash for potential requirements, but the solar power thing, I hope that's not necessarily a tax saving device because that would be fairly myopic view of capital allocation so just curious to understand.

Management: No, it is not for my tax saving avenue, I don't think now any such kind of tax revenue is available, it is only towards our responsibility towards the green energy and environment. We also are exploring our company to the ESG and that's a part of our process towards the ESG.

Management: Our retention is to see to it that we minimize our power bills going further, because when there are good times, if we make these investments then during the recessionary trends, those kinds of expenses are not there. Apart from that it is our environmental responsibility also, we are seeing the global warming situation. So, we feel also very conscious that we have to do our part of the aspect where we go as green as possible and improve the environment situation.

Karthi: Sir just elaborating the question asked earlier by Sachin, you may end up having 600 crore of cash over the next two years based on the cash flows, fairly substantial amount would there be an opportunity for you to deploy such large cash in your business account?

Management: Our intention is first to collect the cash, because as quite often what happens is when you have been in such a severe debt situation in the past, one wants to be a bit careful. So, we will sit on

the cash for a while and then look for opportunities at the right moment.

Moderator: Thank you. Our next question is from the line of Pratik from Kedia Securities Private Limited.

Please go ahead.

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Pratik Kedia: I just want to know a little macro view about how the CAPEX is shaping up, the steel prices as you know after 2020-21, they had shot up, then they came down but they're still higher than what they were in pandemic. So,

in this kind of a scenario everybody benefits with the CAPEX,

CAPEX should be better this time though. Are we seeing that happening, what is your view or it will be good to have your view on this.

Management: I believe that the CAPEX cycle is here to stay because, it's very cyclical thing. And India has gone through that cycle where there were investments in the past and for the last almost seven, eight years, there was a lull period in the CAPEX cycle. So, now the things are turning around, and India being a country where the growth potential is very high, I believe that this CAPEX cycle, everyone who is in the management always feels that India is poised again to grow. We all know that the per capita cement consumption, steel consumption, everything is at a much lower levels than what they are at the international levels. So, considering those facts, I believe that more and more investments have to come in to take care of the demand. So, I am a firm believer that India has no choice but to grow.

Moderator: Thank you. The next question is from the line of the Disha Kansara with Molecule Ventures.

Please go ahead.

Disha Kansara: I just wanted to know what is the order flow for this Q1 FY22 order. Sir, my question was what was the order inflow in Q1 FY22?

Management: Yes, it was 283 for gears and 40 for material handling.

Disha Kansara: Sir, this is for Q1 FY23 right, I want to know about Q1 FY22?

Management: Can we get back to you later.

Disha Kansara: Sure, sir no problem. Sir my second question was, what kind of opportunity do you see in the FGD system?

Management: Sorry, can you come back again, there is a lot of static noise behind.

Disha Kansara: Sir, my question was what kind of opportunities do we see in the FGD system?

Management: The FGD systems has a good potential not only for the gears but also for material handling. We are not directly involved in it but we expect that over a period of time we would create some alliance to pursue that.

Moderator: Thank you. Our last question is from the line of Ritesh Chaudhary an Investor. Please go ahead.

Ritesh Chaudhary: Just wanted to know that 130 crore of order which you said has come in for the marine business it is not added in the current order book, right?

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Management: No, it's not been added because it's just come in. It's fresh out of the oven.

Moderator: Thank you. This concludes our question-and-answer session. And now, I would like to hand the call back over to the management for closing remarks.

Management: Thank you. Basically, the first quarter results have been robust. And going forward, we are not seeing any challenges till the year end, because we have reasonable orders on hand. As long as the economy is concerned, we believe that the CAPEX cycle which has started will continue, which will give us a reasonably good order inflow. Apart from this, we are seeing that the inquiry levels at the export end are also healthy, which would be converted into good orders going forward. And we believe that we are poised to now grow and also see to it that we generate sufficient cash for us, so that we remain a debt free company for a long, long period of time. So, with this, I would say that we are very thankful to you for taking so much of interest in Elecon Engineering and if there are any questions that you come across in the future, do not hesitate to communicate to us and we will get back to you as soon as possible. So, thank you all and wishing all of you the very best. Thank you.

Moderator: Thank you. On behalf of PhillipCapital that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

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9th November, 2022

To,

The Manager (Listing), The Manager (Listing),
The BSE Ltd. National Stock Exchange of India Ltd.

Mumbai Mumbai

Company's Scrip Code: 505700 Company's Scrip Code: ELECON

Sub Transcript of the Investors Call held on 4th November, 2022

Ref Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Dear Sir,

With reference to the above referred Regulation and in continuation of our letter dated 1st November, 2022, please find attached herewith the transcript of the Investors Call held on 4th November, 2022 for Q2 of the Financial Year 2022-23.

The same is available on the website of the Company at

b_tt1~ww1v.elecon.com/invctstors/audio-video-recordings-nd-transnpts-of -post earnings-quarterl v-calls.

You are requested to take the same on your records.

Thanking you.

Yours faithfully,

For Elecon Engineering Company Limited,

Bharti Isarani

Company Secretary & Compliance Officer

Encl.: As above

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Cranes Rubber Industry Marine Industry Plastic Industry Power Industry Steel Industry Sugar Industry Mining Cement Industry

Gearing industries. Gearing economies.

ELECON ENGINEERING COMPANY LIMITED, Post Box# 6, Vallabh Vidyanagar -388 120, Gujarat, India. Tel.: +91 -2692

-238701, 238702 Fax: +91 · 2692 • 227484.

CIN L29100GJ1960PLC001082 I infogear@elecon.com I www.elecon.com

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"Elecon Engineering Company Limited  
Q2 FY2023 Conference Call"

November 04, 2022

MANAGEMENT OF  
ELECON ENGINEERING  
COMPANY LIMITED - MR. PRAYASVIN PATEL :-  
CHAIRMAN & MANAGING DIRECTOR  
- MR. KAMLESH SHAH:-  
GROUP CHIEF FINANCIAL OFFICER  
- MR. NARASIMHAN RAGHUNATHAN :-  
CHIEF FINANCIAL OFFICER

ANALYST : M R. HIMANSHU YADAV :-  
EDELWEISS BROKING LIMITED

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Page 2 of 30 Moderator: Ladies and gentlemen good day and welcome to the Elecon Engineering Company Limited Q2 FY2023 Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Himanshu Yadav. Thank you and over to you Sir!

Himanshu Yadav : Thanks Mike. Good morning everyone. On behalf of Edelweiss Wealth Research, I welcome you all to Q2 FY2023 Concall of Elecon Engineering Company Limited. Please note the results have been mailed out to you and you can also assess the same on company website as well as on the exchanges. Before we proceed, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties in the sectors. It must be viewed in conjunction with business risks that could cause a future result performance or achievement to differ significantly from what is expressed or implied by such forward-looking statements. To take us through the results of this quarter and answer your questions, we have with us the management of Elecon represented by Mr. Prayasvin Patel, CMD, Mr. Kamlesh Shah, Group CFO and Mr. Narasimhan Raghunathan, CFO. Mr. Prayasvin will give a brief overview of the quarter gone past and then we will open the floor for Q&A session. With that said, I would now hand over the call to Mr. Prayasvin. Over to you Sir.

Prayasvin Patel : Thank you. Good Morning everyone. Ladies and gentlemen, a warm welcome to our Q2 and H1 FY2023 Conference Call. We are pleased to report yet another quarter of strong financial performance as we continue to deliver consistent improvement in our results over the last several quarters. Discussing the results at a standalone level, the total opera

ting

income increased by 27.7% year-on-year to Rs.305 Crores compared to Rs.238.8 Crores in the corresponding quarter of the previous year. The EBITDA on an absolute basis increased by 47.6% year-on-year to Rs.75.2 Crores as compared to Rs.50.9 Crores during the corresponding period of the previous year. This translates to EBITDA margin of 24.6% in Q2 FY2023 compared to 21.3% in Q2 FY2022. We closed this quarter with a net profit of Rs.47.6 Crores as compared to Rs.23.1 Crores during the corresponding period of the previous year reflecting an increase of 106.1%.

Let me highlight some key points related to the results. The gear business witnessed strong demand. The MHE business continued to witness consistent improvement and is expected to keep up the positive momentum going forward. Our relentless focus on bringing down receivables has led to decline in working capital days. Coming to the consolidated financials of the Q2 FY2023, the operating revenues increased by 23.7% year-on-year to Elecon Engineering Company Limited

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Page 3 of 30 Rs.388.6 Crores as compared to Rs.314 Crores in Q2 FY2022. EBITDA increased by 38.9% year-on-year to Rs.92.6 Crores versus Rs.66.7 Crores in Q2 FY2022. The EBITDA margin stood at 23.8% in Q2 FY2023 as against 21.2% in Q2 FY2022.

The consolidated profit after taxes increased by 82.3% to Rs.64.5 Crores for Q2 FY2023 as compared to Rs.35.4 Crores in the corresponding period of the previous year. Return on equity increased to 18% in H1 FY2023 as compared to 14% in FY2022 while return on capital employed increased to 21% in H1 FY2023 compared to 18% in FY2022. The current ratio improved to 2.1 in H1 FY2023 compared to 1.6 in FY2022. Debt equity has come down to zero while working capital cycle has reduced to 88 days. We would like to inform you that the outstanding retention amount stood at Rs.68 Crores as of September 30, 2022. Also, there are favorable developments related to arbitration of Rs.60 Crores plus during Q2 FY2023.

Despite challenging macro environment, demand across our end user industries continues to be robust resulting in significant ramp up in the order booking with orders worth Rs.744 Crores booked in the gear business and orders worth Rs.94 Crores in the material handling business during the half year at the consolidated level. As on September 30, 2022 orders on hand in the gear business is Rs.602 Crores and in material handling business, the orders on hand is Rs.112 Crores at the consolidated level.

In line with our pursuit for growth we continue to explore relevant opportunities in the defence space. Elecon is currently the leader in the segment of customized and complex gear manufacturer for defence for Indian Navy in India which is a matter of great pride and stands testimony to our extraordinary manufacturing excellence. As you are aware we have successfully supplied India's first indigenously built aircraft carrier INS Vikrant by delivering customized COGAG - Combined Gas Turbine and Gas Turbine type gearboxes. The company also successfully delivered 14 CODOG Combined Diesel or Gas Turbine type gearboxes, stealth frigates to the Indian Navy in record delivery time despite the

challenging pandemic induced environment.

Under our new product development initiative, we are pleased to share that we have designed and manufactured planetary gearboxes employing latest technology. We have successfully manufactured and supplied "VERTICAL ROLLER MILL DRIVE" for India's leading cement manufacturer.

The world economy continues to face headwinds on the back of soaring cost and rising interest rates. The company is monitoring the impact of inflation and slowdown in the global economy and is taking necessary measures to mitigate the impact of the same. IMF has recently cut India's

India's FY2023 GDP forecast by 60-basis points to 6.8% and also reduced  
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Page 4 of 30 US GDP growth target for the year to 1.6% on the back of high inflation, rising interest rate and subdued external demand against a backdrop of ongoing war between Russia and Ukraine. Despite these external challenges, we retain our stand alone and consolidated revenue target of Rs.1500 Crores and Rs.2000 Crores respectively for FY2024.

We strive to sustain our leadership position by focusing on new product development and enhancing value in our existing products. We continue to expand our global footprint, invest in brand building and undertake various marketing initiatives to increase our overseas revenue and to take the overseas and export revenue to 50% of the overall consolidated revenue by FY2030.

ESG continues to play an imperative role in our business and in line with our focus on renewable energy. We are happy to share that 70% of energy consumption are sourced from renewable energy. We at Elecon Engineering are conscious of providing equal opportunities and pride ourselves in creating a gender diverse workforce promoting women empowerment.

We are happy to share that the company is recognized as a great place to work. We remain committed towards the safety, health and empowerment of all our stakeholders and society we operate in and have been organizing various events from time to time to support social causes. We have also put in place stringent corporate governance norms to build a responsible and professionally run organization committed to a sustainable growth. Please note that the company has uploaded investors' presentation on our website [www.elecon.com](http://www.elecon.com) and stock exchanges.

With that I thank you all for listening in and we will be happy to address your specific queries about the business going forward.

Moderator : Thank you. We will now begin the question and answer session. We have the first question from the line of Subham Agarwal from Aequitas. Please go ahead.

Subham Agarwal : Thank you for the opportunity and first of all congratulation on a very good set of number Sir. My first question is related to the new product development that we have mentioned in our presentation, planetary gear and we have also mentioned that this will help in import substitution, so I just wanted to understand what is the market size and what are the application of such product and how much this can bring in terms of revenue?

Prayasvin Patel : Planetary gears are gears which are used in practically all kinds of industries we specialize in, We develop these gears especially in the larger sizes which go into cement plants, they  
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Page 5 of 30 go into windmills, they go into coal handling plants, sugar, and all kinds of sectors. You would be proud to know that apart from developing the special type of planetary gear unit for the cement, we have also developed many applications and in some of the cases we have even come up with the fourth-generation optimized gears which are extremely competitive, light weight and are able to do the work in a very extraordinary fashion even having a failsafe mechanism.

Subham Agarwal : Right and anything in terms of how big this market size would be or how much can we get revenue from such products?

Prayasvin Patel : Right now, it is very difficult to ascertain because the potential is tremendous. I mean it is going to go from few hundreds to Rs.1000 Crores because you can utilize these type of gears in just about any type of applications, okay, so the potential is very high. If you bring it down sector wise, it will total up to at least about Rs.300 Crores to Rs

.500 Crores on an annualized basis.

Subham Agarwal : That is good to hear. Secondly Sir, my question was around the current global scenario, so I wanted your view in terms of our subsidiaries how they are performing, what is the outlook and also export out of India and what would be the current freight cost trending compared

to last few quarters?

Prayasvin Patel : Our export entities are doing quite well compared to what they were doing in the past. They have re-organized themselves and in spite of the fact that there was COVID and after COVID, post COVID you have the European energy crisis plus high level of inflation and so forth. We believe that they are poised for growth and the reason is that we are trying to put in more investments out there, especially in the manpower sector which is the human resource sector, whereby we would be able to further improve our sales and apart from this, we are focusing on global branding and substantial marketing initiatives in Europe and in United States. We believe that that should give us very good results going in to the future that is more exports from here, because that is where our focus lies.

Subham Agarwal : Right and Sir freight cost was one of the main concerns in the last few quarters, so have that kind of gone down for us?

Prayasvin Patel : Can you repeat, I am sorry I did not get it?

Subham Agarwal : Freight cost.

Prayasvin Patel : Freight cost from here have rationalized, unfortunately the increase in time of receipt of material has not reduced. The freight cost has reduced slightly, rationalized and the world is

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Page 6 of 30 accepting that the cost of freight has increased globally, but we are also being hit by longer lead times in transportation.

Subham Agarwal : Okay and lastly on the order book, so we have mentioned Rs.452 Crores as order book in the results and in presentation Rs.602 Crores in the gear division, so the difference is the order book of subsidiary around Rs.150 Crores?

Prayasvin Patel : Yes.

Subham Agarwal : Okay and finally on the MHE division, are we expected to improve the performance on this division going forward or we will maintain given the guidance?

Prayasvin Patel : No, absolutely, because for two reasons, we want to also increase the turnover going forward apart from that there are other measures that we are taking whereby the performance would further improve.

Subham Agarwal : Good to hear that. Thank you for answering my question.

Moderator : Thank you. We have the next question from the line of Gunjan Kabra from Niveshaay.

Please go ahead.

Gunjan Kabra : Congratulations for very, very good set of numbers. My first question is that how much was that increase in top line contributed the change in product mix, I mean how much was contributed by large gearbox and small gearbox in this quarter particularly?

Prayasvin Patel : The quantum of turnover from large gearboxes and small gearboxes?

Gunjan Kabra : Yes.

Prayasvin Patel : I would say 60% would come from small to medium and 40% would be coming from the large gearbox, this is volume wise may not be turnover wise.

Gunjan Kabra : What should be the turnover wise?

Prayasvin Patel : I would constitute almost 70 coming from the larger units and 30 from the smaller units, small to medium units.

Gunjan Kabra : Okay, Sir, also when we say that our gear order book stands at Rs.602 Crores this quarter and the same was around Rs.515 Crores in the previous quarter, so if you can split from which sector are we receiving orders right now and secondly, if you can split how much is for defence and marine in this order book of Rs.602 Crores and how much for the other

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Page 7 of 30 sectors like in terms of I wanted to understand how much is the long

term order that we

want to execute and how much is the short term orders that we will be executing?

Prayasvin Patel : The defence orders right now on hand are about approximately Rs.80 Crores.

Gunjan Kabra : Okay, from which sector are we receiving orders right now in this quarter?

Prayasvin Patel : Right now, there are few projects which are going to be recently announced by the Indian Navy where we would be quoting for it, but by the time we receive the orders in case we are found to be most competitive, it would take some time.

Gunjan Kabra : Business for the future I am asking for like order book stood at Rs.500 Crores in the previous quarter and this time is Rs.600 Crores. I was asking from which sector are we receiving more orders?

Kamlesh Shah : This is particularly from steel, cement, power. These are the main sectors now which are there and sugar also, become some part of the sugars we already executed by H1 2023.

Balance still is definitely executed now, so these are the main sectors through which we are getting the orders which are on hand.

Gunjan Kabra : Okay, got it and other thing is Shanthi Gears, it is also any thing into making of differential

gears for electric vehicle, so are we also thinking on this side, because it is a new segment altogether, so is there any technicality difference in the manufacturing process like or any manufacture and like us are we planning to supply in the renewable sales also?

Prayasvin Patel : We are exploring the possibility of getting into the electric vehicle sector. The processes would vary from manufacturer of automobile or from the two wheelers. The processes would vary, but they would not be substantially different from what we are producing right now, so I would say there is a potential to it and the quantities would be reasonably in large multiples and therefore it would be reasonably attractive for any gear manufacturing company to get into it.

Gunjan Kabra : Okay and also in the last quarter, you guided there was a little wait, in what kind of a scenario regarding the capex activity, there was a decrease in steel price, so how does that look now for you?

Prayasvin Patel : We are committed to Rs.100 Crores of capex which is from our internal cash generation and out of which a sizeable amount is going toward solar plant installation which will generate electricity for us and we are confident that we will be generating 70% of our requirement from renewable energy.

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Page 8 of 30 Gunjan Kabra : I was asking on the perspective of capex activity in the economy, so last time there was a decrease in steel prices, so there was a wait and watch kind of a scenario is what you also guided, so how is that scenario playing out right now in terms of order and capex activity?

Prayasvin Patel : Can you repeat that please, I did not get it properly.

Gunjan Kabra : I was asking that in the last quarter, you guided that there is a wait and watch kind of a scenario in the capex activity happening in the economy because there was a decrease in raw material prices, steel prices, so everybody different industries were waiting, there was a muted phase kind of a thing in the capex environment, because of that our demand is linked to the sectors I was asking how is that playing out right now in terms of building up our order book or in terms of our traction?

Prayasvin Patel : As of now we are not seeing much of change, but we believe that normally after Diwali, the economy normally picks up especially if the monsoon has been sufficiently good, so we are expecting that whatever the projects which are running a bit slow will get accelerated after Diwali and we are reasonably hopeful that it is not going to have a significant impact on the demand. As you know, the RBI has increased the interest rates

going forward, we need to

wait and watch and see the situation how it pans out especially for the projects which are on hand, but I believe that basically people who have announced and who are committed to projects, they may consider a slight increase in cost because of the higher interest rates, but it should not have an impact.

Gunjan Kabra : Okay, Sir also monthly scale up the MHE division, our margins are continuously increasing, so monthly scale up what kind of margin can we expect to stabilize in this segment?

Prayasvin Patel : We are expected to improve our margins to about 15% to 17% going forward especially as we increase our turnover in that area to approximately Rs.400 Crores.

Gunjan Kabra : Last quarter, the gross margin stood at around 50%, if we exclude that Rs.7 Crores of settlements with the vendor which happened last quarter, so why is that the vendor raw material prices have decreased, our gross margin this quarter has decreased, because I understand that there is a short term cycle project where we take a high size easily it is not like very big thing for us, so why has the gross margins and how will it play out in this quarter?

Prayasvin Patel : Margins are varying because of the product mix and going forward looking at the situation I believe we should be able to sustain or slightly improve our margins by the end of the year.

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Page 9 of 30 Gunjan Kabra : Thank you so much Sir and good luck to the team and to you.

Moderator : Thank you. We have the next question from the line of Abhishek Poddar from HDFC Mutual Fund. Please go ahead.

Abhishek Poddar : Thanks for taking my question and congratulations on good number Sir. Regarding this target for exports being 50% in 2030, trying to understand what was the number in H1 and how do you see like next two to three years, how the ramp up would happen there and also some indication of initiatives you are taking and how confident you are there?

Prayasvin Patel : As I had mentioned earlier, we are trying to increase our resources, deploy more resourcing especially manpower in the marketing area. We are trying to pursue OEMs as well as projects in these countries especially where we are strategically located right now and we have also started moving into South America from United States and into Canada and we

are intending to put up a robust dealership network even in South America as well as in Canada which would further enhance our business, so there is a complete strategy which is being deployed and it would help us emphasize on the global branding, especially because we have three brands right now, so we would emphasize on the global branding as well as these marketing initiative will bring in good results.

Abhishek Poddar : Where are we today compared to 50% target that we have and how do we see 2024-2025 moving?

Prayasvin Patel : We are right now at 10% to 12% depending on which year it is and slowly and gradually we are going to ramp up. There will be a time when it would be accelerated and it would jump substantially, but as of now it is difficult to say when that would happen.

Abhishek Poddar : Understood. Your commentary on the demand outlook is quite positive and obviously that sums up domestic and export demand, so in the western world, we are seeing some financial condition tightening as well as recent energy issue, are you seeing some industry outlook being divergent in export market versus in Indian market?

Prayasvin Patel : As far as I am concerned, there are two segments that we pursue. One is replacement and the other one is new requirements and what we see is that we would be pursuing with OEMs and today what is happening is because of the higher cost in the foreign countries especially because the energy cost have increased, there are lot

of companies who are

looking for alternative suppliers who are competitive as well as who will bring in more competition for the existing players which are already there supplying to these clients and that is where we believe we would be able to score.

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Page 10 of 30 Abhishek Poddar : Understood Sir and the margins we supported also by an improvement in MHE business where you reported 14%, should we think that this is the normal margin now or how should this movement happen?

Prayasvin Patel : We are expected to do 15% to 17% going forward especially as we increase our turnover in that sector, so I would say that at least minimum we will maintain what we have right now conservatively speaking.

Abhishek Poddar : Understood, so that will help the margin improvement, but the transmission at 24% that looks like steady number or that could also improve Sir?

Prayasvin Patel : That looks like a steady number as of now, however we are always in pursuit to improve there.

Abhishek Poddar : Are there in more lever where you think that you could tap those and improve margins further beyond these?

Prayasvin Patel : No, it also depends on the product mix. As we try to take initiative to further improve the margins, but it substantially depends on the product mix and as of now what we have seen is considering the average which is going on right now, we believe that we should be able to maintain that and if is possible, we may try to improve.

Abhishek Poddar : Thank you Sir. All the best to you.

Moderator : Thank you. We have the next question from the line of Ankit Babel from Subhkam Ventures. Please go ahead.

Ankit Babel : Good morning and congrats for a good set of numbers. Sir, my first question is now to achieve this Rs.2000 Crores of revenue, the growth is highest at 35%, so just wanted to understand would you be becoming aggressive in taking orders by cutting your price to achieve that kind of a growth?

Prayasvin Patel : We are interested in the bottom-line and not the topline and if you realize in material handing we have actually reduced our turnover to see to it that we become more profitable and going forward that is what we would do, but I have to also tell you that because we have one of the widest product ranges in the market and in the world, we have an advantage over the competition, because we can sell wherever there is a demand for a particular kind of application, so that is where we score over the others and that is how we believe we should be able to sustain our margins going forward.

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Page 11 of 30 Ankit Babel : So the question was just a followup, going forward the share of export is expected to increase which is typically a higher margin business, your utilization level will also increase which would be giving good operating leverage and you are not taking price cut as you have mentioned, so this year you have given the guidance of around 22% consolidated operating margins, so on Rs.2000 Crores what kind of consolidated operating margins you people are aspiring for?

Prayasvin Patel : We will sustain those margins.

Ankit Babel : My question was that only, why not improvement when you have some levers to

improve it?

Prayasvin Patel : As I told you it would depend on the product mix that we ultimately are able to sell out, okay, so it is very difficult to tell you, but there is a constant monitoring which goes on to see to it that we do not go below the margins that we have today, so there is a lot of balancing factor that we do; however, if the margins improve we are not going to let go of that opportunity.

Ankit Babel : Okay and Sir my second question is this planetary gearbox which you have developed where you see the opport

unity at around Rs.300 Crores to Rs.500 Crores of revenue per annum, now will it be additional to your current product line or will it cannibalize your existing products?

Prayasvin Patel : Planetary gearboxes is a general term for those type of gearboxes, today we are already manufacturing those. What we have mentioned is that there is a particular specialized application that we developed for the cement mill and which was extremely challenging because as of now practically it was being imported, so that is where it lies. Those challenges, those kind of applications would be to the tune of Rs.200 Crores to Rs.400 Crores or Rs.500 Crores that would be the overall planetary type of gearboxes. These type of applications I would say would be far and few, but they are like a feather in the cap like what we develop the gearbox for the air defence ship or the aircraft carriers.

Ankit Babel : Sir my last question is, this retention money of Rs.60 Crores when you feel it could be fully realized and with the cash flows coming in what will be your dividend payouts going forward?

Kamlesh Shah : As far as return retention is concerned, few are under dispute for which arbitration award is in the favor of the company and there are favorable developments also in this quarter; however, because it is sub judice so we cannot commit to when it would get realized because customer has the option to further apply to the higher court also, but we are  
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Page 12 of 30 expediting I think even somewhere we are getting the positive response or we can say amicable settlement also but we also have stick to our expectation of the management that is since where we are.

Ankit Babel : This is the disputed amount; have you people made any provisions for it till date?

Kamlesh Shah : So far, the arbitration award is already in favor of the company and arbitration award for the customers for which we got this award those are also sound in terms of the liquidity and the profitability, so we do not expect that provision is required.

Ankit Babel : So, increase in dividend payout going forward?

Prayasvin Patel : Sorry.

Ankit Babel : Would you increase your dividend payout considering that now you are debt free and the cash flows would be robust going forward assuming that working capital and everything remains intact?

Prayasvin Patel : I would not be able to comment on it, because the decision of dividend payout would depend on the entire board, so it depends on the wisdom of the board to decide on it, okay, however, my personal opinion would be that if the company does well, we need to take care of our shareholders and our stakeholders.

Ankit Babel : That is it Sir. Thank you so much.

Moderator : Thank you. We have the next question from the line of Pratik Kothari from Unique Portfolio Managers. Please go ahead.

Pratik Kothari : Good morning Sir and congratulations on such a strong execution. Sir, my first question is on the capex that we have announced of Rs.100 Crores, you mentioned in the presentation, this is given the strong revenue growth that we see and the long lead time for some machinery, so just to clarify this over and above Rs.100 Crores that we have announced earlier for solar plant?

Prayasvin Patel : Sorry, Rs.100 Crores that we had announced for?

Pratik Kothari : Solar, for renewable that we had announced I think a couple of quarters back?

Prayasvin Patel : It is all inclusive Rs.100 Crores out of which a sizable amount is going toward solar and the balance is going towards balancing equipment that we require in the plant.

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Page 13 of 30 Kamlesh Shah : Capex for solar is Rs. 15 Crores approximately.

Pratik Kothari : Okay, got it and Sir, second question is you have menti

oned in the call today that we expect

to double our MHEs run rate, our stance in MHE used to be only do products and may be some spares and services, etc, so to go from this Rs.200 Crores revenue to Rs.400 Crores,

Rs.500 Crores in two, three years, what could drive this growth?

Prayasvin Patel : The products have great potential because today, the material handling also we have one of the widest product range. Apart from that there are other opportunities which come up where new projects are coming up on a regular basis especially for developments and so forth, so there are good potential and based on the way we are seeing the market progressing, we believe that for us to reach Rs.400 Crores to Rs.500 Crores would not be a problem; however, we have all the intentions of adding a few more products from other industries that would help us further improve our total invoicing in material handling.

Pratik Kothari : This other industries railways or equipment manufactures for roads and bridges segment we had spoken about earlier?

Prayasvin Patel : Yes and there are also other areas especially in the constructions.

Pratik Kothari : We have already developed this product or existing product can we use there?

Prayasvin Patel : No, we would have to develop those products, we are exploring those possibilities and then we would be getting it in production.

Pratik Kothari : Fair enough. Thank you Sir and all the best.

Moderator : Thank you. We have the next question from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.

Pritesh Chheda : Sir, any write back, have you booked in this quarter by any chance and any scope for write back on your retention or any earlier provision taken which needs to be written back either in this quarter or half yearly, just to get a more clearer picture on the margin?

Kamlesh Shah : There is no write back or any kind of one time kind of any write back or other income also in this quarter or even in the half year also.

Pritesh Chheda : Did you give out Rs.2000 Crores revenue number for FY2024 or it is just explanation number?

Kamlesh Shah : We already gave out number that is our guidance, so we are working towards the same.

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Page 14 of 30 Pritesh Chheda : So it is Rs.1500 Crores for 2023 and Rs.2000 Crores for 2024 and 22% margin.

Kamlesh Shah : Yes.

Pritesh Chheda : In this, the gear business has seen about 24% margin which is the highest, usually our margins is between 18% and 21%, is there any seeing in the product mix this quarter which needs to be highlighted for or these kinds of margins are ones which we can take forward?

Kamlesh Shah : No, this kind of margin will continue, because we are continuously focusing on our supply chain management improvement through which it is possible for us to sustain this margin and we also has given the guidance for FY2023 where we will sustain a 24% margin on a standalone basis also.

Pritesh Chheda : Okay and lastly Sir, what makes you so optimistic on MHE side of the business and you calling out Rs.400 Crores revenue, any input which you could share on that part of the business?

Prayasvin Patel : So basically, based on the way the Inquiry levels are coming through, we believe that reaching those kinds of numbers would not be difficult, and today we have been in this business for the last 70 odd years and therefore we have a reputation for our products. They are known to be extremely reliable and robust and therefore the clients quite often insist or customers insist that whoever supplies the entire plant, but the product should come in from Elecon

Pritesh Chheda : And I hope you will be just an equipment supplier in this cycle, and you will not take EPC projects.

Prayasvin Patel : We have liquidated the entire division which was doing projects and

we have no intentions

of reviving it again. It is only products, products, and products that we would be selling.

Pritesh Chheda : Dependent on this segment is on steel, cement, mining and power wherein if you could give which sector is more you lean to.

Prayasvin Patel : Fertilizer can also be added to this, but basically it would be these sectors especially steel and power are normally dominant, but fertilizer also after normally three to four years there is a cycle whereby they also consume material handling products.

Pritesh Chheda : Thank you and all the best to you Sir. We will progress. Thank you.

Moderator: Thank you. We have the next question from the line of Sanket from Kedia Securities.

Please go ahead.

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Page 15 of 30 Sanket: Good morning Sir and congratulations on good set of numbers. In the presentation in slide #23 we have mentioned about as an open order book on upwards of 700 Cr so just wanted to understand the open order book what do you mean?

Kamlesh Shah: By open order we mean that the pending order for execution we got the order which are

under execution that is what we meant.

Sanket: Then in terms of our utilization wanted to understand the way we are seeing the demand progressing, would we be able to cater to the excess demand or we would have to select projects on which we want to deliver and some projects we let go since our capacities would almost be full.

Prayasvin Patel : No, as I told you earlier also that we are operating at about close to 60%, 65% of our capacity utilization and this is without hardly doing any subcontracting work. If we further subcontract our possibility of a higher turnover beyond, I would say 2000 to 3000 Crores would also be possible. I would say that considering a minimum Capex we should be able to do that and maintain our margins also going forward. So that is the advantage we have over the competition because today we have one of the fastest deliveries in the market today and customers are saying that if you want reliable deliveries go to Elecon.

Sanket: On the R&D side just wanted to understand are there any more gearboxes on which we are working on especially for the defence side like where we are seeing the demand coming in for the shipping sector, are there any particular products which we are working on or we are seeing any potential area where we can get increased orders.

Prayasvin Patel : See there is a continuous endeavor by the management to look at opportunities whereby we are able to widen our products. Recently we developed gear boxes for high-speed application for a very special client. Similarly, even in the navy and in the marine sector we are always exploring those possibilities as and when the design team of the Indian Navy approaches us for new applications, we always help them give a technical proposal to meet their requirements.

Sanket: Sir earlier on the call you had mentioned about the EV opportunity potential so if you can elaborate a little more on what kind of opportunity and what is the scope.

Prayasvin Patel : See normally if you look at diesel or a petrol vehicle the gearbox is a very complex gear box it has got many speeds and therefore the whole transmission becomes very complicated. As long as EVs are concerned the gear box is a very simple device and it does not have very many complications however I believe that the requirements would be of a longer or a higher life as compared to that of a diesel or petrol vehicle and therefore it  
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Page 16 of 30 exactly fits into our requirements of manufacturing because we have the desired equipments in manufacturing to pursue this kind of onus, so we would be taking it up actively, especially with the Indian manufacturers of el

ectric vehicles and pursue this further.

Sanket: So are we in talks with anyone for this from the domestic market side or any potential development going on to materialize this opportunity.

Prayasvin Patel : I would say up till now, let us put it this way that as and when something comes up whereby we sign an agreement with them or explore the possibilities that time we would be making any of the announcements.

Sanket: Thank you for answering all the questions and best of luck.

Moderator: Thank you. We have the next question from the line of Mahesh Bendre from LIC. Please go ahead.

Mahesh Bendre: Thank you Sir. Sir you mentioned that the current utilization of our factory is around 65% so to what extent we can go whether we can go up to 85%, 95% utilization feasible.

Prayasvin Patel : See normally in an industrial sector I would say it would be peaking at anywhere between 80% to 85%.

Mahesh Bendre: And this is based on single shift basis right sir.

Prayasvin Patel : No it is based on three shift basis.

Mahesh Bendre: So on three shift basis you are working on 65% utilization.

Prayasvin Patel : Yes, between 60% and 65%.

Mahesh Bendre: And you mentioned that we are planning to be looking into development of planetary gears, so the differential gear box comes into that domain or is it something different.

Prayasvin Patel : No, it does not come into that. Differential gear box is where, it is a very complex gear unit and that is not what this is, this is where the arrangement of the gears is such that it forms like solar system where you have a sun gear and then you have planets and they are moving around in an orbit that is why it is called planetary gear boxes.

Mahesh Bendre: So, we do not have any plans of going into differential gear box. Is it?

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Page 17 of 30 Prayasvin Patel : No, we do not because that is a very specialized field normally the auto sector especially where you make axles is where this kind of a differential gear box goes in.

Mahesh Bendre: And Sir when we talk about the new Capex - new facilities setting up I mean what kind of asset turn ratio we see in the new manufacturing set up.

Kamlesh Shah: Our asset turnover would be nearly 0.8% to 1.1% you can say with this new Capex.

Mahesh Bendre: Thank you so much.

Moderator: Thank you. We have the next question from the line of Pratik Kedia from Kedia Securities. Please go ahead.

Pratik Kedia: Thank you so much for taking my question. Sir I see that the defence industry is waking up and this termed as a sunrise industry in India. Is the opportunity for Elecon equally in line with this particular size like is it equally big, how big can this be in the revenue terms for say in the next five years.

Prayasvin Patel : I would put at this way that within the growth we have put in a team of people who are exploring not only from the marine side but also from the army and the air force apart from that we are also looking at auxiliary equipments which are being provided to the defence sector and we are exploring these possibilities. We are keen that we look into niche areas whereby they are equipments or component supplies which are hardly specialized because we have very high precision machine tools in the entire group. So, we are looking for that kind of work and which I am sure that if we find the right kind of company, we should be able to do that very easily and that is what we are pursuing.

Pratik Kedia: Are we getting any inquiries or getting some indications for this sector.

Prayasvin Patel : We are becoming more proactive because where we see a potential as I told you we have a cell within the entire group which is exploring all the possibilities as and when there are announcements in the newspaper about any large company coming in say for example recently there was an a

nnouncement that Air Bus is going to put up a manufacturing plant in Baroda so we will now pursue that and ensure that if there is any potential to supply we will explore that so we are becoming more proactive and not waiting for Inquires to come up on our table rather than that we are trying to approach companies and the defence sector as to where we can play a part in it.

Pratik Kedia: Capacity wise I believe that we are prepared in case of such queries come in, correct?

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Page 18 of 30 Prayasvin Patel : Yes, not only that we can give a holistic solution within the group that is our intention which means that if because we have different levels of expertise within the group including hydraulics, pneumatics, IT which means programming, in electronics and therefore we can give a holistic solution to the customer.

Pratik Kedia: Perfect Sir that is all from my side. Thank you so much for taking my questions.

Moderator: Thank you. We have the next question from the line of Niraj Mansingka from White Pine Investment. Please go ahead.

Niraj Mansingka: Thank you for the opportunity. What is the export revenues for the quarter?

Prayasvin Patel : It has been 32 Crores.

Niraj Mansingka: Sir the export revenue has not yet picked up but you are seeing cash in that side. Can you share some more color on how you are seeing this export scaling up in the next few quarters or the inquiries that we get?

Prayasvin Patel : See we have large inquiries on hand especially in the UK and United States; however because of the war that came in as well as the finance the countries are going through, a high level of inflation and the interest rates have gone up, the customers have become a bit slow in placing orders and we believe just after Christmas a lot of orders would get finalized.

Niraj Mansingka: And the other thing in the past you had said that the export margins is really 5% higher than the domestic does that still stand or is it changed.

Prayasvin Patel : Normally I would not have said it is 5%, it is higher than the domestic market and that continues to be that way.

Niraj Mansingka: In the past also you have talked about the operating leverage as a company playing out to drive margins do you see that happening. I think you have capacity if you can help us reiterate, is the revenues going to take 2000 Crores, so would the margins of the business remain at 24% or is this go to higher number.

Prayasvin Patel : It would tend to go to a higher number because of the higher utilization of the assets because in the gear business the fixed costs are very high if you look at it the between the fixed cost and variable cost the fixed costs are very high because of the expensive infrastructure that one needs to have, especially the machine tools and all that and therefore as soon as your utilization keeps on increasing you will generate higher margins.

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Page 19 of 30 Niraj Mansingka: The last question you talked about defence orders came out in long-term so can you give some color on what type of orders can come to you say in five or six years from now totally so that we can understand how the defence business can scale up for you.

Prayasvin Patel : See first of all the business that we are already in which is the navy business that will continue the way it is growing which means that we are one of the preferred suppliers to the Indian Navy - the reason being that the technology that we have, the kind of infrastructure that we have and the kind of support that we have been able to give to the Indian Navy there is a lot of appreciation from the Indian Navy towards this so we would be considered as one of the preferred suppliers to the Indian Navy. As far as the other sectors are concerned,

we

are still in the exploratory stage, and we believe that we should get into a niche area where the margins are high, and the level of accuracy and sophistication is reasonably high so that we are able to compete well and get good margins. So, this is what we are trying to pursue, it may take some time, but we will have to see to it that we get into an area where as I told you the high precision is where we would be able to get better margins.

Niraj Mansingka: Thank you very much Sir.

Moderator: Thank you. We have the next question from the line of Hiten Boricha from Joindre Capital. Please go ahead.

Hiten Boricha: Thank you for the opportunity, Sir. Most of my questions have been answered. I have probably two questions. So, you mentioned we are operating at 60%, 65% currently and if we take a contract project it can further add to our revenues so do we have any plans to do such kind of business here.

Prayasvin Patel : See what I said was that our utilization of the existing plant is close to 60%, 65% on a three shift basis and there is a potential to go up to almost 80%, 85%. Apart from that there is a possibility of subcontracting certain components thereby it would further get enhanced.

Does that answer your query?

Hiten Boricha: Yes, thank you and sir my second question is you mentioned we are looking to book revenues in MHE division segment. So, what kind of internal measures we are taking to like reach this 400 kind of revenue can you throw some color on that?

Prayasvin Patel : See as I told you our intention is basically to sell products and not to go into projects because the reason is very simple, the projects would mean a higher sales and higher topline, but on the other hand we realize that it does not materialize into higher profits. So, our intention is only to sell products and based on the demand that is there apart from that the companies also looking at the possibility of adding more products which are

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Page 20 of 30 nonmaterial handling products whereby we would be able to further increase the turnover. So, considering that and considering the calculations that we have made we believe that 400 to 500 Crores would be possible with that division.

Hiten Boricha: 400 to 500 Crores in next two to three years right sir.

Prayasvin Patel : Yes.

Hiten Boricha: That is all from my side. Thank you.

Moderator: Thank you. We have the next question from the line of Shirom Kapoor from Prabhudas Lilladher. Please go ahead.

Shirom Kapoor: Thank you for the opportunity and congrats on a great set of numbers. So, I have two questions, one is going back to defence again do you have a breakdown of how much the defence segment contributes to your topline and where you see this rising over the next three, four years.

Prayasvin Patel : See in the defence sector especially the marine, Indian Navy is our largest customer apart from that we have Coastguard. The y send us inquires for a particular project which is a fleet of ships which could be two, three, four, five, six so based on that we quote and if we are found competitive we get an order so it is very project oriented, up till now there were times when the demand would come in I agree three, four, five years which means you would have a turnover coming in from the marine sector and then it would go down to zero levels and then after two, three, four, five years it would again come up for another requirement. Now considering that the Indian Navy has a very ambitious plan of building more ships and there are lot of projects in the pipeline which are today on the drawing board of the design team of the Indian Navy and therefore we are reasonably confident that these would pan out over the next five to seven years. So, I would say conservatively you can expect about 100 to 200 Crores coming

in from the marine sector especially the Indian Navy and Coastguard in the future.

Shirom Kapoor: This will be 100, 200 annual or you are saying overall.

Prayasvin Patel : This is a very generalized statement, because you know these going to development stage and quite often they get scrapped and then there is the new development that takes place so it is very difficult to generalize but this is what we believe to could happen. This would be on an annualized basis that is the potential I would put it this way.

Page 21 of 30 Shirom Kapoor: My next question is on, so I am just started looking at the space and I wanted to understand that from FY2019 till now you had a significant reduction in your manufacturing expenses especially in the erection charges in subcontracting cost. So, what is the main reason for that is that as a result of liquidity of EPC business or what is the main driver behind that.

Kamlesh Shah: This is mainly because we came out of that MHE EPC business so whatever pending orders are there that was only executed and now there are no more such EPC contract so that is why the manufacturing cost is lower and that is particularly MHE division.

Shirom Kapoor: So now going forward the current level of your manufacturing expenses that should be a sustainable level kind of level.

Kamlesh Shah: Yes.

Shirom Kapoor: Great understood thank you so much.

Moderator: Thank you. We have the next question from the line of Karthi with Suyash Advisors. Please go ahead.

Karthi: Sir good afternoon congratulations on a very interesting set of numbers. Two, three questions. One is in terms of input cost what has been the extent of correction and to what extent does that reflect in your order backlog currently.

Kamlesh Shah: Our input cost particular raw materials will be in the same range where we are recently in Q2 so that is how we are monitoring our input cost of raw material continuously.

Karthi: What has been the correction will say last six, nine months sir or has there been no major change.

Kamlesh Shah: Yes in last three to six months whatever you order, the cost and due to which there are some corrections in the input cost, particular steel price there may be some improvement but considering the product mix it will be difficult to spell out of what the cost ultimately it will drawn out because the orders have been executed in next three to six months.

Prayasvin Patel : I would put it in a very different fashion while we quote to the customer, we make sure that our input cost are estimated to be at a certain level and we make sure that we are able to get those kind of prices whereby these margins are properly sustained and which is the reason why we are able to sustain an EBITDA level which today has become reasonably consistent.

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Page 22 of 30 Karthi: So therefore your 2000 Crores rough guideline would be irrespective of the input cost increase right.

Kamlesh Shah: Yes, it will work towards our estimations so based on those estimations we are considering that our EBITDA margin would be 22%.

Karthi: Sure. So, the other question is on your international business where you spoke about several OEMs approaching you. Who would be incumbent suppliers and therefore what would be the advantage you have on a non-technical side compared to them?

Prayasvin Patel : See normally we are being compared with the international players especially who are operating in that country. There are international players like Flender which is there from Germany who are an international player, then there is SEW who is also a German company then if you go to Brazil there would be Ren Zanimi so it varies from country to country, but I would say

that because if we have a local arm we have an advantage because the customer feels more comfortable with the localized manpower. Apart from that we have three brands to pursue one is Benzlers, other one is Radicon, and the third one is Elecon. So based on what is the requirement in that particular country and where the customer feels comfortable with that brand, we offer those kinds of brands in that country.

Karthi: If I may push to answer sir would you have say 20%-30% cost advantage over these entities.

Prayasvin Patel : I would say so it would range around 20%.

Karthi: If you look at your current mix including the exports from India as well as the international entities revenues what would be the mix of OEM supplies, replacement sales as well as project.

Kamlesh Shah: Presently I think I do not have the numbers, but I will forward it in due course of time.

Karthi: If you can share it through Binay that would help sir, the IR person.

Kamlesh Shah: Yes, I will do through Binay also.

Karthi: Thank you so much and best wishes sir.

Moderator: Thank you. We have the next question from the line of Naysar Puri from Native Capital. Please go ahead.

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Page 23 of 30 Naysar Parikh: Thank you for taking my question. My first one is can you help with the mix between customized and standard gear boxes in this first half and also what is the mix between gear boxes of new plants versus the order placement of some of your old gear boxes.

Kamlesh Shah: The customized gear box which we say as our engineering product EP is generally consisting of 35% to 40% in this half year so which is more precise it is 37% which is there in this time and balance is catalog product which is called standard product.

Naysar Parikh: And between new and replacement.

Kamlesh Shah: I do not have a figure about the new and replacement which I have to work it out. I can forward this through Binay.

Naysar Parikh: Yes sure, thank you, and my second question is in the past you had mentioned with regard to your exports business that you are exploring some front-end acquisitions to kind of get you closer to the customer as well so as of now what the status of that is, are you looking at any acquisitions or would you go with the exports mostly through organic route only.

Kamlesh Shah: Presently I think there is no such plan which has yet been worked out, but we will continue with our existing operations, so at appropriate time as and when it will work out we can definitely announce the same also.

Prayasvin Patel : See I would put it this way that we are keeping up our eyes open as and when a right kind of opportunity comes up, we will pursue that and hopefully that would mean a successful acquisition at that stage.

Naysar Parikh: Last question is when we look at our order book which is around 700 odd Crores and given the revenue run rate we have, how do you think about the order book visibility which some larger engineering companies etc., they have order books is at least may be three, four, five quarters of revenue in the book are we narratively to that extent smaller if you take FY2024 target was 2000 Crores and this in next year mid 700 so if you can just explain what is the general time duration of booking the order and after that how much time does it take to execute how should we think about the cycle.

Prayasvin Patel : See we have a very large product mix, for the catalog gears, practically the longest delivery that we have would be two to three weeks. As far as the engineered products are concerned maximum delivery would be four to six months. Considering all these factors this is a robust backlog that we have today. The reason why I am saying is that if you remember the steel prices increased and then it further decreased we were not a

ffected by it and one of the

reasons is because we have a very short cycle it is a very short cycle of execution which is

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Page 24 of 30 extremely good because then you can be very dynamic in the market and that is where we specialize because our competitors have a much longer manufacturing cycle compared to us.

Naysar Parikh: Thank you so much.

Moderator: Thank you. We have the next question from the line of Krisha Kansara from Molecule Ventures PMS. Please go ahead.

Krishna Kansara: My question is regarding the inquiry level if you could provide a number as to what kind of increase, we have seen in inquiry level say as compared to previous year.

Kamlesh Shah : Inquiry level in the sense can you just give something detailed so that it will be easy for us to answer. What do you mean by Inquiry level?

Krishna Kansara: Sir the kind of inquiries that we are getting, let us say last year we were getting X number of inquiries versus this year we are getting Y number of inquiries . So, what kind of increase we have seen?

Kamlesh Shah: Generally, we do not work out a number of inquiry, generally this kind of information has already gone with our marketing department because sometimes how to spell out our inquiries, what do we mean by inquiry, that is what we are just comparing ourselves with. So, what I understand is if you are asking about what the conversion ratio from inquiry to order is so we are having our conversion ratio I think more than 70% we can consider from inquiry to order.

Krishna Kansara: Okay thank you sir the questions have been answered. Thank you .

Moderator: Thank you. We have the next question from the line of Ashutosh Garud from Ambit PMS. Please go ahead.

Ashutosh Garud: Most of my questions has been answered. I just wanted your views about how the domestic competition is shaping up. I mean you are growing at a pretty healthy pace so just wanted to know what kind of market share gain is present in this kind of growth rate for us on domestic front, on export fronts you have elaborated enough on how you are competitive, and you would be gaining market share but I wanted your views on the domestic market share gains.

Kamlesh Shah: Our domestic market share in the organized sector, because we are monitoring ourselves

through an organized sector which is ranging at 34% to 36%, that is where we are in the domestic market and so far as how we are placing out considering the numbers because our Elecon Engineering Company Limited  
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Page 25 of 30 technology, our infrastructures and continued improvement on our existing product through engineering process and our R&D facility, these are our key domain through which we are positioning ourselves.

Prayasvin Patel : The other thing is that we have the largest market share, and we are continuously monitoring to see to it that we do not lose market share. On the other hand we would not like to gain market share at the cost of reducing our prices.

Ashutosh Garud: So my question was more on having the strategy is great that we are not gaining market share at the cost of profitability, is there discussions with clients where they are actually willing to give more orders to you as compared to some of the other domestic competitors wherein obviously our profitability is also not sacrificed and yet it is contributing to our growth that is what I am trying to understand.

Prayasvin Patel : I will give you an answer in a different way. First of all 70 % of our clients are repetitive and we forge a relationship with them and there is a situation where the client says that no we want only Elecon due to various reasons, with every client it is a different situation because they find a level of comfort whether it is because of our deliveries, whether it is because of

ause of

our technology, whether it is because of the relationship that we have forged with them, they trust us, etc., etc. So there are various reasons for it, but this is where we score over the competition and apart from that we have to realize that we have one of the widest range of product line in the gear business in India as well as abroad even considering the foreign countries because no one has the product line which is this wide and which is all active and whereby we grow because we are also able to give an optimal solution to the client based on their requirement, does that answer your question.

Ashutosh Garud: Yes, to some extent yes. I was actually more keen on more and more customers even when you are saying 70% is repetitive and let us say 30% are not as repetitive from an ordering perspective, but is this share even going further because of the quality which you are offering and more and more clients are interested in having a more sustained businesses on a qualitative sense I wanted to understand.

Prayasvin Patel : Can I answer it a bit differently also.

Ashutosh Garud: Sure.

Prayasvin Patel : We are continuously evaluating ourselves how can we be more conducive to the client and not by commercial terms or by pricing but by services whether it is technology, whether it is after sales the way we respond to our clients the way we give them information on what is happening to their project, their gear box supplies, equipment which are operating at site Elecon Engineering Company Limited  
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Page 26 of 30 and so forth and we want to additionally further focus on after sales so all this put together we want to see to it that holistically we score over the competition not only in India but also abroad because that is the way to go. Unless we do that, we will not be able to capture additional market share in the future and there is a continuous endeavor to continuously keep this in mind.

Ashutosh Garud: Thank you.

Moderator: Thank you. We have the next question from the line of Sanjay K umar from iThought PMS. Please go ahead.

Sanjay Kumar: Thank you for the opportunity. First question recently the government came with the draft policy for repowering old and low performing wind turbines. So, we do supply gear boxes for wind turbine so who are our clients for these gear boxes.

Prayasvin Patel : See we have been supplying gear boxes for the wind turbine in the past however we have slowly and gradually exited that sector especially because of the fact that it is an area which goes through wide fluctuations of demand based on incentives provided by the government. So we have exited that however our service centers that we have are taking up this and are able to refurbish gear boxes of the competition as well as our own which have been supplied in the past and that is where we score because our service centers are more or less closely located where the wind is very conducive and there are large number of wind mills operating.

Sanjay Kumar: But given this new draft policy which will act as the tailwind s form sectors so are we planning to get into it again or you will continue with that.

Prayasvin Patel : Not by supplying to OEs what we would be doing is we would be looking at servicing the old gear boxes and supplying components as and when required in those gears.

Sanjay Kumar: Second on other gear manufacturer's supply to compressor manufacturers and even for

metro rail applications , so do we have products in these two segments.

Prayasvin Patel : Yes, we have product lines which or we supply components to the metro as well as to the railways, railways we supply not only in India but also abroad.

Sanjay Kumar: Compressor sir.

Prayasvin Patel : Compressor as of now no but we have always been exploring that possibility of supplying to them and there is a strong possibility i

t would happen in the situation.

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Page 27 of 30 Sanjay Kumar: Finally on export so when we spoke to another south based manufacturer, they said that India has lost the race in terms of the technology needed for gear boxes to Italian and German manufacturers like Flender, Bonfiglioli, Rossi. So wanted to get your thoughts on what will be Elecon's right to win in global markets so will it be purely on price perspective or do we have a better technology or where are we on that.

Prayasvin Patel : See first of all the names that you mentioned are companies which are into catalog products which means they are standard units which they produce in mass scale and supply especially the Italian Bonfiglioli, Rossi if I think you mentioned Rossi if I am not mistaken. Flender is in turbo but we come across them especially in the catalog sector which is high volume sector. Now we have been continuously enhancing and coming up with new series of gear units which become more competitive and have better performance than in the past as we talk there is a new series which we are developing also which has a great potential and all our marketing people are very excited about it that would give us an edge over even the competition. Now as long as technology is concerned I can assure you one thing that we are second to none it is not that the Germans or the Europeans have a better technology than us we have in the past about 15, 20 years ago we had bought technologies from them and we have continuously improved upon it and today after that we will come up with our own series of catalog gear boxes in a big way. As long as engineered products are concerned which means it made custom based as well we have seen to it that we are able to optimize and learn a lot and I am very proud to tell you that our technology is not only second to none but we have our unique features which score over the competition in lot of applications and lot of customers give us credit for that.

Sanjay Kumar: Does it translate into OEM relationships because when I buy a coke industry machine it will come preinstalled with Rossi or Bonfiglioli so let us say 2015 I had 100 OEMs now I have 150 OEMs can you give some number on that figure how many OEMs we cater to anything on that lines.

Prayasvin Patel : It would be difficult to say to tell you honestly I also do not know because we have so many countries so many areas that we look into so every marketing person would have those figures which we need to accumulate but what I can tell you is that the Germans has been dominant because let us say if you are talking about bottling plant then the manufacturer of the bottling plant is German, the gear box manufacturer is German so German to German the contracts are very strong. So similarly but we are making inroads for the Indian suppliers quite often we are able to score because if they give us an opportunity we are able to substitute those gears with ours and become an OEM suppliers . So those are kind of opportunities that we have taken up in the past and are doing so even today and we will continue to do so.

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Page 28 of 30 Sanjay Kumar: Just one last question are we trying to recruit any top guys from any of these Europe companies to develop our business the business development purpose for us to increase our exports would that be a key requirement right to have a local guy talking to local OEMs so will we need such top guys from others gear manufactures.

Prayasvin Patel : We have operations in very many countries as you know we already have people out there who are the localized who are working out there and who are grabbing these opportunities.

Now while as I told you we are trying to grow the business

in those areas and increase our

exports we are looking at these opportunities like you rightly said we are looking for employees who are specialized in application engineering and who are top guys quite often even coming from the competition so that we are able to create that impression with the customers and backed them by solid supplies coming in from India. So that is the ultimate goal and that is what we would do anything to do this. Does that answer your question?

Sanjay Kumar: Yes sir thank you thanks for your time.

Moderator: Thank you. We have the next question from the line of Gunjan Kabra from Niveshaay. Please go ahead.

Gunjan Kabra: Thank you for the opportunity again. Sir one thing I wanted to understand according to the industry working so if there is a Capex announced by company in September 2022 suppose the plant is expected to commence in September 2024 so in this time period where this Elecon receives the order so wanted to judgment in which time period the company receive orders since the time line of the Capex announced by any user company usually like two to three years.

Prayasvin Patel : It will depend on industries which industry it is going to and it will also depend upon the kind of product that they order on us as I told you our catalog gears we are able to deliver within highest or the longest delivery would be four to six weeks for engineered products it would be anywhere ranging from four to eight months. So depending upon the convenience of the customer as to when he needs it, how he needs it, whether his site is ready to receive the gear boxes when is he going to be in a position to pay us based on all this key places an order on us and we supply. So it is very difficult for us to give you that answer.

Gunjan Kabra: Okay thank you. Sir also in the beginning you told that the defence order book is around 80 Crores this time of the total order book and in the last quarter it was around 130 Crores we received orders from defence sir have we executed the difference amount.

Prayasvin Patel : Because there was a project which was going on so partially it must have been executed as of now it ranges around that figure.

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Page 29 of 30 Gunjan Kabra: One more thing that last quarter employee cost increased on account of business development in R&D expense this quarter the same expense on the base of quarter-on-quarter decrease so how does that cost parameter work in every quarter.

Kamlesh Shah: Generally employee cost depends not on the salary there are other factors are also there which are going to have the impact maybe related to the incentive bonus or other factors also.

Prayasvin Patel : See we try to rationalize and equate quarter-on-quarter however there are certain incentives that are provided to the employees which are performance related. So as and when they get evaluated and are distributed they come into the financials quite often it is difficult to estimate otherwise then there is a provision which is also being done.

Gunjan Kabra: Thank you so much and very good luck.

Moderator: Thank you. We have the next question from the line of Ankit Babel from Subhkam Ventures. Please go ahead.

Ankit Babel: Sir just a bookkeeping question have you factored in this 200 Crores kind of revenue from maybe in your FY2024 guidance of 2000 Crores.

Prayasvin Patel : No.

Ankit Babel: In your order inflows do you include sales of your standard or the catalog gears also which are basically shelf kind of product when you give the order inflow numbers.

Kamlesh Shah : Yes .

Ankit Babel: And lastly can you repeat your market share number sir.

Kamlesh Shah: Our market share in the organized sector is ranging 34% to 36% .

Ankit Babel: And what is the size I mean the share of organized to the overall market.

Kamlesh S

hah: Nearly 2000 Crores.

Ankit Babel: No, 2000 is the organized market right.

Kamlesh Shah: Yes, organized.

Ankit Babel: And what is the size of the total industry including unorganized.

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Page 30 of 30 Kamlesh Shah: Unorganized as they are not available but with rough idea not the ballpark maybe 2500 to 3000 Crores I would say more close to 3000 Crores.

Ankit Babel: Mostly it is organized only.

Kamlesh Shah: Yes .

Ankit Babel: Okay thank you so much Sir.

Moderator: Thank you. That was the last question. I would now like to hand it over to the management for closing comments.

Prayasvin Patel : Thank you all for showing so much of interest in the company I would say that we have been performing consistently this particular quarter also our results have been fairly robust and strong and we are seeing that we would be able to perform on this basis on a continuous basis even by the end of the year and going next year. So this is where we are feeling like we have the confidence and I would say that our endeavor is always to continuously improve our performance which we are trying to do on a sustainable basis. Thank you all for showing this interest and if there are any other queries that you have do not hesitate to contact us. Thank you.

Moderator: Thank you. On behalf of Edelweiss Broking Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## Call: Feb 2023

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- ® TUV Rheinland ® GE.ARING THE FUTURE

3rd February, 2023

To,

The Manager (Listing), The Manager (Listing),  
The BSE Ltd. National Stock Exchange of India Ltd.

Mumbai Mumbai

Company's Scrip Code: 505700 Company's Scrip Code: ELECON

Sub Transcript of the Investors Call held on 30th January, 2023

Ref Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015

Dear Sir, 1509001:2015 '-ll'i' ISO 14001:2015 "'!· 1:1

ISO 45001:2018 · . •

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With reference to the above referred Regulation and in continuation of our letter  
dated 25th January, 2023, please find attached herewith the transcript of the Investors Call held  
on 30th January, 2023 for Q3 of the Financial Year 2022-23.

The same is available on the website of the Company at

<https://www.elecon.com/investors/audio-video-recordings-and-transcripts-of-post-earnings-quarterly-calls>.

You are requested to take the same on your records.

Thanking you.

Yours faithfully,

For Elecon Engineering Company Limited,

Bharti Isarani

Company Secretary & Compliance Officer

Encl.: As above

Rubber Industry Marine Industry Plastic Industry Power Industry Steel Industry Sugar Industry Mining

Gear<sup>1</sup>\_9 industries. Gearing economies\_ Cement Industry

ELECON ENGINEERING COMPANY LIMITED, Anand-Sojitra Road, Vallabh Vidyanagar -388 120, Gujarat, India. Tel.:

+91-2692-238701, 238702. Fax: +91-2692-227484.

CtN L29100GJ1960PLC001082 infogear@elecon .com | www.elecon.com

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"Elecon Engineering Company Limited

Q3 FY23 Earnings Conference Call "

30th January , 202 3

Management of

Elecon Engineering

Company Limited - MR. KAMLESH SHAH :

GROUP CHIEF FINANCIAL OFFICER

- MR. NARASIMHAN RAGHUNATHAN :-

CHIEF FINANCIAL OFFICER

- MR. M. M. NANDA , HEAD (GEAR DIVISION )

- MR. P. K. BHASIN , HEAD (MHE DIVISION )

MODERATOR : –

MR. BINAY SARDA , ERNST & YOUNG

Elecon Engineering Company Limited

January 30, 202 3

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Moderator: Ladies and gentlemen, good morning and welcome to Elecon Engineering Company Limited

Q3 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -

mode only and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Binay Sarda from Ernst & Young. Thank you, and over to you, sir.

Binay Sarda: Thank you, Michelle. Good morning to all the participants on the call and thanks for joining this Q3 FY23 earnings call for Elecon Engineering. Please note that we have mailed out the results and the presentation, as well it has been uploaded in the stock exchanges. In case if you have not received the same, you can write to us and we'll be happy to send it over to you.

Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risks that could cause our future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

To take us through the results of this quarter and answer your questions, we have with us the management of Elecon Engineering, represented by Mr. Kamlesh Shah, Group CFO; and Mr. Narasimhan Raghunathan, CFO. Mr. Kamlesh Shah will give a brief overview of the quarter gone past and then we'll open the floor to Q&A session.

With that said, I'll now hand over the call to Mr. Kamlesh Shah. Over to you, sir.

Kamlesh Shah: Thank you, Binay. Good morning, everyone. Ladies and gentlemen, a warm welcome to our Q3 FY23 conference call. I hope you all have had a chance to go through our results and presentation. We are pleased to report healthy financial performance during the quarter and we expect the growth momentum to sustain in the coming years.

The global economic activity is witnessing a downturn amidst high inflation and resulting tighter monetary policy due to Russia's invasion of Ukraine, which has led to increase in energy prices. Despite global economic slowdown, the Indian economy continues to show resilience to global shocks on the back of strong government capital spending and pickup in the manufacturing activity. World Bank has recently raised India's FY23 GDP forecast to 6.9% from 6.5% earlier, as the domestic economy is well positioned to weather global slowdown compared to most other emerging economies.

Nevertheless, we continue to monitor the external situation and have been taking appropriate measures to streamline our cost structure and mitigate the overall impact due to rise in input  
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cost. Despite global economic headwinds, we remain confident of the growth prospects and retain our consolidated revenue target of this INR 2,000 crores by FY24.

Discussing the Q3 FY23 result at a standalone level, the total operating income increased by 63% Y-o-Y to INR 304 crores compared to INR 186 crores in the corresponding quarter of the previous year. The EBITDA on an absolute basis increased by 112% Y-o-Y to INR 71 crores as compared to INR 34 crores during the corresponding period of the previous year. This translates to EBITDA margin of 23.4% in Q3 FY23 compared to 18.1% in Q3 FY22. We closed this quarter with a net profit of INR 48 crores as compared to INR 16 crores during the corresponding period of the previous year, reflecting an increase of 206%.

Coming to consolidated financials of Q3 FY23. The operating revenues increased by 43% Y-o-Y to INR

389 crores as compared to INR 272 crores in Q3 FY22. EBITDA increased by 69% Y-o-Y to INR 89 crores versus INR 52 crores in Q3 FY22. The EBITDA margin stood at 22.8% in Q3 FY23 as against 19.2% in Q3 FY22. The consolidated profit after taxes increased by 99% to INR 63 crores for Q3 FY23 as compared to INR 32 crores in the corresponding period of previous year.

Return on equity increased to 20% in nine months FY23 compared to 14% in FY22 while return on capital employed increased to 23% in nine months FY23 compared to 18% in FY22. Current ratio improved to 2.1 in nine months FY23 compared to 1.6 in FY22. Net debt to equity has come down to zero, while working capital cycle has reduced to 81 days as compared to 91 days in FY22, due to our focused approach in bringing down receivables. We would like to inform you that the Company had a net cash position of INR 66 crores, and outstanding retention amount stood at INR 66 crores as on December 31, 2022.

Coming to the INR 60 crores -plus arbitration awards, customers have shown interest for amicable settlement, which is a positive development. We continued to witness healthy demand across our end users' industries despite headwinds in the global economy, which resulted in stronger order intake, worth INR 1,023 crores in the gear business and INR 177 crores in material handling business during the nine months FY23 at the consolidated level. As on December 31, 2022, orders on hand in the gear business is INR 563 crores and in the MHE business, the order

on hand is INR 157 crores.

Now coming to the new product development initiatives, Elecon continues to widen its product portfolio by leveraging its unmatched technological know-how and R&D capabilities. We have designed and developed high-speed gearbox which finds its uses in steam turbine, compressor, and blower, and has a domestic market size of around INR 70 crores per annum. The Company has also enlarged its Planetary gearbox product portfolio and introduced Central Drive Planetary Gearbox for the cement industry, having domestic target market of around INR 50 crores per annum. We are pleased to announce that Elecon Engineering was awarded as one of the Top 10 gears and gearbox manufacturers by industry outlook for our unwavering focus and dedication to achieve excellence in quality and delivery.

We continue to explore opportunities to establish ourselves as a preferred supplier to OEMs in European market and invest in global brand building exercise. The Company will continue to  
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focus on expanding its global footprint and enhance its market penetration in existing geographies, which is likely to increase our overseas revenue and result in the next leg of sustained growth for the Company. As such, we remain confident of increasing the share of overseas business revenues to 50% of the total revenue by FY30. Also, Elecon continues to strengthen its leadership position in the domestic market with its unwavering focus on new product development.

In line with our ESG commitment, 70% of the energy is currently generated from renewable sources and over 85% lighting sources have been converted to energy-efficient LED. Our facility comprises of around 4,000 square meter unused land which has been developed into a green belt area and the Company today boasts of 60% green campus. Among other environmental initiatives, the Company has reduced uses of wood by almost 40% by adopting nail-less packaging, employed rainwater harvesting solutions to conserve rainwater and built sewage treatment plants to reuse sewage water.

As part of social engagement, Elecon has been undertaking various health-related initiatives such as blood donation camps, health activities for community, Health Heart Walkathon and health and safety awareness programs in nearby villages. The Company continues to promote

sports activities and provide necessary support to society by undertaking activities such as food distribution for needy, support to weaker sections of society, organizing education program, and initiative for special person.

Inclusiveness is the core of whatever we do, and the Company continues to promote sustainable supply chain and has been championing the cause through business partner meet, dealers and channel partner meet. We continue to build sustainable workforce by ensuring health, safety and empowerment of our employees, nurture leadership skills through our Leadership Development program and inculcate a culture of continuous learning.

With that, I thank you all for listening in and we will be happy to address your specific queries about the business going forward. Thank you.

Moderator: We have the first question from the line of Pratik Kothari from Unique Portfolio Managers.

Pratik Kothari: Sir, my first question is, in our MHE segment, the order inflow and order book seems to be going very strong. So some qualitative highlights if you can share?

Kamlesh Shah: Yes. I think this quarter we got a good inquiry, and we received an order also. And that will continue. But our focus is on supply of materials and after-sale services. These orders are all related to the supply of materials, mainly. There is no order related to the EPC work.

Pratik Kothari: In the presentation, we have mentioned about half of this inflow has come from power. So anything specific here?

Kamlesh Shah: We have Mr. Bhasin, who is heading our MHE Division, and we also have Mr. Nanda, who is heading our Gear Division. I think, Pratik, Mr. Bhasin will give an answer to this.

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Mr. P. K. Bhasin: Yes. As you are aware that we are not taking any EPC contracts, so we are only engaged in supply of equipment. We also would be giving supervisory services. And in power, we have certain orders, which have come our way, that is taken in one or two wagon tippler orders.

Kamlesh Shah: So, actually we are having a dominating position in power sector, particularly for MHE division which is there. So as a part of the replacement and upgradation requirement of the customers from power sectors, these orders are there for us.

Pratik Kothari: Sir, this is not related to the three new thermal power plants which are yet to come up, which

you have mentioned in the presentation? This has nothing to do with that. This is just a replacement of older power plant.

Kamlesh Shah: Correct.

Pratik Kothari: So this is an additional opportunity that we see? We have some inquiry pipeline, etcetera, for the new power plant?

Kamlesh Shah: Yes, it is there. So we are evaluating that -- all the inquiries and wherever, I think, we find suitable to -- as per what the present in our strategy it is there we are going to participate for that.

Pratik Kothari: And sir, given what your target that we have shared for next year of INR 2,000 crores. Just qualitatively how are we prepared to achieve this in terms of -- we did speak about new products that we have developed in terms of new geography, new clients. Anything that you can highlight how are we moving in that direction?

Kamlesh Shah: Yes. Mr. Nanda, from gear, who is heading the gear will just give an update for that also.

M. M. Nanda: Yes. Basically, we will be continuing our order intake from the core sectors where we are already very prominently working like steel, sugar, cement, power, more so on the FGDs where we are present. And selectively for our spare business also will be coming from the power sector as a matter of fact. Then material handling also. These are the area what we'll be looking for. Apart from that, we will be also targeting the new product, which has been highlighted already, mentioned by Kamlesh bhai in his opening remarks on that. And then, of

course, we will be also

focusing on marine business basically. We are developing some new prototypes to be ready for certain overseas who is sourcing it from us.

Apart from that, there are some projects that are also lined up from the Indian Navy, that also we are trying to target. So all this will be adding up to the numbers what has been projected as a matter of fact. Yes. And in addition to that, export also will be our focus area, which we are really going to look at it and we'll be looking at how we are going to do it. From OEM business, we'll be targeting more from here. That will also help us to really get more on that. Yes. Thank you. Anything else you want to know?

Pratik Kothari: Last thing on gears again. One, what was the export number this quarter? And second, the order inflow seems to have slowed a bit. We used to do about INR 100 crores a month, INR 300 crores

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a quarter. Seems to have been down to about INR 200 crores on the standalone part. So anything to read into this?

M. M. Nanda: See, these numbers are not really as you already noticed, but we have a big plan as far as the exports are concerned. We are trying to deploy our own team out there at various locations.

Apart from whatever we have, our entities there that is going to help us. But in addition to that, we also support them. Our own people are going to be positioned there at various locations. In addition to that, we are also targeting some segments like South Africa, as well as Australia where we see lot of potential. In South Africa, we are looking to position our own office as a matter of fact to really help us on that. We are already trying to take some help from Australia. So all this will be adding up. What action we have taken will really increase our numbers going forward on that.

Pratik Kothari: And what was the number this quarter?

M. M. Nanda: INR 30 crores.

Moderator: We have the next question from the line of Subham Agarwal from Aequis Investments.

Subham Agarwal: Sir, my first question. So recently, two weeks back I think was a news from Railways that they will be ordering multiple wagon tipplers. So, sir, I wanted to know whether we will benefit out of this? And if so, what is the opportunity size because of this plan?

Management: This wagon tippler, Railways have come out with a new specification. Earlier specifications were very stringent, 140 ton each wagon tippler. Those wagon tipplers are not there in the market. Nobody manufactures, neither people can give the coal with that wagon. So they have revised the specification and it is aiding us. Whatever designs we have got, they will be getting the new specifications of the Railways.

Kamlesh Shah: So if any opportunities will come up from the wagon tippler from Railways that will definitely be under this revised norms. We find ourselves qualified for participating.

Subham Agarwal: So all-in-all, it's some time away before this opportunity comes in?

Kamlesh Shah: Yes.

Subham Agarwal: Sir, secondly, I wanted to have a clarification financial guidance where we have given for the consolidated number. So for the last quarter, we are giving EBITDA guidance of INR 84 crores, which is lower than what we have reported this quarter. So any specific reason why we are giving our guidance or tapering our guidance for the Q4?

Kamlesh Shah: Generally, this is an engineering sector and capital goods sector you can say, both mixed. So generally, Q1 and Q3 are comparatively lower because, in Q3, number of holidays are there in

terms of Diwali and Christmas and somewhere they also are consuming their available leaves. So generally, if you see historically, the Q3 numbers are generally lower. But Q2 and Q4 are always healthy if we compare on a quarter-on-quarter basis also. We are confident that whatever the guidance we have given, that will

be achievable for us.

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Subham Agarwal: So that's why the question, because I think this page mentions Q4 guidance as INR 84 crores and our Q3 number EBITDA is INR 89 crores, and because historically Q4 has been a better quarter, I wanted to know why we are reducing our guidance for Q4?

Kamlesh Shah: We have maintained our guidance what we have given at the beginning of the year. Anything better will come, definitely it will get reflected on an actual basis.

Subham Agarwal: And sir, we have been investing a lot in overseas business. I think Mr. Nanda briefly touched upon. But I wanted to know if there is any breakthrough or any update that you would like to share in that we have already hired so many people overseas.

M. M. Nanda: See, all these actions which I just narrated will certainly bring result, but it's a bit premature as of now to really talk about it. As we really, once we start getting results on that, we'll certainly share with you on that.

Kamlesh Shah: Yes. I think we are seriously discussing with certain overseas customers who are OEMs also, but once it will get material then only it will make sense for us to talk anything about that.

Moderator: The next question is from the line of Himanshu Yadav from Nuvama Wealth Research.

Himanshu Yadav: Thank you, sir, and congratulations for a very good set of numbers. Two questions. One, if you can give the order book split further? I mean, Gear division, you said INR 563 crores. So how much of that is at the subsidiary level? Second, since that part of order book has remained relatively softer and MHE has seen good order accretion. So is it a quarterly thing? And do you expect gear book orders to remain strong in FY24 as well? Some color on that.

And second question is, in terms of the high-speed gearbox, is it something similar to what Triveni Engineering makes? And is it the same market where we will be competing in?

Kamlesh Shah: I'll just give the numbers related to standalone open order book position. The rest of your questions will be taken care by Mr. Nanda. On a standalone basis, my open orders as of 31, December, in Gear division is INR 497 crores, and in MHE it is INR 157 crores.

M. M. Nanda: As for high-speed, you are right, this is identical to what, where Triveni is. But in addition to that, we are also focusing for overseas market as well in addition to the domestic. That's what we are really going to embark upon.

Himanshu Yadav: So, are we seeing any softness in order inquiries or some delay by customers in finalizing orders domestically in gear side?

M. M. Nanda: Yes. In fact, we are already talking to two parties as a matter of fact, based on which we really worked out all these plans as a matter of fact, where we have committed supply to be given to them. In addition to that, we are also exploring other opportunities also on that.

Himanshu Yadav: No, sir, I meant to understand, I mean, this softness in standalone gearbox order book, is it something which is a temporary quarterly thing and you expect it to bounce back, because we

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are maintaining our guidance of INR 2,000 crores, so some color on that side, please? This is my last question.

M. M. Nanda: Yes, definitely. There is some softness from the customer side. They are sitting on the order, waiting for some of the developments and based on that they are going to release the order. That is what it is. So far as the FY24 numbers are there, considering our focus, our strategy, we are quite sure and confident that we're going to achieve the INR 2,000 crores numbers what we are giving out.

Moderator: The next question is from the line of Anish from Girik Capital.

Anish: So my first question was on the gross margins, which we have achieved 48%, which is a very

good amount, mainly last few quarters that we have seen. So if you could give some explanation on what led to this kind of a gross margin improvement? And how do you see this, let's say, for Q4 and the next year?

Kamlesh Shah: So earlier also — in the previous quarter also we think, earlier we are doing our pricing review on a yearly basis but considering all the uncertainties and the development on the global economies, we are continually reviewing our pricing and that is what is making us able to sustain

this gross margin.

Anish: So, this 48% is pretty much sustainable for, Q4 and FY24 given your strategy around pricing?

Kamlesh Shah: Yes, it is. Generally, it is sustainable for us. But it may undergo change due to the product mix on a quarter-to-quarter basis, but on an annual basis, yes, it is sustainable for us.

Anish: And my second question, we are expecting close to 30% growth in FY 24 on a consol. So what kind of visibility are you getting from customers in terms of being able to grow at similar rates even beyond '24, let's say, in FY25? So how do you expect the growth to pan out in FY25 given the capex cycle that has to come in?

Kamlesh Shah: So far the FY24 numbers are there; I think we have put our study upon that. We have also studied the market for this, considering that high inflation in the Western countries and the availability of the supply chain. These both are challenging over there. So under such circumstances, we are finding ourselves more comfortable and confident to enter into the OEM market, which we are looking for in Europe, and also further expanding our footprint in Mexico and other part of Southern America and Canada, based on that we are thinking that this INR 2,000 crores number is quite achievable for us.

Anish: Sir, my question is for FY25, so like you have some kind of an understanding or ballpark that how are you looking at growth beyond FY24.

Kamlesh Shah: After '24, Yes, it may be. Presently it's too premature to spell out the numbers. But yes, what the numbers we are looking for, because after achieving INR 2,000 crores, the same 25%, 30% growth will not be there. There may be a consolidation process which will happen. So my growth during that time will be between 15% to 20% one time. But yes, it is a ballpark figure, but maybe

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after sometimes we may be able to foresee how we are going to do this also. Maybe Q1 of the next year would be more comfortable for us to spell out the number.

Moderator: We have the next question from the line of Naysar Parikh from Native Capital.

Naysar Parikh: I wanted to understand on the capex side. So once we reach INR 2,000 crores in FY24, what would be our utilization at that level? And what is our capex plans for the next two to three years?

Kamlesh Shah: So, on average, we are looking for INR 100 crores investment after we reach to INR 2,000 crores, because post that future visibility will be more clear to us. And our target for the global footprint and global market share, which will require that additional capex for that.

Naysar Parikh: But at INR 2,000 crores, what could be our utilization?

Kamlesh Shah: At INR 2,000 crores, we are just going to have our utilization to nearly between 75% to 80%.

Naysar Parikh: And last time you had mentioned about EV and the fact that you are exploring that. So any progress on that, if you could talk about that bit?

Kamlesh Shah: I think there is no such progress in this quarter. But maybe I think we may talk about that in the next year sometime.

Naysar Parikh: And on the defense and marine, Navy side, obviously, that has been a stronghold for us. So, any expectations of orders or what kind of orders are we expecting or what kind of tenders are we expecting in FY24?

Kamlesh Shah: Mr. Nanda will answer for this.

M. M. Nanda: See,

there are two areas we are focusing. One is the Navy, where we have the marine area, where we are focusing. We expect almost -- there are a couple of projects are all lined up. I know, what is going to materialize, out of that we can expect maybe around INR 100 crores next year. And some of the products which we are really trying to develop as a prototype for one of our party who is really sourcing it from Europe, as a matter of fact, there also we expect may be around INR 25 crores to INR 30 crores business to come in from there.

In addition to that, we also have a separate cell, we have really created for land system, basically, where we are exploring the transmission items, basically, where we can really develop and all. So that process is on, but it's a bit premature, as a matter of fact, to talk anything on these numbers for that, but as we really come final on that, then we'll certainly share with you all those details there.

Naysar Parikh: Just one last question if I can squeeze in. You were talking -- is there -- for our export market, besides us growing organic, are we looking at any partnerships or acquisitions? We've spoken about that once, but is there any update? And are we looking at something in the near term?

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Kamlesh Shah: It's too premature. And let the time to come. Presently, let's consume our capacity available

with us. And the way in which the European companies are facing a challenge for sustainability, that may create an opportunity for us, for the small companies, which are there in the good market base and the customers, which will help us to explore further. Any acquisition if any in future will not be from the cash and from the borrowings, but it will be strategically within equity swap or other alternate opportunities for us also.

Moderator: The next question is from the line of Sanjay Sathpathy from Ampersand Capital.

Sanjay Sathpathy: Sir, in your opening remarks, you talked about gas price and macro concerns. In fact, most of those gas price, for instance, has fallen quite a lot. So you were far more confident when the prices were much higher than today. I don't know what really changed, if you can just tell us?

Kamlesh Shah: No, this is the thing which is presently, yes, we think in India it is there. But at the overseas level, these are still quite challenging for them. Recently, in the Europe also that the gas prices or energy prices has gone up. So we have not found any clarity from that government sources about that, how it will get rationalized over there.

Sanjay Sathpathy: And sir, you talked about your March quarter being much bigger than any other quarter because of seasonality, and we have seen that typically it is about something like 10%, 15% higher than the previous quarter, like quarter three, quarter two. Is that seasonality likely to continue this year as well?

Kamlesh Shah: Generally, it is so, because generally Q2 and Q4 for engineering sector is quite better, even for others also. And Q1 and Q3 is generally on the lower side. And that I think is a general tendency. If anything happens, something better, that is in an exceptional scenario.

Sanjay Sathpathy: No. My question is that do you have the order book or the order pipeline to really give us a feel about how Q4 will be like compared to the seasonality that you typically see in the past?

Kamlesh Shah: Yes. That's what we say, Q4 will be better than Q3 in terms of the numbers, and we are quite confident to achieve that numbers what we have spelled out. If anything better against that, that will be actualized as and when it has happened. But at least quite sure, we are going to sustain INR 1,200 crores at the standalone and INR 1,500 crores on a consol level.

Sanjay Sathpathy: And sir, last question that I just wanted to understand that in the past your material handling

business used to drag you down a bit and that problem has been kind of resolved. So now that it is over, how are you really looking at bit of a medium-term, your margin outlook? Will it be much better than what you used to see in the past? And the other thing is that, now that your balance sheet is much more -- I mean, there is no debt anymore. So, are you in a position or are you looking for a much more aggressive growth target?

Kamlesh Shah: No, we will still continue the same because still that uncertainty at that PSU level, where I think generally we are catering the business in power sector and otherwise, that is still sustaining. So we don't want to go aggressive, let it come at the mature level, during that time we'll do. We are debt-free and we have that capability, but let's focus presently on the supply of material and Elecon Engineering Company Limited  
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after-sales services. So we are evaluating the opportunities and considering the strategy what we have lined up, we will like to go with that strategy only.

Moderator: The next question is from the line of Harshil Shethia from AUM Fund Advisors LLP.

Harshil Shethia: Sir, in the next year when you're guiding for INR 2,000 crores of topline, what kind of EBITDA margins will we be able to do? Will we do like the 23%, 24% which we are doing currently, or will it go to our previous band of 20%, 21%?

Kamlesh Shah: We'll go with our consol level, our EBITDA margin we are sustaining at 22%, because when we are going for INR 2,000 crores, and we also have to strengthen our brand. So there is a cost related to brand building also. And then we are expecting to supply to OEMs. So we will not get the same margin from the OEM compared to what we are getting from the replacement market. So we are sustaining the 22% margin only. If something better is coming up, that will definitely be there also.

Moderator: We have the next question from the line of Dipen Shah from DS Investments.

Dipen Shah: Several questions have been answered. Just a couple of questions. If you could just throw some more light on the marine opportunity which you spoke about in the Gears business, like anything more specific which you can tell us about, what are you looking at and how big the opportunity will be? And the second question is in the MHE business, we have seen profitability coming back. And so, if you can just give us some more color on that business, whether profitability can further improve from the current levels, or whether we should expect similar profitability in the next year?

M. M. Nanda: See, regarding marine, as I mentioned earlier, there are a couple of jobs are there, some projects have already been announced by Indian Navy and Coast Guard. So few of them will get materialized year-by-year basis. So we expect, as I mentioned, a job which is getting materialized, based on that the number which I shared with you, basically. So there are many other jobs also which will be also there in the pipeline, which will really happen may be year

after that and following year and all. So that is the way it is. There are good opportunities what we can see in marine, Indian Navy, as well as Coast Guard, which is really there with us. And as I mentioned, apart from that, there are so many overseas supplies also will continue to really do, which we are developing for them those models and all that.

Dipen Shah: And sir, just to interrupt, anything further on the other defence arms, a couple of quarters back there was some mention about us entering into defence in a big way. So apart from Navy, the other arms, are we looking at further orders?

M. M. Nanda: Yes, that's exactly which I've mentioned. We have created a cell for land system, basically, which we are really examining what are the opportunities which we can really convert for us, taking our core strength from utilizing that and a

II. We are already working on that, but it's a bit premature as of now to talk about it, but we are already working in that direction very seriously on that.

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Dipen Shah: And on the MHE business, the margin picture, sir?

Kamlesh Shah: Yes. So far the MHE is concerned, definitely we are expecting a little bit improvement in the margin going forward. However, on an average, maybe we can expect 20% to 25% growth only because we don't want to go aggressive and enter the EPC. Though the business opportunities are available, considering the uncertainty of the execution from the customer side, or otherwise, we don't want to again go in the same loop. So that's why we are a little bit cautious.

Moderator: The next question is from the line of Ankit Babel from Subhkam Ventures.

Ankit Babel: Sir, a couple of questions. You mentioned that you people are in talks with a lot of OEMs in the overseas countries but discussions are at nascent stages. So just wanted to know, now assuming if you succeed in getting tied up with some -- any such OEM player, just wanted to understand how big can that opportunity be per customer?

Kamlesh Shah: Yes, that opportunity is there in OEM, because Europe is the world leader for supply of the engineering products and machines and equipment. So, as and when it will get materialized, definitely that will be a breakthrough for us and will create an opportunity to pitch in, in the OEM markets in Europe itself.

So we think, even if anything is getting materialized, presently it may be difficult for us to spell out the numbers how big it will be. But whenever it will come, we are expecting that it will be -- and it will be also on a ramp-up basis, because we cannot supply from the day one what they are expecting the numbers to go up at their peak level also. But that opportunity definitely will be at least minimum of INR 50 crores to INR 100 crores on annualized basis.

Ankit Babel: And what could be the potential number of such customers which you can target, suppose in the European Continent, in the coming two to three years?

Kamlesh Shah: So, I am yet to really get the numbers -- the OEM numbers, but I don't know how at least I can be right on the numbers, but what numbers presently is there given the lineup, because the inquiries are many with whom we are working for, which may be 10, 15. But how much of it is getting converted, because my conversion ratio from the replacement market in overseas or in India, we can spell out because with our experience and otherwise. Here, our experiences are very limited, so numbers will be difficult in the sense how much inquiry will be converted into orders. But presently, our discussions are going to happen with 9 to 11 OEM customers with whom our team are discussing about the business opportunities. Of this, nearly three to four have already visited our factory over here, our facility in India.

Ankit Babel: So just wanted to confirm, in your FY24 guidance of INR 2,000 crores revenue, have you factored in some prospective revenue from such new OEM customers?

Kamlesh Shah: Yes. We have.

Ankit Babel: Is it incrementally everything, whatever growth is coming is through these OEMs only?

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Kamlesh Shah: We will have a better business from the OEMs, and that will create an opportunity for us for the replacement in the global market.

Ankit Babel: And you also mentioned that the margins in the OEM business are relatively lower. So could you just give a ballpark idea that, that would be in what range, like 15%, 18%? How much less compared to your existing margins?

Kamlesh Shah: I think it is -- Mr. Babel, it is too challenging for me to spell out the numbers now. But definitely it will not be the 22% what we are doing because OEM is

much smarter than me also. And the

OEM knows the cost better than what I know about my cost. But, yes, because we also have our own threshold. Below that we don't want to go aggressive so far as the OEM market is concerned.

Moderator: The next question is from the line of Suhridd Deorah from Paladin Capital.

Suhridd Deorah: I just wanted to actually follow -on with the OEM question. Currently, your sales in both divisions, you're selling directly to the customer only?

Kamlesh Shah In overseas?

Suhridd Deorah: No, in India, your sales are all direct to the customer?

Kamlesh Shah: No. We also have our sales through OEM in India. In India, we are well placed so far as the supply to OEMs are concerned.

Suhridd Deorah: What percentage of your sales is to OEMs today versus direct?

Kamlesh Shah: In India?

Suhridd Deorah: Yes.

Kamlesh Shah: Yes. In India, I think presently we are selling just to OEMs, particularly in the material handling, our gear business through the material handling business side. So, including the steel and cement, mainly on the core sectors, it is nearly 17% to 24%.

Suhridd Deorah: So about 20% -odd of your total sales is through OEMs today and the rest is directly?

Kamlesh Shah: Yes, direct.

Suhridd Deorah: So in the export market, as you increase your presence in the export market, it will be through OEM customers it will not be direct sales. That's broadly your strategy, to partner with companies with whom you can increase your market share?

Kamlesh Shah: Correct.

Suhridd Deorah: And these companies are currently sourcing their equipment, their gear requirements from your competitors who might be European companies?

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Kamlesh Shah: Yes, mainly, correct. Absolutely.

Suhridd Deorah: So you're trying to use your cost advantage to basically increase your wallet share with those customers?

Kamlesh Shah: It is not a price war through which we are going. We are going with our sustainable quality and uninterrupted supply. That is the main focus for us, not the prices. So pricing is at the last.

Suhridd Deorah: So, your competition is European customers or is it Chinese customers?

Kamlesh Shah: Yes. European customers only. The European suppliers, our competitors.

Suhridd Deorah: Yes, sorry, your competition is European suppliers or Chinese?

Kamlesh Shah: Europe. Chinese cannot sustain so far as these particular products are concerned, gear products. So there is no competition from China as of today.

Suhridd Deorah: So if you look, three, four years out, today your percentage from your total sales is about 20% is through OEMs. So three, four years out, what percentage could it become?

Kamlesh Shah: Presently the 20%, what we are talking about is in India. In overseas, it will be separate. So, once it will start, it will open the doors for the others also for us. So, I think maybe next year will be a better position for me to spell out that how the opportunity will be there in terms of the numbers, in terms of the sectors also of the OEMs.

Suhridd Deorah: Just one clarification today, export is what percentage of sales?

Kamlesh Shah: Presently, my export as on today is 10% from India.

Moderator: The next question is from the line of Gunjan Kabra from Niveshaay.

Gunjan Kabra: So a couple of my questions have already been answered. One question which I had is that there are lot of announcements in marine also and in the railways also. So wanted to understand that in which phase of the announcement -- from announcement to execution, in which phase do we receive orders, because normally it takes around two to three years to execute a project. In what phase do we come in and we receive orders?

M. M. Nanda: See, you're right, it takes two to three years, even more than that also some times. But whatever, we are trying to spell it

out. We just mentioned little while ago, the projects which have already been announced quite earlier may not have really been noticed by you people, but they are already there, those projects are there which are getting materialized year-on-year actually, we are talking about on that. So it could take, after the announcement, sometimes three to five years also because, first, the order will be placed on the shipyard by the Indian Navy or the Coast Guard will place the order on the shipyards, and the shipyard will be inviting tenders, and then we'll be getting the opportunity to supply them. So it takes -- even after that also, it takes 1-1.5 year to really start supplying and all that.

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Gunjan Kabra: And likewise in railways also?

M. M. Nanda: Railways, it is slightly earlier. In fact, Navy takes a little longer time, as a matter of fact on that.

Kamlesh Shah: Because of the sensitive area, considering the securities and other parameters, it takes time. And it is coming through not directly from the Indian Navy, but their counterpart, which is called the Mazagon Dockyard, Garden Reach, Cochin Shipyard like that.

Moderator: We have the next question from the line of Shivam from Noak Tech.

Shivam: Congrats for the results. I just want to ask that what all other regions are we targeting except Europe in the export opportunity?

Kamlesh Shah: No, we are targeting the global -- Europe, we are more focused on the OEM market because Europe is the leader in the Western countries to supply the gearboxes. But our presence is global and we are now focused more on US, Mexico, Canada and South America also, over and above Europe itself. And also we are exploring an opportunity in Australia aggressively. There their mining activities and others are there which we are creating the opportunity for us to supply the gearboxes over there.

Shivam: So in the other regions also, it will be through the OEM route only?

Kamlesh Shah: Not necessarily. It may be through distributor route or it may be through OEM. OEMs are generally based out of Europe only, mainly. And so far the other local players are there in the other regions, like in Australia or may be in Brazil or other countries of South America.

Shivam: And sir, are we setting up our own distribution branches also in Europe, like to cater the export or it will be directly through India, like no teams would be there of yours?

Kamlesh Shah: We already have that -- our branch offices through -- under a separate subsidiary in Europe itself.

Shivam: In which country do you have the branch offices?

Kamlesh Shah: We have the assembly center in Sweden and a small center in Netherlands, but we have our branch office in France, Germany, Finland, Denmark.

Shivam: The branch offices are set?

Kamlesh Shah: Yes. It is already set. And in fact, we are strengthening the resources by putting more business development and marketing fellow in these branches.

Shivam: And sir, on the domestic side, I just joined the call later, can you elaborate on which sectors are you seeing the good demand coming from?

Kamlesh Shah: See, mainly from the core sectors, which are dominating in terms of the demand, which is steel, cement, power, material handling division and sugar. These are the five sectors which are dominating, over and above the others are there.

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Shivam: Can you give me a sectoral percentage of revenue, if possible?

Kamlesh Shah: Presently, I don't have the sectoral level revenue. But I think we already have given the order intake on sector-wise, so that itself we can consider as the revenue because that absolutely is going to be converted into revenue only. It is there in our presentation.

Shivam: And sir, what will be the margins, we are expecting in

the export business that we are now developing?

Kamlesh Shah: Yes. Naturally, the margin will be better in the exports, so which is already there. If you see presentation for this Q3 and Q4, what we having the guidance of 24% margin. So that has improved the margin from export, which is having the better margin. That is how we can spell out. But giving the exact numbers, may be difficult at this point of time.

Shivam: And sir, any elaboration on the OEM margins that will come and the distribution model margins that will come, if you can just give a guidance?

Kamlesh Shah: Yes. Distribution generally comes through our replacement market, where I think we have the better margin. And OEMs are concerned, yes, because in OEM I'm getting the volume. So when there is a volume game is there, I think margin will also have to come in that line only. But if I'm spreading my fixed cost over the higher volume, and if I'm spreading my fixed costs with a lower volume, naturally that benefit will come to us only.

Shivam: Can you give a ballpark number for both?

Kamlesh Shah: I don't know how to spell out. Let me have one -- a big chunk of the OEM supplies, then only it will be better, but I think it will be better than 15% -plus margin.

Shivam: And the replacement ones will be around 24%, 25% or above that also?

Kamlesh Shah: No, replacement margin is generally between 20% to 22%, that is how it works out.

Moderator: We have the next question from the line of Chinmay Kabra from Emkay Global Financial Services.

Chinmay Kabra: I just wanted to know, I missed out. Regarding your branch offices which have been set-up in Europe, Sweden, just wanted to know whether the OEMs will be manufactured in India and then

sent out or how is it going to be functioning, if you could just repeat it, please?

Kamlesh Shah: No. We have assembly center in Sweden and we have the small assembly center in Venlo also. So depend upon how that works out. But our idea is the parts will be supplied from India, which we call it as a kit, and it will get assembled in Sweden, and if required by the customer we can, if options are available, it will be preferable for us to supply directly from India only.

Moderator: The next question is from the line of Manish Goyal, an Individual Investor.

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Manish Goyal: Couple of questions. Sir, if I probably try to get better perspective on the guidance for FY24 of INR 2,000 crores. If I just look at your outstanding order book, it is at INR 720 crores on a consolidated basis, it is still lower than the FY22 year-end order book of INR 732 crores. And particularly in gears, it is almost down by 7% -8%. So is it that we are probably looking at very strong order inflow in next few months, which will probably help us to reach that guidance of INR 2,000 crores? And if you can just break up that INR 2,000 crores between standalone and subsidiaries, how it will look like?

Kamlesh Shah: Yes. Earlier also I said, now, with ways of improvement in our overall production cycle, which has now reduced the production cycle for our standard product, as well as for our engineered product. So because of that you find that the numbers are not there. Generally, you are looking after in '21 or '22 numbers, like that. This is one.

So far the other things are concerned, on a standalone basis, we are looking for INR 1,500 crores turnover for FY24, and on consol level, we are looking for INR 2,000 crores, that's how we spell out that. Third thing in terms of -- yes, we have that orders in pipeline. So that definitely will be there. That plus or minus on a comparison basis will be there also. But so far as the numbers are concerned on actualization that will be based on what the strength of our products and facilities are there.

Manish Goyal: So you are saying INR 1,500 crores in standalone

versus INR 1,200 crores. So on subsidiaries, you are expecting INR 500 crores versus INR 300 crores?

Kamlesh Shah: Yes, correct.

Manish Goyal: So if I probably look at subsidiary order book outstanding, in fact, sequentially, it looks like it has fallen from INR 150 crores to INR 66 crores. So what gives us that confidence, sir, that we should be able to have that INR 500 crores revenue because right now, the order book seems to be quite low?

Kamlesh Shah: Generally, in Q3, order book position is low because of the holidays, Christmas holidays over there and in Europe, and the other part of the Western countries, they are taking the longer leave so far as the Christmas vacations are concerned. The same is also here in India also. In India also we are having, in Q3 we are having the two vacations. One is related to Diwali, which is generally in India it is there. And as well as in the December, Christmas holidays are also there, though, it may be a very limited holiday, but generic, in respective companies employees are consuming their leaves. So that is also giving an impact on the order inflow.

Manish Goyal: And sir, would it be possible to give standalone order intake number for Q3 and nine months, because till previous quarter you were giving standalone numbers and this quarter you have given consol numbers. So can you please share the order intake numbers for standalone?

Kamlesh Shah: My order intake for Q3 at standalone level was INR 200 crores and on consol level it is INR 279 crores, in gear. And in MHE it is INR 83 crores. So in standalone level, our Q3 numbers is INR 283 crores for the domestic and on consol it is INR 362 crores.

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Manish Goyal: Sorry, can you repeat the gear sector consol level?

Kamlesh Shah: Gear sector consol, Q3 order intake is INR 279 crores. In MHE I said we don't have the export, so we consider, it's all domestic and consol, both same, it is INR 83 crores. Both put together it's INR 362 crores for Q3, order intake.

Manish Goyal: And sir, in your presentation, where you have given the order inflow breakup our MHE, looks to be some error over there because the total is coming up to 107%. So may be if you can rectify that going forward and -- it will be very helpful. And sir, so, on margins, you believe that we should be able to improve or maybe maintain the margins because, again, we are seeing commodity prices increasing, and will we have ability to pass on that price increases, cost increases?

Kamlesh Shah: So far what we know you have drawn the attention for the error, let me just check. If it is so, I will correct that also. And so far the margins are concerned, yes, we are going to maintain the

margin what we have already spelt out as a guidance for that FY24.

Moderator: We have the next follow-up question from the line of Pratik Kothari from Unique Portfolio Managers.

Pratik Kothari: Sir, in one of the recent industry publications there was this mention of two new technologies which have come up. One is the magnetic gear replacing mechanical gears. And also you have motors, who by themselves now control speed and torque and hence you don't require gears. I mean, I don't understand too much technicality here, but if Mr. Nanda can speak about the relevance of it, the size of it, the technical aspect of it, please?

M. M. Nanda: See, what you are talking about is the gearless technology we are talking about, but that is very far-fetched. Basically, in some of the applications it may be applicable. Some gearless like lifts are there, you will find it. There are -- already using it. But all the applications which are really prevalent as of now, there is nothing to really, obsolescence to happen as far as the gear technology is concerned.

It can't be visualized, it can be removed, obsolescence will happen, basically. But the cost i

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very prohibitive as far as this gearless technology is concerned, basically, on that. And that too, also, where some applications where they can use this technology you are referring it to, but in the application what we are talking about, the steel, sugar, cement, power, we can't even think about really going gearless.

Pratik Kothari: And about magnetic gears, there was a mention about magnetic gears?

M. M. Nanda: Yes. See, it is coming from the same -- on the same front, basically, trying to remove the gear technology. That is how it is really happening. So in the sense, the exact technology which is really there that is getting out of this thing and then going gearless on the other front.

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Kamlesh Shah: So present, considering the cost versus the technology, it's too high cost, it is very costly to replace with the existing technology. So at the appropriate time it will be there. So, our team is also watching about that and our internal systems is also studying about these gear technologies also.

Moderator: The next follow-up question is from the line of Naysar Parikh from Native Capital.

Naysar Parikh: Just one clarification. When we say, for us overseas versus domestic revenues, where is this overseas reported? Is all subsidiary revenue, overseas revenue, just if you can give some clarification there?

Kamlesh Shah: These all, overseas are 100% subsidiary of Elecon Engineering Company Limited. And they are reported under consolidated.

Naysar Parikh: And the standalone does not have any overseas revenues or exports?

Kamlesh Shah: Standalone will have exports. So that export is a part of my overseas business only.

Naysar Parikh: So overseas is basically the 10% exports in your standalone business, plus all the subsidiaries?

Kamlesh Shah: Correct. Absolutely.

Moderator: Thank you. Ladies and gentlemen, as that was the last question for today, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Kamlesh Shah: Yes. Thank you very much for all the participants for showing interest in our Company. And if any questions are there, please feel free to connect to Mr. Binay, who is our IR from E&Y, or Mr. Narasimhan, who is the Chief Financial Officer of Elecon Engineering Company Limited or Ms. Bharti Isarani, who is the Company Secretary of the Company.

Thank you very much and have a good day to all the participants.

Moderator: Thank you, sir. On behalf of Elecon Engineering Company Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## Call: May 2023

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To,  
TheManager (Listing), TheManager (Listing),  
TheBSELtd. National StockExchange ofIndiaLtd.  
Mumbai Mumbai

Company's ScripCode:505700 Company's ScripCode:ELECON  
Sub Transcript oftheInvestors Callheldon27thApril,2023  
Ref Regulation 30ofSEBI(Listing Obligations andDisclosure Requirements)  
Regulations, 2015  
DearSir,

Withreference totheabove referred Regulation andincontinuation ofourletter  
dated21st April,2023,please findattached herewith thetranscript oftheInvestors Callheld  
on27thApril,2023forQ4oftheFinancial Year2022-23.

The same isavailable onthe website ofthe Company at  
<https://www.elecon.com/investors-audio-video-recordings-and-transcripts-of-post-earnings-quarter-iv-calls>

Youarerequested totakethesameonyourrecords.

Thanking you.

Yoursfaithfully,  
ForElecon Engineering Company Limited,  
BhartiSarani  
Company Secretary &Compliance Officer

Encl.:Asabove

Cranes RubberIndustry MarineIndustry PlasticIndustry PowerIndustry SteelIndustry SugarIndustry Mining CementIndustry  
Gear~industries. Gearingeconomies.

ELECONENGINEERING COMPANY LIMITED,Anand·S9jitraRoad,VallabhVidyanagar  
-388120,Gujarat,India.Tel.:+91-2692-238701, 238702.Fax:+91-2692-227484.  
CINL29100GJ1960PLC001082 info@elecon.com www.elecon.com

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Q4 FY '23 Earnings Conference Call "  
April 27, 2023

MANAGEMENT  
OF ELECON  
ENGINEERING  
COMPANY  
LIMITED : - MR. PRAYASVIN PATEL – CHAIRMAN AND  
MANAGING DIRECTOR  
- MR. AAYUSH SHAH – NON-EXECUTIVE DIRECTOR  
- MR. KAMLESH SHAH – GROUP CHIEF FINANCIAL  
OFFICER  
- MR. NARASIMHAN RAGHUNATHAN – CHIEF  
FINANCIAL OFFICER  
- MR. M. M. NANDA – HEAD (GEAR DIVISION )  
- MR. P. K. BHASIN – HEAD (MHE DIVISION )  
- MR. VRAJLAL SENJALI YA – HEAD OF RESEARCH &  
DEVELOPMENT DEPARTMENT

MODERATOR : MR. BINAY SARDA – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day, and welcome to Elecon Engineering Company Limited Q4  
FY'23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only  
mode, and there will be an opportunity for you to ask questions after the presentation concludes.  
Should you need assistance during the conference call please signal an operator by pressing star

then zero on your touchtone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Binay Sarda from Ernst Young, LLP. Thank you, and over to you, sir.

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Binay Sarda : Thank you, Vivian. Good day to all the participants on the call, and thanks for joining this Q4 and full year FY'23 earnings call for Elecon Engineering. Please note that we have mailed out the results and presentation, and you can also see the results on our website as well as it is uploaded on the stock exchanges. In case if you have not the same, you can write to us, and we'll be happy to send this thing over to you. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risk that could cause future results performance or achievement to differ significantly from what is expressed or implied by such forward-looking statements.

To take us through the results of this quarter and answer your questions, we have with us the management of Elecon Engineering, represented by Mr. Prayasvin Patel, CMD ; Mr. Aayush Shah, Non- Executive Director; Mr. Kamlesh Shah , Group C FO; Mr. Narasimhan Raghunathan, CFO ; Mr. M.M. Nanda, Head of Gear Division; Mr. P. K. Bhasin, Head of MHE Division and Mr. Vrajlal Senjaliya, Head of R&D Department. We'll have the management give a brief overview of the quarter one past and then we'll open the floor to Q&A session. With that said, I'll now hand over the call to Mr. Prayasvin Patel, over to you, sir.

Prayasvin Patel: Thank you. Good evening, everyone. A very warm welcome to our Q4 and full year FY 2023 conference call. I hope all of you have had a chance to go through our results and presentation.

We are pleased to report that we have achieved another quarter of strong financial performance, driven by our team's dedication and hard work and we expect the growth momentum to sustain in the coming years. As we look forward towards the future, the global economy continues to face some uncertainties and challenges in the form of inflation and supply chain disruptions. However, we remain confident in our ability to navigate these challenges and continue to deliver value to our customers and investors.

Looking specifically at India, we are optimistic about the country's economic growth prospects for FY'24. According to RBI estimates, India's GDP is expected to grow at 6.5% driven by favorable government policies, strong domestic demand, huge spending in infrastructure spelt out in recent budget, better tax collection and a rebound in exports. We are well positioned to capitalize on these opportunities and are committed to drive in long-term sustainable growth for our stakeholders and retain our consolidated revenue target of INR 2,000 crores with EBITDA at 22% for FY '24.

Now coming to our new product development initiatives. Our primary objective is to generate innovative ideas that satisfy our customers' needs while optimizing cost and enhancing product performance. In FY'23, we made significant strides in new product development and upgradation, introducing six products that include high-speed gear boxes, central drive planetary gear boxes, roller press gearboxes, vertical roller mill gearboxes, dual tandem gearboxes and sugar planetary gearboxes.

Our efforts have been met with satisfaction, and we are proud to continue pushing the boundaries of innovation. We recently launched the second generation of EON S series which is designed for the use in a range of industries, including steel, power, chemical, oil and gas, rubber and plastics material and mining, paper and pulp, industrial cranes and water treatment. These EON series

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will be beneficial for our customers considering operational cost optimization and for the company considering inventory optimization due to standardization, faster deliveries

to cater to

exports and urgent need of customers.

The government's growing attention towards infrastructure is expected to stimulate the capex cycle in cement and steel sectors, thus benefiting our company. Our focus moving forward is to maintain engagement with OEMs in the Western countries market, particularly focus on European market and establish ourselves as their preferred supplier. Inflation and supply chain issues in the European market is posing serious challenge and sustainability issues to the local players and it puts us in an advantageous position to capitalize on this opportunity.

Elecon is proud to be a leader in customized and complex gear manufacturing segment for

defence particularly for the Indian Navy. This is a testament of our technological and manufacturing prowess. With our expertise in working with high precision machine tools, we are actively seeking out niche areas that demand specialized equipment or components. The strategic initiatives undertaken by our company have led to a remarkable turnaround in the Material Handling business, resulting in profitability after struggling for over five years. The strong order inquiries have translated into robust order book for the division, driven by the placement and upgradation requirements as well as new orders from power and other end user industries. Our extensive product range is one of the widest in the market, and we plan to introduce a few more products to cater to industries where we are not currently present. Given the visibility and momentum of new projects, we believe that there is a significant potential for growth in the division while maintaining healthy margins. Last but not the least, our unwavering dedication to ESG continues to be our top priority as we strive to make a positive impact on all our stakeholders. ESG initiatives remain at the forefront of our company's agenda, and we remain committed to engaging in sustainable business practices that benefit not only the environment but also our communities and employees. Thank you for your continued support as we work towards a better tomorrow. Thank you.

Moderator: Sir, should we begin the question-and-answer session?

Prayasvin Patel: Yes, please.

Moderator: The first question is from the line of Ankit Babel from Subhkam Ventures. Kindly proceed.

Ankit Babel: Yes, good evening, sir. A couple of questions. Sir, you guys have been under discussion since the last several months with overseas OEMs for approval of the product. What is the current status? And by when can we expect one or two such approvals to come in?

Prayasvin Patel: Let me put it this way, that approvals for products in the foreign market is a constant thing because you are always looking for new customers. And for these new customers, you have to get various approvals. Normally, they look at your references and your past experiences before approval. And quite often, they send also the team to come and have a look at the manufacturing facilities and capabilities of the company. This is an ongoing thing. We've got many approvals apart from this because of our wide experience in India as well as abroad. It is very easy for us

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to normally get approvals of this kind with the customers. So, those approvals come in quite easily. And normally, it takes 15 to 20 days maximum to get those approvals.

Ankit Babel: Sir, my question was any major approval wherein the revenue visibility from a particular customer goes to say around INR 1,500 crores kind of a potential, those kind of approvals have you received?

Prayasvin Patel: Yes. Recently, we've had a significant approval from one of the large paper and pulp machinery manufacturer who is one of the largest in the world. So, that approval has come through from Europe. But apart from that, we are also supplying the equipment from India for the

our plants in the Asian region.

Ankit Babel: Okay. Sir, my second question is, was there any one-off expenses or any one-off income in your Q4 numbers?

Kamlesh Shah: Yes, we have that. In regard to raw material costs, we have a one-off kind of things related to GST input credit of our other states other than Gujarat where, our utilization is very slow and this is going to take some time. So, as a conservative approach, we have made a provision for INR 7.28 crores, plus we are having nearly INR 2.5 crores of inventory required for the service and after-sale service requirement. So those inventories are having more than two years. So as a conservative approach, considering the visibility, we have made the provision of INR 2.5 crores for that. So, that is the two things which is there for the raw material consumption. And in case of the manufacturing cost, we had some high-cost consumption of materials, which are having its own cycle like oil base frame, those kind of expenses which were incurred in Q4 this time, which will have its own cycle of replacement.

Ankit Babel: Okay. And any one-off incomes?

Kamlesh Shah: We have the income in case of the write back, which is there, which is to the tune of INR 2.6 crores, which was related to the liability of earlier period, which was not required. Then we were having another income in the form of a contractual obligation. As you know, we have closed all our old projects in MHE divisions. And for where we were having certain contractual obligation, provision we made as a conservative approach. That was not required any more. And plus some warranty was there. We completed the warranty period. So both put together is coming to nearly INR 8 crores plus.

Ankit Babel: Okay. Sir net-to-net, INR 10 crores of one-off expenses and INR 8 crores of one-off income. So net of INR 2 crores of one-off expenses, is the right way to look at it?

Kamlesh Shah: Yes. And one more thing that we have made one-off kind of bad debt of nearly INR 4.28 crores

this year, this is a part of our settlement agreement with one of the customers, which we recently did in Q4. So that is INR 4.28 crores .

Ankit Babel: Sir, INR 4.28 crores is bad debts?

Kamlesh Shah: Bad debts. One of the bad debts are part of the settlement agreement with the customer.

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Ankit Babel: Okay. So INR 6.5 crores net debt is the one -off expenses?

Kamlesh Shah: Correct.

Ankit Babel: Okay. I'll get back in the queue, sir. Thank you.

Moderator: Thank you. The next question is from the line of Gunjan Kabra from Niveshaay . Kindly proceed.

Gunjan Kabra: Congratulations for a good set of numbers, sir. I had one question. In the presentation you have guided around revenue guidance, which is INR 1,700 crores. And in the bar graph just below it, it's INR 2,000 crores of revenue that we are targeting in FY'24. So what kind of revenue like in the last three quarters, we were of the very firm belief that we'll be touching INR 2,000 crores. So are we seeing any kind of slow growth rate?

Kamlesh Shah: No. I think if you refer that presentation, that presentation speaks about the gear for INR 1,700 crores . And INR 300 crores MHE. So, if you have referred our presentation, the left -hand side, the gear sign is there, MHE is above, on the top. So MHE is different and gear is different. This INR 1,700 crores, what you talk about is gear only. So, INR 1,700 plus INR 300 turns out to be INR 2,000.

Gunjan Kabra: So, we are still maintaining our growth guidance of INR 2,000 crores?

Kamlesh Shah: Yes.

Gunjan Kabra: Also one thing, is that in the beginning of the right now the beginning of the presentation, you guided there is an export headwind due to supply chain disruption. But in the recent interview that you did yesterday.

So, there you guided the export percentage is expected to increase to

40%. So are we planning to gain any shares? Or how is it, I mean, how are you seeing the demand there?

Prayasvin Patel: See what we are trying to say is that the Europeans are having these challenges while we don't have these challenges. So we are likely to grow while they are likely to remain stagnant. So , we have an opportunity. We are going to grow from 30% to 40%, while we see opportunity situation in Europe.

Kamlesh Shah: And if I just further add to this. So, that you know, if you see our presentation, we are talking about two things. Our overseas business plus export , both put together is 29%. So, that is how we speak about our overseas business and exports. So, when we talk about export, export is our export from India as well as our overseas business, which is there.

Gunjan Kabra: Sir, good luck.

Kamlesh Shah: Thank you.

Moderator: Thank you. The next question is from the line of Pratik Kothari from Unique PMS. Kindly proceed.

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Pratik Kothari: Hi. Good afternoon. And, first of all, congratulations to the team for such a fantastic performance. And my first question on the six new products which we have upgraded or released, as a layman, if you can just help us understand how does this new products help our clients, help our customers? How does it help Elecon, to some technical and market potential for these products, please?

Kamlesh Shah: So, Head of our R&D, Mr. Vrajlal , he will answer the question.

Vrajlal Senjalia: Yes. Good evening. Just on producing the new product or introducing the new product in the market, we are constantly looking for the market requirement as well as from the customer point of view. So, nowadays, the efficiency is more important from the customer point of view. So, we are optimizing our product. We are always boosting or providing the high-efficiency product and the high- quality product. So, we are upgrading our product as well as we are encouraging the product to generate the new revenue.

Prayasvin Patel: Can I answer this in a different way? First of all, there are products which meet the requirements of the customer. And then there are new developments that take place because the processes of the plants go through a change. There are improvements in the process to bring in efficiency overall in manufacturing, let's say, cement, steel, etcetera. And for that, there are new applications that get generated. There also we get involved in new developments, which then are transferred to other customers in similar kind of businesses. So, these all products that have been developed recently will give additional opportunities to us in bringing down the cost in

manufacturing for us as well as meeting the requirements of the customer. Optimizing is the way to go in this.

Pratik Kothari: Fair enough. Good to know, sir. So, my second question is on the MHE and I'm asking this in the context of recently ThyssenKrupp announcing or guiding for some 25% growth in the coming year, Indian Railway is talking about adding more wagon tipplers to their pipeline. Coal India wants to increase its production with 50% over the next two, three years. So, can this be a dark horse, and which can may be surprise us on the upside just your outlook on MHE. And given the bad experience that we have had for the last 5 -10 years, are we prepared if such opportunity comes in for us to capture?

Prayasvin Patel: Definitely. As a matter of fact, we are sharpening our claws to make a kill. So, we are definitely looking at these opportunities. While we sell our products, we want to make sure that we don't let any opportunities go by where we can manufacture and deliver things where we can make profits.

Pratik Kothari: Thank you and all the best.

Prayasvin Patel: Thank you.

Mod

erator: Thank you. The next question is from the line of Shikha from Equity Capital. Kindly proceed.

Shikha: Good afternoon sir. Congratulations on increased set of numbers. I have a few questions. I had a few bookkeeping questions, sir. One of the follow -up to what you already said about the one - off expenses on the gross profit side. So, is that the only reason for an increase in our cost of Elecon Engineering Company Limited  
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goods? Or is there any other reason because quarter -on-quarter it's gone from 44% to around 50%

Prayasvin Patel: Yes. That is only cost for this year when you see the reduction in the gross margin.

Shikha: So that is the only reason for the reduction of the cost. Right?

Prayasvin Patel: Yes.

Shikha: Sir, on the employee cost, is there anything specific why our employee costs have come down so substantially quarter -on-quarter and even year -on-year?

Kamlesh Shah: Yes. The reason is one, be cause when we are making a provision on a quarter -on-quarter basis for gratuity and leave encashment that we are doing the estimate based on the previous year. And whatever the increment of the appraisal process, taken care for the current year. But while we did the actual valuation at the end of the year, then we find that instead of having the liability we are generating asset for a gratuity and leave encashment. So, if you could refer our balance sheet in that the provision for gratuity last year was the re, this year instead of having the provision or liability, it is an asset for us.

So, that is a one of the reasons, which you know, both put together is coming to nearly INR 1.87 crores. And then we generally are doing the provision for the performance bonus on a quarter -on-quarter basis. But when we work out at the end of the year, so that was not work out to that level. And that is also having the impact of nearly INR 1 crore for that. So, both put together is coming to near to INR 2.87 crores rounding up to INR 3 crores for this.

Shikha: Okay. Understood. And sir, if I could just push in one another question. Can you give me utilization levels on the MHE among the gear currently business currently for the year?

Prayasvin Patel: So our utilization for gear is 70% plus, capacity utilization. And MHE we have ample space available for the capacity to utilize so that have been presently considered in our strategy. So we are at least at present our utilization is nearly 30% to 40%.

Shikha: Okay. But sir, without any major capex coming this year, how do you expect to do 1700 on the gear side?

Kamlesh Shah: So far as the capex is concerned, we have to build some of the machines because all the machines do not have the same capacity of manufacturing. So, we may not have to do major capex, but somewhere we have to fill the gap for the machine's capacity or cooling capacity. So if you have, if you have heard our earlier calls , this year, we are planning to have the capex of nearly INR 100 crores. And that is what we have planned over the period of two years. Based on the revenue visibility and other processes, we are just, to do the ex ecution of this capex part.

Shikha: But the INR 100 crores capex will come in FY '25 onwards, right? Or will that start showing up in FY '24 itself?

Kamlesh Shah: It will be there in this year also. That is the new year to 2023 -2024.

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Shikha: Okay. So how much will be visible in FY24?

Kamlesh Shah: In FY 24, we are estimating that capex of nearly INR 50 crores to INR 60 crores.

Shikha: Okay. And this will be again utilized in FY '24?

Kamlesh Shah: No it will get utilized from FY '25 because in FY '24, we will install the machines, but the full utilization will be in the next year, FY '25.

Shikha: Okay. And on our current machinery, we can utilize how much capacity at

max ?

Kamlesh Shah: Generally, we can go up to 85% to 90%, not beyond that because something will not be always, we can ask to the maximize, but we can optimize upto 85% ideal ly.

Shikha: And on that capacity around 90% capacity how much revenue does it turn out to be?

Kamlesh Shah: We can generate another, suppose if today, we are INR 1,000 crores , then we can additionally generate another INR 300 crores for that. And if you do some more opt imization by outsourcing some of the activities, we can go up to INR 1,400 crores to INR 1,500 crores.

Shikha: Okay. But sir on a gear business the same way to 1,700, so the balance will come from there than overseas? Is it? Or how will that be?

Kamlesh Sh ah: Pardon me. I can't get your question, please.

Shikha: So, on our current capacity, you said by outsourcing and certain debottlenecking or whatever we can be around 1,500. So the balance 200 that we're expecting on our gear business from where will that?

Kamlesh Shah : I said our overseas are self -sufficient to do the assembly work and other ways.

Shikha: Okay. So 200 -300 on the gear business, you're expecting overseas, right?

Kamlesh Shah: That 1,500 what we are talking, that we are talking about g ear.

Shikha: Okay, got it. Understood. Thank you.

Moderator: Thank you. The next question is from the line of Sunil Kothari from Unique PMS. Can you proceed?

Sunil Kothari: Congrats Prayasvin and team for such a good number.

Prayasvin Patel: Thank you.

Sunil Kothari: I welcome Aayushbhai on the board and on call also. Sir, my question to Prayasvinbhai is during last two, three, four years, we, whatever problem we were facing, during the last one decade, w e are successfully and very successfully completed all the achievements and goals we were having like loss -making projects were removed , debt has been reduced and almost we are cash positive.

So what is your overall objective for next one to three years? Where you feel internally you can

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improve or where you feel your time you'll be devoting for Elecon Engineering where you feel, it's prepared for may be next five, seven years?

Prayasvin Patel: It's a very good question because I would have expected this from at least investors who are planning to be with us on a long -term basis. The interesting part is that now that we have achieved more or less all our goals, our intention would be to develop certain products, which today, we are not there. Though we have one of the widest range of products in the gear i ndustry.

There are a few products which are missing, which I believe we should develop them. That is one. The other one would be to look for opportunities abroad for further growing our businesses because we should not be a domestic player.

We now need to be a global player, a global player who has presence in very many countries because that is the way to go. And that is the way to hedge against a recession, which could be limited to a particular country. So, the intention would be that you expand or grow in countries where you see high potential. I would say that Europe and the United States are areas where we need to look for other opportunities and grow our businesses. So, look for acquisitions, look for strategic tie -ups and so forth because we would li ke to grow. And grow at a reasonably good rate. Sunil does that answer your question?

Sunil Kothari: Yes. Sir, s o where you feel for preparing for those opportunities, what we required to do internally, may be in some of R& D division, design department, assets, software side, hardware side. Which are the areas where you feel you require to invest and increase those capabilities?

Prayasvin Patel: Basically, I would put it this way that as long as R&D is concerned, we are very well equipped.

As a matter of fact, technologically, we are so advanced that we ca

n sell technology to other

countries, even in Europe and United States. Okay. So competency wise, we are, I would say, second to none. As long as the challenges that we woul d come across would be manpower of our own, which would be at the senior level as well as competent people in manufacturing and in financial services.

Sunil Kothari: So, this will be a focus area of yours?

Prayasvin Patel: Yes. And those are the areas where we are trying to develop a team which would be ready in case there are opportunities that would arise, then we will deploy them in the international arena wherever there is a need.

Sunil Kothari: Wish you good luck. And thank you very much.

Prayasvin Patel: Thank you.

Moderator: Thank you. The next question is from the line of Naysar Parikh from Native Capital. Kindly proceed.

Naysar Parikh: Yes, hi, thanks for the opportunity. Sir, first question is on the replacement market or the aftermarket, on the aftermarket side. So, what percentage would be aftermarket for you? And secondly, when you look at your, how much of that is actually new customers, new installations versus replacement of some of the older gears?

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Prayasvin Patel: Normally, our replacement market constitutes anywhere between 20% to 30%. The new customers, I would put it this way that almost 70% of our customers are repeated customers. But there is always a hunt to look for new opportunities, new customers to bring them in our fold even to bring the competitors' customers into our fold so that we can grow our business.

Naysar Parikh: Got it. Understood. And on the replacement side, right, you track, so say if you sold 100 gears and 100 are getting replaced this year, out of that, how much actually came to you versus how much went to competition? Like what percentage is your repeat rate or something on things that are getting replaced.

Prayasvin Patel: Normally, 90% of the customers who have occasionally bought the gearbox from Elecon would come back to Elecon. 90%, Maybe more than 90%, 95% of them would be coming back to the same manufacturer because there are peculiarities. And therefore, installation is very critical, he will not take any chances. It is the same as in automobile, you normally go back to the manufacturer to buy the spare parts, something similar to that.

Naysar Parikh: Got it. And last question, just on the, you mentioned on the marine side as well as on the EV side that you know, obviously discussions are going on and things like that. So, any update on those two verticals?

Prayasvin Patel: Yes, on the marine side, we've had some opportunities that we have been able to harness in Europe where there are companies who want to get their products manufactured by us. We've developed a few models for them, and they seem to be highly pleased and the opportunities look to be promising. However, on the domestic front also, we see a good opportunity coming our way. Even on the defense side, the Indian Navy intends to reorder certain ships identical or similar to the ones that have been supplied in the past, where we would become the preferred gearbox supplier. So, the opportunity seems to be quite high. However as long as the commercial ships are concerned, as I told you, it is getting materialized as long as Navy is concerned, it may take some time before it actually comes up.

Naysar Parikh: Anything on EV?

Prayasvin Patel: Okay. Sorry, I'm sorry, can you please repeat that sentence?

Naysar Parikh: Sorry, I was saying anything on EV, the EV side?

Prayasvin Patel: EV side? Not really because though we have been trying to make inroads. The sizes seem to be a bit smaller for us. Considering that they want to manufacture them in mass scale, the size, we normally produce much larger diameter of gears compared to what they would require.

Naysar Parikh: Okay. Thank you

so much.

Prayasvin Patel: Thank you.

Moderator: Thank you. The next question is from the line of Mahesh Bendre from LIC Mutual Fund. Kindly proceed.

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Mahesh Bendre: Thank you so much for the opportunity. So, this year, we have done revenue of around INR1,500 crores. And next year, we are talking about INR2,000 crores. So, incrementally INR500 crores of revenue, I mean, from where we plan to add this, is it domestic market, international market, so just a broad view?

Prayasvin Patel: Naturally, it is going to come from both. The domestic market is where we see that the power sector will give us reasonably good orders because there are new requirements that had come up project or ders, which would help us boost our turnover to a large extent as well as exports would also give us a big thrust in the foreign markets further.

Mahesh Bendre: So these orders are in hand or probably we think we will get these orders in this quarter or next quarter?

Prayasvin Patel: These orders are not in hand, but we are a preferred supplier to the clients who have got these orders. Which means the companies who have got these orders. For them, we are one of the preferred suppliers, and we have supplied them similar kind of gearboxes in the past. And they

seem to be extremely happy with our delivery and performance of the gear units. And therefore, we feel very strongly that they would be finalized in our favor.

Mahesh Bendre: Sure, sir. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Divyesh Mehta from Dinero Capital. Kindly proceed.

Divyesh Mehta: Thanks for the opportunity. So just wanted to understand, since we have launched six new products, so we have two categories of products like catalogue division also and in engineer division. Engineer division is around 55% to 60% of our overall sales and which are high-margin products. So, sir, can you help us to understand six new products falls into which category?

Prayasvin Patel: They fall into both categories. The EON series is the catalog products, while all the others fall into the specialized product category.

Divyesh Mehta: Okay. And sir, one more thing I wanted to understand. Since, we are entering into all these new products. So, our competitors like Shanthi Gears, Flender, SEW, Premium, all these companies, they are already there into these categories, we are going into completely a different new set of products.

Prayasvin Patel: Unfortunately, as I told you earlier, we have one of the widest range. Yes, they are all into catalog gears for sure. But we have a high level of specialization like the vertical roller mill gearboxes, we are only competing with Flender. Then the dual gear boxes, we only compete with Flender. So, there are planetary gear boxes, we only compete with Premium. So, though we are there in each and every type and variety. Our competition quite often is limited to one or two. And they need not be the same party all the time. And we also are focusing a lot on import substitution, and we make gearboxes, which quite often are not possible for the other manufacturers to manufacture.

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Divyesh Mehta: Okay. So, that falls into the engineered products. So what we are looking into the OEM tiers in the overseas market, that would be mainly into the engineered products.

Prayasvin Patel: Yes.

Divyesh Mehta: Okay. And sir, one last question. Can you help me to understand the sector-wise sales in this last quarter? So, how we have pan out in terms of power, cement, steel, sugar?

Kamlesh Shah: So, last quarter, we don't have to see the sector-wise sales, but I think I'll keep a note of that and forward through Binay for this.

Kamlesh Shah: We have this for the whole year.

Divyesh Mehta: Okay. So can you help

me with that figure also that's fine.

Kamlesh Shah: Yes. At the consol level, if you see in the gear, we have one of the major contributor was steel from where we got a 13.8% sales from sugar 6.8%, cement, 9.7%, power 8.1%. MHE equipment 7% and the mining was at 3.7%.

Divyesh Mehta: Okay. Thank you, sir. That's it from my side.

Prayasvin Patel: We will send you a pie chart if required by email. It is there in a presentation also.

Divyesh Mehta: Okay. Okay. Thank you.

Moderator: The next question is from the line of Sonali Shah from Emkay Investment Managers.

Sonali Shah: Yes, hi. Thank you for the opportunity. Sir, first question is our order book for the gears division has been flat since the last three quarters or so. Is there some kind of challenge in getting new orders, incremental orders over year? And what seems to be giving us the confidence since the order book is not growing, what is giving us the confidence of achieving INR1,700 crores of top line for gears in FY '24?

Prayasvin Patel: Madam. I don't understand how you are saying it is flat? Because if the orders are not there, how are we going to produce so much.

Sonali Shah: I just made in the perspective that our closing order books of F23 by INR570 crores for gears division. And at the beginning of the year it was around INR500- odd crores.

Prayasvin Patel: The reason is normally we have a very fast turnaround. So, the float that we see of INR500 crores, INR569 crores is a very healthy float. Because you don't want too many because if the prices of steel keep on varying then you have a risk of increasing your COGS. On the other hand, you don't want less number of orders, so because then you can't plan your production properly. So, this is an ideal set and which suits us well. So in our catalog product, Mr. Nanda will say, our Head of gears.

M.M. Nanda: In the catalogue product, we are able to deliver within two weeks' time, basically. That also is a major change which has really brought in our catalog area basically. So, that has a turnaround

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very fast enough. So, that's why you are looking at these numbers, wavering on that. That's how it is. But as chairman has mentioned, our order book position at the end of the year is very healthy. And going forward, we should have, will continue on the same line.

Sonali Shah: All right, sir. Fair enough. And second is actually more of a clarification. If I were to really back calculate the numbers of INR2,000 crores. So for our gear position in the domestic business ex of exports, are we expecting only INR900 crores of top line for F'24, which is nearly a 3% Y - O-Y growth.

Kamlesh Shah : No. How you calculate, I don't know from where you got a number. Our projection for gear is INR1,700 crores.

Sonali Shah: Yes, INR 1700 crores would be inclusive by overseas subsidiary for gears as well as by exports, right?

Kamlesh Shah: Yes, correct.

Sonali Shah: So, if I recollect correctly, you had mentioned a few quarters back in one of the con calls, that we'll be doing around INR1,500 crores of top line in a stand -alone level in FY24 and INR500 crores at a consol level, sorry, so that's INR2,000 crores.

Kamlesh Shah: Yes, that INR1,500 crores includes MHE divisions.

Sonali Shah: Yes. So if I was to skip away the MHE division.

Kamlesh Shah: Then it is INR1,200 crores.

Sonali Shah: Yes. And then if I account for, because you also mentioned that exports such overseas will end up going to around 40% in F '24. So, if I skip that over, I'll end up with only INR900 crores of top line for the domestic gear division.

Kamlesh Shah: For this year or next year, you are talking about.

Sonali Shah: For FY '24.

Kamlesh Shah: No, FY '24, we are going to end up our gear at INR1,200 crores on a stand-alone basis.

Sonali Shah: Stand alone, that exports plus my domestic

business in India business, correct?

Kamlesh Shah : Yes, correct. Correct.

Sonali Shah: All right. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Mohit Kumar from ICICI Securities. Kindly proceed.

Mohit Kumar: Good evening, sir. And congratulations on a very good quarter and a fantastic year.

Moderator: Mr. Kumar, sorry to interrupt, sir can't hear you clearly.

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Mohit Kumar: Is there any opportunity in the adjacent product segment or to enter in the new customer segment? Do you think the wind and power segment will pick up in FY '24 and FY '25 materially for you?

Prayasvin Patel: Power segment, yes. In the wind segment, we have purposely exited from that area and the reason being that it is a very risky business. Therefore, after indulging into it, we ultimately decided that we wanted to exit that business, and we have been able to do so, without getting ourselves hurt.

Mohit Kumar: I'm asking this question because wind is likely to pick up going forward. So, I'm trying to figure out whether this is a very large opportunity? Or do you like to re-enter the segment?

Prayasvin Patel: We would not like to re-enter the segment. The reason being that, you know, first of all, wind is subsidized by the government. Because on its own, it is not able to hold ground unless it is subsidized. And it depends on the government policies. Apart from that, we have seen why fluctuations in demand which also causes a lot of issues.

Mohit Kumar: Understood. Sir, my second question, what was the total market size for the gear in FY '23? And what was the market share? And the related question is that how much is the import of gears in the domestic market, if you have that number ready?

Prayasvin Patel: Can we send it to you by e-mail?

Mohit Kumar: Sure, sir. Those are my two questions, sir. Thank you.

Prayasvin Patel: All I can say is that we have ~ 34% of the organized market in India. Okay. So, if you extrapolate, you will know that how much is the overall organized market in India. And the import figures, we do not have handy, but one can always pull them out and send it to you.

Mohit Kumar: But sir, is it possible to substitute this entirely in this country? Or do you think that import basket, large part will still be imported?

Prayasvin Patel: I would say that a very large part is being imported. Majority of the parts which are being, are, majority of the gearboxes, which are being imported are the wind turbine gearboxes. As well as extremely large cement gear units, which are being imported.

Mohit Kumar: Understood, sir. Thank you. And best of luck. Thank you.

Prayasvin Patel: Thank you.

Moderator: Thank you. The next question is from the line of Ankur Kumar from Alpha Capital. Kindly

proceed.

Ankur Kumar: Hello, sir. Congrats on a very good set of numbers. Sir, my first question is on the capital allocation plan. So we are now debt free. We are making great cash flow from operations. We don't have much capex plans also for the next two years. So, but this year, you haven't given much dividend. So, any thoughts on do you want to increase dividend or we look for some M&A for the growth in exports.

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Prayasvin Patel: I thought that we gave good dividends. 100% is not a good dividend.

Ankur Kumar: Sir, I mean, in terms of dividend payout ratio, so somewhere to EPS.

Prayasvin Patel: That's good. See, I would put it this way though to me, being one of the largest shareholders, we believe in being a bit conservative because what we believe is that the company retains cash, then if there are other opportunities that come their way, then we would be able to deploy them whether it is any type of requirements in an urgency or on a normal level. So, that is

the reason

why we are going a bit slow. But I'm sure that we will fall in line and improve our dividend payout ratio over a period of time.

Ankur Kumar: Sure, sir. That's great to know. And sir, second question is on the guidance of INR2,000 crores revenue. This basically means INR500 crores per quarter. But in this year, we haven't done INR500 crores in any of the quarters, even in, not in our best quarter. So, do you think this INR500 crores can be equally distributed over the next year? Or do you think this will be H2 heavy and that things will improve much faster in H2?

Prayasvin Patel: It will catch momentum over a period of time. So, I believe that you will start seeing the improvements after the first or after 1.5 quarters.

Ankur Kumar: Because, sir, in generally, you were saying that Q2 and Q4 are heavy. So that is like will continue in FY '24 also?

Prayasvin Patel: Yes. Normally, it is like the IPL always the last few overs are very critical.

Ankur Kumar: Sure, sir. And sir, on margin, can we make some improvements? Or do you think this 22% will sustain? Or can we improve because now things are looking up?

Prayasvin Patel: Margins will hover around 22%. I mean, if they increase, they will increase by one or two points maximum. The reason being, that why you keep on trying to improve your top line? The utilization benefits have already been derived. Plus it will also depend on the product mix.

Ankur Kumar: Sure, sir. Thank you, and all the best.

Prayasvin Patel: The other thing is we, sorry, okay.

Moderator: Thank you. The next question is from the line of Vikram Datwani from Nuvama Wealth Management. Kindly proceed

Vikram Datwani: Good evening, and congratulations on a strong quarter. I have two questions. First one is a data point with a follow-up. Could you please share the subsidiary order inflow number for the quarter. As in the last quarter, we mentioned due to the holiday period, we saw lesser order booking than we would have liked. So, has that situation improved?

Kamlesh Shah: Yes. Our overseas order pending order portion and March 31st, it is INR80 crores we got that.

Vikram Datwani: Okay. Thank you. And my second question is on the margins in the subsidiary business. So, if I look at the margins in this quarter, it seems like they took a slight dip. So, how should we look

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at this going forward? Was there any onetime costs related to ramping up of operations that impacted margins this quarter?

Kamlesh Shah: No, it is not because of any onetime cost in the overseas market, there is nothing such kind of things. But if you have heard that in overseas market, the inflation has gone up. So certain cost has also gone up in the process, which is very minimal. And at the same time, there were also challenges in the European countries. So considering that, we were having this. And further, we had some business development costs also over there. And we have put some marketing team.

We started building a marketing team in the overseas. So, that is just having the impact to this in the overseas.

Vikram Datwani: So do we see this margin normalizing going forward at what percent would you say?

Kamlesh Shah: Next year, our guidance is 22% because we are now going for, on a business development and the marketing strategy, and what is where we have to spend. We also have to depute some key employees over there. to ascertain new opportunities and new markets. So, we also have some costs related to the employees in current year FY '23-'24 for that. So going forward, Yes, definitely once we get stabilized in terms of our efforts for marketing we can expect that improvement in the margin. However, because we are looking for the OEM supplies going

forward. So, OEM will not have the same margin growth generally, we are looking for in the replacement market. So, it will not have that kind of the improvement based on the improvement in the sales. That's what I can say here.

Vikram Datwani : Okay. Thank you for taking my question, and all the best.

Kamlesh Shah: Thank you.

Moderator: Thank you. The next question is from the line of Riya from Aequitas Investment. Kindly proceed.

Riya Mehta: My first question is in regard to the current pipeline, what is the order backlog and what is the order inflows right now?

Kamlesh Shah: Order backlog as of 31st March 2023 is INR714 crores on a consol level.

Riya Mehta: And for subsidiary?

Kamlesh Shah: For subsidiary, it is INR80 crores.

Riya Mehta: And order inflow for the quarter?

Kamlesh Shah: Order inflow for the quarter, for the consol level, it is INR419 crores.

Riya Mehta: And could you help me with sector this order book comprises of, apart from, I think steel and power being the major contributor, what other sectors are there?

Kamlesh Shah: Sugar is one of them. So, I don't have the complete breakup, but I can give that the major order from the steel, cement, sugar, material handling these are and in power. These are the five sectors

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where it is there. But what I can, I'll just forward that order intake for Q4 on a sector-wise also I can forward that.

Riya Mehta: And in terms of pipeline, are we seeing it from the same sector. Or any newer sectors?

M.M. Nanda: Same thing should continue. The same trend should continue the way scenarios are emerging the order inflow will be coming from these sectors only which has been mentioned.

Kamlesh Shah :- For a quarter-on-quarter basis, fluctuation will be there based on how the cyclical of the industry trend it is.

Riya Mehta: Sure, Sir. Thank you. Thank you so much.

Moderator: Thank you. The next question is from the line of Devang Patel from Sameeksha Capital. Kindly proceed.

Devang Patel: Sir, on margin you mentioned some improvement can happen on the working capital also. If you can talk about how much improvement we can see we've seen some improvement this year.

Over the next two, three years, what kind of improvement can we see in the cash conversion cycle?

Kamlesh Shah: So, for the working capital is concerned, we can transit between 70 to 80 days. Hovering about that considering the quarter-on-quarter basis. But I think consider engineering industry in which we are there, and other factors that 70 is an ideal thing, which can do. But at least optimizing if you are to optimize by that way, we can be between 70 to 80 anywhere.

Devang Patel: Okay. And in the INR2,000 crores consolidated revenue, how much is the revenue being generated from our overseas subsidiaries?

Kamlesh Shah: So overseas subsidiary here INR500 crores, we have given a guidance of INR1,500 crores as a standalone and INR500 crores on the overseas.

Devang Patel: So, that will imply a steep jump in revenue from them next year?

Kamlesh Shah: Yes, we are looking to some tractions also in the overseas. The way in which we are putting our efforts on the marketing side and business development side. We are looking for the good traction in the western countries.

Devang Patel: Okay. And you mentioned getting OEM orders, so this will be supplied from our India business or from the overseas subsidiaries?

Kamlesh Shah: Generally, all manufacturing will be taken care from India. And we may supply finished or it may be in the kit form, where they will do the assembly over there and then supply to the customer, depend upon what the requirement of the customer it is. But we are equipped with both the handouts.

Moderator: Thank you. The next question is from the line of Anish Jobalia from Girik Capital. Kindly proceed.

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Anish Jobalia: Hi sir, Good

Evening. Thank you for the opportunity. Congratulations for wonderful results. So, my question is around the tax rate. So, our tax rate has like been in the range of 20% -21%. So, I

just want to understand like going forward with the increase in revenue from the international market, etcetera. Like how do you see the tax rate going forward? Or will it continue to be in this range?

Kamlesh Shah: That I can't project because if you see in UK, the tax rate has increased from 19% to 25%. So, that will depend. Next year it will not, it will be ranging between 21% -25%. At the console level, but at the standalone level, it will be 25% because we are in the new tax regime.

Anish Jobalia: Okay, sir. Thank you so much, for your time. This is the only question that I have.

Moderator: Thank you. The next question is from the line of Akash Vora from Praj Financials. Kindly proceed.

Akash Vora: Hi, sir. Just wanted to know what's our current capacity in gear division. And how do we plan to take forward from here because as we mentioned, we are already at around 70% utilization and at peak, we will be doing around 80% -85%, 85% -90%. So, how's the plan in gears division?

How will we be expanding the capacities and what are our current capacities?

Prayasvin Patel: We normally have not explored to a large extent subcontracting. Subcontracting would give us additional capacities that would be available. There might be a requirement of certain key equipments, machine tools to be further invested in, in the near future as and when the requirement comes up. But I'm sure that with a minimum of investment, we would be able to up the capacity if required.

Akash Vora: What would be our current capacity in gears division, sir?

Prayasvin Patel: Right now, as you said, it is at 70% utilization. And we may require some bridging equipment or machine tools which we are planning to invest INR100 crores in the next two years, which would help us further enhance our capacities. But I would say the maximum we could go is 85% in-house and with subcontracting, it would be a sizable increase that would be possible.

Akash Vora: Thank you.

Moderator: The next question is from the line of Karthi from Suyash Advisors. Kindly proceed.

Karthi: Sir, good evening. Thanks very much for the very impressive commentary. I would like to engage you a bit on the comment you made about the pulp and paper machinery manufacturers whom you are in talks with. Just trying to understand the scope of this sort of an association.

One is typically, you know, who would this be? So, it would be the OEMs themselves or would this be the, EPC, the engineer, for instance? How exactly would this arrangement work? Some clarity on that would help.

Prayasvin Patel: Basically, we would be supplying to OEMs who would supply an entire plant, a complete comprehensive plant for manufacturing paper from pulp.

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Karthi: Right. And which would mean, what would be the scopes that, you know, say 2% -3% of a project cost could accrue to you? Effectively, I am trying to understand the number of gears that could go and the scope, the different types of gears that could go.

Prayasvin Patel: It is difficult to say because it will depend on what kind of plant, what type of paper, etcetera. So, it is difficult to comprehend. But we would be the sole supplier of gear machinery in that plant.

Karthi: Thank you.

Moderator: The next question is from the line of Niraj from White Pine Investment. Kindly proceed.

Niraj: Thank you for the opportunity. Just one, two questions. One on the Europe market. Can you give some color on your marketing efforts in the Europe and how they are picking up?

Prayasvin Patel: I am sorry, can you repeat the question? I didn't hear it.

Niraj: Sir, can you give some color on the marketing efforts that you are doing on the Europe side. And

how do you see picking up and approval process, etcetera?

Prayasvin Patel: Basically what we are trying to do is we are trying to deploy more people in the marketing as well as we are also putting in a lot of effort to re-energize our websites, do digital marketing, do trade shows, etcetera. So, that there is a big trust, awareness and as I said, we are continuously knocking doors of OEMs and other customers from where we can get more business.

Niraj: Sir, but your estimates were showing that you will have a reasonable traction in the export. Also, in the past you had said that export does take 15 to 20 months for the traction to start. So is it fair to say that you have a reasonable understanding of how maybe six months you will start getting orders from the Europe side?

Prayasvin Patel: See this is based on estimates. It is very difficult to comprehend as to when you will get the breakthrough from a customer. It depends on various opportunities which are there, the orders that he has on hand, his requirements, how successful has been your competition in supplying equipments to them, etcetera. So, it is very difficult to comprehend. The intention of ours is to keep on pursuing till we find success.

Niraj: Thank you, sir, for this. Second question on the defense side. Can you give some color on when you see the order flow to start and when can large orders for the Indian defense come to you? Or when can the government start deciding on the large orders that may flow to you in future?

Prayasvin Patel: Well, as soon as China shakes us up, there will be more orders coming through. What I am trying to say is it is very difficult. You know, the defence sector or the defence ministry has its own processes. However, what we have found with this present government is that they are more dynamic and faster than the previous governments in, you know, ordering equipments. And therefore, we are hopeful that very soon we will end up with reasonable amount of orders. And of course, Make in India is something that is making us very proud of the present government.

Niraj: Thank you.

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Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing comments.

Prayasvin Patel: Well, thank you for showing great interest in our company. We have been trying to do our best.

All I can say is that the economy is right now favoring us. We believe that the economy will grow at 6.5%, which will give us great opportunities for the gear sector as well as the material handling sector. And right now we are fully organized to encash the opportunities that come our way. On the other hand, the company is trying very hard to put the thrust in exports because that is where the future lies. And if the company has to grow and grow in a large way, we will have to go for additional exports. And that is where I would say the company needs to focus on, but not to neglect the domestic market.

So, this is what the strategy is. On the other hand, Elecon with a very strong R&D team has been able to develop various products and continuously is trying to upgrade its technology, upgrade its products, upgrade its manufacturing setup to be at the edge of technology. We are second to none. Today we are at a point where we can sell technology to the rest of the world. This has happened because we had a lot of experience, which has come our way because we are in a country where the population is very high and there are great opportunities that come in various fields of cement, steel, power.

All this has given us great amount of experience, great amount of visibility. And I am sure that going forward we will be able to do much better, not only in the domestic market, but also in the international market. So thank you all for being with us and we hope to see you on the

next call also. Thank you.

Moderator Thank you. On behalf of Elecon Engineering Company Limited, that concludes this conference.

Thank you for joining us. You may now disconnect your lines.

## Call: Jul 2023

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18th July, 2023

To,

The Manager (Listing), The Manager (Listing),

The BSE Ltd. National Stock Exchange of India Ltd.

Mumbai Mumbai

Company's Scrip Code: 505700 Company's Scrip Code: ELECON

Sub Transcript of the Investors Call held on 12th July, 2023

Ref Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015

Dear Sir,

With reference to the above referred Regulation and in continuation of our letter dated 8th July, 2023, please find attached herewith the transcript of the Investors Call held on 12th July, 2023 for Q1 of the Financial Year 2023-24.

The same is available on the website of the Company at

<https://www.elecon.com/investors/audio-video-recordings-and-transcripts-of-post-earnings-quarterly-calls>

You are requested to take the same on your records.

Thanking you.

Yours faithfully,

For Elecon Engineering Company Limited,

Bharti Isarani

Company Secretary & Compliance Officer

Encl.: As above .. : .. :-.

Rubber Industry Marine Industry Plastic Industry Power Industry Steel Industry Sugar Industry Mining

Gearing industries. Gearing economies . Cem.eJJt Industry

ELECON ENGINEERING COMPANY LIMITED, Anand. Sojitra Road, Vallabh Vidyanagar . 388120, Gujarat, India. Tel.:

+91-2692-238701 , 238702. Fax: +91-2692-227484 .

CIN I.Z91p\_OG.J1960PLC001082 I infogear@elecon.com I www.elecon.com

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"Elecon Engineering Company Limited

Q1 FY '24 Earnings Conference Call "

July 12, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 12th July 2023 will prevail.

MANAGEMENT

OF ELECON

ENGINEERING

COMPANY

LIMITED - MR. PRAYASVIN PATEL – CHAIRMAN AND  
MANAGING DIRECTOR

- MR. AAYUSH SHAH – NON-EXECUTIVE DIRECTOR

- MR. M.M. NANDA – HEAD OF GEAR DIVISION

- MR. P.K. BHASIN – HEAD OF MHE DIVISION

- MR. KAMLESH SHAH – GROUP CHIEF FINANCIAL  
OFFICER

- MR. NARASIMHAN RAGHUNATHAN – CHIEF  
FINANCIAL OFFICER

Elecon Engineering Company Limited

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Moderator: Ladies and gentlemen, welcome to the Q1 FY24 Earning Conference Call of Elecon Engineering Company Limited. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinion and expectations of the company. As on the date of this call, this statement does not guarantee the future performance of the company, and it may involve risk and uncertainties that are difficult to predict.

As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone.

Please note that this conference is being recorded.

Now I hand over the conference to Mr. Prayasvin Patel, Chairman and Managing Director for Elecon Engineering. Thank you and over to you, sir.

Prayasvin Patel: Thank you. Good evening and a warm welcome on our Q1 FY24 earnings conference call. Today on the call, I am joined by Mr. Ayush Shah, Non-Executive Director; Mr. M. M. Nanda, Head of Gear Division and Mr. P.K. Bhasin, Head of MHE Division; Mr. Kamlesh Shah, Group CFO; Mr. Narasimhan Raghunathan, CFO. We have uploaded our financial results and press release on the stock exchanges and on the company's website. And I hope everyone had an opportunity to go through the same.

I will start my opening comments with industry insights followed by business overview, post which Kamlesh Shah, our Group CFO will take you through the financial and operational performance of the company for the quarter ended June 2023. India's GDP has continued its upward trajectory and has emerged as the fastest growing economy. This growth is supported by robust private consumption, increased industrial activity and strong investment activity, strengthened by the government efforts to boost capital expenditure.

The strong demand in sectors such as power, steel, cement, sugar, mining and infrastructure coupled with emphasis on industrialization and localization through initiatives like Make in India and PLI schemes is driving the growth. Furthermore, India's strategic focus on attracting global supply chains especially through strategies like China presents a significant opportunity for the country to become a prominent manufacturing hub. This shift has created a surge in demand which is benefiting India.

For overseas business, we have been witnessing increased inquiries for our diverse range of products indicating a positive trend in the market. To capitalize on these favorable conditions, we are increasing our marketing and sales activity for our overseas business. We are going to set up a wholly-owned step-down subsidiary in South Africa to cater demand for our products in the African continent. We have signed off on five OEM business in European market with an estimated annual business volume of approximately Euro 5 million. This development is encouraging and moving towards a strategy to tap and gain momentum in European markets. With more penetration across OEM, we are also building a creditable reference and a brand for our products in these markets. We are committed to becoming the preferred supplier in these markets and are actively engaging with OEMs to achieve this goal. Expansion into new

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territories and increasing our market share in existing geographies represents another significant growth opportunity for us. We have been diligently working towards establishing a strong brand value for Elecon in order to capitalize on these prospects.

The milestone of signing-off of the OEM business in overseas market and robust domestic demand gives us the confidence in delivering a strong performance and upholding

our

commitment to achieve consolidated revenue of INR 2,000 crores with an EBITDA margin of 22% by FY24.

Moving on to segmental performance. For Gear Division, we proudly hold the position of being one of the largest solution providers of industrial gears. Our commitment extends beyond maintaining this position, as we actively seek new opportunities within niche industries. By significantly enhancing our technological capabilities, we have solidified our position as an industry leader with 39% market share in FY23 against 34% in FY22 in the Tier 1 domestic market.

We continue to see the conversion of strong order inquiries into growing order book, reaffirming our market strength and the trust placed in our products and services. We target to achieve

INR1,700 crores of consolidated revenue for this division by FY24.

We have also launched our EON 2.0 series in the last quarter and have been witnessing positive responses from multiple customers across industries and also overseas. This EON 2.0 series has multiple features in terms of operations and maintenance of the product and can pose cost advantages to the customer. We continue to focus on R&D and product development as we strive to deliver high quality, industry-agnostic and customizable products that ensure customer

satisfaction.

Through consistent investments in technology and operations, we have successfully reduced the lead times, thereby enhancing our operational efficiency.

Speaking of the MHE segment, we are experiencing a surge in demand in the MHE division, fueled by revival of the capex cycle and strong demand from industries such as power, fertilizers, cement among others. In the past 12-to -18 months we have successfully turned around our MHE division resulting into a profitable business. Our strategic approach has involved focusing on supply of products and aftermarket business, while discontinuing our involvement in EPC project businesses. This shift in strategy has proven effective and aligned with market demands. With these positive developments, we reaffirm our target of achieving consolidated revenue of INR300 crores in FY24. We are confident in our ability to attain this target through our strategic focus, streamlined operations and leveraging the trust in Elecon brand and service.

Lastly, we remain aligned with our vision to maximize value creation for every stratum of society. By aligning our vision with ESG, we have the power to drive positive change, contribute to a more sustainable future and create long-term value for our stakeholders.

With this, I would like to hand over the call to Mr. Kamlesh Shah, our Group CFO for financial highlights of Q1 FY24. Over to you Kamlesh.

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Kamlesh Shah: Thank you sir. Good evening, everyone and a warm welcome to our Q1 FY24 earning call. As already said, we have uploaded our Press Release on the stock exchanges. I will now take you through the highlights of financial results for Q1 FY24. Revenue from operations or total revenue from operations on consolidated basis stood at INR 414 crore s as compared to INR 328 crore s in Q1 FY23, registering a robust growth of 26%. The domestic market accounted for 73% of the revenue with the remaining portion coming from overseas market. Adjusted EBITDA for Q1 FY24 stood at INR 96 crore s marking a growth of 33% compared to INR 72 crore s in Q1 FY23.

Adjusted EBITDA margin for Q1 FY24 stood at 23.1% as compared to 21.9% in Q1 FY23, an increase of 120 basis points year-on-year. Profit after tax for the quarter was INR 73 crores representing a remarkable growth of 72.5%. PAT margin witnessed a significant improvement of 470 basis points. Our focus on operational efficiency and market diversification has contributed to this performance.

Moving on to the segment wise contribution, industrial gears accounted for 87% of the revenue while

material handling equipment division contributed around 13%. Speaking of the industrial gear division, consolidated revenue stood at INR 361 crore s for Q1 FY24 reflecting a growth of 27% compared to the same period last year. The EBIT for Q1 FY24 stood at INR 89 crores, indicating a substantial growth of 60% compared to INR 55 crores in the corresponding quarter of the previous year.

The EBIT margins for Q1 FY24 stood at 25%, representing an increase of approximately 500 basis points on year on year.

The order intake for Q1 FY24 for gear division amounted to

INR446 crore s highlighting a strong demand in the market. As of June 30, 2023, the open order s stood at INR 655 crore s further emphasizing the robust demand. Speaking on the MHE side, revenues for Q1 FY24 stood at INR54 crores showcasing a growth of 25% compared to INR 43 crore s in Q1 FY23. This growth serves as testament to the successful strategic turnaround, translating into a strong quarterly performance.

The EBIT for Q1 FY24 stood at INR 12 crore s, representing an impressive growth of 163% Y-o-Y. The EBIT margins improved to 23% from 11% in Q1 FY23, reflecting an improvement of approximately 1,200 basis points. Increase in the margin for MHE was on account of change in product mix and higher sale of after sales and repairs in this quarter. MHE division order intake stood at INR51 crores with a closing order book at INR138 crores as of 30th June 2023.

Furthermore, our total consolidated order book including both divisions experienced order inflows of INR 497 crores during Q1 FY24 and the total open orders as of 30th June stood at INR793 crores. As discussed earlier, we are pleased to announce that we have successfully signed off five original equipment manufacture business agreements in the European market. These agreements have an annual estimated business volume of approximately EUR5 million.

The prototype development of this OEM project is currently in progress with an aim of supplying this by Q3 FY24. We anticipate commencement of commercial production in FY25. The agreements signed with this OEM demonstrate our ability to deliver globally competitive, high quality products and our confidence in capturing a significant share of the European market. We

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have made progress in recovering funds through arbitration awards. As of June 30, 2023, we have received IN R27.4 crore s out of the total awards of IN R63 crore s and we expect an additional realisation of INR4 crore s by Q2 FY24.

Furthermore, we have initiated fresh arbitration proceedings with a total value of IN R31 crore s during Q1 FY24, outcome of which may take 1-2 years. We are confident of a positive outcome . Furthermore, I am pleased to announce that Elecon has made a significant improvement to its balance sheet. As of June 30, 2023, we are a net cash surplus positive of INR 250 crores at the consolidated. On this note, I would like to open the floor for question and answers. Thank you.

Moderator: Thank you very much. The first question is from the line of Kashyap Javeri from Emkay Investment Managers . Please go ahead.

Kashyap Javeri: Thank you so much, sir, and congratulations on a really great set of numbers. I have three questions. One, you know, on the INR1,700 crores targets for the Gear division for the year, this now implies that we have about INR 450 crores of revenue per quarter for, you know, the balance to be quartered. And similarly for MHE also, the asking rate is definitely higher. So , what are the sectors which is giving us confidence of giving that number, obviously also has gone up quite a bit? So one is to look at that.

Second is on the margins, the guidance that you have given in the press release at about 22% for the full year, even adjusted for about INR4 crores of the GST right back, our margins are still very strong for this

quarter. So is 22, like a base case margin, and there is an element of positive surprise to that. And the third question is, what is the net cash on balance sheet as on 30th of June? These are the three questions.

Kamlesh Shah: On account of the sustainability of margin 22%, Yes , we are confident it is minimum 22% margin is sustainable at consol level. There is a scope for improvement which we see however presently it is difficult we can spell out that you know what will be the margin for the entire year Q2 will be a right time for us to spell out that margin any improvement for that? So far the net cash surplus is coming, as I already said, we have the net cash surplus of INR 250 crore s as on June 30, 2023. About the business, Mr. Nanda will just give a highlight.

M.M. Nanda: You see, we are getting very good business from various sectors you know in India as a matter of fact and overseas also basically. As already explained you know that we are now focusing on overseas business from the customers OEMs also which we already got in our scope you know from Europe primarily which we are just highlighted. And our main focus area, which we are expecting more business to come from, you know, Europe and Africa, where we are concentrating. And we have already indicated various areas where we are getting the business like steel, sugar, cement. We have already highlighted in our presentation, you know, how much business we are getting from all these sectors, you know. I hope this will answer your questions, you know. Hello?

Kashyap Javeri: Yes, I, sorry, I missed out in between. My question was that even in overseas business, whether it is heavy industrials or whether it is process industries, what is driving the demand? And a connected question is that if I look at our annual report for FY23, most of our subsidiaries Elecon Engineering Company Limited  
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overseas, the sales growth in the local currency was quite muted. So what gives us this confidence, even at this point of time that, from here on in terms of growth, you know, overseas can actually contribute equal or more.

Prayasvin Patel: See, first of all there is a big thrust on trying to get more OEMs that is original equipment manufacturers in our fold as customers so that we are able to get consistently higher requirements of orders that is number one and which we have started doing now aggressively. The other thing is we are putting a lot of thrust in enhancing our marketing infrastructure abroad, whereby we would be able to generate more inquiries as well as get more business. So these are the strategies that we have taken up. Apart from that, we have given thrust, we have penetrated now into areas where we were not there before, certain countries in South America, Australia, etcetera, which is giving us great opportunities abroad.

So we are reasonably confident that we will achieve the targets that we have laid out for exports this year and going forward. We are also improving our responses for our export companies abroad so that we are able to respond to finally our customers a broad in a much better fashion.

Kamlesh Shah: In regard to your other question, last year the sales is muted . But if you consider the impact of Russia -Ukraine war at the beginning of year itself, even after considering the impact for that, we have sustained our revenue as well as EBITDA.

Kashyap Javeri: Okay .

Prayasvin Patel: This is also in spite of the fact that there has been a recessionary trend in Europe and United

States, the aftermath of COVID.

Kashyap Javeri: Right. And we remain confident of doing better this year despite that versus what we did last year.

Prayasvin Patel: Absolutely.

Kashyap Javeri: Okay, thank you so much. I'm done.

Prayasvin Patel: Thank you.

Moderator: Thank you. The next question is from the line of Pratik Kothari from Unique Portfolio

Managers .

Please go ahead.

Pratik Kothari: Hi, good afternoon and thank you. Sir first of all my hearty congratulations on such a remarkable performance and highly appreciate the team for the improvement and disclosures that we have done this time. So, my first question is on this five OEM orders which we won. So, if you can highlight a bit more qualitatively in terms of the kind of customer segment that we intend to cater to, are these new customers? What kind of products are we developing for them?

Prayasvin Patel: These are customers, they are Original Equipment Manufacturers from Europe and they are into various segments from steel, to rubber, to plastic, to various other industries. So we are reasonably confident that we have to deliver some prototypes which after those being approved by them, we will start getting regular orders.

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Pratik Kothari: These are not new products for them, we would already be doing this locally?

Prayasvin Patel: We have delivered similar kind of products because these are custom-made solutions for the clients. But we do this for very many clients. It is a very standard kind of thing because you have to meet their specific requirements.

Pratik Kothari: And so I believe this would just be beginning of a journey or relationship with them in terms of they trying out or giving us a smaller batch of order. So potentially, I mean, where can this lead to, may be a few years down the line?

Prayasvin Patel: It is difficult to say because, you know, it will all depend on the supply and demand of their products where they incorporate our gearboxes. But as of now, we feel that there is a very strong potential that it will lead to a sizable business.

Pratik Kothari: Correct. Sure. So my second question is, we are seeing heightened ordering in railways, specifically Vande Bharat, even in wind energy. So just do we have any plans to be present there, or are we there? What are our thoughts here?

Prayasvin Patel: We are making inroads into metro gears, gears which are utilized in the Metro trains. As well as we have also made inroads with a foreign company who is manufacturing gears for the railway industry internationally. And therefore, we believe that this will lead to more business in the coming future.

Pratik Kothari: Correct, this would be traction gearbox?

Prayasvin Patel: Yes, traction gears.

Pratik Kothari: Correct, and I mean, in the past, we used to be large player in gears for windmills, I mean, anything there?

Prayasvin Patel: No, because the reason is, we have purposely stayed away from windmill gears. The reason being that, though they look to be very attractive. They are highly inconsistent in their demands because it is always subsidized by the government windmills and it is based on government policies whereby the demands can fluctuate widely and which quite often puts a sizable amount of pressure on the suppliers, either for excess capacity requirements or for manufacturing and then equipments lying with the suppliers for a long period of time. So we have purposely tried to stay away from them.

Pratik Kothari: Correct. And sir, my last question on the defense and marine business. I believe, we have some after-sales service which is already ongoing for the project that we have delivered on. Any comments on any new project coming up, anything which is moving?

Prayasvin Patel: Yes, what is very heartening is that by the end of the year, we expect some good orders coming in from the marine sector or the defense sector. And the next two years also look to be extremely promising.

Pratik Kothari: Thank you, sir, and all the best.

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Prayasvin Patel: Thank you.

Moderator: Thank you. The next question is from the line of Divesh Mehta from Di

nero Wealth . Please go ahead.

Divesh Mehta: Congratulations on the great set of numbers. I have two, three questions. I just wanted to understand on the replacement demand. So in the first quarter, how did the replacement demand panned out and how much it was in terms of overall sales?

Prayasvin Patel: The replacement market for material handling business as well as for gears varies from year-to-year. The demand this year, this quarter has been healthy . But going forward, it will adjust itself to the annual consistent level.

Divesh Mehta: So, sir, how much it was for this quarter , as a percentage of sales?

Kamlesh Shah: Yes, one minute. So, in all put together, this quarter , it works out to be nearly 33% for MHE and gear, both put together.

Divesh Mehta: Okay, both together. And, sir, actually I missed on the part of the open order book on the both gearboxes and MH E divisions, can you give that figure also?

Prayasvin Patel: Sorry, can you repeat it please?

Divesh Mehta: Can you help me to understand the open order book for gearboxes and the MH E division, I have missed on that part.

Prayasvin Patel: Yes, I will give you those figures. The total is 793, which consists of 655 from gear and 138 from MHE. These are the open orders as of 30, June 2023.

Divesh Mehta: Okay. And sir, the recent four new orders which you've bagged, that will be for the engineered products, right , and neither for the catalog products ?

Prayasvin Patel: It is a combination of all.

Divesh Mehta: Okay, it's a combination. Okay, thank you. That's it from me.

Moderator: Thank you. The next question is from the line of Anish Jobalia from Girik Capital. Please go ahead.

Anish Jobalia: Sir, congratulations for a good set of performance and also for getting enrolled into the OEM market. So just wanted to understand one thing, domestic business, we have, we aim to do between the gears and material handling close to INR 1,500 crores odd out of this INR 2,000 crores odd, right . So I just want to understand, I had checked with you earlier also , in the earlier quarters about , how your thought process is shaping up in terms of further growth in FY25. So, if you can just help to understand, the quality of the growth , which is driving, our, the quality of the demand , which is driving our growth and how sustainable are we seeing, this 25% growth to continue beyond '24 also ?

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Prayasvin Patel: See, if you look at our performance, we have been growing and let me assure you, we will continue to grow because there are a lot of segments that , we are now emphasizing on. One of them is exports. The other one is the marine business coming out of the defense sector. Plus, there are new products that , we are developing, there is also the new E ON series that we have developed, so all in all , we see a rosy picture going forward. We would be able to sustain this kind of growth and who knows , if the markets are favorable, we may be able to even exceed them.

So we are very gung-ho about the situation and as I had said earlier , we are emphasizing a lot on exports. We are setting up new infrastructure, enhancing infrastructure in various countries, so that we are able to focus in a much better fashion on exports and give them the necessary support that they require from head office.

Anish Jobalia: And secondly in terms of the international revenue, so I think out of this INR 2,000 crores , we will be doing close to INR 500 crores from the exports. So what I am seeing is that , the international companies are getting signed up, so they will be starting to contribute from '25. So from INR 300 crores odd, in the last year, this incremental growth of INR 200 crores, so how is this going to come without the support of the OEM business and from FY25 onwards, how much has the potential from the OEMs that you are

signing up and will potentially further sign up to add to this INR 100 crore s base?

Prayasvin Patel: See as of now, as we speak, we have enough inquiries on hand and on interacting with various branches and segments of the industry, marketing industry, they are extremely confident that we will be able to achieve our targets this year. Apart from this, as you rightly said, that the OEMs with whom we have signed contracts plus other OEMs , where we have given offers, plus projects, plus new requirements, we are confident that , we will be able to sustain this growth over a period of time.

Anish Jobalia: Okay, sir. All the very best for the future. Thank you.

Prayasvin Patel: Thank you.

Moderator: Thank you. The next question is from the line of Sanjay Kumar from ithought Financial Consulting. Please go ahead.

Sanjay Kumar: Hello, sir. Congrats on winning five new OEMs. Q2 FY23, I had asked you about it and you delivered in nine months or so. So great work. Can you help with the total outstanding OEMs

that we used to work with and how has it changed in the recent past, the number of OEMs that we work with?

Prayasvin Patel: It depends from region to region. There are various areas , where we are working with OEMs. It starts from the Far East in the Singapore zone that we have, to areas like Africa, especially South Africa, and then , we have OEMs in Europe as well as OEMs in South America and in the United States. So it is very difficult to say , these are the ones that we have recently signed off with they are all in Europe. These are new OEMs that we have encountered . They have high potential and going forward, we are reasonably confident that , we will be able to get good amount of business from them.

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It is difficult to ascertain as of now , as to how much business would come our way but they are promising a lot to us. We are assessing the situation on our own, considering the recession in Europe as well as the Ukraine-Russia war as to whether the figures that they are committing to us, are reasonably correct or not. But they seem to be even filtering all this out, they seem to be very promising.

Sanjay Kumar: Okay . But these five OEMs, who were they buying from earlier? That will give us an idea of the, our potential?

Prayasvin Patel: It is difficult to ascertain because some of them were buying from China and some of them have new requirements , which have come our way , etcetera. So it is difficult to say .

Sanjay Kumar: Right . We will be supplying from India or will it be through Benzler Radicon?

Prayasvin Patel: Both. We would, originally it would be manufactured in India. It may be supplied through Benzler Radicon Group or it might be directly. It depends on , which client are we talking about.

Sanjay Kumar: Good, . And second, you had mentioned in your press release about opportunities in Africa. What are you seeing, what is driving this, and if it would help us with the market size of Africa, or at least, the markets that you are targeting there in Africa?

Prayasvin Patel: If we talk about the South African market, South Africa is a hub for the entire Africa because it is one of the most advanced countries in Africa and they are very strong on minerals and minerals mining as well as the technology of mining in minerals. They set up turnkey plants normally to mine various products , which could be gold, it could be copper, it could be various other minerals. When they set up the complete plant, these plants require good quantity of gearboxes , which normally are either bought from Europe or from United States. This is where we have penetrated and we intend to penetrate more and more , over a period of time.

Apart from that , there are mines in Africa, where quite often, the purchases happen in South Africa and that is also , where there is a huge potential of replacement

business as well as new requirements for these mines. So this is , what we are targeting. Apart from that , there are a good number of industries in South Africa and these also require gearboxes , which we intend to cater.

Sanjay Kumar: What will be the market sizes, of these things that you mentioned?

Prayasvin Patel: Market size? To tell you honestly, I will email this information to you.

Sanjay Kumar: Yes, sure. That will be helpful. And finally on traction motor gearboxes, you said that , we previously supplied a few components to Indian Railways and specifically on Metro , I have seen Voith IGW's, Gearboxes in the Metro coaches. So are we in touch with them?

Moderator: Hi Sanjay, I'm sorry to interrupt you there to ask further questions. I would request you to please join back the queue. Thank you.

Prayasvin Patel: But the answer is yes.

Sanjay Kumar: You're in touch with Voith?

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Prayasvin Patel: We would be in touch with gearbox suppliers, the likes of Voith and Voith themselves.

Sanjay Kumar: Okay, and will it be a JV or will it be a tech transfer?

Prayasvin Patel: We will be a supplier to Voith and to the others like that. So there won't be a JV .

Moderator: Thank you. The next question is from the line of Ankit Babel from Subhkam Ventures . Please go ahead.

Ankit Babel: Good evening sir and congratulations for a very good set of numbers. I just have two questions. First is, sir, the scalability of these five OEMs, what it could be in the next two, three years from the current level of what you mentioned around EUR5 million?

Prayasvin Patel: As I told you earlier also, and I will again repeat that it is very difficult to ascertain that because quite often the OEMs they give you a requirement which quite often varies in quantity because depending on the, their market situation and the competition that they experience but as I have ascertain that our intention first is to give them a prototype , get it approved and then look for

quantities and I am hopeful that as of now the information that they have given to us seems to be quite promising. However, on our own we are trying to ascertain how much of quantities we are likely to get and what it would mean in rupees and paisas.

Ankit Babel: Yes, sir, because in the previous conference calls you did mention that the size of each OEM could be INR40 crores, INR50 crores in terms of revenue potential. So from that angle I was trying to understand that do these OEMs also have that kind of scalability over a period of time or not, based on your assumptions only?

Prayasvin Patel: As I told you, the potential is high, let me put it this way. But as I told you, they always say that once you get the purchase order in hand, that is what confirms everything. So but the potential is high.

Ankit Babel: Okay, I understand. And my second question, again, it's a repetitive question, so sorry for that. But you said that the industry tailwinds currently are very strong, both in domestic market and overseas market. And you are in the process of getting a lot of approvals from the overseas markets from various OEMs, that also visibility you have. And so just to reconfirm, you mentioned that you are going to sustain the current growth rate at least for the next couple of more years. I mean, this year you'll be growing at 30% is what you're guiding. So this 30% growth is possible for next two years. I mean, FY25 and '26 also, considering the current visibility what you have?

Prayasvin Patel: I won't say that tailwinds are affecting us. As a matter of fact, I would say that the tailwinds are an opportunity for us. Okay, because like these new OEMs that we have got, this is the time when the customer is, our customer is looking for new suppliers. So this is opening up doors for us because he feels that he wants someone who is more

competitive, he wants someone who is giving better services etc etc.

So he is looking for someone else to fulfill his needs and that is where we step in and that is how we get this opportunity and this normally happens during the tailwind situation. So I look upon Elecon Engineering Company Limited  
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it as an opportunity and that is where we have been able to score over the existing suppliers that exist as of now. And as far as we are concerned, we are reasonably confident that we will continue to grow.

The percentage of growth is difficult to ascertain year-on-year. We have a visibility for this year, but we will be able to reconfirm it by the end of the second quarter. However, going forward, we have great expectations for which we are enhancing our infrastructure to see to it that we are able to cater to the customer's needs.

Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Yes, thank you very much, sir, for the opportunity and many congratulations for a good set of numbers. Sir, I wanted to understand a couple of things. Now, this quarter itself, what was the arbitration award that we received?

Kamlesh Shah: No arbitration award we received in earlier period. We have realized the money now. Arbitration award was already there with us.

Deepak Poddar: So is there any amount that is coming to P&L in this quarter?

Kamlesh Shah: No, there is nothing in P&L. All is in the balance sheet and the cash flow directly.

Deepak Poddar: So one off in this quarter is only INR 4 crores, right? The GST right back. So even if...

Kamlesh Shah: Yes, that is only right back of GST which in earlier quarter we have made a provision for that. But considering the, some kind of, work on account of cross charge mechanism, we have utilized. We get an opportunity to utilize that.

Deepak Poddar: So even if we adjust that our EBITDA margin this quarter is close to 23% to 23.5%, but for the entire year we are kind of looking at 22%. So is there anything, I mean, any pressure on your margins or going forward in coming quarters that you foresee because of which we are kind of guiding a little tapered down margins?

Kamlesh Shah: At the beginning of the year, we are already informed we are going to have some cost on account of brand building in the overseas market. So that has not turned out in this quarter, that may turn out in the next two next quarter. So that is the reason we are doing average margin of 22%.

Deepak Poddar: That's quite helpful. And my second question is on your, the second question is on your MHE division. I mean the EBIT margins that we are seeing is quite good, right at 23%. So is that a sustainable kind of margin that we see going forward?

Kamlesh Shah: Yes, sustainable margin we should consider 18% to 20%. Due to the product mix, we are on the supply of equipment and after sales service, the margin may undergo a change.

Deepak Poddar: Understood. And then sir, whenever we bid for any order, so what is the minimum margin that we kind of keep it for ourselves, both in the MHE and the gearbox division?

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Prayasvin Patel: It varies from project -to-project and from order -to-order. So it's very difficult to ascertain.

Deepak Poddar: Understood.

Prayasvin Patel: We have tried to maximize our margins and let me tell you one thing that we will continue to try to maximize our margins on a consistent basis. I am reasonably confident that we will be able to sustain the kind of EBITDA margins that we have right now and going forward, the general impression that I have is we may be able to improve it also.

Moderator: Thank you. The next question is from the line of Subham Agarwal from Aequitas . Please go ahead.

Subham Agarwal: Yes, thank you for the opportunity.

So my first question is related to the cash that we have. As earlier mentioned, we have close to INR 250 crores now. So I wanted to understand, given that there is no major capex coming in, what will be our capital allocation strategy going forward?

Prayasvin Patel: The cash that we generate, we try to invest it so that we get the best possible returns at the lowest possible risk. And going forward, we are creating this kitty, which would be helpful to us in case there is any need for the organization to either diversify, acquire, or utilize it for the benefit of the organization in the near future.

Subham Agarwal: So are there any specific areas that we are looking at in order to diversify or increase our capability by acquiring some assets? Are we in the process already?

Prayasvin Patel: No, we are not in the process. However, this is a kitty which would be useful in case that opportunity arises.

Subham Agarwal: Okay. And, sir, my second question is related to the exports. So obviously, given our strategy of increasing export in terms of total revenue, this will be an area which will grow for us. And we have put a lot of effort in the last two years in this particular segment. So I wanted to understand, A, how satisfied are you with the current progress that we have and B, what are the challenges that you are facing to achieve the milestone that you have set for the company?

Prayasvin Patel: If you are asking about the level of satisfaction, I would say the first year has gone in trying to organize ourselves. But now I feel that it is now taking a sizable traction and going forward the way that our marketing people are -- I'm seeing the confidence in them, I believe that we would be very, very much bang on target this year as well as in the future.

Moderator: Thank you. The next question is from the line of Gunjan Kabra from Niveshaay . Please go ahead.

Gunjan Kabra: Sir, thank you for the opportunity and superb set of numbers. So congratulations. Sir, I wanted to understand, Yes, I wanted to understand how much is the total order book in defense right now and what kind of operating margins, do we have specifically in defense since they are large gears?

Prayasvin Patel: The margins would vary from project -to-project so it would be difficult to tell you as to what would be the margins.

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Gunjan Kabra: Sir, on a blended or average basis if you can say, I mean in defense?

Prayasvin Patel: I would put it this way that it will depend on the kind of competition we have, the kind of product it is, etc etc. But all I can tell you is that as of now, all the or the recent project that we did was profitable and we are striving hard to see to it that the profits are reasonably good in this business.

Gunjan Kabra: Okay, and sir how much is the order book from defense right now?

Prayasvin Patel: The order from defense right now.

Kamlesh Shah: We don't have any kind of project order as on today, it is a small other than the gearbox requirement or otherwise, those kind of orders are there. So it's not material. Generally, we consider that kind of order on and maybe a small amount on account of the spare kind of business, which is to the tune of INR100 crores plus.

Gunjan Kabra: Okay. I have also heard the order intake in this seasonally weak quarter has been around INR 442 crores, which was you know very high in the very good quarter, last quarter, which was around INR370 crores. So has the business momentum, I mean is it because of more of export or good order booking in India right now?

Prayasvin Patel: I would say right now the product mix from export, domestic, and the marine business all put together in this quarter has been reasonably okay and the demand is coming from all sectors and we are expecting good orders from all these three sectors.

Gunjan Kabra: Okay and sir,

you are guiding of good prospects as well. So, INR 2,000 crores revenue if we achieve this year then I think we'll be operating at the full capacity utilization so the further growth if we are not doing any capex then further growth how will that come I mean are we not looking towards capex or because I just wanted to understand where will the growth that we think it can come will come from if we don't do capex?

Prayasvin Patel: The capacity utilization as of now is approximately 76%. So there is the potential to further scale it up and this is where today there is hardly any subcontracting. If we add subcontracting possibilities together with the additional gap in capacity that we have, I still feel that we can do nominal capex which is required for modernization and upkeep. Apart from that, I do not think we will need any more capex for at least the next two, three years.

Gunjan Kabra: Okay. And sir, this is the last question. Sir, standard products is around 47% this quarter and customized was around 53%. So are we targeting more of customized from next and more of standardized or is it on order basis whatever you receive?

Prayasvin Patel: It is on order basis whatever we receive. We never say no to our clients. Every order is welcome.

Gunjan Kabra: Okay, so we don't have any target of having more of customized or more of standard?

Prayasvin Patel: I don't think it is in our hands. It depends on what the customer requires and we have ongoing customers, 70% of our customers are repetitive and we can't go and tell them that you buy only this. So we accept the order with a smiling face whatever they give us.

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Moderator: Thank you. The next question is from the line of Pujan Shah from Congruence Advisers. Please go ahead.

Pujan Shah: Hi, sir. My question would be on the patented product. So in the previous presentation, we have shown that we are waiting for three patents for the approval. So, can you just give the sense about that and how, what the market size would be on that specific segment? And which product are we going to get that patent for the specific?

Prayasvin Patel: The new EON series that we have developed is what we are trying to patent as well as there are other few products. The potential is reasonably high because this is in the catalog product range and but it is difficult to put a value to it right now because it will depend on how well it is accepted in the market. Though right now there is a substantial amount of traction on these new series that we have developed, but it is difficult to put any figures to it.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question. I now hand the conference over to the management for the closing comment.

Prayasvin Patel: Thank you. I take this opportunity to thank everyone for joining the call. We will keep updating the investor community on regular basis for incremental updates of our company. I hope we have been able to address all your queries. For any further information, kindly get in touch with us or strategic growth advisors or investor relation advisors. Thank you once again.

Moderator: Thank you. On behalf of Elecon Engineering Company Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## Call: Oct 2023

30th October, 2023  
To,

The Manager (Listing),  
The BSE Ltd.  
Mumbai  
The Manager (Listing),  
National Stock Exchange of India Ltd.  
Mumbai  
Company's Scrip Code: 505700 Company's Scrip Code: ELECON

Sub : Transcript of the Investors Call held on 23rd October, 2023  
Ref : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015

Dear Sir,

With reference to the above referred Regulation and in continuation of our letter dated 17th October, 2023, please find attached herewith the transcript of the Investors Call held on 23rd October, 2023 for Q 2 of the Financial Year 2023 -24.

The same is available on the website of the Company at  
<https://www.elecon.com/investors/audio-video-recordings-and-transcripts-of-post-earnings-quarterly-calls>

You are requested to take the same on your records.

Thanking you.

Yours faithfully,  
For Elecon Engineering Company Limited,

Bharti Isarani  
Company Secretary & Compliance Officer

Encl.: As above

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"Elecon Engineering Company Limited Q2 FY24  
Earnings Conference Call "

23rd October, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 23rd October 2023 will prevail.

MANAGEMENT : MR. PRAYASVIN PATEL – CHAIRMAN & MANAGING  
DIRECTOR, ELECON ENGINEERING COMPANY  
LIMITED  
MR. AAYUSH SHAH – NON-EXECUTIVE DIRECTOR,  
ELECON ENGINEERING COMPANY LIMITED  
MR. M. M. NANDA – HEAD OF GEAR DIVISION,  
ELECON ENGINEERING COMPANY LIMITED  
MR. P. K. BHASIN – HEAD OF MHE DIVISION, ELECON  
ENGINEERING COMPANY LIMITED

MR. KAMLESH SHAH – GROUP CFO, ELECON  
ENGINEERING COMPANY LIMITED  
MR. NARASIMHAN RAGHUNATHAN – CFO, ELECON  
ENGINEERING COMPANY LIMITED  
MR. VRAJLAL SENJALIA – HEAD, R&D DEPARTMENT ,  
ELECON ENGINEERING COMPANY LIMITED

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Moderator: Ladies and gentlemen, welcome to the Q2 and H1 FY24 Earnings Conference Call of Elecon Engineering Company Limited.

This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call . These statements do not guarantee the future performance of the company, and it may involve risks and uncertainties that are difficult to predict.

Now , I hand over the conference to Mr. Prayasvin Patel - Chairman and Managing Director of Elecon Engineering Company Limited. Thank you and over to you, sir.

Prayasvin Patel : Thank you. Good evening and a warm welcome to everyone on our Q2 and H1 FY24 Earnings Conference Call.

On the earnings call today, I am joined by my colleagues , Mr. Ayush Shah – Non-Executive Director ; Mr. M . M. Nanda - Head of Gear Division ; Mr. P . K. Bhasin - Head of MHE Division ; Mr. Kamlesh Shah - Group CFO ; Mr. Narasimhan Raghunathan - CFO and Mr. Vrajlal Senjaliya - Head of R&D Department.

We have uploaded the press release and earnings presentation on the stock exchanges and on the company's website, and I hope everyone had an opportunity to go through the same. I will start with industry and business overview and then we will hand over the call to Kamlesh Shah, our Group CFO to discuss the financial performance of the company for the quarter and half -year ended September 2023.

The global economy continues to face challenges and remains under pressure with high interest rates, inflation and widening geopolitical tensions and uncertainties arising on account of war type situation in Israel. IMF has revised downwards the global economic growth projection from 3% to 2.9% .

India on the other hand, continues to be on the upswing. The Reserve Bank of India has projected a GDP growth of 6.5 %. We believe that India has the potential to surpass these projections, driven by government 's increased emphasis on infrastructure development and other initiatives aimed at positioning India as a global manufacturing hub which presents substantial export opportunities.

The CAPEX cycle remains robust with strong demand across sectors such as power, steel, cement, sugar, etc. Disruptions in international supply chains create an opportunity for Elecon as a reliable supplier during times of crisis. This enables us to foster global relationships, aiding us to achieve our targets. On this note, we are pleased to announce that we have signed 6 OEM businesses in the overseas market with a total value of Euro 5.5 million. We continue to make efforts in building our brand globally and become a preferred supplier offering the widest range and technically competitive products.

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At Elecon, our primary focus continues to be on research and development and product development to expand our range of offerings. In the last quarter, we introduced two new products, the RTC gearbox and S crew Jack Gearbox . The RTC gearbox finds applications in rubber industry and screw jack gearbox in the steel industry , are demonstrating our commitment to exploring new sectors and enhancing value within existing ones. Our team remains dedicated to product enhancements, delivering cutting edge technological advancements in gear technology. Notably, we have successfully upgraded the Crane gearbox as well. These continuous efforts have empowered us to offer high quality , industry agnostic products , tailored to customer preferences, while maintaining the shortest lead times in the industry.

Moving on to the Gear Division:

We continue to maintain our leadership position in the domestic market, offering industry agnostic gear solutions. We have experienced a notable uptick in demand with a substantial increase in

flux of promising inquiries from both our established customer base and emerging niche sectors. Over the quarter, we have seen this demand getting converted into growing order book .  
Moving on to MHE division :

We continue to deliver robust performance achieving higher margins quarter by quarter. Our strategic emphasis remains on growth through aftermarket and sale of products in this segment. The order book for MHE remains solid, indicating strong demand driven by the ongoing capital expenditure cycle.

Lastly, at Elecon, we remain aligned with our vision to maximize value creation for every stratum of society. By aligning our vision with ESG, we have the power to drive positive change, contribute to a more sustainable future and create long-term value for all stakeholders.

With this, I would like to hand over the call to Mr. Kamlesh Shah – our Group CFO for financial highlights of Q2 and H1 FY24. Over to you, Kamlesh.

Kamlesh Shah: Thank you, sir. Good evening, everyone and a very warm welcome to our Q2 and H1 FY24 Earnings Call.

I will now take you through the highlights of Financial Results for Q2 and H1 FY24.

Our consolidated revenue from operations for the quarter ended September 2023 stood at Rs. 485 crores as compared to Rs. 389 crores in the same quarter last year, a solid growth of 25% on a year-on-year basis. The domestic market accounted for 80% of the revenue with the remaining portion coming from the overseas market. EBITDA for Q2 FY24 stood at Rs. 119 crores growing 28% from Q2 FY23. The EBITDA margin for the quarter stood at 24.5% owing to better product mix and improved supply chain. The PAT margin for Q2 FY24 stood at 18.3% as compared to 16.6% in Q2 FY23, registering a significant improvement of 170 basis points. Elecon Engineering Company Limited  
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For half year ended September 2023, consolidated revenue from operations stood at Rs. 899 crores, registering a growth of 26% on a Y-o-Y basis. EBITDA stood at Rs. 219 crores, registering a growth of 39% as compared to H1 FY23. The EBITDA margin for the period stood at 24.3%. The PAT for the period stood at Rs. 162 crores, a growth of 51% on a Y-o-Y basis. Moving on to the segment-wise performance:

The Gear division accounted for 87% of the revenue, while 13% was contributed by MHE division during both Q2 and H1 FY24.

Talking about the Gear segment, consolidated revenue from operations stood at Rs. 423 crores as compared to Rs. 333 crores, a growth of 27%. The revenue for the six months ended September 23 stood at Rs. 784 crores, up by 27% on a Y-o-Y basis. The EBIT for the quarter stood at Rs. 110 crores, a solid growth of 38% on a Y-o-Y basis. The EBIT margin for Q2 FY24 stood at 26% as compared to 23.9%, reflecting a substantial improvement of 210 basis points. EBIT for H1 FY24 stood at Rs. 199 crores as against Rs. 135 crores in H1 FY23, reflecting a growth of 47% Y-o-Y. The EBIT margin for six months ended September 2023 stood at 25.4%, registering a growth of ~350 basis points. The order intake for H1 FY24 stood at Rs. 821 crores, up by 10% on a Y-o-Y basis. Orders in hand are Rs. 615 crores as on 30th September, 2023; highlighting the robust demand across sectors.

Moving on to the MHE Division:

Revenue for the quarter stood at Rs. 62 crores as compared to Rs. 55 crores in the corresponding quarter last year, growing 12% Y-o-Y. The revenue for the half year ended September 2023 stood at Rs. 116 crores, registering a growth of 18% on a Y-o-Y basis. EBIT for Q2 FY24 stood at Rs. 13 crores, registering a growth of 68% Y-o-Y. The EBIT margin stood at 21% as against 14% in Q2 FY23, a substantial improvement of ~700 basis points on a year-on-year basis. The EBIT margin for the six months ended September 2023 stood at 21.8%, an improvement of ~920 basis points on Y-o-Y basis, primarily on account of better product mix and higher contribution

from the aftermarket segment. The order in flow during the six months ended stood at Rs. 92 crores as compared to Rs. 94 crores in H1 FY23. The open order as on 30th September, 2023 stood at Rs. 123 crores. Furthermore, our total consolidated order book including both divisions experienced order inflows of Rs. 913 crores during H1 FY24 and the total open orders as on 30th September 2023 stood at Rs. 738 crores.

Now, highlighting the few developments during the half year ended September 2023:

As mentioned previously, we are pleased to announce that we have signed off 6 OEM business agreements in the European market with an annual estimated volume of Euro 5.5 million. The prototype development of this OEM project is currently in progress with an aim of supplying this by Q3 FY24. We anticipate the commencement of commercial production in FY25. The continuous addition of orders from overseas markets is testimony towards our efforts in gaining Elecon Engineering Company Limited  
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increased market share in the European market with our high quality, technologically competitive range of products. We continue to make progress in recovering funds through

arbitration awards . As of 30th September, 2023, we have received Rs. 30.9 crores out of the total awards of Rs. 63 crores and we expect an additional realization of Rs . 1 crore in October 2023. Negotiations are going on for the remaining amount.

Furthermore, we have initiated fresh arbitration proceedings with the total value of Rs. 31 crores during Q1 FY24 , outcome of which may take 1 -2 years. We are confident of a positive outcome. I would also like to highlight that the operating cash flow from operations after payment of taxes stood at Rs. 180 crores as on 30th September 2023.

Lastly, we are dedicated to increasing our market share through expansion into new territories and further strengthening our presence in existing ones . We have set the revenue target of Rs. 2,000 crores for FY24 and we would like to highlight that this is achievable. Further , deterioration in ongoing geopolitical uncertainties and tensions may lead to potential spillover of the orders to next year. When it comes to the margins and profitability, we anticipate that the same will surpass our guided margins. This will be driven by various factors including improved operating leverage and an enhanced product mix.

On this note, I would like to open the floor for question and answers. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari : Sir, my first question is on the engineering gears and the international side of it, if you can just highlight what are the developments that we see to be in this range of Rs. 1,800 crores for past few quarters and also, we do hear about the challenges in the European and the US markets , if you can just highlight where we are, what are we doing to improve , just some qualitative aspects for our international subsidiaries?

Prayasvin Patel : We at Elecon, as you know , have our foreign subsidiaries through which we are trying to market our products and we have started to see great activity . As long as our marketing setup are concerned, they have gone ahead and made a lot of agreements with various OEMs . Apart from this, we are trying to enhance our distribution network and to see to it that we are able to market our products more extensively and get to a deeper reach. As long as our strategy is concerned , we are forming an entire group, which is going to evaluate and make the necessary improvements and enhancements which are required. We will go and recruit more foot soldiers or manpower to further enhance our reach as well as

enhance our dealers and distributor network, this is in the offing and I am sure that this will produce very good results. On the other hand, we are confident that this year we will be able to achieve our export targets and going further, we will be able to grow at a high percentage in the coming years.

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Pratik Kothari : Sir, despite the weak environment demand that we keep hearing and reading about, we are confident that in terms of, we are seeing enough opportunities out there too because we are very small in international market, so I believe this would all be market share gain that we intend to do, so despite the weak thing that we keep reading about, we are confident that it is prudent for us to go out and capture that market share?

Prayasvin Patel : There are various reasons for it. One of the reasons is, first of all, we are cost competitive. Since the environment internationally is getting to be more and more challenging with the recession and recession kind of environment in the international market , every client as we observe is looking for alternative suppliers who are competent and who have got a vast experience like us and therefore, we see a great opportunity in this time of crisis.

Pratik Kothari : My second question is on the MHE, we are reading a lot about the push on Indian infrastructure, mining, Coal India, Indian Railways , so we have had a past slightly rough experience maybe 10 years back in MHE, but given the opportunity or landscape that maybe we can, it is what we are waiting for the next 3, 5, 10 years , just if you can highlight what is the preparation, any positive surprises possible there, I am sure we will be cautious going ahead, but how do we also ensure that we capture the demand which might come?

Prayasvin Patel : See, right now, as you are aware, we have recently got an order for approximately Rs. 50 crores coming in from the steel industry. Going forward, the steel industry and the power sector both have got great potential to give us large number of orders and therefore we are trying to associate ourselves with companies , so that we can supply our products , but not get into project execution because that is where one tends to falter over a period of time and therefore we are seeing that there is a vast potential to supply our products to a lot of companies and we are trying our utmost to do that. We are confident that you will hear a few orders which we will bag very shortly. We are in active discussion with a lot of our clients whereby we would be awarded a few orders .

Pratik Kothari : And one question to Kamleshbhai , if you can highlight what were the export numbers from our standalone business and also any one off for other income, we have seen a sharp jump in that , anything if you can break down ?

Kamlesh Shah: In regard to the other income, yes, we have one off kind of item that is related to the insurance

claim. So, last year there was a fire incident in April 2022, for which we have received the insurance claim, so excess of written down value of the asset is considered as other income plus we also have one profit on sale of asset also. So, that is also there which is to the tune of Rs. 3 crores, both put together is nearly 5.7 you can consider only Rs. 6 crores of that amount and in regard to the exports from India, so this quarter we had an export of Rs. 20 crores and for H1 both put together is Rs. 42 crores. So, there was spillover of our order for the execution which is coming in Q3 and also due to the IndAS because under the IndAS, there is a specification for the recognition of revenue under which the revenue recognition to the tune of nearly Rs. 20 crore will be considered in Q3 FY24.

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Moderator : Thank you. The next question is from the line of Aakash from Dalal & Broacha Stock Broking.

Please go ahead.

Aakash: My first question was on the capacity utilization this quarter, so how would that be?

Kamlesh Shah : At present, our capacity utilization for the half year ended 30th September 2023 is 76%.

Aakash: 76% and what would be utilization? What is possible for us?

Kamlesh Shah: Utilization we can do up to 85 to and if you have to straight, I can go up to 90, but some of the capacity I have to keep spare for my R&D development and other upgradation also.

Aakash: And my second question was, sir in the gear division, if you could provide us with this split on the mix that is how many standard gears and how many engineered gears that we supply?

Kamlesh Shah: For the half year 2024 30th September, my catalog product amounts to 45% of my revenue and engineered product is 55%. So, this time, you can see there is a reverse plan where the engineer product is high, and we are more focusing on engineer product.

Aakash: So, in the Q1, it was more of catalog, is it and Q2, it is more engineered?

Kamlesh Shah: Yes, in Q1 it was nearly 52% was from catalog and 48% from EP, engineer product.

Aakash: Sir, what would be your realization per ton of metal in both of these divisions, the catalog and the engineer product?

Kamlesh Shah: I think that kind of figure we don't have because we have the product as having the weight of 1 to 2 kg and we have the product having the weight of 80 ton per gear box also.

Aakash: Only per kg revenue realization on both divisions if you have any number?

Kamlesh Shah: I will keep a note of that and I will circulate it through SGA to you if you don't mind.

Moderator : Thank you. The next question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre : Sir, in the first half, we grew by 26% and just to meet our guidance of FY24 of Rs. 2,000 crore revenue, we need to grow by 35% in the second half, now the current situation, the business environment both in India and globally is slowing down, so will we be able to hold on the numbers that we have been talking about?

Prayasvin Patel : The orders that we have on hand and based on the trend that we see, we feel that there is a very high possibility that we will be achieving our numbers only under tremendous harsh situations or bad situations in the environment, the political and commercial and economic environment

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that we feel we may not be able to achieve. Otherwise, the probability is very high that we will achieve them.

Mahesh Bendre : And sir, we are in the month of October now and for next year given the order book and the new OEMs that we have signed in, any view on the growth prospects in FY24 in terms of sales growth?

Prayasvin Patel : We will be evaluating the situation since the geopolitical situation right now is very tricky internationally, we will evaluate the situation in the third and fourth quarter and then come up with our figures for the next year.

Mahesh Bendre : And last question from my end, sir, we are operating in our 74% utilization now, so what are the plans for the CAPEX for capital enhancement?

Prayasvin Patel : There is a continuous CAPEX that we are doing and apart from that we have to also understand that by outsourcing, we still have a very high potential to go through because right now our outsourcing is fairly limited and if we enhance that, the potential would be much higher.

Kamlesh Shah: So, we are on track so far as the CAPEX is concerned and we are just evaluating the geopolitical scenario, how it is spreading out or how it is going to be going forward and accordingly, just take a call for further CAPEX if required.

Moderator : Thank you. The next question is from the line of Aditya Rathie

om Aequitas Investments. Please go ahead.

Aditya Rathi : I wanted to sir, just check on the overseas exports that we have and I see that there has been a sharp decline in that, in the current year, quarter 2, I see that only 20% of the total revenue comes from export and if we see historically it was close to 30%, so sir, when do we see the recovery of it and what is the main reason behind it?

Kamlesh Shah: As I already discussed a while ago, because nearly Rs. 20 crores of my sales revenue, it is deferred to Q3 under the IndAS accounting policy for revenue recognition and some orders, it got spill over to Q3 for the execution for which the dispatch has happened in October.

Prayasvin Patel : Let me explain it to you in other terms. There are some orders which have longer lead times, and therefore it takes longer time for deliveries and therefore some of the deliveries will take place in this quarter and therefore the figures are not looking attractive right now, but they will even out by the end of the year.

Aditya Rathi : And for the other question, the 5.5 million annual revenues that we have mentioned from the 6 OEM internationally, are these already included in the order book and when will it materialize?

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Kamlesh Shah: No, it is not included so far as in this order book we have signed off and the prototype is under development. So, once the prototype will get clear, then the formal order with the volume will come and that we already spelled out, it will be in FY 25.

Aditya Rathi : Sir, next question comes from the cash generation point of view, I think we already have close to Rs. 350 crores odd cash and with the future prospect of company's guidance, I see that there is going to be a pile of cash this year also, sir any mindset of utilization of this cash?

Prayasvin Patel : As of now, we are looking at various prospects evaluating and as and when we feel that there is a right opportunity for your company to invest this cash for expansion, diversification or for acquisition at that time, we will consider it.

Aditya Rathi : So, nothing as of now that we've thought of?

Prayasvin Patel : No.

Aditya Rathi : And sir, my last question comes from the recent contract that you have given as an announcement from ArcelorMittal Nippon Steel of Rs. 50 crores, sir that belongs to MHE division and if I am not wrong, that is an EPC contract, right?

Prayasvin Patel : It is not an EPC contract. The order that we have received is from ArcelorMittal. This order is for material handling and will be executed over a period of time.

Kamlesh Shah: This is supply of equipment only.

Moderator : Thank you. The next question is from the line of Sahil Karia from White Pine Investment Management Private Limited. Please go ahead.

Niraj Mansingka : I am Niraj Mansingka, these two questions, one on the contract announced by ArcelorMittal Nippon Steel India, on the pipe conveyor system, can you give some color on the industry and because what we understand is that the pipe conveyor system has a large potential in India, so how are you placed among all the competition in India and how do you see the business environment over the next 3-4 years?

Prayasvin Patel : As such, pipe conveyors has a great potential. We have executed pipe conveyor systems in the past. Right now, we have this order and as and when, wherever that we get an opportunity where the client requires a pipe conveyor, we have been offering these and overall, not only in the steel industry, but also in cement and power, there is a great potential for this.

Niraj Mansingka : Are you also trying to work for Coal India for making conveyor systems for them?

Prayasvin Patel : As you know, we are trying to see to it that we do not get into project order, but as long as conveyor systems where products are to be sold,

we are trying our utmost and also with Coal India.

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Niraj Mansingka : Sir, the second question is on the 6 OEM's which you have given EUR 5.5 million, can you give us some color, how large we can become after this supplies that can we get, what are the potential that you see in these OEM's?

Prayasvin Patel : The potential is large. It is difficult to equate it because it will all depend on how many orders our OEM's will get in the future, but these prototypes are in development and once they get developed, the commitments are reasonably attractive by the customers of ours to enhance the requirement.

Niraj Mansingka : These all are the prototypes, right, all of 6 OEM's?

Prayasvin Patel : Right now, we are on the verge of supplying these prototypes to them, after which they will be tested by them and then they will place orders on us.

Niraj Mansingka : And if any order comes up scale up on this side, when do you expect these orders to flow to you?

Prayasvin Patel : We believe that by FY24, we will see the first few orders coming in.

Moderator : Thank you. The next question is from the line of Mudit Kabra from Elara Capital. Please go ahead.

Mudit Kabra : Sir, can you have given the recent numbers for market share in domestic industrial transmission gears business ?

Prayasvin Patel : Our market share in India is 39% as of now in the organized sector.

Mudit Kabra : Sir, any specific reason for decline in inflows in Q2 across material handling and transmission gears ?

Kamlesh Shah: No, there is no such decline what you are just referring to because we don't foresee that. That is what we have given our guidance that over Rs. 2,000 crore guidance of revenue will still sustain for us.

Prayasvin Patel : See there is no decline in order inflow. So, the numbers are attractive and we believe that if this flow continues in the same way, our targets will definitely be met with.

Mudit Kabra : And lastly, any development on the new product range they were planning in the rail and metro segment, and any timeline we can hold on to it?

Prayasvin Patel : As of now, it is difficult to give an answer , but we are pursuing with the OEMs who are supplying in the rail and metro, and we will see over a period of time what materializes.

Moderator : Thank you. The next question is from the line of Anish Jobalia from Girik Capital. Please go ahead.

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Anish Jobalia : Just one question around the margin side , so Q-on-Q, we saw also an expansion of the margins , so just wanted to understand this 24.5 at the consolidated level, in case I have missed the commentary, if you can just help to understand, how sustainable are these numbers and I think one thing our endeavor was to reinvest back into the business development on the international side, so have the investments already happening and what stage of the investment we are going forward, this is likely to increase , so will the margins start tapering down from the current levels?

Kamlesh Shah: The margin, yes, now after the Q2 results, we are confident that this margin will be sustainable , however, it all depends upon the product mix, so that is important for us. Secondly, so for the investment is concerned that investment when we discussed earlier it was in the form of strengthening our business development team in the overseas entities and also on the brand building and the digital marketing efforts . We have initiated those efforts , but a substantial portion of the amount will get invested or spent maybe in the Q4 or early next year .

Anish Jobalia : So, is it that we are still not spending aggressively because of the global uncertainty because of which we are deferring that spend and that is why we are seeing very high margins of 24.5 given that earlier

we were only expecting 22% , so how do we see the trend moving like , in the next two quarters, we can continue to expect that 24.5%?

Kamlesh Shah: At least we will have the at least healthy margin compared to what we had given the guidance earlier , at the beginning of the year. So, the margin will definitely improve. However, the spend what we planned earlier, we are not going with the same plan for spending on both business development strengthening the business development team and also on the digital marketing and brand building. So, we are just going cautious on that and considering the current geopolitical scenarios also we are going slow on that spending.

Moderator : Thank you. The next question is from the line of Gunjan Kabra from Niveshaay . Please go ahead.

Gunjan Kabra : Sir, my first question was that in the presentation it is mentioned that when you say in the cement industry, there is a shift towards the roller press gear box and the Elecon is the only player , so I wanted to understand, will there be a replacement demand as well on the current capacity installed in the cement plant or it is just for the new expansion will be in this type of gear box?

Prayasvin Patel : I would say the potential is there for both, it is for replacement as well as for new requirements.

Gunjan Kabra : Sir, what kind of an opportunity size that can be and are you also gaining traction from the replacement demand right now or is it still at a very nascent stage?

Prayasvin Patel : It is at the initial stage right now and it is difficult to conceptualize what would be the potential.

Gunjan Kabra : Sir, also suppose if that it is meant that, 3 thermal power plants are expected to come up , so I wanted to understand if there is a thermal power plant being set up, say for example , 50 MW for example, then what is the share of the order size that we get in the gear box of the total

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expenditure that is incurred, so what is the percentage or what is the amount that he gets for say example 50 MW ? Likewise if you can highlight an FGD also if somebody is setting up a 10 MW or a 50 MW plant then what kind of an order size do we get from there ?

Prayasvin Patel : It all depends on how many, what percentage of orders goes to the subcontractors and based on that, how many gears are converted. It is very difficult to put a number to it, but I would say it

is even less than 1%.

Gunjan Kabra : And sir, going forward, which are the major sectors that you think right now 22% is coming from steel industry, so going forward in terms of order inflow trend, so which are the sectors you think where you expect to receive sizable orders?

Prayasvin Patel : We are seeing a good traction in cement and power apart from steel and these would continue. The sugar cycle has just been completed for this calendar year and so the traction will start from the beginning of next year, for the next year. There is also a high potential in the sugar industry, especially for the manufacturing ethanol as a fuel.

Gunjan Kabra : Sir, it would be great if you can highlight the percentage of engineered gears in the total order book versus the standard gears in the current total order book of around Rs. 615 crores, so what is the percentage of engineered goods and standard goods?

Kamlesh Shah: I don't have that figure as on today on the open order book, what is the portion of the engineered product and catalog product, but on the revenue side, what it is there for H1 2024, 45% is from catalog product and 55% from engineering product. So, I will just keep a note of that, and I will just reply this through SGA, our Investor Advisor.

Gunjan Kabra : Sure sir, it will be of great help. Sir, also wanted to understand that in the opening commentary, you mentioned that there is supply chain disruption

in the global world and Elecon is planning

to gain some advantage also, sir wanted to understand like during COVID there was this threat and material disruption that people could not transport materials, so right now, what is the kind of supply chain disruption that we are facing in terms of maybe, the players have shut down some facility or there is less supply in the overall gear market or in terms of material or cost, what is the supply chain disruption that is happening in the gear business, right now at this moment?

Prayasvin Patel : The Russia-Ukraine war is one reason why there could be disruptions because the energy cost, especially in the European market has substantially increased and a lot of industries have closed down because of that. Apart from that, there are new challenges now with the Israeli war on the anvil. So, these are the reasons why quite often there are either excessive orders or a tremendous shortage of a particular item which can cause a lot of disruption. So, going forward it is difficult to put our finger exactly and as to where the problem would lie, but as far as our supplies are concerned, we see it as a great opportunity because the European based companies would find Elecon Engineering Company Limited

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it difficult and tough to execute orders and whereby we would be at a relative advantage in those conditions.

Moderator : Thank you. The next question is from the line of Anika Mittal from Invest Analytics Advisory LLP. Please go ahead.

Anika Mittal : Sir, I am asking even if going ahead we don't get business from new customers, how confident are we to achieve the revenue guidance and going by that can we assume our H2 will be way better than H1?

Prayasvin Patel : What I would like to tell you is normally 70% of our customers are repetitive. This is what the history says and considering that and the present order booking that we have. We are reasonably confident or I would say highly confident that we will be able to achieve our numbers for FY24.

Kamlesh Shah: And if you see our H2 is always better than H1, historically also.

Moderator : Thank you. The next question is from the line of Harshit Kapadia from Elara Capital. Please go ahead.

Harshit Kapadia: Sir, couple of questions from my side in terms of order inflow, we have seen some deceleration in the growth in order inflow, now is that something which worries you at this point in time or there are plenty of orders in the market, but because of probably geopolitical situation, things are not moving at the pace or is it that up to run up to election things are just being a little bit delayed, your view on that?

Prayasvin Patel : Basically, we are happy with the order inflow. Apart from that, we see that the inquiry numbers are reasonably healthy going forward. Quite often, there are projects which some or the other take time to get converted into orders and therefore we are at a juncture right now where we believe that there will be flow of orders coming through in the next quarter or so.

Harshit Kapadia: And this would be largely related to power sector, would that be a correct understanding or which sector would you see or where you see some amount of softness?

Prayasvin Patel : It is in general, we have not figured out whether it would be from power, steel or cement, but in general quite often the projects take some time to get converted into orders. So, we are reasonably confident from the inquiry levels that we have that these orders will materialize very soon.

Harshit Kapadia: Second question on the export front, sir, we were trying to create a lot of business from the export especially Europe was the target market, you also got a few orders in Q1, so if you can highlight how is the pipeline in Europe and is there the current war, is it hampering any kind of

a business to you or delaying

some decisions there? How do you see that?

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Prayasvin Patel : As I told you, there is a big thrust from the management to enhance our exports and we are continuing with our strategy. We believe that over a period of time this will bear substantial fruits going further ahead. Right now, it seems that it is taking a little bit more time to gain traction, but I believe that going in the next 12 to 24 months , you will see that it has further got enhanced to a large extent.

Harshit Kapadia: So, presently, what is the share of export from our total revenue and where do you think 2 years down the line that you see exports will be a bigger part if you can share some numbers that would be helpful ?

Kamlesh Shah: Presently, our 23% of revenue is from export and overseas businesses and going forward into, it is difficult for us to give a numbers down the line , but we are working up on the same and what we already discussed about our target for FY 30 of reaching to 50% of revenue from the overseas and the export business, we are working on that and we will be confident to achieve that also.

Harshit Kapadia: And sir, lastly on the material handling equipment side of your business, sir, if you can share some insight in terms of how has been the first half and how do you expect the order momentum on the material handling side to see over the next year it would be helpful?

Kamlesh Shah: Yes, as you already seen that in October itself, we have got the order for nearly Rs. 51 crores from the steel industry . This is related to supplier of equipment only , supply of equipment and installation of our equipment only and the same traction will continue. The team is working and they are quite confident and by the end of this year , good news will come from the growth perspective of MHE division .

Harshit Kapadia: And last question on the margin, sir, you still maintain the EBITDA margin around 22% for this year or is there any scope of a rise from this number?

Prayasvin Patel : Now I think with the results of Q2 and H1, we are confident that we sustain the margin what we already declared also or even improve upon it.

Moderator : Thank you. The next question is from the line of Satadru Chakraborty from Chakraborty Family Office. Please go ahead.

Satadru Chakraborty : I will just ask one question what I see in the slide 13 around the EON 2 series, I am very happy to see we put a point around operation condition monitoring , so my question really is what is your vision , Mr. Patel, of having this sort of digitalization in each and every gearbox and how does Elecon plan to sort of capture this opportunity because I can imagine that if you have a continuous SCADA system , then these digital systems are very helpful , most customers are wanting that and probably it is fair to assume that the margins are much better on these kinds of gearboxes ?

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Prayasvin Patel : Today , what is happening is you want a gearbox which is extremely reliable, and which works trouble free for years together , but apart from that, one also has to consider the fact that it is a mechanical product which goes through wear and tear and quite often there are hiccups because of exceeding the torque or power requirements . Under those circumstances, it is always better to monitor a particular gearbox or I would say all the gearboxes and therefore the intention is that if we can provide an economical solution for monitoring the various parameters of the gearbox and supply it with the gearbox itself , so that the maintenance people can monitor the gearbox through their mobile phone and are able to get warning signals in case of the limits exceeding the values which could be critical to the gearbox. So, the intention is to come up with the s

ystem, which is not very expensive, so that the client can afford it and put it up in various gearbox so that one is able to monitor them and create data which will also help in preventive maintenance. So, this is the intention, and we are considering this very seriously and have done a reasonable amount of work on.

Moderator : Thank you. The next question is from the line of Ankit Babel from Subhkam Ventures. Please go ahead .

Ankit Babel : Sir, two questions , first, you mentioned that the current level of operating margins are sustainable going forward, so is it fair to assume that such margins are sustainable even in the next couple of years point of view?

Kamlesh Shah: Yes, we can't comment at this . Our margin is expected to be better than the guidance even going forward also, but yes, sometimes due to the change in the revenue mix, the margin may improve and or either it will remain at the sustainable level.

Ankit Babel : So, the new range we should work on is in the range of 24% plus at operating levels for next

year and going forward, right?

Kamlesh Shah: At least 23% plus you can consider going forward from the next year and this all depends on the product mix. That is what I see. Any change in the product mix will definitely improve upon.

Ankit Babel : So, more share of engineered products will only improve the margins, right, is it fair to assume?

Kamlesh Shah: Correct, engineered products, after sales, those kind of things.

Ankit Babel : And sir, my second question is again, now we are already in the month of October, November, so this year guidance you have given at around Rs. 2,000 crores revenue, any idea about the next year revenues, what you are targeting given the fact that you are signing up new customers from Europe and other overseas countries, so what kind of revenue trajectory you look next year, sir?

Kamlesh Shah: Ankit, I think we are working on that and presently due to this geopolitical scenario, how it is disrupting the entire economy and drying of the US dollars in the various economies, we also

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are evaluating those and I think it would be right for us to instead of telling the numbers now Q 3 would be the right time for us to just work out and spell out some numbers.

Ankit Babel : And then just a follow up on the first question, sir, on the margin front, now this 23% to 24% range will sustain even considering the fact that the share of these new overseas contracts will increase because as you had mentioned earlier that you will have to invest also a lot in this first for branding and all those and the margins would be lower, so even after considering the fact that the contribution from these new customers will increase going forward, you still feel that the margins will be in the range of 23% to 24%?

Kamlesh Shah: Yes, at least 23% plus is definitely sustainable and that is where our supply chain management team is working, to optimize the overall margins for us.

Moderator : Thank you so much. Well, we would take that as our last question. I now hand the conference over to the management for closing comments.

Prayasvin Patel: Thank you everyone for attending this call. If you have any more questions, you can either contact SGA who is our Investor Relations Company or our CFO, Narasimhan Raghunathan.

Thank you.

Moderator : Thank you. On behalf of Elecon Engineering Company Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

## Call: Feb 2024

2nd February, 2024

To,

The Manager (Listing),

The BSE Ltd.

Mumbai

The Manager (Listing),

National Stock Exchange of India Ltd.

Mumbai

Company's Scrip Code: 505700 Company's Scrip Code: ELECON

Sub : Transcript of the Investors Call held on 29th January , 2024

Ref : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir,

With reference to the above referred Regulation and in continuation of our letter dated 23rd January , 2024, please find attached herewith the transcript of the Investors Call held on 29th January , 2024 for Q 3 of the Financial Year 2023 -24.

The same is available on the website of the Company at

<https://www.elecon.com/investors/audio-video-recordings-and-transcripts-of-post-earnings-quarterly-calls>

You are requested to take the same on your records.

Thanking you.

Yours faithfully,

For Elecon Engineering Company Limited,

Bharti Isarani

Company Secretary & Compliance Officer

Encl.: As above

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"Elecon Engineering Company Limited

Q3 and 9M FY '24 Earnings Conference Call "

29th January , 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange s on 29th January , 2024 will prevail.

MANAGEMENT

OF ELECON

ENGINEERING

COMPANY

LIMITED - MR. PRAYASVIN PATEL – CHAIRMAN AND  
MANAGING DIRECTOR

- MR. AAYUSH SHAH – NON-EXECUTIVE DIRECTOR

- MR. M.M. NANDA– HEAD OF GEAR DIVISION

- MR. P.K. BHASIN – HEAD OF MHE DIVISION

- MR. KAMLESH SHAH – GROUP CHIEF FINANCIAL  
OFFICER

- MR. NARASIMHAN RAGHUNATHAN – CHIEF  
FINANCIAL OFFICER

MODERATOR : MS. KHUSHBU GANDHI – SHARE INDIA SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 and 9 months FY2024 Earnings Conference Call of Elecon Engineering Company Limited, hosted by Share India Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone.

Please note that this conference is being recorded. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements do not guarantee the future performance of the company and it may involve risks and uncertainties that are difficult to predict.

Now I hand over the conference to Ms. Khushbu Gandhi from Share India Securities. Thank you and over to you ma'am.

Khushbu Gandhi: Thank you and good afternoon everyone. On behalf of Share India Securities Limited, I welcome you all to Q3 and 9 months FY24 earnings conference call of Elecon Engineering Company Limited. We are pleased to have with us the management team represented by Mr. Prayasvin Patel, the Chairman and Managing Director, Mr. Kamlesh Shah, Group CFO, Mr. Narasimhan Raghunathan, CFO and other senior management team. We will have the opening remarks from the management followed by the question-and-answer session.

Thank you and over to you sir.

Prayasvin Patel: Thank you. Good evening and a warm welcome to everyone on the Q3 and 9-month FY24 earnings conference call. On the earnings call today, I am joined with my colleagues Mr. Aayush Shah, Non-Executive Director, Mr. M. M. Nanda, Head of Gear Division, Mr. P. K. Bhasin, Head of MHE Division, Mr. Kamlesh Shah, Group CFO and Narasimhan Raghunathan, CFO.

We have uploaded the press release and earnings presentation on the stock exchanges and company's website and I hope everyone had an opportunity to go through the same. I will start with industry and business overview and then will hand over the call to Kamlesh, our Group CFO to discuss the financial performance of the company for the quarter and 9-months ended December 2023.

The global economy has shown some signs of recovery such as easing inflationary pressures and advancements in artificial intelligence. Despite these positive developments, the pace of global trade remains sluggish, financial conditions remain stringent and widening of geopolitical tensions with on-going conflicts such as Russia's Ukraine war, strained China-US relations and notably the conflict between Israel and Hamas contribute to the complex global trade and supply chain.

The IMF anticipates a slight decline in global economic growth in 2024, projecting a rate of 2.9% down from 3% the previous year.

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On an optimistic note, the Indian economy demonstrates resilience in the face of global uncertainty. According to the IMF, India's GDP is estimated to grow at 6.3%, propelled by heightened domestic demand, increased exports presence and robust expansion in both the manufacturing and service sectors.

Moving to the business overview, Elecon Engineering stands tall as the integrated solution provider leading its way in manufacturing of industrial gears and material handling equipment, serving as a one-stop valuable solution provider to a diverse set of customers and industries. Being a pioneer in the industrial gears, we have positioned ourselves as one of the largest manufacturers of industrial gears in Asia. The company's leadership position can be attributed to its diversified product portfolio, catering to multiple industries, best-in-class quality products with low lead time, customized solution provider to different class of customers and State-Of-The-Art in-house R&D capabilities to enhance and develop new and improved solutions for the customers.

The company remains steadfast in commitment of exceptional quality and timely deliveries. To stay at the forefront of technological advancements, we consistently introduce new products with enhanced technology, ensuring best-in-class products in the industry. Our team is devoted towards continuous improvement and addition of product portfolio, particularly in gearbox technology, with a focus on delivering cutting-edge solutions. Recognition from our valued customers and other distinguished acknowledgements stands as a testament of our exceptional quality we consistently deliver.

Now moving on to the quarterly segmental developments; firstly, on gear division, our ability to evolve with the changing industry needs, steering towards tailor-made solutions, has enabled us to expand our wallet share among existing customers, while successfully onboarding new clients across geographies.

Our domestic operations have demonstrated robust demand across diverse sectors such as steel, cement, power and sugar with a promising outlook for the future. We continue to maintain a leadership position in the domestic market. Our strategic approach involves actively seeking opportunities in niche industries.

Talking on the overseas performance, we are delighted to share that we have signed four more OEM contracts, bringing our total to 10 OEM contracts in the overseas market. This underscores the growing acceptance of our products and high level of service we provide. Our commitment to growth is evident by continuous expansion of our network, rigorous efforts for business development and intensified branding efforts.

Coming to material handling division, we would like to highlight that the Indian capex cycle is on an upward trajectory and continues to show a positive outlook. A surge in order inflow for the supply of equipment is a result of order wins across diverse sectors. Notably also like to highlight that we have recently won orders in the steel and cement sectors amounting to INR173 crores.

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Our performance in this segment has been complemented by a growing aftermarket business. Through improved process efficiency and a more favourable product mix, we are seeking an uptick in profitability.

Moving to the financial aspects, we had mentioned our revenue guidance of INR 2,000 crores for FY '24 which we are expected to reach in spite of challenges due to current geopolitical scenario as well as softening of the steel-based raw material prices. We expect our EBITDA margins and in absolute terms will remain 24% plus.

We shall provide FY '25 revenue and EBITDA margin guidance in Q4 FY '24 earnings call due to the current geopolitical scenario, General election in India, intensifying ongoing West Asia unrest impacting supply chain and customer sentiment. However, we are committed to providing further clarity on this guidance as we gain more insight during the next quarter. Our commitment remains steadfast in adapting to external factors and ensuring transparent communication as we navigate these challenges.

Lastly at Elecon, we take every possible step to create a greener future and put emphasis on sustainability. We believe we have the power to drive positive change, contribute to a more sustainable future and create long-term value for our stakeholders.

With this, I would like to hand over the call to Kamlesh Shah, our group CFO for financial highlights for Q3 and 9-month FY '24. Over to you Kamlesh.

Kamlesh Shah: Thank you sir. Good evening everyone and a very warm welcome to our Q3 and 9-month FY '24 earnings call. I will now take you through the highlights of financial

results for Q3 and 9-month FY '24.

A consolidated revenue from operations for the quarter ended December 2023 stood at INR474 crores as compared to INR389 crores in the same quarter last year, a growth of 22% year-on-year. The domestic market accounted for 73% of the revenue and balance coming from overseas markets. EBITDA for Q3 FY '24 stood at INR120 crores, growing 36% from Q3 FY '23.

The EBITDA margin for the quarter stood at 25.4% owing to better product mix and process improvement initiatives undertaken. PAT margin for Q3 FY '24 stood at 19.1% as compared to 16.1% in Q3 FY '23, registering a significant improvement of 300 basis points.

For 9-months ended December 2023.

Consolidated revenue from operations stood at INR 1,373 crores, registering a growth of 24% on a year-on-year basis. EBITDA margin stood at 339 crores. Registering a growth of 38% as compared to 9-months FY '23. EBITDA margin for the period stood at 24.7%. PAT for the period stood at INR252 crores, a growth of 49% on a year-on-year basis.

Moving to the segment-wise performance, Gear Division accounted for 86% of the revenue while 14% was contributed by MHE Division in Q3 FY '24. In 9-month FY24, 87% of the revenue was contributed from Gear Division while 13% was contributed by the MHE Division.

Talking about the gear segment, consolidated revenue from operations stood at INR409 crores as compared to INR329 crores, a growth of 24%. Revenue from 9-months ended December 2023 stood at INR1,192 crores, up by 26% on a Y-o-Y basis. The EBIT for the quarter stood at INR111 crores, impressive year-on-year growth of 48%.

The EBIT margin for Q3 FY24 stood at 27.2% compared to 22.9%, reflecting a substantial improvement of 435 basis points. EBIT for 9-month FY24 stood at INR310 crores as compared to INR 210 crores in 9-month FY23, reflecting a growth of 48% on a Y-o-Y basis. The EBIT margin for 9-month ended December 2023 stood at 26%, registering a growth of 380 basis points. The order intake for 9-month FY24 stood at INR1,189 crores, up by 16% on a Y-o-Y basis. Order in hand is INR572 crores as on December 31, 2023, highlighting the demand across sectors.

Moving on to MHE Division, revenue for the quarter stood at INR65 crores as compared to INR60 crores in corresponding quarter last year, growth of 8% Y-o-Y. Revenue for 9-month ended December 2023 stood at INR181 crores, registering a growth of 14% on a Y-o-Y basis. EBIT for Q3 FY24 stood at INR12 crores, registering a growth of 38% Y-o-Y.

The EBIT margin stood at 18.5% as against 14.6% in Q3 FY23, a substantial improvement of 390 basis points on a year-on-year basis. The EBIT margin for 9-month ended December 2023 stood at 20.6%, an improvement of 730 basis points on a year-on-year basis, primarily on account of better product mix. The order inflow during the 9-month ended stood at INR249 crores as compared to INR177 crores in 9-month FY23, up by 41% on a Y-o-Y basis. The open orders as on December 31, 2023, stood at INR219 crores.

Furthermore, our total consolidated order book including both divisions experienced order inflow of INR1,438 crores during 9-month FY24 and the total open orders as on December 31, 2023, stood at INR791 crores.

Highlighting a few developments during the 9-month ended December 2023, as mentioned previously, we are pleased to announce that we have signed off four more OEM agreements. This brings our total overseas OEM business agreement to an impressive number that is 10, making significant progress in expanding our partnership.

We anticipate commencement of commercial production in FY25.

MHE division continues to win big orders for product supply. We have recently received two orders from the steel sector and one order for cement sector, aggregating to INR173 crores. We continue to make pr

gress in recovering funds through arbitration awards. As of 31 December 2023, we have received INR37.2 crores out of total awards of INR63 crores.

Negotiations for the remaining amount are currently in progress. Furthermore, we have initiated fresh arbitration proceedings with a total value of INR31 crores during Q1 FY24, outcome of which may take 1-2 years. We are confident of a positive outcome.

On this, I would like to open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aditya Rathi from Aequitas Investments. Please go ahead.

Aditya Rathi: Thank you for the opportunity, sir. Sir, my first question relates to the Red Sea crisis that is going on and the impact that it carries on the delayed shipment and cost?

Prayasvin Patel: I would say that right now we are just shipping the orders that we have received. Yes, our products are reaching two weeks later to our clients in Europe and if it is United States also, it would be two weeks additional time. Though the customers are complaining that it is taking two weeks longer, however, it has not seen a significant impact on reduction of orders or cancellation of orders.

Aditya Rathi: Sir, does it carry any cost impact relating to it?

Prayasvin Patel: The cost impacts are definitely coming in. We are transferring those costs to the clients in general because considering the fact that the freight as it was being paid, it is not inclusive in the price of the gears. So, they are paying the extra cost. No one live said, but still, they are paying it.

Aditya Rath: Sir, just now you mentioned that we still hold the revenue guidance for INR2,000 crores for financial year '24. Given that in nine months we have closed close to INR1,370 crores of revenue and there is a continuous decrease in the order book volume from transmission division, so do we still hold that INR2,000 crores revenue guidance?

Prayasvin Patel: Yes, as of now we are still continuing with INR 2,000 crores. We are reasonably confident. However, as I have mentioned also in my speech that there are challenges because of the reduction in steel prices as well as the geopolitical situation existing today with two wars going on and the Red Sea issue. So, we are reasonably confident because we are going to try our very best to reach the golden figure of INR 2,000 crores and we will continue to strive for that.

Aditya Rath: Sir, my last question relates to the extra four OEMs that we have signed overseas. Sir, any estimated business volume guidance for that like you mentioned for the six overseas the last time that EUR5.5 million would be coming from that?

Prayasvin Patel: Yes, [ inaudible ] we are anticipating EUR6 million of business coming in from it. However, it is difficult to say right now because right now we are in the testing phase where we would give them prototypes and they would put them on test after which the existing supplier, his scope would reduce and ours would increase. So, over a period of time, it will keep on increasing. So, it is very difficult to ascertain. However, our rough estimates are about EUR6 million.

Aditya Rath: Sir, this 6 million is incremental for that four OEMs or this is of the entire 10 OEMs that we have signed?

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Prayasvin Patel: It is all 10 OEMs to start with and then as I told you over a period of time it will keep on increasing.

Aditya Rath: Okay. And sir, any idea on when do we plan to commercialize it?

Prayasvin Patel: 2025.

Aditya Rath: Okay. Thank you so much, sir.

Management: In Q3 we are expected to start the commercial production. Commercial production will be in Q3, 2025. However, as I told you EUR 6 million, it will take

about 12 months to...

Aditya Rath: Okay. Thank you so much, sir.

Management: Thank you.

Moderator: Thank you. Our next question is from the line of Kashyap Javeri from Emkay Investment Managers. Please go ahead.

Kashyap Javeri: Hello. Sir, congratulations on a great set of numbers. A couple of questions from my side.

Point number one, you highlighted about the scope of work from 10 overseas OEMs that you expect at about EUR 6 million eventually. In light of the fact that our guidance over the next few years is a revenue share of 50 -50 between domestic and overseas. How much can eventually this 10 OEMs add in that 50 -50 target let's say over the next about 3 -4 years?

Second question is, you highlighted about some of the vulnerability or volatility in terms of our overseas business. But in terms of domestic business in FY25, how are things looking like there in terms of revenues? And third question is on our MHE margins, which now are almost inching very much near to our transmission division margins.

So, on a steady state basis , if there are no more write-offs in line with our strategy of not taking PSU business, are these sort of margins which are sustainable in MHE business?

Prayasvin Patel: You've asked so many questions. So, let me start right from the beginning. First of all, yes, the 10 OEMs would constitute about EUR6 million to start with. Okay. We presume that we will reach that figure within 12 months of commencement of normal production after the prototypes have been accepted. And we also see a good traction among our marketing people abroad, not only OEM, but replacement business, because right now the companies do not want to invest a sizable amount in new machinery and equipment.

So, they're more interested in continuing with the old equipment and still updating them to some extent. Therefore, there's a good potential for replacement business that we see right now. So, considering all that factor, we are confident that if things go positively, we will be able to achieve our targets of INR 2,000 crores.

And as long as the material handling division is concerned; the margins are almost reaching close to the gear division. We expect those margins to be sustained over a period of time, because we are picking and choosing the customers, and we are picking and choosing orders

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where we get reasonably good margins. And therefore, though our turnover has dropped from

the initial stages when we were doing contracting business, but we are focusing more on the bottom line. So, we believe that...

Kashyap Javeri: On the MHE side, are these margins a function of purely operating leverage, or in the market there is a demand supply mismatch also, which is helping us price them better?

Prayasvin Patel: No, it's not the mismatch. It is basically our business constitutes replacement, which is the after sales, as well as new requirements for new projects which are coming up. So, we are confident that we will be able to maintain those margins.

Kashyap Javeri: And just in continuation of the previous question about European OEMs, EUR6 million is the big order value possible, or this is where we start and eventually this EUR6 million in OEM space can be a meaningfully higher number?

Prayasvin Patel: It is a starting figure. We believe that it will open up more avenues for us with the 10 OEM contracts that we have signed. Plus, it will also open up doors for their competitors to whom we can also deal with. So, all in all, we believe that over a period of time, this 6 million will expand to a reasonably large number.

Kashyap Javeri: Domestic market, any commentary for next year?

Prayasvin Patel: Domestic market, I believe, is holding grounds and the way things are going, I am reasonably positive that it will keep on growing at least at the 6 plus percent GDP growth, which we are

expected to continue at least for another one or two years, if not more. We are seeing a good

amount of traction in our business, especially in cement and steel, and we believe that that may rub off to even various other industries.

Kashyap Javeri: Sure, sir. Thank you, sir. That's it from my side.

Prayasvin Patel: Next year, even sugar looks to be promising.

Kashyap Javeri: Okay. Thank you so much, sir. Thank you.

Moderator: Thank you. Our next question is from the line of Garvit Goyal from Nvest Analytics. Please go ahead.

Garvit Goyal: Hi. Am I audible?

Moderator: Yes.

Garvit Goyal: Good evening, sir, and congrats for a good set of numbers. My question is, do you see any headwinds or any slower growth rate in FY'25, given those geopolitical tensions you mentioned, including those Red Sea issues and falling order book in the gear division?

Prayasvin Patel: I have a different approach to those two things. I believe the worst has already happened and now things will start improving because if you look at the Russia -Ukraine war, how long can it further last? Okay. It can't last forever. Similar is the situation with the Hamas war, and if the Elecon Engineering Company Limited

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Hamas war gets diluted, then the Red Sea issue also should get diluted. So, I am reasonably positive that over a period of time, we are already seeing the worst scenario. Hopefully, things will improve.

Garvit Goyal: Okay, sir. And the presentation, sorry, that is answered. One question is particularly on the railways and metro segment. As far as I remember, in Q1 FY'24 con call segment for manufacturing gears through global partnerships, we are trying to enter into a railways and metro segment. So, can you elaborate on the opportunities that the company poses in this partnership?

Prayasvin Patel: We are still pursuing. We have given trial components as well as products to the OEMs. However, the process is a slow process which is continuing. As of now, it is going extremely slow, but we are hopeful that we will be able to improve the scenario in the future.

Garvit Goyal: Okay. And on the material handling equipment side, so have there been any orders from railways for product side like wagon tippler?

Prayasvin Patel: Yes, they happen to come in on a continuous basis from various clients which are from the cement power sector as well as steel. So, that is an ongoing product that we keep on selling.

Garvit Goyal: Understood, sir. And on the export front, currently our export percentage is 27. So, and you have the guidance for export of 50% by 2030. So, to which major countries in the company are currently targeting?

Prayasvin Patel: It is difficult to say because as I told you, we have a focus more on the United States and Northern America. We also see a good traction in South America. Europe is also showing promise. So, it is difficult to say and it will vary from year-to-year. So, the intention is that you keep on selling products in various countries. And if you do not focus only on a particular region, it is better because that will help you hedge well against recession when a recession hits India.

Because then your 40% to 50% of your turnover is coming in from exports. And hopefully, while India goes into recession, hopefully there are good times in other countries of the world.

Garvit Goyal: Understood, sir. And on the order book front, currently we do have an open order book of

somew here around INR800 Cr. So, how do you see the order book shaping up in the upcoming quarters?

Prayasvin Patel: Normally, what happens is by the year end, you see an increase or a surge coming through. So, we are hopeful that the figures will improve in the last quarter.

Garvit Goyal: That is it from my side, sir. All the best for the future.

Prayasvin Patel: Thank you.

Moderator: Thank you. Our next question is from

the line of Mudit Kabra from Elara Capital. Please go ahead.

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Mudit Kabra: Firstly, congratulations on OEM additions.

Kamlesh Shah: Thank you.

Mudit Kabra: Could you tell us which are the sectors where we have added these four new OEMs?

Kamlesh Shah: So, these are from packaging, steel and plastic industry.

Mudit Kabra: Okay. And apart fr om that, sir, if we add up Q2 and Q3 inflows this year and last year in the industrial segment, we see there is a flatness in the quantum of order inflow. And we also, if I can recall in this Q2, we mentioned that there is some spillover in order inflows. So, is it fair to assume that the growth in inflows in industrial segment this quarter Q3 is majorly on account of the spillover which is getting through in Q3?

Prayasvin Patel: Sorry, would it be possible for you to repeat that? Because somewhere down the line, we could not hear it properly.

Mudit Kabra: Okay. Sir, if we add up Q2 and Q3 inflows in this year and the last year, it is largely flat. And in last quarter Q2 FY'24, we mentioned that there is a spillover because of delay in export order inflows. So, is it fair to assume that the order inflow in the industrial segment this quarter is on account of those orders coming in this quarter, like the spillover coming in Q3?

Prayasvin Patel: No.

Mudit Kabra: These are fresh orders?

Prayasvin Patel: Yes. See , our deliveries are extremely fast. So, the time that we take to process and execute is very fast. So, you see a big consumption that takes place.

Mudit Kabra: Okay. And similarly, there is no impact on revenue recognition also in this quarter due to the spillover impact?

Prayasvin Patel: No.

Kamlesh Shah: No, there is no.

Mudit Kabra: Okay. Got it. Lastly, sir, on the market share in Q3 versus last year Q3 in the organized industrial years?

Kamlesh Shah: Generally, we don't do on a quarter -on-quarter basi s. We work out our market on an annual basis only. Because what happens, some of the figures are not available on a quarter -on-quarter basis.

Mudit Kabra: Got it, sir. Got it. And do we have the revenue mix between the customized and the standard product t his quarter?

Kamlesh Shah: Yes. This quarter, 55% is from engineer ed product, that is customer's product and 45% from catalogue product.

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Mudit Kabra: Thank you so much for this information. All the best.

Kamlesh Shah: Thank you.

Moderator: Thank you. Our next question is from the line of Ashutosh Garut from Ambit GPC PMS. Please go ahead.

Ashutosh Garud: Yes. Hi. So, first of all, congratulations for a good set of numbers. So, my question is slightly broad -based. So, just wanted to understand -- we have se en the last whole decade as far as Elecon Engineering is concerned, the top line has hovered around 12.

Prayasvin Patel: We can't hear you now. I think you got disconnected.

Ashutosh Garud: Okay. Am I audible now?

Kamlesh Shah: Yes. Now, yes.

Ashutosh Garud: Sorry. I was saying that we have seen that the top line for Elecon Engineering has been hovering around INR 1,500 -odd-crores or to INR 1,200 -odd-crores for the whole decade. And now we have seen recent few quarters of good traction. So, just wanted to understand, yes, you mentioned some kind of caution in the near term because of the geopolitical aspects. But from the next three to four years perspective, do you think that we are really getting into a capex

cycle which is much more sustainable?

Because what we are seeing that even your operating margins have improved dramatically in the last two years. So, just wanted to have a broad sense on the next three, four years journey going ahead. And then maybe I can come on my second question.

Prayasvin Patel: See, if you look at it from where we started, we started

with material handling and gear

business used to be 50-50. Okay. Today, the material handling business is hardly less than 20%. And the balance is gears. So, there has been a tremendous shift in the turnover coming from material handling as well as gears. And the gear has always been giving us better margins up till now.

And in MHE, because of our change in strategy from contracting business to product selling, as well as the after sales market. So, we have been able to reduce the top line. But slowly and gradually, we want to ensure that the bottom line is extremely healthy, just like what you would find in gears.

So, the whole transformation has taken place. And slowly and gradually over a period of time, we have been able to increase the turnover of both gears and material handling with high profitability. Going forward, the way we see it is the domestic traction plus our focus on exports. The export focus, our tie-ups with OEMs and other possible companies in Europe, as well as the United States, would give us substantial traction going forward.

And we believe that we will be able to sustain the growth. There is a constant challenge which exists today in Europe and the United States, where their local costs are going up tremendously, and where they would like to offload various products to the companies in Asia.

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And that is where we see a good potential coming our way. And that is the reason we are confident that we will be able to sustain this growth over a period of time.

Plus, we have not yet, as a company or as a group, looked at inorganic growth. There again, the potential also is high. Okay, because there are companies abroad, especially in the Western world, where they have issues of margins. The margins are negligible. And where, unless they bring in a foreign investor from the Far East or Asia, for them to sustain becomes difficult.

So, this scenario is very favourable to us. And we see a great opportunity going forward.

Ashutosh Garud: Okay, great. So, thanks. Thanks for that elaborate answer. And just coming to the near term.

So, when we are talking about INR 2,000 crores of our top line for this financial year. So, that actually, I mean, some of my fellow colleagues, I mean, I also wanted to understand the same thing.

So, are we expecting a decent amount of execution in the Q4? Because at that run rate, we should be clocking in the excess of around INR 600 crores kind of a top line. So, if you can just throw some colour on, is there some delay in execution from this quarter to the next quarter or any other aspect which is playing out here?

Prayasvin Patel: See, I always say that mechanical engineering companies are like the T20 teams, because the last five overs are very critical. Similarly, Q4 for all the engineering companies, the turnover always jumps up to a large extent. So, that is the reason why we believe that, going forward, we will be able to do a much higher turnover in the last quarter.

Ashutosh Garud: Thank you, sir. Thank you and all the best.

Prayasvin Patel: Thank you.

Moderator: Thank you. Ladies and gentlemen, in the interest of time and fairness to all participants, may we request participants to limit their questions to one or two participants.

Should you have a follow up question, we would request you to rejoin the queue. Thank you.

Our next question is from the line of Sunil Kothari from Unique PMS. Please go ahead.

Sunil Kothari: Thanks for the opportunity. Congratulations, Prayasvin, for good numbers.

Prayasvin Patel: Thank you.

Sunil Kothari: Sir, just one thing I wanted to understand, the way power sector is investing now, thermal power, government is very keenly want to expand coal mining, coal gasification. So, how internally we are prepared? Because we have stopped the EPC that I understand, but in terms of product or

capability, our team building.

So, on MHE, how you want to prepare yourself because the opportunity will be definitely there.

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Prayasvin Patel: Yes, you are absolutely right, Sunil. The opportunities now are coming up and they are coming up in a slightly different way than before. But, you know, I completely agree with you that India will not be able to completely move away from coal and mining, especially coal mining. And therefore, the potential not only exists in mining coal, but also in the power sector. And we are tightening up our belts because, as you know, we were quite largely dependent on the power sector, especially in material handling. So, we look upon it as an opportunity and we are putting up a team together to evaluate and execute this as and when the opportunity arises.

Sunil Kothari: And, sir, one more question is on this internal development on some different type of gears. We I think are developing speed gears. So, many internal things we do always, continuously. So, on those things, on the transmission side, if you can talk whatever qualitative aspect of Elecon internally, what we are doing?

Prayasvin Patel: Yes, Elecon is continuously developing not only new products, but also new lines for the future. High speed is one of them. Okay.

Where we have internally put up an entire program where we had involved consultants and guides who helped us develop all this. We have successfully developed it. I cannot name or cannot give you the names, but we have successfully developed products for some very important customers.

And we believe that will give us a good business going in the future. This is as long as high-speed gears are concerned. We have developed also very special kind of couplings, which we will be putting up in the market very, very soon.

So, there are new aspects that we continuously keep on striving to develop and put them on the market, because that is the way to go forward. We have been doing this in the past and we will continue to do in the future. And some of the other, sometimes you hit a lottery with it, which means though the potential may be low to start with, but it gives you tremendous opportunities in the near future.

Sunil Kothari: Right. Thank you very much and wish you good luck.

Prayasvin Patel: Thank you.

Moderator: Thank you. Our next question is from the line of Akash from Dalal and Broacha. Please go ahead.

Akash: Yes, very good evening, sir. And that's a great set of results. So, my first question to you would be on the capacity utilization that we have operated at this quarter.

Prayasvin Patel: Capacity utilization is approximately 76%.

Akash: Okay, sir. And, sir, what would be our scope to improve from here? What would be our peak in terms of utilization?

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Prayasvin Patel: See, I would not put it as a cut-off area because today Elecon is doing almost, I would say 80% to 90% of the manufacturing in-house. So, if you do subcontracting, the potential would be even larger. Okay.

But because of maintenance of quality, high standards, plus, you know, our own capability to do things, we have been doing them in-house. But if you, you know, require a subcontracting, you can also increase the capacity to a very, very large extent. I would say 80-85% would be a reasonable amount internally to pursue. And as I told you, subcontracting, even additional capex, which we are doing over a period of time, all this would increase the capacity.

Aakash: Got it, sir. So, if you could give some colour on the capex that we are planning to do in the balance part of this year and in the next couple of years?

Prayasvin Patel: Sorry, can you repeat that please?

Aakash: If you could give some colour on the capex that we are planning to do in the

next, in the

coming quarter and as well as in FY25.

Kamlesh Shah: This year, we already spelled out a capex of INR100 crores and we are just going to achieve the capex out of nearly INR80 crores to INR90 crores from this year. And if you see over the period of three years, we have spelled out our capex plan is INR300 crores in the three phases. INR100 crores, we already spelled out and we are doing now.

Another INR100 crores and then the next INR100 crores will be based on the revenue estimation, we are just going to implement that. And further, we may require to accelerate that capex considering the long lead time for supply of equipment, which is a sophisticated and automatic equipment.

Prayasvin Patel: See, approximately, it works out to be INR100 crores per year capex for the next three years.

This is going to be done from our own internal resources. There is going to be no external borrowing. Okay. As well as I told you, that would not only increase the capacity, but also would be to improve the quality and to sustain the productivity that we have today or even

better.

Aakash: Got it, sir. So, sir, out of the INR100 crores for this year, we have just done around INR26 crores for the nine months, right? So, balance is going to be done in a Q4?

Kamlesh Shah: Yes, some are already done and because some are given the advance to the supplier, where the machines are expected the delivery of that in this Q4 and some of them are in the next year Q1.

Total, we already spent INR58 crores.

Aakash: Got it. And one more question.

Moderator: We request you to rejoin the question queue for more questions. Thank you. Our next question is from the line of Gunjan Kabra from Niveshaay. Please go ahead.

Gunjan Kabra: Congratulations to the entire team for a good set of numbers. So, my first question is that...

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Moderator: Ma'am, I am sorry to interrupt. May I request you to use your handset, please?

Gunjan Kabra: Yes. Is it fine now?

Moderator: Yes, ma'am.

Prayasvin Patel: Yes, much better, much better.

Gunjan Kabra: Yes. Thanks. So, I wanted to understand that for the next year, with the current demand environment and the inflow that we see, can we expect around 20% -25% of the growth that we have been doing since last one year, one, two years and we can continue doing that with th e current capacity and the demand scenario? So, what's your take on that?

Prayasvin Patel: See, because of the geopolitical situation, we are assessing it very minutely and thus, we normally do this exercise in the last quarter. So, this exercise is, it wi ll be done shortly and we will be coming up with our projections for the next year and the tentative projections for the next to next year in the next con -call that we do in the last quarter, after the last quarter.

Kamlesh Shah: Further to add, because th is is the general election period that we are aware and considering the other geopolitical scenarios and general election in India, some, you know, the process will be slowed down administratively. We are just putting the, you know, we are fine tuning the numbers and we'll just work out with the, you know, more accurate number in our Q4 earnings call.

Gunjan Kabra: Okay. So, next quarter would be a better time for you to guide us.

Kamlesh Shah: Correct.

Gunjan Kabra: So, next question I had is, how much is the after -sales service in the MHE division? So, suppose if you're doing around INR200 crores, INR250 crores in a year on the MHE side in terms of revenue, then what's the after -sales that we have every year? What's the percentage of that?

Kamlesh Shah: In MHE, we have, you know, if you see nine months, we have 39% is from after -market.

Gunjan Kabra: So, 39% is after -market, but I'm asking if some, if suppose, for example, if you execute around INR250 crores of the revenue, if yo

u do around INR250 crores of revenue in the MHE

division, then how much of that revenue is after -sales that, you know, percentage of the total order that we execute comes in form of after -sales service? Is that a parameter to understand is what I wanted to understand?

Kamlesh Shah: Because material handling equipment, most of the things are required for the scheduled maintenance kind of activities, and we cannot anticipate what it will be? If we expect only purely on the service side, it will be 50% of the revenue over the life of the product will be after-sales market.

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Gunjan Kabra: And just last question, I always ask you this, that, you know, in defence side, we haven't received on the marine gears because we haven't entered that. So, defence segment as a whole in the industry is doing well. So, can you expect the forecast, the number to inflow in the next year, or how do you see it, the defence segment?

And also, are there any sectors where we have a high margin, where we can demand higher margin, maybe, you know, in steel or ceme nt, or is it the same in all across the sector?

Prayasvin Patel: The margins vary from project to project and from customer to customer. So, it's very difficult to give you an answer on that. As long as marine is concerned, marine orders come in spots, which means they come and then after a while, there is a gap and then again they turn up. But we are hopeful that a reasonable good quantity should be expected in the next year.

Gunjan Kabra: Okay. And of the current order book, how much is to customize and h ow much is standard

orders? Can we have a highlight on that?

Prayasvin Patel: Yes, 55% is coming from customized gears and the balance is coming from catalogue gears.

Gunjan Kabra: No, that you have done in this quarter. I'm asking for the current order book of INR525 crores that we have right now. So, is it the same number that is there or is it different?

Prayasvin Patel: It would vary slightly. Yes, 5% is the variation that one expects from quarter-on-quarter. There could be fluctuations of those. It also depends on how much of the orders after receipts are produced in that particular quarter.

Gunjan Kabra: Okay. Got it. Thank you so much and good luck to you and the team.

Moderator: Thank you. Thank you. Our next question is from the line of Deepak Purswani from SVAN Investments. Please go ahead.

Deepak Purswani: Good evening, sir. And congratulations for good set of numbers. I just wanted to understand in terms of the export market. If you can show some light in terms of the growth in the nine months, because if I'm looking into the performance between the console and standalone in the nine months, the difference between them in terms of revenue is INR258 crores, which is 8% year on year. So, how should we look into this number in terms of the export market? I think at the beginning of the year, we were targeting somewhere close to INR500 odd crores. So, are we on track to achieve this number?

Prayasvin Patel: Yes, we are on track to achieve this.

Kamlesh Shah: So, we are expected to know some in two or three, it was due to the holiday period, both in India as well as overseas. And for the escalation of Israel and Hamas, which has impacted the transport, we are expected that in Q4, we are able to achieve the target, what we have spelled out.

Deepak Purswani: Okay. And, sir, can you please also share numbers for the nine months in terms of the growth for the export market?

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Management: Growth for the export market? You want the nine months figures? Export figures for the nine months, is that what you want?

Deepak Purswani: Yes.

Management: So, we have achieved INR338 crores of our overseas business plus export from India. Again,

ir, last year we did INR326 crores during the same nine months period.

Deepak Purswani: And, sir, in terms of the order intake for the export market? In the current order book, how much is the order intake for the export market?

Management: INR80 crores.

Deepak Purswani: Okay. Thank you. Thanks a lot.

Moderator: Thank you. Our next question is from the line of Naysar Parikh from Native Capital. Please go ahead.

Naysar Parikh: Yes. Hi. Thanks for your question. The first one was...

Moderator: Sir, may I request you to use your handset, please? You're not audible. Yes.

Naysar Parikh: Sorry. Is this better?

Moderator: Yes, sir. Please go ahead.

Naysar Parikh: Okay. So, directionally, you know, we are at 25% EBITDA margin, which is obviously the highest for us. So, going forward, how do you see these margins? Do you think that, you know, we've peaked and we'll reinvest back? Or is there further scope to go up? Or how should we look at the margin trajectory?

Kamlesh Shah: I think between 23% to 24% is a sustainable margin going forward. 23% minimum is a sustainable margin going forward for us. And we can, you know, optimize this to 24%.

Naysar Parikh: Okay. Got it. And second, just in terms of, you know, our capex plans, I think you mentioned INR100 crores each. But other than that, do we have to consider a larger capex plan, you know, in the next, taking a three, four-year horizon? And how do we think of that?

Prayasvin Patel: We have no other plans except consuming this INR100 crores each for the next three years.

Naysar Parikh: Okay. And in that capacity, what, like, at what capacity would that leave us, generally, in terms of revenue or something?

Prayasvin Patel: We are expected that with this, it should take us to at least INR 2,500 crores. And if required, if additional resources are required, we can even subcontract.

Naysar Parikh: Okay, sir. Got it. All right. Okay. Thank you so much.

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Moderator: Thank you. Ladies and gentlemen, due to time constraints, this will be the last question. Our

last question is from the line of Yashi Lohia from the Microcap Minute. Please go ahead.

Yashi Lohia: Thank you for the opportunity. So, I just had two questions. So basically, the recent orders that you have got from the...

Moderator: May I request you to use your handset please.

Yashi Lohia: Am I, is it better now?

Moderator: Yes, ma'am. Please go ahead.

Yashi Lohia: Yes. So, thank you for the opportunity. I wanted to ask you the recent orders that we have got from MHE division. INR134 crores from the steel sector and INR39 crores from the cement.

So, does our current order book include these or when are we expecting it to realize?

Kamlesh Shah: No, that last order which we received in January, which is of INR83 crores, is not included in our order book, open order book portion of INR791 crores as of 31st December 2023. If we include that, my total order book portion will be INR874 crores.

Yashi Lohia: Okay. And so, when are we expecting it to realize?

Prayasvin Patel: When are we expected to? Sorry, can you repeat that again, please?

Yashi Lohia: When are we expecting it to realize?

Prayasvin Patel: Realize.

Yashi Lohia: When can we expect --, yes.

Kamlesh Shah: So, it will be realized by Q3 next year.

Yashi Lohia: Okay. And like if I see the gross profit margins this quarter, it has decreased by 110 basis points year-on-year. So, is this because of the -- Can you share some light on why had this happened?

Kamlesh Shah: It is because of the product mix. Because we are -- due to change the product mix, 100 to 150 basis point will be always a plus or minus. We always get the guidance on the average out based on the annualized basis.

Prayasvin Patel: It will even out before the end of the next quarter. It is just that it depends on what orders

you

have executed and what equipment's are being manufactured, which varies the margins.

Yashi Lohia: Okay. Thank you so much.

Moderator: Thank you. That was the last question of the question-and-answer session. I would now like to hand the conference over to the management for closing comments.

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Prayasvin Patel: Thank you for participating in this call and expressing your interest in our company. We are strategically positioned to leverage opportunities in the domestic market and are actively exploring avenues internationally. As we progress on our path, we aim to reach new heights and achieve significant milestones. If you have further questions, please feel free to reach out to SGA, our Investor Relations firm, or our CFO, Mr. Narasimhan Raghunathan. Your participation is greatly valued. Thank you.

Moderator: Thank you. On behalf of Elecon Engineering Company Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

## Call: Apr 2024

26th April , 2024  
To,

The Manager (Listing),  
The BSE Ltd.  
Mumbai  
The Manager (Listing),  
National Stock Exchange of India Ltd.  
Mumbai  
Company's Scrip Code: 505700 Company's Scrip Code: ELECON

Sub. : Transcript of the Investors Call held on 22nd April, 2024  
Ref. : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015

Dear Sir,

With reference to the above referred Regulation and in continuation of our letter dated 14th April , 2024, please find attached herewith the transcript of the Investors Call held on 22nd April , 2024 for Q 4 of the Financial Year 2023-24.

The same is available on the website of the Company at  
<https://www.elecon.com/investors/audio-video-recordings-and-transcripts-of-post-earnings-quarterly-calls>

You are requested to take the same on your records.

Thanking you.

Yours faithfully,  
For Elecon Engineering Company Limited,

Bharti Isarani  
Company Secretary & Compliance Officer

Encl.: As above

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"Elecon Engineering Company Limited  
Q4 FY24 Earnings Conference Call"

April 22, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 22nd April 2024 will prevail.

MANAGEMENT : MR. PRAYASVIN PATEL – CHAIRMAN AND MANAGING  
DIRECTOR  
MR. AAYUSH SHAH– NON-EXECUTIVE DIRECTOR  
MR. M.M. NANDA – HEAD (GEAR DIVISION )  
MR. P.K. BHASIN – HEAD (MHE DIVISION )

MR. KAMLESH SHAH – GROUP CHIEF FINANCIAL  
OFFICER  
MR. NARASIMHAN RAGHUNATHAN – CHIEF FINANCIAL  
OFFICER

MODERATOR : MS. TEENA VIRMANI – MOTILAL OSWAL FINANCIAL  
SERVICES

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Moderator : Ladies and gentlemen, good day, and welcome to Elecon Engineering Company Limited Q4 and FY24 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “\*” and then “0” on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Teena Virmani from Motilal Oswal Financial Services.

Thank you, and over to you, ma'am.

Teena Virmani : Thank you. Good afternoon, everyone. On behalf of Motilal Oswal Financial Services, I welcome you all to Q 4 and FY24 Earnings Conference Call of Elecon Engineering Company Limited.

We are pleased to have with us the Management Team, which is represented by Mr. Prayasvin Patel; Mr. Aayush Shah; Mr. M.M. Nanda; Mr. P.K. Bhasin, Mr. Kamlesh Shah; and Mr. Narasimhan Raghunathan. We will have an opening remarks session from the management followed by a question and answer session. Thank you, and over to you, Prayasvin sir.

Prayasvin Patel : Thank you, Teena. Good evening, and a warm welcome to everyone on our Q4 and FY24 Earnings Conference Call.

On the Earnings Call today, I am joined with Aayush Shah – Non-Executive Director; Mr. M. M. Nanda – the Head of Gear Division ; Mr. P. K. Bhasin – the Head of MHE Division; Mr. Kamlesh Shah – our Group CFO; and Mr. Narasimhan Raghunathan – CFO.

We have uploaded the “Press Release and Investor Presentation ” on the Stock Exchanges and the Company 's website, and I hope everyone had the opportunity to go through the same.

I will start with industry and business overview and then I will hand over the call to Kamlesh – our Group CFO, to discuss the financial performance of the quarter and financial year ended March 2024.

I am delighted to announce that Elecon Engineering has achieved remarkable milestones in its financial performance for FY24. We have achieved our highest ever revenue amounting to Rs. 1,937 crores and a profit after tax PAT of Rs. 356 crores in FY24.

Now I'll talk a bit about the Economic Landscape :

The global economy is showing signs of recovery with inflation declining more rapidly than the expected in most regions. However, persistent geopolitical tensions in West Asia and supply chain disruptions remain a potential risk.

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India, in particular, is poised for accelerated growth. The Indian economy is projected to expand at 7.5% in 2024. According to the World Bank, in October to December 2023 quarter, the economy exceeded all expectations, achieving a remarkable growth rate of 8.4%. This performance was bolstered by robust investment and strong performance in both the industrial and service sectors. Manufacturing PMI improved to 59.1 in March , up from 56.9 in February. This reflects stronger growth in new orders and a resurgence in job creation. These positive indicators signal an even better performance for India in the coming year.

Let me speak about Elecon now. Elecon is one of the largest industrial gear solution providers in Asia. In the Indian market, we proudly hold a leadership position with approximately 39% market share in the organized sector. Our expertise lies in delivering end -to-end gear solutions, catering to a diverse range of industries, including cement, steel, power, sugar, among others. At Elecon, we offer the widest range of gears, ensuring seamless operations and efficiency for our clients.

Whether it's gearboxes for heavy -duty applications or precision components for critical machinery, we are committed to excellence with our best -in-class products and capabilities

. Our

dedication to innovation drives us to continuously invest in research and development, ensuring that we adapt to the ever -evolving needs of our customers for productivity and customization.

We view new product creation as a strategic imperative, ensuring that we remain at the forefront of the industry.

Moreover, we are equally committed to safeguarding the health and longevity of these gearboxes, ensuring their reliability and performance. While we excel domestically, we are equally dedicated to expanding into the overseas market, which presents significant growth opportunities for Elecon in the years to come. Our global network spans across more than 85 countries, facilitating our mission to serve our clients worldwide. For the fiscal year ended March 2024, our contribution to the overall revenue from overseas market stood at 24%.

Now I'll move to giving updates on our two segments :

The Gear Division and the MHE Division .

Gear Division:

Our Gear Division contributes nearly 85% of the overall revenue as of financial year 24.

We take immense pride in being industry leaders when it comes to lead times. Our streamlined processes and efficient workflows enable us to deliver with unmatched speed, making us a reliable equipment provider.

What truly sets us apart is our focus on customization and precision. Whether it's tailoring gear solutions for specific requirements or ensuring impeccable engineering, we consistently raise the bar.

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Domestically, the government's strong emphasis on capital expenditure, coupled with an upswing in end-user consumer demand, has significantly bolstered our domestic performance. Looking ahead, we anticipate that our order book for the next year will align with the current trend. This confidence stems from our increased order inquiries and increased wallet share we have secured from our existing customers.

Additionally, we have several products currently under development. The launch of these new offerings is poised to drive further improvement and reinforce our market position.

Internationally, we believe exports is the way to go, and it brings me great satisfaction to share that we are making progress in this arena. We have successfully partnered with 11 OEMs in the overseas market. These collaborations span diverse industries, including plastic, rubber, steel, among others. The references and credibility we gain through these partnerships serve as a powerful catalyst for further expansion. Additionally, we actively participate in overseas expos, where we showcase our cutting-edge product capabilities. Beyond our product offerings we recognize the importance of after-sales services in accelerating growth. By combining all these efforts, we are poised for sustained success in the overseas market.

Moving to the MHE Division :

Within this division, we have strategically discontinued our EPC work. Our focus now lies entirely on product business and after-sales services. This year gone by has experienced a surge in order inflows, particularly from some of the most esteemed industry players. We firmly believe that government investment in infrastructure development and mining will act as a powerful catalyst, propelling the growth trajectory of this division even further.

Finally, at Elecon, our values and principles form the bedrock of our identity. We prioritize sustainable practices, envisioning a future that shines even brighter by wholeheartedly embracing diversity, ensuring safety, and actively uplifting our communities. Elecon fosters a social responsible ecosystem where everyone thrives.

With this, I would like to hand over the call to Kamlesh Shah – our Group CFO, for financial highlights for Q4 and FY24. Over to you, Kamlesh.

Kamlesh Shah : Thank you, sir. Good evening, every one, and a very warm welcome to our Q4 and FY24 Earnings Call.

all .

I will now take you through the highlights of our financial results for Q4 and FY24 :

Our consolidated revenue from operations for the quarter ended March 2024 stood at Rs . 565 crores as compared to Rs. 425 crores in the same quarter of last year, a growth of 33% on a YoY basis. The domestic market accounted for 79% of the revenue and balance coming from the overseas market.

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EBITDA for Q4 FY24 stood at Rs . 135 crores, growing 46% from Q4 FY23. The EBITDA margin for the quarter stood at 24%. The driving forces behind this performance were strategically enhanced product mix, cost management measures and targeted process improvement initiatives. PAT margin for Q4 FY24 stood at 18.4% as compared to 16% in Q4 FY23, registering an improvement of 240 basis points.

For the year ended March 2024, consolidated revenue from operations stood at Rs. 1,937 crores, registering a growth of 27% on a year -on-year basis. As mentioned, Elecon has achieved the highest ever revenue in FY24, underscoring the Company 's resilience and strategic focus.

EBITDA stood at Rs. 474 crores, registering a growth of 40% as compared to FY23. The EBITDA margin for the period stood at 24.5%. The PAT for the period stood at Rs. 356 crores, a growth of 50% on a year -on-year basis.

Moving on to the segment -wise performance :

Gear Division accounted for 80% of the revenue while 20% was contributed by the MHE Division in Q4 FY24. In FY24, 85% of the revenue was contributed from Gear Division while 15% was contributed by the MHE Division.

Talking about the gear segment, consolidated revenue from operations for the quarter ended March 2024 stood at Rs. 452 crores as compared to Rs. 366 crores, a growth of 23%. Revenue for the year ended March 2024 stood at Rs. 1,644 crores, up by 25% on a YoY basis.

The EBIT for the quarter stood at Rs. 115 crores, a solid year -on-year growth of 47%. The EBIT margin for Q4 FY24 stood at 25.5% as compared to 21.4%, reflecting an improvement of 410 basis points. EBIT for FY24 stood at Rs. 420 crores as against Rs. 288 crores in FY23, reflecting a growth of 46% YoY growth. The EBIT margin for the year ended March 2024 stood at 25.6%, registering a growth of 360 basis points. The order intake for FY24 stood at Rs. 1,601 crores, up by 15% on a YoY basis. Order in hand is Rs. 536 crores as of March 31, 2024.

Moving on to the MHE Division :

Revenue for the quarter stood at Rs. 112 crores as compared to Rs. 58 crores in the corresponding quarter last year, growing 93% YoY. Revenue for the year ended March 2024 stood at Rs. 293 crores, registering a growth of 35% on a YoY basis. EBIT for Q4 2024 stood at Rs. 26 crores as compared to Rs. 11 crores in Q4 FY23. The EBIT margin stood at 23.4% as against 19.2% in Q4 FY23, increasing 420 basis points on YoY basis. The EBIT margin for the year ended March 2024 stood at 23.3%, an improvement of 830 basis points on a year -on-year basis primarily on account of better product mix.

The order inflows during the year ended stood at Rs. 393 crores as compared to Rs. 223 crores in FY23, up by 76% on YoY basis. The open orders as on March 31, 2024, stood at Rs. 260 crores.

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Furthermore, our total consolidated order book including both divisions experienced order inflows of Rs. 1,994 crores during FY24 and the total open orders as of March 31, 2024, stood at Rs. 796 crores.

Now, highlighting a few developments during the quarter and year ended March 2024 :

As mentioned previously, we are pleased to announce that we have signed off one more OEM business agreement in the quarter gone by. This brings our total overseas OEM business to 11, having an annual estimated business volume of 6 million euros. This progress underscores our commitment to expanding partnerships. We anticipate the commencement of commercial

production in FY25. In our efforts to grow our share of business from the overseas market, we

are expanding our network.

We continue to make progress in recovering funds through arbitration awards. As of March 31, 2024, we have received Rs. 37.2 crores out of the total awards of Rs. 63 crores. Furthermore, we have initiated fresh arbitration proceedings with a total volume of Rs. 31 crores during Q1 FY24, outcome of which may take 1 -2 years. We are confident of positive outcome.

We have proposed final dividend of Rs. 2, that is 100% per equity share and split of shares from Rs. 2 per share to Re. 1 per share, both subject to the shareholders' approval.

Lastly, our guidance :

Our revenues for FY24 stood at Rs. 1,937 crores, growth of 27% on a y -o-y basis with EBITDA at Rs. 474 crores and EBITDA margin of 24.5%. While we initially projected an annual revenue guidance of Rs. 2,000 crores for FY24, external factors have resulted in a minor deviation of 3%. It is essential for us to clarify that this deviation is primarily on account of decrease in the raw material prices impacting our overall order value and hence revenue. If we compare on a like-to-like basis, assuming commodity prices remain stable, we have delivered on our guided performance; in fact, overachieved. But on account of softening of raw material prices, we have to adjust our selling price accordingly. We are happy to report that we have outperformed on our margins guidance and have delivered 24.5% for FY24 as compared to our initial guidance of 22%.

So, if you look at the overall scenario, our guidance missed on revenue is 3%, but has overachieved by 250 basis points on margins which have delivered higher absolute margins on our original guidance of Rs. 2,000 crores.

Looking ahead, as we extend our guidance for FY25, let me say some perspective here , we are

mindful of the challenges posed by geopolitical tensions in West Africa n conflict, disruption in the supply chain and the election period in India on account of these situations. We are confident of sustaining margins at the current year.

On this note, I would like to open the floor for Q&A.

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Moderator : We will now begin the question and answer session. The next question is from the line of Kashyap Javeri from Emkay Investment Managers. Please go ahead.

Kashyap Javeri : So, first question is actually a repetition of the previous participant's, which is about the guidance for 2025. You spoke at length about how export markets, we are trying to achieve through tie up with some of these OEMs. So, if you can throw some light on guidance for 25. Second is a bookkeeping question. If I look at your cash flow statement, again, in 2H, we have had some inventory write-downs as well as some provision for bad debts totalling to almost about Rs. 23, Rs. 24 crores. If you adjust for that, in fact, your margins adjusted versus what you have reported go up by another about 200 basis points, right? So, one, why this is repeating yet, given that we have now shifted from the EPC model to only product model in our MHE division? And two, should then the margins for next year be even significantly higher than what we have reported for second half of this year if you adjust for the bad debts? So, these are the two questions that I have.

Kamlesh Shah : I will answer your first question about revenue growth. So, we have positioned ourselves this year as 15% growth compared to what we have achieved for FY 2024. While we are conservative over here because a number of issues or challenges are there, which you might be aware to some extent. So, one is the West Asia, there is complete disruption, which is there, where now it is getting escalated. So, we also don't know where it will get ended up.

Second, in India, we are now presently going through an election period where

we have some

code of conduct due to this election due to which the orders by the PSU will be on hold and which will get released we believe that it will be only after August onwards. It will start flowing over there.

Second, US is also going for an election by November 2024 sometime and the US election has been a wider impact considering the dollar being a centralized currency. So, considering that also we are cautious. So, all these 3 factors, and more particularly that West Asia, the challenges, geopolitical challenges, if it gets calmed down or reaches to a normalcy, I think we have the scope available to do better in Q3 and Q4.

If I give about the write-off of the inventory, it is nothing but a conservative approach what we are having. Because what happens when we are having the PSU business, we have to keep some of the inventory with us, which we do not know when it is going to get utilized. So, considering the conservative approach, we say why we should not have the conservative approach and make a write-off for that inventory. As and when we use this inventory, automatically that will be converted into an additional profit for us.

And so far as the bad debt is concerned, yes, again I am telling we are going with a conservative approach, but particularly for ECL provision. In ECL provision, considering the length of the recovery and in consensus with our auditors, we say yes, we would be okay to make an additional provision considering the lapse of time, under which we are not able to recover, because most

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of them are under dispute and under legal arbitration process, which may further delay the recovery of the outstanding dues to the customer.

Kashyap Javeri : Then underlying margins are even stronger than what you have reported? Is that something that I take home from this?

Kamlesh Shah : Yes, it is. It is because of the product mix; our margins are better.

Kashyap Javeri : Just last one clarification. In terms of your CAPEX this year, that number was roughly about Rs. 40 odd crores. Is that right number?

Kamlesh Shah : No, because we have already spelled out in FY23 that our total CAPEX plan is Rs. 300 crores, and we are on that track. And by the end of this year, we will complete this CAPEX plan of Rs. 300 crores, which will be in place.

Kashyap Javeri : And this will be both divisions?

Prayasvin Patel : Sorry, I will interrupt. Rs. 300 crores is for a period of 3 years. So, it is Rs. 100 crores each, but we are looking at a total segment of Rs. 300 crores, because the delivery dates of machine tools nowadays is far longer than 9 months or quite often more than a year. That is the reason why we have taken a period of 3 years.

Moderator : Next question is from the line of Rohit Natarajan from Aditya Birla Sun Life. Please go ahead.

Rohit Natarajan : I missed some remarks. I don't know if you have talked about the guidance for FY25. What will be the split between Gears and MHE? And how much of the quantum will come through exports?

Kamlesh Shah : So, our guidance for FY 2025, the consol revenue, we are estimated at Rs. 2,225 crores, of which we are expecting nearly Rs. 360 crores from MHE division and balance from Gear Division, of which we are expecting my revenue for the overseas operation, that is export from India and the overseas operation by itself, we are estimated at nearly Rs. 250 crores.

Rohit Natarajan : I appreciate these remarks. My second question is more to do with the OEM, 11 OEMs, where you said that the prospective indication to begin with, it would be something like 6 million euro and going forward, it could be much bigger. Can you give us a big picture? As in once, let's assume this order gets accepted and in a bullish or a maybe base case scenario, what will be that quantum of revenue coming from these OEMs?

Kamlesh Shah : So, if I give the answer that 10, 11 OEMs, which we have garnered during the year FY 2024.

And we have estimated that the annual business volume from these OEMs would be to the tune of 6 million euro. And we are expecting this year, we are going to get the revenue from this OEM of nearly 3 million euro. That is what our estimates are there, considering how we are accelerating our delivery and completing the prototype supply and the testing of the same.

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We think that considering the current challenge in the European market, where the current existing player locally over there, they are facing a lot of challenge about the availability of the manpower, particularly mechanical engineers. Also, the other challenges of high inflation and otherwise, the supply chain got disrupted because of which the existing OEMs, they are looking for the alternate solution. And that is where Elecon is pitching in and getting the opportunity to garner the business from there.

Rohit Natarajan : Sir, help me then reconcile, how is these exports be coming 50 -50, your long term, I mean, maybe within the next 5 years as such, where the revenue targets will be coming through exports is what you have guided for? How do we bridge in that picture?

Prayasvin Patel : Kamlesh bhai, I would like to add further on the 11 OEMs. Apart from this, you also need to understand that once we are successful with these OEMs, what will happen is it will open up the doors for their competitors also to come to us or we are going to them and bagging additional orders from the competition, okay. Because all their competitors, seeing that Elecon is able to supply to the OEM at a cheaper and a competitive rate with good quality and performance, they will take this opportunity and also contact us for supplies to them. So, this 11 OEMs may become a lot more overall as time progresses. Yes, please continue Kamlesh bhai.

Rohit Natarajan : Can you give us some number to that, how big is that 11 OEM becoming? Or in terms of quantum of indicative number, what we should be looking at? How should we go about looking for the progress that we make every year?

Kamlesh Shah : So, so far as about your question, we already said, there are a lot of opportunities available over there, and the alternate solution provided. Second, here, what we see that the numbers we have, I cannot quantify the numbers present, because it may happen that one OEM may give a business of €10 million, and one OEM can give the business of €1 million. So, numbers will be difficult.

But yes, we say we are very much on track. And we are monitoring with our milestone, how to achieve a 50 -50 target for revenue, both from domestic as well as from the overseas market.

Rohit Natarajan : Sure, sir. I appreciate your points. I will get back into queue.

Moderator : The next question is from the line of Aditya Agarwal from Ambit Global. Please go ahead.

Aditya Agrawal : So, my first question is, in terms of the capacity utilization, sir, last quarter, it was about 76% I understand. So, in Q4, what will that number be?

Kamlesh Shah : My capacity utilization for the whole year, if I work out, this is now coming to 74%. Because we have added 2 machines during the year. So, if I add the capacity available for these machines, along with the utilization with the existing, my machine capability, it now works out to 74%.

Aditya Agrawal : And probably the peak could be anywhere between, let's say, 80 -85%, which you can take?

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Kamlesh Shah : Yes.85% we can consider peak level of my utilization for commercial production. As we discussed and we are discussing earlier also, because 5% of the capacity I have to keep idle for my R&D purpose, when we are calculating the capacity utilization available for us.

Aditya Agrawal : And my second query is, in terms

of the demand environment, which you're seeing in end users,

with steel, cement, power, sugar. So, how has the demand shaped up in Q4? And any impact which you saw because of the elections as we are heading into it or it's been kind of normal?

Kamlesh Shah : So, far as the demand is concerned, now we are getting the demand from steel, cement is also coming up. And going for power will also play one of the growth drivers for the revenues. So, whatever that, we got the order before the code of conduct for election is imposed, before that, whatever the orders are there, that I think this is available to us and they are executable for us. The only thing the impact will be from the PSU sectors only. And sometimes what happens, the large turnkey project is being awarded to the main project players, like the L&T. And ultimately, the order is getting flowed to Elecon, as what the business in which we are there also. So, that also is playing a key role for getting the business on the private sector also.

Moderator : Next question is from the line of Akash from Dalal & B roacha. Please go ahead.

Akash Vora : A couple of questions from my end. First of all, this foreign OEM business wins that we have, and we just want to bring it approximately around ₹60 million kind of revenue opportunity, that is already included in our order book or how is it?

Kamlesh Shah : No, that is not included, because we have signed off the OEM orders. But the execution will flow with the order inflows. So, they will have the formal orders also, what they will require for period on period basis also. So, that is not included in that. But yes, from Q3 onwards, that will play a role.

Akash Vora : So, they'll become part of our order book, Q3 onwards and it will become part of our revenue from Q4. Am I getting it right?

Kamlesh Shah : Yes. Correct. That order may flow from there in Q2 sometime and then we will start giving or delivering the commercial production from Q3 and Q4.

Akash Vora : And just one thing, I actually missed out on the guidance, I actually lost network. So, if you could come again there.

Kamlesh Shah : We have given the guidance of Rs. 2,225 crores of revenue for FY24 with a sustainable EBITDA margin of 24%, of which Rs 364 crores we are expecting from MHE division and balance from Gear Division .

Akash Vora : Sir, why so conservative on the MHE segment? I mean, I think we were quite bullish on it early in the year, right, because there were a lot of CAPEX happening all around India and that should really benefit us, right?

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Kamlesh Shah : Whatever the order will come, that also will start flowing towards in Q3, Q4, which may be executable in the coming year, that is FY26.

Akash Vora : So, Q1 and Q2 will be flat. So, after post -election, we'll start to see a bump up in our revenues. Am I understanding it rightly?

Kamlesh Shah : Yes, correctly. You have correctly understood that.

Akash Vora : I'll join back in the queue.

Prayasvin Patel : Let me tell you one thing. We are trying to be conservative in our approach because we believe that because of the blackout period during the election, a lot of orders may be delayed. And that is the reason why we have taken a conservative approach. And that is the reason why this year we are expected to grow only at 15%. However, if the opportunity arises and the inflow of orders is better, naturally, we will try our utmost to exceed this in a positive way.

Moderator : The next question is from the line of Praveen Motwani from BOI AXA Mutual Fund. Please go ahead.

Praveen Motwani : Sir, first question is, I want to understand we reported 33% growth for Q4 -24. So, which sectors did really well for us? What was the growth rate in those sectors?

Kamlesh Shah : Mainly it came from the steel, cement, and also sugar was also part of that, and some are after -

ales services also.

Praveen Motwani : And sir, this growth, if you can just break up between the volume growth and the price growth, how do I see this?

Kamlesh Shah : Mainly it came from the volume growth this year. Because if you see, the steel price has moderated compared to the last year in the current year, that is FY24. And MHE, if you see in the MHE itself, we had a good volume of business in this year with a good margin for that. That is mainly from the cement and power sectors.

Praveen Motwani : Cement and power sector contributed to MHE. And sir, you are saying 33% growth is the volume versus the price?

Kamlesh Shah : Yes. Mostly on the volume, the steel price got moderated.

Praveen Motwani : Sir, when I see the order inflow number, we have reported 10% growth in order inflow of the gear business. This seems to be a little lower number in terms of inflow. So, how one should see in coming quarters and what was the reason for this 10% growth in inflow in this Q4?

Kamlesh Shah : Q4, it will be there also because protocol from the election will be there. Generally, all the orders we are getting will be in the month of March, most of them. In January, February, the flow will

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be lower. So, that is also one of the reasons. And, secondly, you see, so far, the revenue is concerned, we are on very much track what we are projecting. And further, my production cycle has also improved. So, now, what is, if you see about my order intake, viz e viz it is a revenue and open order, it will not have so much relevance compared to what it was in the earlier periods.

Praveen Motwani : So, you are saying because of the lower orders in Jan and Feb, the number looks lower, that is 10%?

Kamlesh Shah : Yes, correct. So, mainly generally, all the orders are getting flowed mostly in the month of March. And because of this election period and election atmosphere, everyone is going slow on releasing the orders, waiting for what outcome will be there, number of apprehensions will be there from the industry side also.

Praveen Motwani : And the last question is, sir, if you can just help me to understand how the competition intensity is right now versus what it was last year?

Kamlesh Shah : Competition, CMD sir, would you like to pitch in?

Prayasvin Patel : The competition intensity has more or less remained constant. But however, because of the excellent performance of Elecon, the competitors are trying to look at how can they do better.

So, they are trying to imitate our model going forward. And therefore, they want to become more aggressive. But otherwise, in general, it has been reasonably constant.

Moderator : Next question is from the line of Sunil Kothari from Unique PMS. Please go ahead.

Sunil Kothari : Very commendable performance. Congratulations to you and your team, everyone. Sir, my question is looking at, sir, MHE, the way order is increasing, the way power and mining and a lot of sectors, India is investing on, how prepared we are? Are we investing too?

Prayasvin Patel : See, first of all, let me tell you one thing that because while we were executing projects, we had ample capacity to take much larger orders of size and magnitude. And therefore, capacity wise, we are today in material handling might be operating around approximately 40% to 50%. So, there is a tremendous bandwidth that we have to further increase it if required. As long as products are concerned, our products are gaining more and more demand and traction as we see right now because the order inflow is also high and the inquiry levels are also high. So, we are reasonably bullish about it. However, since we don't have orders on hand beyond a certain limit, we have restricted ourselves right now at 360 for the FY25. But considering the fact that the demand is heating up, we may be able to exceed that to a good extent.

Sunil Koth

ari : Sir, my second question is on this Russia and Europe, the relationship is deteriorating. Can it become a big opportunity or good opportunity for us to cater to Russian market?

Prayasvin Patel : Yes, I would put it this way that because of the relationship having deteriorated up till now, Russia also having a huge amount of surplus with India, a lot of Russian companies are looking  
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forward to getting the gearboxes and drives imported from India. We have seen that demand come up, okay, in the past. And we believe now the further sanctions will further improve the situation. So, we are looking at this situation very, very positively and trying to prepare ourselves to grab this opportunity.

Moderator : Next question is from the line of Harsh Mantri from Nuvama. Please go ahead.

Harsh Mantri : So, from this guidance for FY25, you have mentioned that Rs. 360 crores is MHE and rest would be Gears. Am I correct to assume that in Gears only Rs. 250 crores is subsidiaries and the balance would be domestic?

Kamlesh Shah : Yes. May I request you to repeat your question, please? I can't hear properly.

Harsh Mantri : So, what I was trying to ask is that from the guidance for FY25, which is of Rs. 2,225 crores, Rs. 360 crores would be MHE and the balance is Gears division.

Kamlesh Shah : Yes, Rs. 1,865 crores.

Harsh Mantri : Yes. So, from the Gear Division, are we expecting only Rs. 250 crores from the subsidiaries?

Kamlesh Shah : No, Rs. 535 crores. Subsidiary plus business from overseas both put together. Both put together would be 535 crores. It is Rs. 535 crores from the overseas business as well as export from India.

Moderator: Next question is from the line of Nirav Vasa from ASK Investment Managers. Please go ahead.

Nirav Vasa : My first question is, would it be possible for you to give the revenue, EBITDA and PAT number for Benzler and Radicon for FY24?

Kamlesh Shah : Benzler and Radicon revenue, PAT and PBT or EBITDA?

Nirav Vasa : Revenue, EBITDA and PAT for both your global subsidiaries.

Kamlesh Shah : May I forward this to you through our IR partner, SGA? By today evening or maybe early tomorrow morning?

Nirav Vasa : Sure, I will get the data from them.

Kamlesh Shah : Sure.

Nirav Vasa : Other question is pertaining to the bid pipeline, which according to you has slowed down

because of election activity. Would it be possible for you to quantify the amount of bids either in numbers or in amount of crores, which according to you has slowed down and can pick up in second half of the financial year?

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Kamlesh Shah : Yes. That also, let me just forward both your questions through email via IR, that is SGA Back to you.

Nirav Vasa : The other question is pertaining to the overseas business. As Mr. Patel highlighted that in Europe, they are facing tough times with regards to rising inflation, inability to get manpower.

Are we seeing any inorganic acquisition opportunity there which can further strengthen our positioning with these clients?

Kamlesh Shah : Presently, we have no such plan for inorganic growth, as we have sufficient capacity available.

So, far as the technology is concerned, we are self-sufficient in terms of the technology, which is required to manufacture the gearbox. In fact, the Elecon too, in some extent, we are at least in a position to sell the technology also.

Prayasvin Patel : I would answer this question in a bit different way. We have our eyes and ears open. If there is any opportunity which would enhance the Company's development and growth, we would definitely look at it. However, we have nothing on the horizon as of now.

Nirav Vasa : That is really helpful. My final question, sir, is pertaining to the order inflows that we can get from thermal power segment. So, in our opening remark

s, we stated that our strategy is very

clear on product supply and we will not be doing the complete EPC work. But if I look at the future right now, all the peers with whom you were competing in the last cycle are in bad financial shape and your balance sheet is one of the robust. So, if you are able to get good terms from the primary contractors, would you reconsider getting into EPC business or how is it?

Prayasvin Patel : Our strategy has been rather than go for EPC contract, is to promote someone as an EPC contractor and supply equipments to them. And the reason is it may look rosy right now with fat margins and things like that. But while execution, you have tremendous amount of issues that turn up. And if your parent Company who is giving you the order lands into financial problems, then you are in a serious bad situation and quite often it leads to litigations and all kinds of problems. We have seen that in the beginning of every economic cycle, it looks very attractive. However, while during execution, you realize that there is a recessionary trend. The money has dried up with the main contractor who gives the order to you, and therefore, then you get into financial problems.

So, the best thing is to avoid that. However, what we try to do is we try to protect our terms and conditions and see to it that we supply our equipment and get out of it as soon as possible. So, this is our strategy going forward. The best thing is to get an order and within 9 to 12 months, execute the job and get out of it as soon as possible before things start deteriorating.

Moderator : Next question is from the line of Kamlesh Jain from Lotus Asset Managers. Please go ahead.

Kamlesh Jain : Sir, just one question on the part of, like, say, I'm not restricting myself to the FY25, but going forward, like, say, the way the CAPEX theme is playing out in India, and all your industries are

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in significant investment phase, like cement, steel. So, what, like, say, growth at a CAGR level do you see for next 4, 5 years?

Prayasvin Patel : See, I would put it this way, that it all depends on how the economy shapes up over a period of time. Right now, everything is bullish and it will continue to remain bullish for at least another, I would say, 2 years, okay, conservatively speaking. However, as soon as the recession comes in, at that time, we want to see to it that our exports have taken sufficient traction so that the order inflow, which reduces from the domestic market, is compensated by the orders that we receive from exports. So, this is basically the game plan on which the Company is trying to see to it that we are able to sustain our performance. Apart from that, we do not intend to do any CAPEX from borrowings and to only do them from our internal resources, whereby it puts less of financial tension and pressure on the Company and see to it that our margins get sustained.

Kamlesh Jain : And sir, lastly, out of our total revenue, how much will be like replacement demand and for the OEM demand?

Kamlesh Shah : So, if you see, presently in India, 29% of my revenue is from the replacement market, which we call it as after-sales service. In overseas presently, nearly 85% -90% of the revenue is from the replacement market, which, going forward, will get reversed through the supply to the OEMs with the processes of orders from last year.

Moderator : Next question is from the line of Garvit Goyal from Nvest Analytics. Please go ahead.

Garvit Goyal: Thanks. Congratulations to the management team for posting such a great result. It proves that

an investor can continue to trust the effort that is being put by the management. So, well done. See, I have a couple of questions rather. See, number one, when we have given a conservative guidance of, say, 15%, considering this election slowdown and also the global tensions

in the

picture, but at the back of the mind, do you have any sectors, specific sectors or specific areas which you think can spin a positive surprise for, say, next 18 months, which you think that could make a difference? If you can throw some light on that.

Prayasvin Patel : You are talking about a positive difference. Am I right?

Garvit Go yal: Yes.

Prayasvin Patel : Steel is one of the areas which has a tremendous potential, especially because of the fact that India is trying to become the second largest steel producer in the world, okay. And this is going to happen very, very shortly. So, there are very big investments coming up in steel, okay. So, that is one aspect. The other thing is that the CAPEX cycle for cement is cyclical. And we see that there is, looking at the statistics, it seems that they will be further investing in the cement sector, which will also bring in reasonably good amount of orders for our company. So, these are the two sectors where we believe there is a great potential.

Garvit Go yal: And these two are actually domestic focused, isn't it, whatever you spoke about?

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Prayasvin Patel : Yes.

Garvit Go yal: And see, while, we all appreciate that we are also having a separate stringent focus on export for all the right reasons that you articulated before, right? But somewhere, are we losing our market or we are not focusing on growing our market share in India? I think that's the question that I have asked again, multiple times before as well. So, if you can throw some light that India as a market is being looked after, everybody across the globe, isn't it? So, that's where I have a feeling that we should not miss the bus. So, if you can throw some light on that.

Prayasvin Patel : Absolutely. Now, let me explain to you. Originally, if you have seen our presentation, maybe two or three years ago, we were at 36%. We have crept up to 39%, which means we are growing in the domestic market, but we are growing slowly. The other thing is because of the high competition in the domestic market, in trying to capture a higher market share normally leads to a price war, which will affect your margins. And therefore, the strategy is to go abroad and to go into markets where the margins are good, okay, and to also see to it that you are not dependent on only one market. But whatever that we may say, ultimately, you have to understand that we are right now very dependent on the domestic market. And therefore, neglecting the domestic market is out of the question, okay, because that is our primary market as of now. So, we are not trying to aggressively go into the domestic market and capture a higher market share because it would create a price war, leading to depletion of the market. While on the other hand, we want to also make sure that the thrust is on the exports.

Kamlesh Shah : To add further to this, we have a separate set of our business development team. In so far as the domestic markets are concerned, we have very well established our business development team as well as our dealer and distributor network also. In the overseas market, we are now finding an opportunity particularly for the OEM business which will give the growth in terms of the volume as well as the further experience for us to become global in the process.

Garvit Go yal: Assuming that you are focusing more on Europe, what would be the addressable market there for us?

Kamlesh Shah : In Europe, we are having the addressable market of same of what we are having in India. Over and above that, we have said, other opportunity for the nuclear power, then pulp and paper and then rubber is also there.

Garvit Go yal: The OEMs that we have got already in Europe, is it spread across all these sectors that you are referring to?

Kamlesh Shah : Yes. Presently we have that thing as steel, pump and pulp & paper, r

ubber, these are the

industries, which we have just started. So, it is there. But I think we have the addressable market across the industries for this.

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Garvit Go yal: Great. I think that's it from my side. I know that it's a conservative estimate that we are having for this year, but I can only expect a positive surprise. I hope so. Yes, thanks for all the hard work.

Prayasvin Patel : We are also looking forward to it. Let's put it that way, we are also looking forward to it, but as I told you, the conservative approach always helps. However, we are going to be absolutely

ready if opportunity comes our way. We will try to even better this and hopefully let us hope that we are right.

Garvit Goyal: Yes. the way you have transformed yourself from say an EPC player to the product level player, and results that is showing in the numbers, I think that should continue, that's very important for us as an investor. So, please ensure that we are doing everything right.

Moderator : Next question is from the line of Harshit Kapadia from Elara Capital. Please go ahead.

Harshit Kapadia : First of all, many congratulations for very good results and delivering on what you have promised to the market. With that hope, we think that probably for the domestic markets within this 15%, can you give us a sense what would be the domestic growth and what would be the export growth for the upcoming year that you look at?

Prayasvin Patel : Kamlesh, can you take this question?

Kamlesh Shah : The domestic growth, if I remove this, Q1 financials due to the election period, the balance 3 quarters we are quite confident to have good growth over there. And overseas market, yes, we are already tapping, and we are getting the positive response from the OEM businesses. Once we start the commercial production for whatever the OEM orders we have garnered during the year, post that the doors will be further open for us and that will create a good opportunity going forward in future.

Harshit Kapadia : And I had missed the initial remark, just wanted to check with you on the export side for this particular quarter, the growth was close to 3 odd percent. Now that was largely because of the supply delays.

Kamlesh Shah : Yes, correct. That is mainly some of the orders got delayed and about getting the shipment is also important which also we missed in one case also.

Harshit Kapadia : So, would you be able to quantify that number, sir?

Kamlesh Shah : Presently, I don't have the number, but later I will forward it to you through our IR.

Harshit Kapadia : And on the new product edition, which if you can give some color. Right now, we are largely into slow transmission gears. We understand you are also looking to high transmission gear products as well. Is there a journey which has started? Can you give us some color on that, sir?

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Kamlesh Shah : There is no high transmission or high -speed gearboxes. Sorry, sir. Please carry on.

Prayasvin Patel : Yes. See, we are into speed reducers, which normally operate at 1500 rpm. And you convert the speed or the ratio gets converted into an RPM, which is much lower. We are now venturing into high-speed gears, which are basically used with gas turbines, steam turbines, compressors, etcetera. And there we see a reasonably good potential. And one of the OEMs with which we have tied up, we will start the supply shortly.

Harshit Kapadia : Good to hear that. And is there some change in the product as in in terms of some tie -up that you have to do to get into these high -speed gearboxes? Or you already have the product, it just has to be re-engineered? Or just to understand, is it easier for a Company to move towards a different product portfolio?

Prayasvin Patel : This is when you go into high speed, the precision requi

red is much higher. Apart from that,

there is a technology which is ever evolving. We were into this some time ago, almost 20 years ago in a small way. However, the technology has further improved. So, we had done it with the help of a consultant to upgrade the technology and know-how to the present level and whereby we had been reasonably successful. I would say reasonably because the products have to yet go into the market in a big way and they have to be proven successful after which we can say that yes, we have achieved it.

Kamlesh Shah : Harshit, our product high speed is for the turbine, it is not an automobile sector. So, let me clarify this.

Harshit Kapadia : But you are looking at railways as well sir, right?

Kamlesh Shah : Yes. Railways is also there, it is not the high -speed, but some product which are suitable for railways, which we develop.

Harshit Kapadia: Wishing you all the best, sir.

Moderator : Thank you very much. Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to Ms. Teena Virmani for closing comments.

Teena Virmani: We thank the management of Elecon Engineering for giving us the opportunity to host them. Sir, would you like to make any closing remarks?

Prayasvin Patel : Sure. Thank you all for participating in this call and expressing your interest in our Company . Elecon Engineering stands at the cusp of transformation. Our financial achievements in FY24, from record -breaking revenues to robust EBITDA margins, underscore our resilience and strategic vision. But beyond the numbers, it's our ethos that truly defines us. As we step into FY25, our optimism knows no bounds. We embrace innovation, adapt ability, and collaboration. The accolades and acknowledgments we receive from our valued customers serve as a powerful testament to our prowess.

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We don't merely provide solutions; we shape the future of industrial gear technology.

Thank you.

Moderator : Thank you very much. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

## Call: Jul 2024

23rd July , 2024  
To,

The Manager (Listing),  
The BSE Ltd.  
Mumbai  
The Manager (Listing),  
National Stock Exchange of India Ltd.  
Mumbai  
Company's Scrip Code: 505700 Company's Scrip Code: ELECON

Sub. : Transcript of the Earnings Call held on 18th July , 2024  
Ref. : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015

Dear Sir,

With reference to the above referred Regulation and in continuation of our letter dated 10th July, 2024, please find attached herewith the transcript of the Earnings Call held on 18th July, 2024 for Q1 of the Financial Year 2024-25.

The same is available on the website of the Company at  
<https://www.elecon.com/investors/audio-video-recordings-and-transcripts-of-post-earnings-quarterly-calls>

You are requested to take the same on your records.

Thanking you.

Yours faithfully,  
For Elecon Engineering Company Limited,

Bharti Isarani  
Company Secretary & Compliance Officer

Encl.: As above  
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"Elecon Engineering Company Limited  
Q1 & FY '25 Earnings Conference Call "  
July 18, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on 18th July, 2024 will prevail.

MANAGEMENT : MR. PRAYASVIN PATEL – CHAIRMAN AND MANAGING  
DIRECTOR  
MR. AAYUSH SHAH – NON-EXECUTIVE DIRECTOR  
MR. M.M. NANDA – HEAD OF GEAR DIVISION  
MR. P.K. BHASIN – HEAD OF MHE DIVISION  
MR. KAMLESH SHAH – GROUP CHIEF FINANCIAL  
OFFICER  
MR. NARASIMHAN RAGHUNATHAN – CHIEF FINANCIAL  
OFFICER

MODERATOR : MR. MAYANK BHANDARI – ASIAN MARKET  
SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY 2025 Earnings Conference Call of

Elecon Engineering Company Limited, hosted by Asian Market Securities. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on the date of this call. These statements do not

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guarantee the future performance of the company and it may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone.

Please note that this conference is being recorded.

I now hand over the conference to Mr. Mayank Bhandari from Asian Market Securities. Thank you and over to you, sir.

Mayank Bhandari: Thank you. Good afternoon, everyone. On behalf of Asian Market Securities, I welcome you all to Q1 FY '25 Earnings Conference Call of Elecon Engineering Company Limited. We are pleased to have with us management team represented by Mr. Prayasvin Patel, Chairman and Managing Director, Mr. Aayush Shah, Non-Executive Director, Mr. M.M. Nanda, Head of Gear Division, Mr. P.K. Bhargava, Head of MHE Division, Mr. Kamlesh Shah, Group CFO and Mr. Narasimhan Raghunathan, CFO. We will have opening remarks from the management followed by question-and -answer session. Thank you and over to you, Prayasvin .

Prayasvin Patel: Thank you, Mayank. Good evening and a warm welcome to everyone on our Q1 FY '25 Earnings Conference Call. We have uploaded the press release and investor presentation on the stock exchanges and the company's website. I hope everyone had an opportunity to go through the same. I will start with a brief introduction on Elecon followed by business overview and strategy. Post that, shall hand over the call to Kamlesh Shah, our Group CFO, to discuss the financial and operational performance for the quarter ended June 2024.

For those who are new to our company, let me introduce you to Elecon. We are extremely proud to state that Elecon is one of Asia's largest providers of gear solutions. Our extensive product range serves diverse industries including cement, steel, and power . In India, we are holding a leading position in the industrial gears market. Our leadership demonstrates our ability to engineer products tailored to customer needs while leveraging global technologies to create high-quality, high -performance solutions. This expertise and manufacturing capability positions us well for global expansion.

Over the years, Elecon has established itself as a resilient and reliable partner consistently meeting the needs of its customers. Our ongoing investments in R&D and new product development have positioned us as a unique solution provider known for reliability and offering products with the shortest lead times. In recent years, we have focused on expanding our presence in the international market by establishing a robust distribution network across 85 plus countries.

Our continued investments in brand building activities have enhanced global acceptance of our products. Additionally, we have secured orders from several prestigious OEMs across various regions providing valuable references that will help us further penetrate these markets. Aligning with our focus on international business, our overseas revenue grew by 18% year -on-year for Q1 FY25 and is now contributing 34% to the overall consolidated revenues up from 27% in the Elecon Engineering Company Limited  
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same period last year. We remain committed to achieving our goal of deriving 50% of our revenues from the overseas markets by FY30.

Now, I will provide updates on our two segments, the Gear and MHE Divisions . Starting with gear division, it remains a cornerstone of our business contributing approximately 85% of our overall revenues in Q1 FY25.

This substantial contribution highlights the division's critical role in our company's success. Our product portfolio is among the most comprehensive in the industry. This extensive range gives

us a distinct competitive advantage, allowing us to cater to a wide spectrum of customer needs and preferences.

Our commitment to research and development and new product development is the only constant in the company. With over seven decades of industry experience, we have refined our ability to understand and anticipate client needs. This expertise enables us to offer an extensive range of

both catalog and engineered products tailored to meet the diverse requirements of customers across various industries.

Our dedication to provide tailored solutions for our clients has resulted in a steady increase in the proportion of engineered products in our revenue mix over the years. These engineered products not only meet specific client demands, but also enhance our value proposition and competitive edge in the market.

Domestically, we continue to lead the market through unmatched quality and services. Our strong relationships with our customers and OEMs who consistently prefer Elecon are a testament of our commitment.

Internationally, we are committed to expand our partnerships with OEMs. Those which we have signed during FY24, prototypes for several have been supplied and orders for the others have been commercialized. Our strategic efforts to increase our presence in the overseas markets have

yielded positive results. The revenue share from our international markets has risen to 34% in Q1 FY25, up from 27% in Q1 FY24. This growth is a testament of our effective brand building activities and the strong references we have established. With these solid foundations, we are confident in our ability to further increase our share of overseas revenues.

For the quarter ended June 2024, our consolidated revenue from the gear division was INR 334 crores compared to INR 361 crores in Q1 FY24. This decline is primarily due to slower order inflows during the quarter influenced by the general elections, which were affected both from private and public. However, we anticipate that post-election stability and government support for infrastructure development will positively impact our customers and consequently our business.

Turning to MHE division, we are continuously concentrating solely on product supply and aftermarket services. This realignment coupled with government's robust emphasis on infrastructure development has significantly contributed to the division's return to profitability.

For the quarter ended June 2024, our revenue for the MHE division was INR 58 crores compared to INR 54 crores in Q1 FY24. And we achieved a remarkable 192% year-on-year growth in Elecon Engineering Company Limited

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order inflows, mainly from supply of equipment. We remain highly optimistic about the continued strong performance and future order wins in this sector. Our large product portfolio and expertise built over the years makes us the preferred choice of vendor for our customers in large MHE products.

We are optimistic of the MHE division and closely monitoring its growth and profitability to enhance the overall performance of the company.

Lastly, at Elecon, we are steadfast in our sustainability journey, having set ambitious ESG commitments. We are actively prioritizing the transition to renewable energy sources.

Additionally, we place a strong emphasis on employee welfare and safety, conducting numerous programs to promote these values. With this, I would like to hand over the call to Mr. Kamlesh Shah, our group CFO, for financial highlights for Q1 FY '25. Over to you, Kamlesh.

Kamlesh Shah: Thank you, sir. Good evening, everyone, and a very warm welcome to our Q1 FY '25 earnings call. I will now take you through the highlights of financial results for Q1 FY '25. Our consolidated revenue from operations for the quarter ended June 2024 stood at INR 392 crores as compared to INR 414 crore

in the same quarter last year, a degrowth of 5% on a Y-o-Y basis.

Our domestic market accounted for 66% of the revenue and balance coming from the overseas market. Our revenues from overseas markets stood at INR 133 crores in Q1 FY '25 as compared to INR 113 crores in Q1 FY '24, a growth of 18%. EBITDA for Q1 FY '25 stood at INR 92 crores as compared to INR 100 crores in Q1 FY '24. The EBITDA margin for the quarter stood at 23.5%. PAT margin for Q1 FY '25 stood at 18.7% as compared to 17.6% in Q1 FY '24, registering an improvement of 110 basis points.

Moving to the segment wise performance, gear division accounted for 85% of the revenue while 15% was contributed by MHE division in Q1 FY '25. Talking about the gear segment, consolidated revenue from operations for the quarter ended June 2024 stood at INR 334 crores as compared to INR 361 crores down by 7%. The dip was largely on account of slow order inflows and uptake by customers on account of softness in manufacturing activities on account of general elections in India. The EBIT for the quarter stood at INR 79 crores as compared to INR 89 crores in Q1 FY '24. The EBIT margin in Q1 FY '24 stood at 23.5% as compared to 24.6% in Q1 FY '24. The order intake for Q1 FY '25 stood at INR 396 crores down by 11% on the Y-o-Y basis. Order in hand is INR 598 crores as on 30th June 2024. We are optimistic about winning new orders across sectors throughout FY '25.

Moving on to MHE division, revenue for the quarter stood at INR 58 crores as compared to INR 54 crores in the corresponding quarter last year, growing by 9% Y-o-Y. EBIT for Q1 FY

'25 stood at INR15 crores as compared to INR 12 crores in Q1 FY '24 . The EBIT margin stood at 26% as compared to 22.8% in Q1 FY '24 , increasing 320 basis points on the Y -o-Y basis. The increasing is largely on account of better product mix and after sales.

The order inflow during the quarter ended June 2024 stood at INR 149 crores as compared to INR51 crores in the corresponding quarter last year, up by 192% on the Y -o-Y basis. The open

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order as on 30th June 2024 stood at INR 349 crores. Furthermore, our total consolidated order book including both divisions experienced order inflows of INR 545 crores during Q1 FY '25 and the total open orders as on 30th June 2024 stood at INR 947 crores.

We continue to make progress in recovering funds through arbitration awards . As on 30th June 2024, we have received INR 6.5 crores out of the total awards of INR 33 crores. Furthermore, we have initiated fresh arbitration proceedings with a total value of INR 31 crores during Q1 FY '24 out of that we won arbitration for INR 10 crores and the outcome for the balance amount may take 1 -2 years. We are confident of a positive outcome. I would also like to highlight that the consolidated net free cash surplus stood at INR 500 crores as on 30th June 2024.

Lastly, we stick to our stated guidance for FY '25 and are optimistic of achieving the same. On this note, I would like to open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Kashyap Javeri from Emkay Investment Managers . Please go ahead.

Kashyap Javeri: Thank you very much, sir. I have a few questions. The first one is on our revenues from exports as well as overseas operations, which has seen a fairly strong growth this quarter. If I look at our annual report, last year we had seen quite a bit of growth probably only coming from our UAE subsidiary. What is driving this growth in the first quarter and what is about 34% contribution this quarter? Where do we see it for the full year? Should I go with all the questions right now or...

Kamlesh Shah: Kashyap, can we go one by one so that it will be easy for us to remember the answer specifically? If I give the

answer about from which territory we are getting the growth, we are getting the growth from presently if you see in Q1 FY '25 , the growth is coming from Middle East and USA and the same is also supported by Nordic and the European countries also. And for the full year also we are getting the same growth momentum from these three territories where we are quite confident to grow.

Kashyap Javeri: The questions that we had about some of these economies not doing well, is that sorting out now?

Kamlesh Shah: If we see our market share in the global market, our business share is very low, we can say it is minuscule. So far as the other territories are concerned, mainly on account of Europe, so Europe itself is struggling from supply chain management issues and because of that they are looking for the China plus one kind of things and that is where we are getting the traction.

Kashyap Javeri: Second question is on the margin. If I look at our overseas subsidiary margins for FY24 , we have seen quite a bit of expansion coming from our UK as well as US operations. In fact, if I look at the Elecon drive system, the margins are almost about 28% in FY '24 from the annual report. So what is driving that? And in light of expansion in overseas margins also expanding, for the full year will we do better than FY '24 in terms of overall margins?

Kamlesh Shah: As we also last time also discussed, we are also present on the growth move and for that we have to incur the cost on account of brand building and also strengthening our business development

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team. Further, this time also we are having the business from OEM also. So considering that, we sustain the margins which we already did last year, and we are thinking that the same will continue also.

Kashyap Javeri: But what is driving this margins of about 28% in US and in fact UK also saw margin expanding to almost about 16%?

Kamlesh Shah: Sometimes this happens. There is some one-off kind of orders where we will have a better margin also. So it is not that every time the same kind of margin will be there. Definitely, we will have a sustainable margin which we already spelled out.

Kashyap Javeri: Okay. And the last question is on the divergence in growth. In the press release as well as in the previous conference call, you had mentioned that elections will drive some slowness in the order intake.

But the same kind of impact is not visible in MHE which is also dependent on the capex as well

as some of the PSUs also being our large customer. So why that dichotomy? One has seen growth in orders as well as revenue, but the other division probably has struggled this quarter?

Kamlesh Shah: So in MHE division, we got an order from the private sector. So that was already rolled out capex plan of the customer and that is what we got it also, whereas here in Gear division, sometimes it may come positive. We are working with some conservative approach.

Kashyap Javeri: Okay. Sorry, just one last question from my side. We ended March with about cash and cash equivalent of about INR460 crores. But our overall other income for the quarter is just about INR4.5 crores which is running to just about less than a percentage yield for the quarter or annualized about 4%. Why would that be so?

Kamlesh Shah: I don't think – I think our other income is also I think this time for Q1 is also good amount. It is now INR14 crores.

Kashyap Javeri: Sorry. No, no. Okay. My mistake, my mistake. Sorry, sorry, sorry. It is about INR14.5 crores. Sorry.

Kamlesh Shah: Yes. Correct.

Kashyap Javeri: Okay. Okay. I am done. I am done. Thank you so much, sir.

Kamlesh Shah: Okay. Thank you, Kashyap.

Kashyap Javeri: Thank you.

Moderator: Thank you, Mr. Javeri. Our next question is from Mr. Harshit Kapadia from Elara Capital. Please go ahead, sir.

Harshit Kapadia:

Yes. Hi. Very good afternoon – very good evening to everyone and just a few questions from my side. We do understand, the election has led to the result slowdown or order-in-force slowdown. But let's say in Q2, the INR 400 crore run rate which we had been inching up from Elecon Engineering Company Limited  
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last year onwards, do we expect that to exceed to INR 450 crores per quarter? Is that something which is visible considering you would be – you would have applied for a lot of tenders and probably you may be getting some of them. So based on that sense if you can give us an idea?

Kamlesh Shah: Yes. Q2, yes – generally, if you see, historically, Q2 and Q4 are always better compared to the Q1. Q1 is always lowest as a quarter because it's just starting the end of the year. The new quarter is there. So it is always lowest. Then the peak is coming up from Q2 onwards. So we see a good traction from Q2 and also the Q4. And we believe that the same process will continue in this year also.

Harshit Kapadia: Okay. And on continuing with the order-in-flow part, we have seen a lot of orderings being happened on the power equipment side for the thermal power projects. So when do you think some of that will get flow down to Elecon Engineering? Will it happen in this year, or do you expect it to happen in next year, both on the products that we have?

Prayasvin Patel: Normally, the time period taken is between 12-to-18 months. So we are expecting that it would materialize into an order for Elecon next year by the first half or maybe beginning of the second half.

Harshit Kapadia: Okay. And would it be fair to say, since this is a segment where a lot of other players have exited, so the chances of winning for Elecon has increased?

Prayasvin Patel: Yes, definitely so.

Harshit Kapadia: Okay. And you had also mentioned that you would be changing your strategy on MHE from EPC to product and then you will also be looking to tying up with an EPC company, so you don't completely miss out on the opportunity size. So has that JV or that collaboration with the EPC company started or are we in the process of selecting an EPC player and then trying to bid for the projects there?

Prayasvin Patel: See, normally the EPC company with whom you tie up varies from project-to-project. It is not a general tie up specifically for all the projects. So it will be based on case-to-case basis. As and when an opportunity arises, we would be tying up with such kind of EPC contractors. Making sure that we have favourable payment terms and conditions in such a way that we don't get tied down in the entire execution.

Harshit Kapadia: Understood. And I am very surprised and positively surprised to see the MHE margins now inching above 25%. Just wanted to get your feedback, sir, is this number which would be sustainable or there could be some high value execution which you would have done and possibly the reason why this number was higher for this quarter?

Kamlesh Shah: So we already spell out the 20% plus margin for MHE sustainability. So it's all based on the product mix and the revenue mix also, which will have that positive or otherwise impact on that. So far, the margins are concerned. But I think as far as the MHE is concerned, 20% plus margin is quite sustainable and we are optimistic to do better than that.

Harshit Kapadia: Understood, sir. Thank you and wishing you all the best.

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Moderator: Our next question is from the line of Nirmam from Unique PMS. Please go ahead.

Nirmam: Thank you for the opportunity, sir. So some more questions related to the Material Handling Division. So we have seen very good order inflow numbers. So when do you think that this division can achieve a INR1,000 crores revenue mark? And assuming that our demand is there, how prepare

d are we to operate at those levels?

Prayasvin Patel: If you remember earlier, we were operating at a turnover of almost INR 600 crores to INR700 crores a year. So as far as we are concerned, we are fully geared up because we have got large manufacturing facilities and we have the potential to scale up reasonably easily, okay. This is also not considering the fact that we can also do a large amount of subcontracting. So the potential is great and if the opportunity arises, definitely we can scale up to that extent if required.

Nirmam: Okay, sir. And just second part related to this. So, are we seeing any export opportunities in this division and are we willing to pursue export opportunities here?

Prayasvin Patel: While we talk, we are expecting an order from the African Continent, okay, which should be in our hands hopefully by tomorrow. Okay. It is not a very large order, but just to say, it is for exports. We have also given reasonably good offers in the Middle East territory of ours for Material Handling business and we expect that a good amount of these would be converted into orders.

Nirmam: Okay, sir. And, sir, another question is the government's focus on the inland waterways and the marine sector. So do we have the capabilities, or do we have a partner for marine gears and how big can the opportunity be?

Prayasvin Patel: We are right now producing gears for inland waterworks, as well as other similar kind of requirements for a European company and that same products can also be utilized locally if there is an opportunity, and we will definitely do so.

Nirmam: But sir, any number on how large the opportunity can be in India?

Prayasvin Patel: It all depends on how much of investments come through and how much of investment would lead to ships or boats being built for that requirement. So it is difficult to ascertain as of now, but we are keeping our eyes and ears open.

Kamlesh Shah: And this also depends upon the government policy, how it is able to expedite all the processes.

Nirmam: Yes, sir. Got it. And, sir, one last question related to the capex that we are putting. So the INR200/250 crores capex that will do – will we purchase the machineries outright or will we be leasing them, if you can provide some sense here?

Kamlesh Shah: So, we are having the options open available with us to do either the leasing or we may go for the supplier's credit or maybe the ECB, though we don't need a fund. We are having sufficient internal accruals, but considering the interest arbitrage available because we are at the peak level of interest period, and we are expecting that there will be a reduction in the interest rate will be there. So, we would like to take an opportunity for that on a conservative basis.

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Nirmam: Okay, sir. That's it from my side.

Moderator: Our next question is from the line of Akash from Dalal & Broacha. Please go ahead, sir.

Akash: Yes. So, just to follow up your earlier question, sir, that INR 200/250 crores capex will be doing this year?

Kamlesh Shah: Yes, we are completing – because we have spelled out INR 300 crores capex on a three-year basis in FY' 22. And we are completing that capex cycle of INR 300 crores in this year, which will be to the tune of INR 200 crores.

Akash: Okay, sir. And most likely that will be funded out of debt?

Kamlesh Shah: No, that will be funded. I think we are having sufficient internal accruals, but to some extent, we may avail the ECB because we are having the natural hedge against that. We are at the peak, that's what I just explained a while ago. We are at the peak level of interest, so we would like to take an arbitrage of that.

Akash: Got it, sir. Sir, my second question will be the MHE order book that we have, in how much time do we expect to execute the same?

Prayasvin Patel: Normally, the typi

cal execution would take place between 12 to 24 months.

Akash: 12 to 54 months?

Prayasvin Patel: 12 to 24 months, depending upon what product it is. 12 to 24.

Akash: Got it, sir. Also, sir, how much would be the replacement revenue that we must have done this quarter?

Kamlesh Shah: Pardon? Sorry, I can't get you.

Akash: How much would be the replacement revenue that we must have done in years?

Kamlesh Shah: In Q1 FY '25, my replacement, I mean the after-sales revenue is 34% of my console revenue.

Akash: Okay, but that will include MHE as well, right?

Kamlesh Shah: Yes, both. That's what I said. It's the console revenue. 34% of my console revenue.

Akash: For gears, it would be?

Kamlesh Shah: So, I don't have the figure. Gear would be to the tune of nearly 25%. And MHE will be to the tune of 34% to 38%.

Akash: Okay. And what would be the percentage of customized to standardized gear this quarter?

Kamlesh Shah: This quarter, my customized gear is 45% and standard gear is 55%.

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Akash: Okay. And, sir, one question from a long-term point of view. So we saw around 18% to 20% growth in exports this quarter. Would it be safe to assume that pace of growth to continue for at least next couple of years because our long-term vision is getting to that 50-50 between domestic and overseas?

Kamlesh Shah: Yes. So, here, yes, we are quite confident that we will have good growth from the overseas business. Let me just clarify here because in one of our OEM customers, which we last year we spelled out of 11, of which one customer has started sourcing from India from us. Instead of export directly to my customer based out of Europe, we are supplying to India. So that will be considered as my domestic revenue, not my export revenue.

So from April to June, that is in Q1 FY '25, that number is INR 4 crore s rupees. And we are expecting that for the full year, that will be to the tune of nearly INR 50 crore s plus. So though it is an export, but here that company has established one subsidiary here for sourcing of material from India. And accordingly, they are consolidating that requirement and exporting to their parent company.

Akash: Got it. So that INR 50 crore s revenue shift will be there from our export segment to domestic.

But overall, I mean, we can grow at a 15%-20% rate in terms of exports, right?

Kamlesh Shah: Yes. That is 15% plus, because this quarter we did 18% growth. That also without considering this INR4 crore s of supply to domestic though ultimately it is getting exported.

Akash: Got it. And one last question, sir. Our gross margins almost touched 49%-50% this year, 49.8%, I think. So would those margins be sustainable?

Kamlesh Shah: 45% gross margin is quite sustainable. So it is all dependent upon the product mix. So accordingly the gross margin varies also.

Akash: Okay, sir. Thank you.

Moderator: Our next question is from Nirav Vasa from ASK Investment Management. Go ahead, sir.

Nirav Vasa: Hello, sir. And thank you very much for the opportunity. So we are having an order backlog of around INR950 crore s end Q1 FY' 25. I just wanted to check what can be our bid pipeline. If you can state that number, it would be really helpful.

Prayasvin Patel : Sorry, I did not understand your question properly.

Nirav Vasa: Sir, the confirmed order backlog that we have is around INR950 crores rupees end Q1 FY' 25.

Kamlesh Shah: Correct.

Nirav Vasa: Would it be possible for you to prescribe any number to the live inquiries, which are either at tendering stage or at negotiation stage?

Kamlesh Shah: It will be difficult to just spell out that number because sometimes what happens, I do have the inquiry available. But some of them, it is only on the budgetary level only, at the customer level

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which may take its own time to reach to a conclusion level from the customer side. So even if I give you any number that would not be so much fruitful to give you any judgment or any estimations about the revenue or the order inflow for us.

Nirav Vasa: Got it. Thank you very much.

Prayasvin Patel: But all I can say is that there is, after the election results, we are seeing a very positive traction and a good set of order inflow plus inquiries have been generated.

Nirav Vasa: Thank you, sir. That is really helpful.

Moderator: Thank you. Our next question is from Khushbu Gandhi from Share India Securities. Please go ahead.

Khushbu Gandhi: Firstly, on the export front, we have been quoting that we have already been signed prototype orders for 11 OEMs, of which you have given a clarity on one of the OEMs. So can you give us any further details about the 10 OEMs where we have been supplying the prototypes? Are the products been approved or are in the final stage of approval?

Prayasvin Patel : It is -- we can give you the information, but generally speaking, all I can say is that those are

under process right now. Majority of them are being executed, okay, where the first prototypes are being built, tested within our company, before we give it to the customer to actually put it to use in the field and then get a response from them, after which the normal deliveries or regular deliveries will start off. This is a period which normally takes one year to 18 months approximately to finish or to start the supplies, the regular supplies. And we are today probably six months away from that in most of the cases.

Kamlesh Shah: If I further add here, in two of the cases we started the commercial production and our sales to this OEM from Q1 is INR 12 crore s, which we have exported from India. And for just what I just said a while ago, INR 4 crore s of that order we have executed in India for that OEM supplier -- OEM customer, sorry.

Khushbu Gandhi: Sir, and all these OEMs are from the same sector, or they are from different sectors?

Prayasvin Patel: No, they are from different sectors.

Kamlesh Shah: Sectors in what sense you mean to say?

Khushbu Gandhi : So as in the industry like sugar, cement etc. .

Kamlesh Shah: No, this is the industry to which we are supplying normally.

Prayasvin Patel: No, they are from different sectors because what she means is steel, cement, rubber . Am I right?

Khushbu Gandhi : Yes, so can you just give us a detail like which of the industries are from OEMs?

Kamlesh Shah: Sorry you were not very clear. Can you repeat that please?

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Khushbu Gandhi : Yes, so can you just give us a detail like which of the industries are from OEMs?

Kamlesh Shah: I can give you the industry from rubber, plastic, steel, pump, packing, gas, and energy. These are the sectors and the commercial sector.

Khushbu Gandhi : Okay. And now since the election has ended and we are seeing good traction in at least the orders from the domestic side, can we expect good order inflow in the second quarter?

Prayasvin Patel: I would say that the real effect should be coming in the later part of the second quarter or the third quarter.

Khushbu Gandhi : Okay, sir. And are we being conservative on giving the guidance because last year the way we have delivered and with the export and the MHE now gaining the traction and elections being ended, still we are focusing on only 15% guidance. Are we being too much conservative on that side?

Kamlesh Shah: No, we will continue with our guidance which we have given. If we will try our level best to surpass our guidance also, but presently it is quite premature for us. Yes, we can give the clarity by end of Q2 when we have the Q2 earnings call.

Khushbu Gandhi : Okay. Thank you, sir and all the best, for the future.

Kamlesh Shah

ah: Thank you.

Moderator: Thank you. Our next question is from the line of Garvit Goyal from Nvest Analytics Advisory LLP. Thank you.

Garvit Goyal: Hi, sir. Good evening. Am I audible?

Kamlesh Shah: Yes absolutely.

Garvit Goyal: Congrats for good set of numbers, sir. My first question is on the recovery part. Like you mentioned in the presentation that from Q2 we will see some recovery in the domestic market.

So, what are the key indicators or the factors that are leading you to anticipate a demand uptick in remaining say 9 months of FY 25? And apart from this political angle, is there any external factor that could influence the demand in the near future, sir?

Prayasvin Patel: Right now the sectors which are showing traction or extremely good traction are cement, steel and power will come into limelight in the third or fourth quarter. And we believe that sugar also has a potential this year to give us good healthy number of orders.

Garvit Goyal: Understood sir. So these are the sectors that will basically drive the demand for the rest of the year?

Prayasvin Patel: Yes. Cement and steel we can see that. Power because a lot of these orders have been given to the large equipment suppliers. So they will be ordering equipment from us probably in the third and fourth quarter. And as long as sugar is concerned that should happen reasonably soon.

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Garvit Goyal: Understood. And sir you mentioned to the earlier participant like domestic order flow will be starting from Q2 end or Q3 beginning. So what will drive our demand for Q2?

Prayasvin Patel: There are large amount of inquiries which are at present likely to get finalized within a month or so, month or maybe two months. And that is what we are banking on . As I told you that the

inquiry levels have improved after the election results and going forward with the slowdown that we were seeing would further reduce as soon as the budgets are announced very shortly. Garvit Goyal: Understood sir. And sir secondly, on the export side. So currently we are into export of INR500 CR, if you analyze the numbers and our top line target for FY 30 is 10,000 CR of which we are looking for around 50% is from exports. So looking at the traction in the export this quarter is it right understanding that this year is going to be the point of inflection in exports for Elecon?

Prayasvin Patel: I'm sorry, I didn't understand the last portion of your question.

Garvit Goyal: So, I'm saying looking at the traction in exports this quarter, is it right understanding that this year is going to be the point of inflection in exports for us?

Prayasvin Patel: Point of attraction.

Garvit Goyal: Inflection.

Prayasvin Patel: Inflection okay. What I feel is next year sounds to be more attractive. Okay there are various reasons for it. First of all we believe that the momentum that we gained this year will continue in the next year plus we are expecting a large quantity of orders coming in from the marine sector next year. So I believe that we would be having a very healthy inflow coming next year beginning or mid next year.

Garvit Goyal: You mentioned you are expecting large orders from the marine sector, so is it outside India you are talking about?

Prayasvin Patel: No, it would be with the defence sector.

Garvit Goyal: So that is not a part of exports?

Prayasvin Patel: No, that is not part of exports.

Garvit Goyal: Understood sir. And lastly on our margin side, so in terms of competition like we are looking for sustaining our margins at these higher levels. So do you think like targeting such a higher margin can bring a situation of losing on the market share to the competitors or can it be a reason for our slower growth due to higher pricing?

Prayasvin Patel: See up till now we have been able to slowly and gradually increase our market

share then reduce

the market share. Okay the increase in market share is microscopic, but that also tells you that we have been able to sustain our market share as well as we have been able to sustain our margins. And we intend to do so because our strategy as well as the kind of services that we render and the quality that we give to our customers, the customers are satisfied with our performance.

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Garvit Goyal: So going ahead also we are focusing on sustaining our market share or slightly increasing our market share while sustaining our margins. Is that understanding, correct?

Prayasvin Patel: Yes, I would say domestically we are not keen to increase our market share beyond a certain limit because that would mean that there would be a street war with the competition whereby our margins would deplete. And that is not what we would try to do. So the intention is that we

grow, and we grow more in the export area, in the marine area, as well as we have identified other segments like high speed, etc. where we would like to grow further so that we are able to maintain our margins and still have a reasonably healthy growth rate.

Garvit Goyal: So from your commentary I think it is understandable for the next two to three years the export and the marine are the two areas that are going to drive our growth?

Prayasvin Patel: Yes, but there are also other areas too. So, we are riding on very many horses. But these two, as you rightly said have a very good potential. And our intention, as I said is not only to grow but to make sure that we are able to maintain our margins that we have earned up till now. And go further ahead maintaining this over a period of time.

Garvit Goyal: Understood, sir. Thank you very much, sir and all the best for the future. Thank you.

Moderator: Our next question is from Mr. Mayank Bhandhari from Asian Market Securities. Please go ahead, sir.

Mayank Bhandhari: Thanks for the opportunity. Sir, would it be possible for you to share the breakdown of the order book in terms of end markets?

Kamlesh Shah: So, our end markets are generally from steel, power, cement, material handling sector, sugar is also there then rubber and tyre and plastic. These are the sectors in which we are getting our orders.

Mayank Bhandhari: So, percentage wise is it possible to share?

Kamlesh Shah: Yes, we will share that also. We will share through our SGA.

Mayank Bhandhari: Okay. Thank you, sir. On the high-speed segment, what is the progress that we have made particularly from, I mean as we know that there is a niche market in export also. So, can you please elaborate on that?

Prayasvin Patel: We just checked on it. We have received our order on high speed from a large OEM, whereby we believe the potential is large and we are expecting that the orders will flow in for execution in the next calendar year.

Mayank Bhandhari: Okay. Sir, lastly, can you share the numbers for Radicon and Benzlers subsidiaries also, if it is

possible quarterly numbers?

Kamlesh Shah: Numbers means revenue and the profit margin numbers?

Mayank Bhandhari: Yes.

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Kamlesh Shah: Yes. Sure. We will do that.

Mayank Bhandhari: Sure, sir. Thank you.

Moderator: Thank you. The next question is from the line of Aditya Chheda InCred Asset Management .

Please go ahead, sir.

Aditya Chheda: Hi. Good evening. So, can you talk about what will be the key success factors in the export market, will it be price, distribution, brand, etc.?

Prayasvin Patel: Sorry, can you repeat it? Because unfortunately I am not able to hear you very well.

Aditya Chheda: So, my question is, what will be the key success factors for the company to grow in the export market? Will it be on price or distribution or brand?

Prayasvin Patel: It would be none of

of the above. Because see price-wise, we do not create an impression with the client that we are the cheapest and therefore you should buy from us. Because then they would perceive you to be like the Chinese manufacturers who sell on price. On the other hand brand, we have not established ourselves as yet especially in the western regions like Europe and America. Our name brand is not that well established. So, basically, our intention is to give a proposal to the customer by understanding his requirements. So, there is a very high concentration on supplying a solution to the customer for his needs for power transmission. The advantage that we have is we have a very large variety of products in our basket. And therefore we can give him a solution which exactly meets his needs rather than trying to give him a product which we have. It is selecting the right product from our basket for his requirement. As well as back it up by a very strong after sales, which is after sales service. We also provide free installation to the customer if the requirement is for large size gear units. Because we believe that, that way we are able to see to it that the installation is very smooth, and it brings a tremendous goodwill with the customer. So, there are a lot of things that we do by providing special services to the customer. Whereby, the customer is happy, and you would be happy to know that almost 70% of our customers are repetitive. Domestically as well as in the international market.

Aditya Chheda: Got it, sir. That was quite helpful. And briefly, if you can talk about how the competitive intensity is right now for the export market and maybe name some of the competitors or if not just talk about how the competitive intensity is relevant at the global export stage.

Prayasvin Patel: See, right now our market share is microscopic in the international market. Even if you look at sectors where or in territories where we are right now operating. Barring Far East as well as barring Middle East. If you consider Europe and America as I told you, our market share is negligible.

And therefore, competition in those countries is not very price sensitive. It is more related to the support, delivery of the goods in time and a proper execution of the order. So these are the things that the western market demands. And it is not very price oriented.

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Aditya Chheda: Got it, sir. Thank you. That's it from my end.

Moderator: Thank you, Mr. Chheda. Our next question is from the line of Niraj Mansingka from White Pine Investment Management Pvt Ltd. Please go ahead, sir.

Niraj Mansingka: Thank you for the opportunity. A few things, all related. How is the OEM expected to scale up? What is the potential that you see in the scale up of the OEMs from Europe that you are talking of the 11 OEMs?

Prayasvin Patel: It varies from OEM to OEM. But all I can say is that normally an OEM will keep minimum two suppliers. That is the general trend. And therefore, the intention of ours would be that going forward, we grab a larger market share from the competitor of ours with the OEM and are able to bring in more business.

Niraj Mansingka: Any numbers on any one of them or a few of them on average would be useful?

Kamlesh Shah: So, for the OEM business we got, we are estimating that there is a 10% to 15% of the total requirement of gearboxes. And that can go up to 30% to 35% plus.

Niraj Mansingka: Okay, that answers one side. The other thing is, you said two things in the past about Russia and Indian Railways, that Russia is looking at India for gearboxes and Indian Railways also you are trying to give products for component trials to OEMs. Can you give the colour on both of them?

Prayasvin Patel: Russia, because of the Ukraine-Russia war, they have been sourcing these kind of equipment's from Europe, which

right now because of the ban put in for supplies to Russia by Europe, the potential has opened up where Russia is trying to source heavy machinery and equipment's from either India or China.

They have been scouting around in a lot of situations. They are not very happy with the Chinese product and therefore they are banking on India to supply these. We see a great potential not only in gears but also in the material handling sector for this going forward. And we have established good contacts in Russia whereby the inquiry levels have increased, and we are hopeful that we will be able to back healthy number of orders in the future.

Kamlesh Shah: However, we would like to go cautious with Russia considering the trade restrictions, how it will spell out in the future. And accordingly we are just going with our policies to get the order from Russia.

Niraj Mansingka: And the Indian Railways?

Prayasvin Patel: Sorry, and?

Niraj Mansingka: The Indian Railways, you are giving them some trial for components?

Prayasvin Patel: Yes, Indian Railways, our pursuit is carrying on. We have not only given offers but apart from that we are also dealing with a company abroad who is supplying to the railways globally. So with both of them we are pursuing. There are trials that are being conducted and a few supplies have gone through, and we are waiting for some major orders to come.

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Niraj Mansingka: Okay, thank you very much.

Prayasvin Patel: Thank you.

Moderator: Ladies and gentlemen, due to time constraints that was the last question. I now hand the conference over to the management for closing comments.

Prayasvin Patel: Thank you all for joining this call and showing your interest in Elecon Engineering. We are at a pivotal moment of transformation driven by our continuous investments in technology and innovation. Our commitment to staying at the industry's forefront is unwavering. This quarter marks the beginning of our ambitious plan to significantly expand our international revenue share, paving the way for a brighter future for our organization.

With this I would end the call. Should you have any additional inquiries, please feel free to reach out to our CFO, Mr. Narasimhan Raghunathan or SGA, our Investor Relations firm. Your participation is greatly valued. Thank you all.

Moderator: Thank you. Ladies and gentlemen, on behalf of Asian Markets Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## Call: Oct 2024

25th October, 2024  
To,

The Manager (Listing),  
The BSE Ltd.  
Mumbai  
The Manager (Listing),  
National Stock Exchange of India Ltd.  
Mumbai  
Company's Scrip Code: 505700 Company's Scrip Code: ELECON

Sub. : Transcript of the Earnings Call held on 21st October , 2024  
Ref. : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015

Dear Sir/Madam,

With reference to the above referred Regulation and in continuation of our letter dated 11th October, 2024, please find attached herewith the transcript of the Earnings Call held on 21st October, 2024 for Q2 of the Financial Year 2024 -25.

The same is available on the website of the Company at  
<https://www.elecon.com/investors/audio-video-recordings-and-transcripts-of-post-earnings-quarterly-calls>

You are requested to take the same on your records.

Thanking you.

Yours faithfully,  
For Elecon Engineering Company Limited,

Bharti Isarani  
Company Secretary & Compliance Officer

Encl.: As above  
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"Elecon Engineering Company Limited  
Q2 FY '25 Earnings Conference Call "  
October 21, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 21st October 2024 will prevail.

MANAGEMENT : MR. PRAYASVIN PATEL – CHAIRMAN AND MANAGING  
DIRECTOR  
MR. AAYUSH SHAH – NON-EXECUTIVE DIRECTOR  
MR. M. M. NANDA – HEAD GEAR DIVISION  
MR. P. K. BHASIN – HEAD MHE DIVISION  
MR. KAMLESH SHAH – GROUP CHIEF FINANCIAL  
OFFICER  
MR. NARASIMHAN RAGHUNATHAN – CHIEF  
FINANCIAL OFFICER

MODERATOR : MR. HARSHIT KAPADIA – ELARA SECURITIES PRIVATE  
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Elecon Engineering Company Limited Q2  
FY '25 Earnings Conference Call hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the

listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touchtone phone . Please note that this conference is being recorded.

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I now hand the conference over to Mr. Harshit Kapadia from Elara Securities Private Limited.

Thank you, and over to you, sir.

Harshit Kapadia: Thank you, Steve. Good evening, everyone. On behalf of Elara Securities, I welcome you all to the Q2 FY '25 and H1 FY '25 Earnings Conference Call of Elecon Engineering Company Limited. We are pleased to have with us the management team represented by Mr. Prayasvin Patel, Chairman and Managing Director; Mr. Kamlesh Shah, Group CFO; Mr. Narasimhan Raghunathan, CFO; and a Senior Management team of Elecon Engineering Company. We will have the opening remarks from the management followed by a question -and-answer session.

Thank you, and over to you, Prayasvin, sir.

Prayasvin Patel : Good evening, and a very warm welcome to everyone on our Q2 FY '25 Earnings Conference Call. On the earnings call today I am joined by my colleagues, Mr. Ayush Shah, Non-Executive Director; Mr. M. M. Nanda, Head of Gear Division; Mr. P. K. Bhasin, Head of MHE Division; Mr. Kamlesh Shah, Group CFO; and Mr. Narasimhan Raghunathan , CFO. We have uploaded the press release and investor presentation on the Stock Exchanges and company's website, and I hope everyone had an opportunity to go through the same.

I will start with industry and business overview and then will hand over the call to Mr. Narasimhan, CFO, to discuss the financial performance for the quarter and half year ended September 2024.

Elecon is one of the biggest suppliers of gear solutions in Asia , providing a wide range of products to a variety of sectors including steel, cement, and power. In India, we are the leaders in the organized industry for industrial gears. We have also been working towards expanding our global footprint and are delighted to share that the export contribution stands at 28% for H1 FY '25.

We have built a robust distribution network that reaches to 85 countries, thereby expanding our global presence. In recent years, we have also been successful in obtaining orders from a few notable OEMs across several regions. These orders will serve as references for us as we continue to expand into these regions.

With increasing references and OEM tie-ups, we are optimistic of increasing our overseas business and achieving revenue contribution to 50% by FY '30 from overseas business. Elecon has strong foundation for delivering solutions in the MHE division since seven decades. This experience is supporting us as leading player in India, and we are able to take advantage in the capex environment in India as well as overseas.

Elecon has demonstrated throughout time that it is determined and trustworthy partner, greatly meeting the expectations of the clients. We have been known not only as a unique solution provider but also as the most dependable solution supplier with the shortest lead time. We have also been continuously upgrading our products and capabilities with our in-house R&D and continuous development through innovation.

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The gear division at Elecon accounts for around 80% of our total consolidated revenue in Q2 and H1 FY '25 and it continues to be a vital base of our company. With more than 70 years of industry expertise, we provide a wide selection of engineered and catalogue products in this segment, each specifically designed to satisfy the diverse needs of clients in several industries. Our product portfolio is among the most extensive in the industry, giving us a distinct competitive advantage and the ability to meet wide range of customer needs and preferences. Our engineered products are specifically designed and made to meet specific client demands over and beyond our catalogue products. These engineered products are custom -designed and manufactured in-house with strong support from our R&D

team. Our superior quality and

services have helped us climb the top spot in the domestic market. Our relationships with customers and OEMs who consistently prefer Elecon are a testament of our commitment.

The gear division's revenue for the quarter ended September 2024 was INR398 crores , down from INR423 crores in Q2 FY '24, mainly due to delayed order inflow from clients which caused a delay in execution with in Q2 FY '25. However, we see good demand and orders in H2 and are optimistic of achieving our overall annual guidance of FY '25. The consolidated revenue for H1 FY '25 stood at INR732 crores from gear division.

Our MHE segment is focused on products and aftermarket services. The strategy of moving away from EPC business has made a substantial impact on our combined sales and profitability. We had a robust 154% year-on-year increase in order inflows in Q2 FY '25, demonstrating the effectiveness of our planned actions.

Our extensive product line and years of experience have made us the go-to options for clients. Revenue from MHE division grew at 77.8% on year-on-year basis to INR 110 crores in Q2 FY '25. We see this business to evolve rapidly and expect a healthy growth in the balance part of the year on the back of healthy order book.

Finally, Elecon has made significant ESG commitments and is firm in its sustainability journey. We are making the switch to renewable energy sources a top priority. Furthermore, we also prioritize the well-being and safety of our employees, implementing various training programs and initiatives to sustain these principles.

With this, I would like to hand over the call to Narasimhan, our CFO for financial highlights for Q2 and H1 FY '25. Over to you Narasimhan.

Narasimhan Raghunathan: Thank you, sir. Good evening, everyone, and a warm welcome to our Q2 FY '25 Earnings Call. I will now take you through the highlights of financial results for Q2 and H1 FY '25. Our consolidated revenue from operations for the quarter ended September 2024 stood at INR 508 crores as compared to INR 485 crores in the same quarter last year, a growth of 4.8% on year-on-year basis. The domestic market accounted for 76% of revenue and balance coming from overseas market. Our revenues from overseas and export markets stood at INR 122 crores in

Q2 FY '25 as compared to INR 98 crores in Q2 FY '24, a growth of 24.2%.

The consolidated EBITDA for Q2 FY '25 stood at INR 112 crores as compared to INR 119 crores in Q2 FY '24. The EBITDA margin for the quarter stood at 22.1%. The EBITDA

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margin saw a dip primarily due to higher freight costs and one-time repairs and maintenance expenses incurred during the quarter. PAT margin for Q2 FY '25 stood at 17.3% as compared to 18.3% in Q2 FY '24 registering a decline of 100 basis points.

For the half year ended September 2024, consolidated revenue from operations stood at INR 901 crores as compared to INR 899 crores in the same period last year. EBITDA stood at INR 205 crores as compared to INR 219 crores in H1 FY '24. The EBITDA margin for the period stood at 22.7%. The PAT for the period stood at INR 161 crores as compared to INR 162 crores in H1 FY '24. The PAT margin for the period stood at 17.9%.

Moving on to the segment-based performance. Gear division accounted for 78% of the revenue, while 22% was contributed by the MHE division in Q2 FY '25. In gear segment, consolidated revenue from operations for the quarter ended September 2024 stood at INR 398 crores as compared to INR 423 crores down by 5.9 percentage. Revenue was impacted on account of delay in receipt of order from customers resulting in delay in execution within Q2 FY '25. We anticipate faster execution in balance H2 FY '25 to achieve the overall guidance for FY '25.

The EBIT for the quarter stood at INR 82 crores as compared to INR

110 crores in Q2 FY '24.

The EBIT margin for Q2 FY '25 stood at 20.5% as compared to 26% in Q2 FY '24. EBIT margin was largely impacted on account of certain one-time repair and maintenance expenses as mentioned previously. Increase in freight cost, especially air freight for certain deliveries to marquee OEMs in the stipulated timeframe and changes in the product mix with respect to engineered and catalogue products. However, we are confident as the revenues bounce back, we will be able to recoup the margins with operating leverage playing out in the H2 FY '25.

The order intake for Q2 FY '25 stood at INR 432 crores up by 15.2% on year-on-year basis.

Order in hand is INR 627 crores as on 30th September 2024. We see sustainable growth in order booking across sectors throughout FY '25.

In our MHE division, revenue for the quarter stood at INR 110 crores as compared to INR 62 crores in the corresponding quarter last year, growing 77.8% on year-on-year basis. EBIT for Q2 FY '25 stood at INR 29 crores as compared to INR 13 crores in Q2 FY '24. The EBIT margin stood at 26.5% as against 21% in Q2 FY '24, increasing approximately 549 basis points on a year-on-year basis. The increase is largely on account of better product mix and higher contributions on the aftermarket segment. The order inflow during the quarter ended September 2024 stood at INR 104 crores as compared to INR 41 crores in the corresponding

quarter last year, up by 154% on year-on-year basis. The open order as on 30th September 2024 stood at INR 339 crores.

The company continues to focus on the business of supplying products and aftermarket business for its MHE segment which has led to sharp turnaround in the profitability for this segment. The company is consistently securing new orders for product supply and capitalizing on growth opportunities in the aftermarket business. We have been able to achieve a

breakthrough in the overseas market for MHE division and have successfully secured an order valued at \$ 1.65 million in Q2 FY '25. We are witnessing a higher demand in the MHE segment from overseas market.

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Further, on the balance sheet front, we are happy to say that the consolidated net free cash surplus stood at INR 500 plus crores as on 30th September 2024. The cash flow from operations stood at INR 175 crores for H1 FY '25 and EBITDA to CFO conversion stood at 117%. Furthermore, we are pleased that the board has declared an interim dividend of Re . 0.50 each at the rate of 50% per equity share of face value Re . 1 each.

To conclude, we stick to our annual guidance of achieving revenue of INR 2,225 crores , an EBITDA margin of 24% for FY '25 and are very confident with the order book we have , that we will be able to execute the same in the balance part of FY '25.

On this note, I would like to open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on their touch tone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handset while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Ganeshram Rajagopalan from Unifi Capital. Please go ahead.

Ganeshram Rajagopalan: Thank you. I just have a few questions to start with. And maybe the first one is on the margins, right? What we're seeing is the raw material cost just on a quarter -on-quarter basis seems to have gone up. Maybe if you could give us a bit of clarity on what's happening there? And if you could quantify the impact on the margins because of the one-off repair expense you had and the freight expense you have? That's just the first question on margins.

Prayasv

in Patel: We need to understand that the margins that we have would vary based on the product mix that we have for a particular quarter, okay? There are differences in margins, in engineered products, in catalogue products as well as various models that we produce, which leads to variation in the profit margins.

Apart from that, this particular quarter, because of the Houthis intervention in the Gulf of Aden, we had to pay extra freight to transport the products to Europe as well as to United States, which has also reduced our margins. Apart from that, there are one-time costs that we had to incur, which are for maintenance, which also brought in the variation.

Ganeshram Rajagopalan: All right. So, if I have to interpret what you're saying, you're attributing it mainly to a change in product mix and the freight, and by underlying raw material wise, you're not seeing any delta. Is that the right interpretation?

Prayasvin Patel: Yes. As I told you, there are variations that come in because of the product mix, but we are confident that we will maintain the margins that we have committed by the end of the year as well as the turnover, which we are extremely confident of doing the same.

Ganeshram Rajagopalan: So that's about 24% full year, right, if I remember correctly?

Prayasvin Patel: Yes.

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Ganeshram Rajagopalan: Okay. All right, so that was the first question, sir. And the second, if you could just give us a bit more colour on the kind of delay that we face in the order inflow, right? What kind of product was this? Or where was this client base just -- or was it multiple products, multiple clients just for us to understand because we have an order book of about INR 966 crores , right?

So, the thinking is, there wasn't an expectation built in I think that we would probably see a slowdown. So maybe if you can help us understand why this happened in the gears division, that would be very helpful.

Prayasvin Patel: Sorry, it is difficult for me to comprehend the question. But I presume what you are trying to say is that, why is it that the first half was slow, am I right? That is your question?

Ganeshram Rajagopalan: No. The main question was the slowdown in the order inflow, if you could give us a bit more details around it, right? So what exactly happened in the second quarter? Yes . Please.

Prayasvin Patel: Yes. The first quarter, because of the elections, the industrial sector came to a standstill. A lot of our clients were waiting for the elections to get over before they would decide whether to release the orders to go ahead with the projects, etcetera, etcetera or otherwise were just waiting for the elections to get over and then release, to be honest. So the inflow in the first quarter was extremely slow and which caught momentum in the second quarter.

Now for me to execute the orders which were received in the second quarter, during the quarter have got tremendous limitations because only certain types of gears I could invoice it

during that time. We have to also understand that we have a short cycle, okay, of execution and which was the reason why it could not happen in the second half of the H1. But the orders that we have received in the second half of H1, we will be able to execute in the third quarter.

Ganeshram Rajagopalan: Understood. So, for us to meet the guidance that was previously given, this is the last, just to summarize, we'll have to grow about 28% top line, and we'll have to have a higher EBITDA margin. And you're confident that this can be done in the second half, there's no risk to this that you foresee?

Prayasvin Patel: Yes.

Ganeshram Rajagopalan: Thank you, sir.

Moderator: Thank you. The next question is from the line of Nishit Master from Axis Securities. Please go ahead.

Nishit Master: Thank you, sir, for the opportunity. Sir, just one question and continuation of the last one.

What are the one time -- so you mentioned that there are one -time costs with respect to maintenance and all. If you could quantify the maintenance cost which was higher, which was one-time? And if you could also quantify what's the kind of impact we've taken because of higher freight cost?

Kamlesh Shah: So, if you have -- in the last couple of years, we have not upgraded our facility, particularly some facilities which is required, more specifically on the fire kind of incident or on account of our other building facilities. So we upgraded to that also with total amount included INR7.32

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crores for this Q2 which is having an impact on it. On account of the freight, because of this geopolitical tension, to deliver our goods, we have to opt for the air freight, which itself cost to me additional cost of INR1 crores for that all.

So, over and above that we also have to incur some specific expenses for the material -- packing material because of that different issues, so that has additionally costed me INR1.68 crores. So these are the one-time kind of cost which we have to incur because of the change in our supply chain which has had an additional impact in the P&L for this quarter.

Nishit Master: And as this freight issue would continue, right, going ahead also because Red Sea crisis is not yet over. In spite of that, we believe that our margins will be upwards of 25% for the next half?

Kamlesh Shah: That we already captured while we are given that 24% EBITDA margin. It is mainly because of the air freight, which we have to incur, which was a substantial amount of nearly INR1 crores.

Nishit Master: Okay. Done, sir. Thank you so much.

Prayasvin Patel: And we have also taken it up with our clients and requested them to give us extra amounts for the increase in freight because now the ships are going through Cape of Good Hope rather than going through the Suez Canal. So majority of them have agreed to it. So that would not be an issue going forward.

Nishit Master: And our order inflows, obviously, which came in in the second half of the quarter, but in terms of business environment, do you believe that the business environment continues to remain fairly strong both in India and overseas?

Kamlesh Shah: If I say about this, because of that, in the beginning of the year, for this year, we have given an annual guidance of 15% growth on this that we are going to sustain.

Nishit Master: Okay. And in terms of visibility for next year, sir, do you think that this 15% growth can increase substantially next year?

Kamlesh Shah: Let this period pass on because presently, as you are aware that geopolitical scenarios are still challenging for us. Generally, for the next year, we are giving the guidance in the Q4 earnings call or maybe in Q3 earnings call, whatever it will work out for us also.

Nishit Master: Okay, sir. Thank you so much. And best of luck.

Kamlesh Shah: Thank you.

Moderator: Ladies and gentlemen, in order to ensure that the management is able to address questions from all participants, please limit your questions to two per participant. The next question is from the line of Akash from Dalal & Broacha. Please go ahead.

Akash : Yes. Thanks for the opportunity. Sir, my first question would be how much after -sales and AMC revenue we would have won both on the gears and the MHE side in this quarter.

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Kamlesh Shah: Yes. Akash, may I request you to please repeat your question? I could not hear you clearly, sorry.

Akash : Yes. Is my voice audible now? Is it clear now?

Kamlesh Shah: Yes.

Akash : Yes. So just wanted to understand what is the after -sales operational maintenance revenue that we would have done in gears and MHE respectively this quarter?

Kamlesh Shah:

This quarter both put together, we have achieved 29% revenue from the after -sales service.

Akash : Okay. Would you have the numbers split between both divisions or?

Kamlesh Shah: I don't have presently a number between the gear and MHE. But I will circulate the same to you through our SGA.

Akash : Got it, got it, sir. And sir one more question from a more longer -term horizon. So let's say if we talk about from there -- for the next three to five years, both the capex environment within India and export scenario working out for India through that China Plus One theme, how do you see Elecon shaping up for the next three to five years, I mean? That I would like to understand.

Kamlesh Shah: So far the growth we saw there, we already discussed from time to time also that we are very much clearly focused both in India being a leadership position in India, both in gear as well as MHE. And at the overseas, we are already getting the traction, and we are adding more and more OEMs order, maybe smaller or big from time to time on quarter -on-quarter basis also. So we are sustaining whatever we have given the guidance, going for the future also.

Akash : Got it, sir. Perfect. Thank you. I'll join back in the queue.

Kamlesh Shah: Thank you, Akash.

Moderator: Thank you. The next question is from the line of Bharat Shah from ASK Investments. Please go ahead.

Bharat Shah: Just needed a clarification. I'm still confused about the numbers. You said for the current year, the turnover is expected to be in excess of INR 2,025 crores .

Kamlesh Shah: It is INR2,225 crores .

Prayasvin Patel: Our target is INR2,225 crores .

Bharat Shah: Okay. Sure. Sir, which means compared to INR1,600 crores turnover last year, that's almost 40% jump.

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Kamlesh Shah: No, that you are talking about stand-alone. I am talking about consolidated. We are talking about consolidated INR2,225 crores . Last year we did INR1,936 crores as a consolidated turnover.

Bharat Shah: Okay. Yes. Sorry I missed that. And you are talking of operating margins of 24% or EBITDA margins of 24%?

Kamlesh Shah: EBITDA margin.

Bharat Shah: So that is inclusive of other income?

Kamlesh Shah: No, EBITDA margin doesn't include other income. That was under the PBT.

Bharat Shah: On the turnover, you are saying 24% margins of EBITDA plus you add other income, that will give you profit before interest and depreciation. Is that what you are saying?

Kamlesh Shah: Correct. Yes. Correct.

Bharat Shah: Okay. So that's really operating profit, not EBITDA, and which is what I was getting confused by. So essentially, you're saying the operating profit of 24% or higher on INR2,225 crores add whatever is the other income, and that will be the total EBITDA, likely to be?

Narasimhan Raghunathan: No. That would be PBT.

Kamlesh Shah: Generally, the different forum are having different -- generally we understand EBITDA means it is without other income.

Bharat Shah: All right, got it. So what you are talking about is the operating profit.

Prayasvin Patel: Operating profit would be 24%.

Bharat Shah: Sure. On that you will add whatever is the other income, minus interest, minus depreciation, to arrive at pre-tax profit.

Kamlesh Shah: That's correct.

Bharat Shah: No, that's important because other income is large in your context. And therefore, I just wanted to be sure rather than being confused.

Kamlesh Shah: Okay, sure.

Bharat Shah: Yes. Thank you.

Kamlesh Shah: Thank you.

Moderator: The next question is from the line of Kartik Keyan from Suyash Advisors. Please go ahead.

Kartik Keyan : Sir, good evening. Very interesting performance under the circumstances. Couple of questions, sir. One is on the MHE side, very impressive profitability you are achieving. Can you explain

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the basis for this? As in, are these fixed-price contracts? How exactly are you able to achieve these fairly high numbers?

Also, there was a reference to a \$1.65 million export order bag. I hope I heard that correctly.

Can you tell me the destination to which this is and is freight included in this price? Or is this on a FOB basis?

Prayasvin Patel: Can I give you an off-the-cuff answer I think in terms of experience in the MHE business, which is leading to this, and we have burnt our fingers through thick and thin to realize that we need to change our model. And ultimately, we have seen to it that we only sell products whereby our liquidity has improved and so has the profit margins.

Kartik Keyan : Right. And therefore these are sustainable numbers and not one-off items, right? I know you've done it for the first half, but I'm still asking the question.

Prayasvin Patel: Sustainable, absolutely. Okay. And which is the reason why we have changed the entire organization to suit the new model.

Kartik Keyan : The other question would be on the gear side, sir, what would have been the contribution from OEMs in the first half and how do you see that shaping up for the next half and maybe the next year?

Prayasvin Patel: Sorry. We can't hear you.

Kartik Keyan : I was saying, sir, what would have been the contribution from OEMs in the first half and how do you see that shaping up, say in for the year and for next year?

Kamlesh Shah: This year for the first half we have achieved the invoicing to OEM of INR 25 crores .

Kartik Keyan : Okay. And what is the outlook, sir?

Kamlesh Shah: We are very much on the track. In fact, we have done better than what we are estimated at the beginning of the year.

Kartik Keyan : Right. So , I was asking you what is the estimate for the year, roughly?

Kamlesh Shah: We are expecting that, revenue from OEM business to the tune of nearly INR 45 crores to INR 52 crores .

Kartik Keyan : Right. And have you added any logos in your presentation of the OEM, sir? Because I see the same logos as say six quarters ago. So you've not added any of the logos in your presentation, right?

Kamlesh Shah: No, we are not added the logo.

Prayasvin Patel: Normally 70% of our clients are repetitive. So almost all of them have been almost the same for I would say the last 30, 40 years.

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Kartik Keyan : I know, but I was wondering if any of the OEMs you are servicing, have you added their logos to the presentation? So that is the question I was asking, sir.

Kamlesh Shah: That one -- by the end of this year, once it becomes -- generally in the logo we consider the most substantial business, it has not reached to that level also. So, by the end of the year, once it will reach, we will add that logo.

Kartik Keyan : Thanks very much, sir. And best wishes.

Kamlesh Shah: Thank you.

Moderator: Thank you. The next question is from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Yes. Hi, good afternoon, and thank you. Sir, regarding again on the demand scenario and order inflow, I mean we did make a comment in the beginning that people are waiting for elections and then the budget. And so now both of those events are behind us. If qualitatively on ground if you can highlight, how are we seeing in terms of order inquiry, pipeline RSQs.

Because ambiguity we keep hearing some steel OEM or some paper or someone else, sugar, kind of differing the avenues or the targets which they had. So, given the optimism that we have in terms of what we intend to achieve, how do we reconcile this? And what are you seeing on ground post these two major events which have happened?

Prayasvin Patel: What we find is that especially in India, after the elections, the momentum and the number of inquiries has been continuously increasing, okay?

The demand for products in material

handling as well as in gears is on the rise, okay? It started a bit slowly, but now it has got good momentum. And we believe that after Diwali it would further add to the momentum, okay?

Things are looking good like before and we hope that this will continue in the near future, okay? There are all indications that it would continue in the future. Power sector is heating up.

On the other hand, we had mining, which -- especially coal mining, which is very promising in the future. The third aspect is that steel is doing well, okay, and is expected to do even further. Cement is also going from strength to strength. So these are the areas where we feel that the growth is consistent and is strong and will take us through not only this financial year, but the expectation is the next financial year also would be equally strong.

Pratik Kothari: Correct. Sir, and taking this point on power ahead, I mean, we do read a lot about the new orders which are

being placed, the plans which are being revised, be it, BHEL, etcetera, getting a lot of orders. And I think we have done a fine job in terms of one guard railing ourselves in terms of what kind of things we want to do and not do on the MHE side. So if we just talk a bit more about over the next three, five years, given these are very long gestation orders, our preparedness to kind of participate here, capture this opportunity, obviously in the guardrails that we have set for ourselves.

Prayasvin Patel: Yes. Basically, we want to capture the opportunities, but also be extremely careful in not getting drawn away from our strategy, because our strategy is what is bearing the fruits right

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now. So we need to make sure that we continue on the same lines and continue on the same track, so that in future, we do not falter like we have done in the past.

Pratik Kothari: Correct. Fair. And sir, my last question on the capex. I mean, we had a plan, I think, to spend about INR200 crores this year. We have done about INR40 -odd crores in first half. So just wanted to confirm, are we on track? And I believe this was largely to kind of add capacity to our existing facility.

Prayasvin Patel: See, we have done the capex because as Kamlesh Shah had mentioned, that we have for the last 10 years, we were practically operating on very, very small amounts being used for capex.

We have done this. We have ordered the machine tools and the equipment that we require. They will get installed over a period of time, okay? However, the orders have been released and therefore this would be coming in shortly. Okay. One of the few initial ones have been received, but the further additional ones are yet to come in.

Pratik Kothari: Correct. Great. No, thank you. Best wishes, and happy Diwali to everyone, sir, at team Elecon.

Prayasvin Patel: Thanks a lot. Same to you.

Moderator: Thank you. The next question is from the line of Bharat Shah from ASK Investments. Please go ahead.

Bharat Shah: Yes. I wanted to revisit that question, so pardon me for testing your patience on that. But just to recapture, when you talked about margins of 24%, you did not mean to include other income while computing the margins, right?

Kamlesh Shah: Yes.

Bharat Shah: Now look at your last year numbers on about INR1,940 odd crores of turnover, our operating profits, that is, without counting other income and before interest and depreciation were about INR 475 crores. And, therefore, the operating profit margin was about 24.5%. So essentially what you are saying is, despite the second quarter not looking particularly pretty on this count, yet in entirety, our margins will be more or less similar to what we did last year, which was 24.5% operating profit margin without counting other income and you are seeing 24% in the current year, more or less similar, but with an i

mproved top line of about 15%, if not more.

Kamlesh Shah: Yes.

Bharat Shah: All right. So, it is indeed similar margins, not really any material differences, it appears in this particular quarter.

Kamlesh Shah: Correct. Absolutely.

Bharat Shah: Okay. Thank you. And would you like to talk about some of the earlier participants also did dwell upon this, but beyond the current year, how do you see the unfolding opportunity? And what exactly -- and I believe your export business earns you better margins and which is where you expect to grow at a faster rate over a period of time, while your domestic business will grow, but exports will grow faster and therefore overall margins going forward, other things

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being equal, should be expected to improve. Therefore, if you give some insights into how the business is kind of unfolding both in domestic and international markets, if you can define it in both qualitative and some amount of quantitative terms, it will help.

Prayasvin Patel: Basically, what we see is there is healthy amount of inquiries coming in from the domestic market, which has increased over a period of time after the elections have taken place. I believe that cement, steel, as I mentioned, power, including sugar, are seeing good amount of traction, okay? We believe that this should continue even in the next financial year, after which one needs to assess how the scenario is panning out. It would be difficult for us to assess beyond that as of now. So that is showing a healthy situation.

On the other hand, we have made good breakthroughs in exports. In exports, our growth has been reasonably good, and we believe that from this it is a platform on which we would be further able to grow. As I had mentioned earlier also in a lot of these conference calls, that our margins are healthier in the export business compared to the domestic business. So, the growth in exports would also lead to consistent if not better margins in the near future.

Kamlesh Shah: Further, I would like to add over here, in the export earlier we are thinking the OEM market is there and the Europe and other Western countries. Now we also are getting the good traction from the Russia also because of -- they got disconnected from the other Western world. Further, if I give on the colours to this how the margin -- the scope for the improvement it is there because my gearbox, which is generally are having that warranty period of six months to 12 months, that will further add the after-sales service business for us. Because we are having the presence outside India having the direct channel as well as the indirect channel both, direct channel that is we are having our own SMB centres and we also our own other subsidiaries as well as the service centre. And we also are selling through indirectly through the distributor and dealer network also other there. So with this kind of things, we are continuously evaluating which are the further areas which are there. And with this references from the current OEMs that will further add the business from the existing OEM as well as that will open the doors for the other OEMs for us to capture the business over there.

Bharat Shah: Sir, will it be reasonable to say that the 15% or better growth that we are expecting in the current year, in the year ahead, in all probability, given the fact that we expect to accelerate in the export business in the total mix, which means it will grow at a much faster pace than the domestic, will it be fair to say that overall growth rate for the year ahead in '25, '26 is likely to be superior to this 15% that we are talking today?

I understand you mentioned that closer to third quarter or fourth quarter you will have a better clarity. But just as a kind of a medium-term picture, conceptually, would you assume that '25, '26 will look stronger

or period in terms of the growth rate than the current year growth rate?

Prayasvin Patel: As of now we believe so. It would be difficult to predict in the future. But looking at all the indicators as of now, it looks like next year the growth would be even higher, okay, especially

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we see that kind of scenario, especially in material handling and also in the domestic market in gear plus with the trust that we have in export, I see a reasonably rosy picture.

Bharat Shah: Thank you.

Moderator: Thank you. The next question is from the line of Garvit Goyal from Nvest Analytical Advisory. Please go ahead.

Garvit Goyal: Good evening, sir. My question is on the marine sector's orders that we were expecting on. So what is the update on that, sir?

Prayasvin Patel: Sorry, can you repeat that once again?

Garvit Goyal: We were looking for some -- few orders from marine sectors, right, so I'm asking what is the update on that?

Prayasvin Patel: The clients have not yet finalized the order. However, we believe that we are reasonably well placed, and we should be expecting orders at least one or two in the near future.

Garvit Goyal: In this year itself or are you looking to get these orders in FY '26 and then execution will happen years thereafter?

Prayasvin Patel: We believe that we should get a reasonable success in the third quarter, and which would be executed during the next financial year.

Garvit Goyal: Got it, sir. And sir, I think during this call you mentioned about some order you got in MHE segment I think, I do not remember the number exactly. Can you repeat the number, like \$1.65 million is it, right?

Kamlesh Shah: Yes. \$1.65 million.

Garvit Goyal: This is for MHE segment. This is an overseas order, right?

Kamlesh Shah: Yes. This is an overseas order.

Garvit Goyal: Got it, sir. And so lastly on the capex, like you mentioned, INR 200 crores capex for this year. And now you are saying machine tools have been ordered and will be installed over time. So what is the new figure, like how much will get deployed this financial year and how much will it be deferred to next financial year sir, in terms of capex?

Kamlesh Shah: This year we are just completing our capex cycle of three years, which we have already spelled out.

Garvit Goyal: That means in second half, approximately INR 180 crores will be capitalized, right? Because looking at your net flow for first half as compared to March '24, the addition is only INR 20 crores.

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Kamlesh Shah: Yes. This year we did additions of nearly INR 40 crores, INR 45 crores in the first half. And we are expecting more machines to reach over here in H2 and I think most of them will get

installed in this year itself.

Garvit Goyal: And the revenue will start kicking in next year, right?

Kamlesh Shah: Yes. That will start next year.

Garvit Goyal: Got it, sir. And sir, just to understand better, like you mentioned end customers are delaying the orders. So is there any specific reason for that why they are delaying the orders, or can you comment on that?

Kamlesh Shah: I can't get what you mean to say. Delay in the order was because of election, the order flow started from July August onward. So generally, we can invoice in the same month or in the same quarter for catalogue product, this is called the standard product, where the engineer product which is having the manufacturing cycle of three to four months that is not getting and ruling out to the next Q3. If you have seen my balance sheet, the inventory has increased to INR 194 crores as at 30th September 2024 against last year 30th September 2023 it was INR 152 crores.

Garvit Goyal: Perfect, sir. That's it from my side, sir. All the best for the future.

Kamlesh Shah: Thank you very much.

Moderator:

Thank you. The next question is from the line of Mohit from Kriis PMS. Please go ahead.

Mohit: Hi sir, thank you for taking on my question.

Prayasvin Patel: Can you be louder, please?

Mohit: Yes. One second. Yes. Can you hear me now?

Prayasvin Patel: Yes.

Mohit: Yes. So, my question is on the product mix side, what exactly are we seeing the impact on product mix? I mean which products are getting more impacted? Can you just elaborate on the same?

Kamlesh Shah: In Q2 because our order inflow started from July, August onward. So, my execution was more of the catalogue product. That is called standard product, vis-a-vis engineer product. So, because of the change in the product mix that will have that impact on my gross margin as well as EBITDA margin.

Mohit: Just to be clear, you are saying catalogue products are sold more than the engineered product vis-a-vis last year?

Kamlesh Shah: Yes. Correct. My product mix was not -- last year it was better. Last year we did the engineer product of nearly 55% and my catalogue product was 45%. This year it is a reverse for me.

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Mohit: All right. Thank you, sir. That was helpful.

Moderator: Ladies and gentlemen, due to time constraints, this was the last question for today's conference call. I would now like to hand the conference over to the management for their closing remarks.

Kamlesh Shah: Thank you very much.

Prayasvin Patel: Yes. Thank you for joining this call and showing your interest in Elecon Engineering. We intend to charter a journey of becoming a leading international player in the gear solutions market. We further double click by showing a stable increase in overall overseas market share in this quarter, and we plan to maintain this momentum. On the domestic market front, we have a healthy order book in hand and it's time to showcase our execution in the next half year to achieve the guidance number for FY '25.

With this, I would end the call. Should you have any additional inquiries, please feel free to reach out to SGA, our Investor Relations firm, or our CFO, Narasimhan Raghunathan. Your participation is greatly valued.

Moderator: On behalf of Elecon Securities Private Limited, that concludes the conference call. Thank you for joining us and you may now disconnect your lines.

## Call: Jan 2025

29th January , 202 5  
To,

The Manager (Listing),  
The BSE Ltd.  
Mumbai The Manager (Listing),  
National Stock Exchange of India Ltd.  
Mumbai  
Company's Scrip Code: 505700 Company's Scrip Code: ELECON

Sub. : Transcript of the Earnings Conference Call held on 2 3rd January , 202 5  
Ref. : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/Madam,

With reference to the above referred Regulation and in continuation of our letter dated 17th January , 202 5, please find attached herewith the transcript of the Earnings Call held on 23rd January , 2025 for Q 3 of the Financial Year 2024 -25.

The same is available on the website of the Company at  
<https://www.elecon.com/investors/audio-video-recordings-and-transcripts-of-post-earnings-quarterly-calls>

You are requested to take the same on your records.

Thanking you.

Yours faithfully,  
For Elecon Engineering Company Limited,

Bharti Isarani  
Company Secretary & Compliance Officer

Encl.: As above

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"Elecon Engineering Company Limited  
Q3 FY '25 Earnings Conference Call "  
January 23, 202 5

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 2 3rd January , 2025 will prevail .

MANAGEMENT : MR. PRAYASVIN PATEL – CHAIRMAN AND MANAGING DIRECTOR  
MR. AAYUSH SHAH – NON-EXECUTIVE DIRECTOR  
MR. M.M. NANDA – HEAD GEAR DIVISION  
MR. P.K. BHASIN – HEAD MHE DIVISION  
MR. KAMLESH SHAH – GROUP CHIEF FINANCIAL OFFICER  
MR. NARASIMHAN RAGHUNATHAN – CHIEF FINANCIAL OFFICER

MODERATOR : MR. HARSHIT KAPADIA – ELARA SECURITIES

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January 23, 202 5  
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Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '25 Earnings Conference Call of Elecon Engineering Company Limited. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone.

I now hand the conference over to Mr. Harshit Kapadia. Thank you, and over to you, sir.

Harshit Kapadia : Thank you, Niveditha. Good evening, everyone. On behalf of Elara Securities, we welcome you all for the Q3 FY '25 and 9 -month FY '25 Conference Call of Elecon Engineering Company Limited. I take this opportunity to welcome the management of Elecon Engineering represented by Mr. Prayasvin Patel, Chairman and Managing Director; Mr. Kamlesh Shah, Group Chief Financial Officer; and Mr. Narasimhan Raghunathan, Chief Financial Officer, along with their team. We'll begin the call with a brief overview by management followed by a Q&A session.

I'll now hand the call to Mr. Prayasvin Patel for your opening remarks. Over to you, sir.

Prayasvin Patel : Thank you. Good evening, and a very warm welcome to everyone on our Q3 and 9 months FY '25 Earnings Conference Call . I'm pleased to be joined today by my colleagues, Mr. Aayush Shah, Non -Executive Director; Mr. M.M. Nanda, Head of Gear Division; Mr. P.K. Bhasin, Head of MHE Division; Mr. Kamlesh Shah, Group CFO; and Mr. Narasimhan Raghunathan, CFO. We have uploaded the press release and investor presentation on the Stock Exchanges and on our company website. And I trust you have had an opportunity to go through the same. I will begin with a macro overview of the industry and the current business environment, followed by a detailed discussion on our financial performance by Mr. Naras imhan Raghunathan, our CFO. Elecon Engineering is a leading manufacturer of industrial gear solutions and material handling equipment, recognized for our technology, quality and reliability across diverse industries. We serve sectors such as steel, cement, sugar power, marine, with a strong commitment, the organized industrial gear market in India. Our extensive distribution network reaches approximately 85 countries, strengthening our global footprint.

Our business continues to be shaped by 2 key divisions, industrial gears and material handling equipment. The Gear division, which accounts for around 80% of our consolidated revenue has demonstrated resilience this year. We experienced a modest 2.1% year -on-year growth in Q3 FY '25 and a decline of 3.6% year -on-year for the first 9 months of FY '25.

This performance is largely attributed to a slowdown in the steel and sugar sectors in India, where demand has been subdued specifically in domestic market . Further external macroeconomic factors slowdown in the UK, political instability in Europe and other geopolitical uncertainty have contributed to a cautious business sentiment and delayed capital investments. These factors have led to delayed order inflows and slower -than-expected growth in the gear di vision.

Despite the above challenges, we have a healthy order book of INR 684 crores as of December 31, 2024, as against INR 572 crores as of December 31, 2023, which will convert into revenue Elecon Engineering Company Limited

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in the coming quarters. We are seeing a strong growth in our MHE division, which has shown remarkable resilience in the face of broader market challenges.

Our MHE division witnessed a 55.2% year -on-year growth in revenue in the first 9 months of FY '25, with a robust 75.9% year -on-year increase in order inflows for the same period. This performance is a testament of our effectiveness of our strategic actions and the growing dem

and

for mat erial handling solutions across sectors.

We are confident that the MHE division will continue to grow strongly, and we expect healthy performance in Q4 FY '25, underpinned by a strong order book. Although the Gear division has experienced flat growth this year, we are highly optimistic about MHE division's strong potential and its ability to drive balanced performance across the company. Despite challenges in the macro environment, Elecon remains focused on its long -term growth strategy. We are actively diversifying our business portfolio and exp anding into new sectors and geographies.

Our extensive product portfolio combined with strong in -house R&D capabilities continues to differentiate us among the peers. Our custom engineered solutions enable us to provide and meet the diverse needs of our clients. As we navigate through macroeconom ic uncertainties, we believe that our commitment to diversify ing revenue streams and focusing on high -growth areas such as MHE and untapped industries will provide us with greater resilience and a stable order flow.

Further, we find it necessary to revise our revenue guidance to reflect the impact of the current market uncertainties , slower growth in key sectors and geopolitical factors on our outlook for FY '25. On the consolidated level, we anticipate we may miss our revenue guidance by up to approximately 3% for FY '25. However, we remain confident in our ability to maintain EBITDA margins of 24% for the full year.

Sustainability continues to be a key pillar of Elecon strategy. I'm proud to share that Elecon has recently received approval for near-term science-based targets from the science-based targets initiative, London, U.K. Elecon is committed to reducing its absolute scope 1 and 2 greenhouse gases, GHG emissions by 54.6% by FY '33, compared to our FY 2023 baseline.

The commitments are a testament of our dedication to sustainability and we are taking concrete steps to transition to renewable energy and reduce our carbon footprint across the value chain. Our ESG efforts are not just about meeting targets, they reflect our deep commitment to responsible business practices, employee well-being and communities we serve. Elecon continues to invest in initiatives that drive environmental and social value while upholding the highest standards of governance.

With this, I would like to hand over the call to Mr. Narasimhan, our CFO for financial performance of Q3 and 9 months FY '25. Over to you, Mr. Narasimhan.

Narasimhan R.: Thank you, sir. I will now take you through the highlights of our financial results for the quarter and the 9 months ended December 2024. For the quarter ended 31st December 2024, our consolidated revenue from operations stood at INR 529 crores, reflecting an 11.7 % year-on-year growth compared to INR 474 crores in Q3 FY '24. The domestic market contributed 76 % to the Elecon Engineering Company Limited

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consolidated revenue, while the remaining 24 % came from overseas markets. The exports market remained subdued due to macroeconomic uncertainties and slowdown in developed economies.

On the domestic market front, we achieved a growth of 16.4 % on a year-on-year basis, primarily due to the support from power, marine and other sectors. The steel and sugar sectors remained muted in the same period. Our overseas revenue in Q3 FY '25 stood at INR 126 crores, a slight decline of 1.2 % year-on-year compared to INR 128 crores in Q3 FY '24.

This was primarily due to a slowdown in the UK and European markets, geopolitical scenario and global economic volatility, which adversely impacted business sentiment and project investments in these regions affecting our export performance.

Our consolidated EBITDA for the quarter was INR 143 crores, up from INR 120 crores in Q3 FY '24, representing a solid growth of 18.4 %. Consequently, our EBITDA margin improved to

27% compared to 25.4% in Q3 FY '24. We have a 150 basis points improvement. This margin improvement was mainly driven by a favorable product mix, improvements in after sales service and operational efficiencies.

Our profit after tax for the quarter stood at INR 108 crores representing a 20.3% margin, up from INR 90 crores or 19.1% in the same quarter last year. This translates to a growth of 120 basis points year-on-year.

For the 9 months ended December 2024, our financial performance remains solid. The consolidated revenue from operations stood at INR 1,429 crores compared to INR 1,373 crores in the same period last year, reflecting a 4.1% year-on-year growth.

Our EBITDA for the 9 months was INR 347 crores compared to INR 339 crores in 9 months FY '24. The EBITDA margin for the period stands at 24.3%, which is stable despite the challenges faced in certain sectors and markets. The PAT for the 9 months was INR 269 crores compared to INR 252 crores in 9 months FY '24, reflecting a 6.6% year-on-year growth. The PAT margin for the period stood at 18.8%.

The Gear division contributed to a significant portion of our overall revenue, contributing 79% of the total revenue in Q3 FY '25. For the quarter ended December 2024, the Gear division's revenue stood at INR 417 crores, up by 2.1% year-on-year compared to INR 409 crores in Q3 FY '24. The EBIT for the Gear division in Q3 FY '25 was INR 116 crores, up from INR 112 crores in Q3 FY '24, reflecting a steady performance.

The EBIT margin improved to 27.9% in Q3 FY '25 compared to 27.4% in the same period last year, driven by changes in the product mix. The order intake for the quarter was INR 469 crores, reflecting a healthy 27.4% year-on-year increase. As of 31st December 2024, our order book stood at INR 684 crores, positioning us for sustainable growth in the upcoming quarters.

The Material Handling Equipment division delivered outstanding performance, contributing 21% to total revenue in Q3 FY '25. The MHE division's revenue for the quarter was INR 112 crores, up by 71.9% year-on-year compared to INR 65 crores in Q3 FY '24. This growth was driven by a strong demand in both the product supply and aftermarket segments.

The EBIT for MHE stood at INR 35 crores compared to INR 12 crores in Q3 FY '24, reflecting a significant turnaround. EBIT margin surged to 31.6% in Q3 FY '25, up from 18.6% in Q3 FY '24.

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'24, an increase of 1,300 basis points. This was primarily due to a favorable product mix and a higher contribution from the aftermarket business. The order inflow for the quarter stood at INR 185 crores, up by 17.8% year-on-year compared to INR 157 crores in Q3 FY '24.

As of 31 December 2024, the open order book for MHE stood at INR 421 crores, reflecting strong demand and growth prospects. On the balance sheet front, we are pleased to report a strong cash position. Our consolidated net free cash surplus stood at INR 500 crores plus as of 31 December 2024, providing us with significant financial flexibility to pursue growth opportunities and maintain operational resilience.

Given the market conditions and the challenges faced in certain sectors, we find it necessary to revise our revenue guidance for FY '25 with an anticipated miss of up to approximately 3% in revenue growth compared to our earlier forecast. However, we remain confident in our ability to maintain EBITDA margins of 24% for the full year.

On that note, I would like to open the floor for questions you may have. Thank you.

Mod erator : Thank you very much. The first question is from the line of Garvit Goyal from Nvest Analytics Advisory LLP. Please go ahead.

Garvit Goyal: I have 3 questions. One is like in this quarter, while our order book has grown, our top line performance has fallen short of expectations. In PPT, it is mentioned that domestic steel and sugar

industries are experiencing some challenges on the capex investment. Does that indicate like our customers in these sectors are delaying the deliveries of our gears? That is one.

And if so, what factors gives us the confidence to achieve INR 750-plus crores kind of revenue in Q4 and meet the FY '25 guidance despite these challenges? That is my first question, sir.

Kamlesh Shah : So far as the order book positions are concerned, yes, it is delayed from these 2 particular sector from steel and sugar. As you might be aware about the steel sector, they are facing a challenge due to the dumping of steel from China and the steel sector, they are waiting for the support from the government. So that's the reason they are using the tactics to delay the ordering though they are ready with the capex plan, but they are delaying that raising the orders of this.

And so far, the revenue guidance are concerned, we already said we may miss the revenue guidance by 3%, and we are confident that we will achieve the guidance, both for revenue as well as for EBITDA margin.

Garvit Goyal: That means these industries will take the deliveries of the pending orders in Q4? Is my understanding correct?

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Kamlesh Shah : Yes, it is not necessary that we have that order pending . we have to execute We are not dependent upon these 2 sectors only. They are one of the major contributors, but considering the order book presently which we are having, where that we have the scope available and we are confident to achieve the revenue what we have given.

Garvit Goyal: Understood. And building on the same question, assuming we execute current orders in Q4 and achieve the guidance you are seeing, I would note that persistent demand issues in key industries you mentioned, will impact our future order inflows. And if that is the case, should not it affect our revenue visibility in FY '26?

Kamlesh Shah : Not necessary. As we earlier said. Now we are not dependent upon one particular sector or one particular customer. As well as now our geography is also wider. So we have the scope available to generate the order flows. So while we give the guidance, we consider all the effects either the global geopolitical level or maybe at the domestic level, which is the industry -specific.

Garvit Goyal: But like you mentioned steel and sugar are facing difficulties. And I think...

Kamlesh Shah : Yes. This is for the current year. What we have estimated at the beginning of the year, which we have not achieved. But going forward, it is going to come, just a timing difference will be there, but it will come any quarter.

Garvit Goyal: So how do you see FY '26 shaping up for these industries?

Kamlesh Shah : My team is working presently, it's too early for me to tell out the numbers and what exactly it will be there. Generally, we'll do this in Q4 earnings call when we do in the month of April sometime.

Garvit Goyal: Understood. And one last question...

Prayasvin Patel : Let me interrupt slightly. Apart from this, next year, we are seeing a fairly positive requirement coming up in the marine sector as well as in the power sector. So these are the 2 areas where we feel that there is likely to be a healthy growth. Because of the clients asking us for quotations or information, technical information, we believe that those orders will crystallize in the next year, which will be certainly coming to help us achieve our goals.

Garvit Goyal: So do we expect these orders in the middle of FY '26 or in the beginning as well because we must be having some execution time also, right to deliver the thing?

Prayasvin Patel: So it will be between first and the third quarter, somewhere in between. The reason why it is difficult to anticipate is quite often, the clients take a long time in decision -making. If they hasten

up, it will be in the first qua

ter. If they are normal, it will be in the second. And if they slow down, it will be in the third. So it's difficult to say as of now. But our intention would be, if possible, that we execute the order in that particular calendar year, at least most of it.

Garvit Goyal: And can you hint upon the size of the orders, particularly from the marine sector?

Moderator: Sorry to interrupt, Mr. Garvit. If you have any follow-up questions, please re-join. The next question is from the line of Ashwin Sharma from Emkay Global.

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Ashwin Sharma: Sir, 2 questions. First is on the Gear division again. If you can just give me the breakup in terms of sector-wise exposure that we have, like steel and then sugar that you mentioned, some sense on the sector-wise exposure?

Kamlesh Shah : Ashwin, we'll separately mail to you through our IR, that is SGA. I'm just keeping a note of the same.

Ashwin Sharma: Sure, sir. Secondly, we are anyways approaching towards end of FY '25. If you can give us some guidance on FY '26 as well?

Kamlesh Shah : It is in process. Whatever guidance I give the presently, it may have some changes. So please allow us time until April when we will have our earnings call in Q4 during that time, we'll discuss our numbers.

Moderator: The next question is from the line of Ganeshram from Unifi Capital.

Ganeshram: Now I'm just following up on Garvit's question, right? In terms of the marine orders, if I remember correctly, in the previous quarter, you mentioned that you would expect something to translate in Q3 and the execution would be next year. But what I'm understanding from your comments today is that the order might actually come in only next year. And also if you could just give us the size of the order that you are seeing?

Kamlesh Shah : Yes. We have that order, which will be executable over the period of 2 years.

Ganeshram: So you received the order?

Kamlesh Shah : Yes, we are just going to receive 1 order, and that is that. And the second order is expected anytime in FY '26 next year.

Ganeshram: Okay. Sir, I think you mentioned 1 order, which is the size of the order. So what you're saying is you received 1 order, you're expecting another next year. So if you could just quantify these orders please?

Kamlesh Shah : Order value will be ranging from INR 60 crores to INR 70 crores, somewhere. I don't have the exact figure at this point of a time, but we'll just circulate the same to you also.

Ganeshram: Understood. And just the second question is in terms of the customer profile in the MHE and Gearbox segment, because there's a bit of a divergence in performance between the segments, right? So in terms of end customer, how different are they? And what is the strength that MHE has that Gearbox doesn't right now in terms of customer profile?

Prayasvin Patel: Sorry, I can't hear you clearly.

Ganeshram: Is it better now?

Kamlesh Shah : No. Can you just be near to your mic? I think then it will be more clear.

Ganeshram: I'm just speaking out of the phone. I'm not sure.

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Prayasvin Patel: Yes, that's better.

Ganeshram: I just wanted to understand in terms of sector exposure in the MHE and Gearbox, how different is it, right? Because on one side, you have a downturn in cement and steel capex, which is hurting the Gearbox dilution, but you have the MHE performing so strongly. I'm trying to understand where the divergence is coming from?

Prayasvin Patel: The divergence is basically coming between products and a project kind of situation because MHE equipments are being consumed by them when they go in for the large projects. Gearboxes looked like an individual product. So there is a mindset difference. And quite often, the project when it goes to a particular client, it gets converted into a

product order at a later stage. So that is where the difference comes in.

Apart from that, though steel sector has shown less of gear orders. However, the steel sector has shown a strong requirement in the material handling business. So it is very contrasting. What it looks like is that the steel sector is holding on to capex plans for a while to put pressure on the government to reduce or to increase the tariff or the duty on Chinese imports.

Ganeshram: Understood. That's very clear. And the last question is just on the OEM contract that you are pursuing overseas. If I remember, there were 11 or 12...

Prayasvin Patel: Sorry, again, we can't hear you properly.

Ganeshram: Is this better?

Prayasvin Patel: Yes.

Ganeshram: So this is the last question. On the OEM contracts that you are pursuing overseas, right, I think there are 11 or 12 of them. Is there any status update over what's happened in this quarter? And how that order side is scaling up?

Kamlesh Shah : I think what we said, I think in the Q2 call also, we said we started accelerating the revenue from these OEMs, though we plan -- at the beginning of the year, we planned that we may achieve the turnover of nearly INR 25 crores to INR 30 crores. But I think we are now at least expected it will reach to INR 50 crores to INR 60 crores at the optimum level itself for this year.

Ganeshram: Okay, across all the OEMs?

Kamlesh Shah : Yes, yes, across all the OEMs.

Moderator: The next question is from the line of Ankur from Alpha Capital.

Ankur: Sir, congrats for a good recovery in order book, which was lacking for the last couple of quarters.

Sir, my first question is on the MHE side, given the strong outlook you had talked about in the presentation also . So what kind of revenue mix in terms of MHE can get, say, over the next couple of years?

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Kamlesh Shah : We are expecting the revenue mix between the Gear and MHE is now going to improve. Until now, they were hovering between 15% to 20%. So in the coming years, I think we expect that the percentage of that sale will also improve going forward.

Ankur: Got it, sir. And sir, my next question is, again, talking about FY '26. As you even say you are not giving any concrete guidance, but given first half was quite weak of this year due to election and overall delays. Do we expect FY '26 to be a decent similar growth year or better growth year than this year? How should we look about -- as in early sign or is it like things will depend on budget?

Prayasvin Patel: We are reasonably positive that the budget should be bringing us better results. However, we feel that this first quarter of FY '25-'26 will be far better than the last year. We haven't churned out the numbers for it, which we will present it in the April earnings call. But as of now, it looks like the first quarter is going to be reasonably strong.

Ankur: Got it, sir. And sir, given full year FY' 25 , even if we missed it by 3% or so, our Q4 has to be quite good versus last many several quarters. So are we confident on that, sir?

Prayasvin Patel: Absolutely.

Moderator: The next question is from the line of Pratik Kothari from Unique PMS.

Pratik Kothari: First question on MHE. I mean we do hear across about the new steel, power, etcetera, capacity, which is yet to come up. So one, what is driving this growth, I mean, this massive 70%, 80% even in our order book order inflow? So if you can highlight because these projects, which we were anticipating were yet to come. So these are existing ones who are kind of giving us these orders on the MHE side, sir.

Prayasvin Patel: See, as long as MHE is concerned , the bigger projects or the large projects are on. The smaller projects are what is going through a turmoil right now. And which is the reason why we are seeing this kind of a gap between the two . The larger pr

jects would also mean larger

requirements of gears, but that will come in subsequently. So what is going to happen is that while the MHE is doing well, as an after the effect of that will be that the gears will also do well.

Pratik Kothari : Correct . So this MHE that we are executing or the orders that we are getting these are all new projects which are coming up across industry?

Prayasvin Patel : Sorry, can you repeat that, please?

Pratik Kothari : Yes. So my question was in the MHE, the strong order in -store execution that we are seeing, are these for projects which are already in place or there are some new capacities which are coming up?

Prayasvin Patel : No, there are new capacities that are coming up. And that is what we are also trying to see to it that in the future as many orders that we can hold up or get it under our sleeve, we will try our utmost to do that.

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Pratik Kothari : Got it. And sir this kind of strong margin is 30% plus. I mean, this is lack of competition, given what has happened in this MHE industry over the last 10 years or I mean because we still have a lot of capacity also in -house left to ramp this up. So I mean where can this operating leverage go up to ?

Prayasvin Patel : See, this is only because of the product mix that we have been able to achieve this. There would

be fluctuations in this kind of margins over a period of time. So it is difficult to ascertain whether we will be able to maintain this on a year-on-year basis. However, as always, we are always striving to improve our margins.

Pratik Kothari : Correct. And sir one question on gears. This OEMs that we had started I think two, three quarters back. So one how is the response for the orders that we have sent out? And I believe those were a few initial trials or prototypes which we had sent which ultimately was to reflect into much larger orders. So how is that conversation going about?

Kamlesh Shah : So this is what I just said in the earlier questions. So what we anticipated during this year, at the beginning of the year we anticipated a revenue of nearly INR 25 crores from this OEMs, but we are quite confident that we'll cross INR 50 crores to INR 60 crores of the sale. And, in fact, we are getting the repeat order or maybe somewhere they also increase the volume also or they also have given some new product for us also for the development.

Pratik Kothari : Correct. And sir last maybe broad comment on ground. So you did talk about the slowdown or what your tactic that the steel industry itself is going through given the pain. How about other industries that we have presented, be it rubber, cement, power, I mean, how are things on ground because post elections we do hear about some in general, some macro not many capacities, et cetera, coming up. So I mean, how are we looking at things on ground?

Prayasvin Patel : See, there is a lot of planning that has been going on. However, it has not materialized or crystallized into orders. I believe that it is just that the momentum has slightly slowed down, we believe that it should catch up very soon. That is our analysis. And hopefully we are right going forward because we believe that projects -- it is not that projects are getting cancelled. They're just getting delayed.

Pratik Kothari: Correct. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Mayank Bhandari from AMSEC. Please go ahead.

Mayank Bhandari : Thanks for the opportunity. Sir, what would be the breakdown of standard versus specialized gear in 9 months?

Kamlesh Shah : So for the 9 months now considering in this quarter, we had a better revenue from EP that is engineer product. So with this for 9 months, we are now CPs at 51% and EP that is engineered customers product it is 49%.

Mayank Bhandari: Okay. And you had earlier ment

ioned that this will be 50-50 going forward?

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Kamlesh Shah : Yes. What we said we just started getting the engineered products customer's product order from July onwards. And considering the manufacturing period of 3 months to 4 months, it will now start coming up from Q3 which is getting reflected now and the Q4 is also there.

Mayank Bhandari: Okay. From Q4, it will be reflected?

Kamlesh Shah : Q3 is also reflected. Q4 will also be there.

Mayank Bhandari: Okay. So basically I'm just trying to understand the slowdown is more in the standard gearbox?

Kamlesh Shah : No, there is no such slow down. The mix will always undergo a change. On a period-on-period basis, there may be a timing difference which will be there.

Mayank Bhandari: Okay. And sir what would be the capex for 9 months that we have done so far?

Kamlesh Shah : We have bid the capex of INR 75 crores until now. And the balance we are just going to complete in Q4, all machines have now started coming up. And by Q4 all the machines will be there except one or two which may come up any time in Q1 of the next year.

Mayank Bhandari: So full year capex number could be more than INR 120 crores?

Kamlesh Shah : So it will be more than INR 150 crores plus.

Mayank Bhandari: Okay. And this is the earlier you had highlighted that this is about doubling the capacity of standard gear?

Prayasvin Patel : That is not correct. This is basically there are two aspects. One is a replacement of the old machines for enhancing the productivity and quality. And the other one is for taking up special assignments, especially for customers in the export area for their special requirement.

Mayank Bhandari: Okay. I think earlier we were looking forward to double the capacity of standard gears is what I had understood.

Prayasvin Patel : That is a separate project which is coming up. It is being enhanced to improve the delivery times. However, the capacities are not going to get further increased. They may increase by 5%, 10%, but nothing more.

Mayank Bhandari: Okay. So next year capex would be how much then?

Kamlesh Shah : We are still working. The team is already working for the next year plan. And they are just working for the next 3 years how they will require, what will be the business in us. It is in process. Please allow us the time till April. We'll spell out the numbers both on the revenue growth side as well as on the capex side on the April call.

Prayasvin Patel : But please be rest assured that all the capex is being done from the internal avenue only.

Mayank Bhandari: Okay. Thank you sir.

Moderator: Thank you. The next question is from the line of Pratik from Art Venture. Please go ahead.

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Pratik: Hi, sir. Thanks for the opportunity. Just as you mentioned that you are facing the slowdown in the steel and the sugar industry. But I want to understand on the contrary which other industries are relatively performing better and has been able to give some growth in the gear division?

Prayasvin Patel : Power sector has been doing reasonably well. And going forward, we believe that next year also the growth or the orders coming in, flowing in from power sector will further enhance it. We believe that cement is pausing for a while which should also release some reasonably good orders next year. Marine sector for us also seems to be promising for the next year.

Pratik: All right. And also wanted to understand have we seen a stability in the freight cost because we see some -- we saw some impact of higher freight costs in the previous quarter. So where are we in terms of the credit cost, are we seeing some stabilization during the quarter and the coming quarter?

Kamlesh Shah : Now the freight cost is stabilized. So whatever the effect of the inc

crease in the rate both for

vessels as well as containers, it is already there. So now it is we can say it is stable now.

Pratik: All right, sir. Thanks for answering my question.

Moderator: Thank you. The next question is from the line of Rohit from Nvest Analytics Advisory LLP.

Please go ahead.

Rohit: Just 1 question. You mentioned we will get marine orders in FY '26, but I think the number is very small. So how do you think like is it going to drive our growth in FY '26, sir?

Prayasvin Patel : No. The numbers are not strong right now, we have an order with us, which is a small order value wise. And going forward, we see that we expect a healthy number of orders coming our way in the marine front.

Moderator: The next question is from the line of Aashna from HDFC AMC.

Aashna : How sustainable are MHE EBIT margins, sir we've delivered a very strong margin. So, for the next couple of quarters, how do we see that?

Prayasvin Patel: MHE margins will go through fluctuations, okay? Positive as well as negative. So, it is difficult to ascertain because they will depend on the type of product mix that we are able to market and sell depending upon the demand. However, we are reasonably confident that we should be able to maintain anywhere between 20% to 22%.

Aashna : Doing 20% to 30%?

Prayasvin Patel: 20% to 22%.

Aashna : Okay, sir. 20% to 22%. Okay. Understood. And you mentioned that a lot of margin expansion in this quarter was driven by aftersales. So, what portion of our revenue is now coming from aftersales?

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Narasimhan R.: For the 9 months ended, it is approximately 49%, 52%, approximately 50%, 50% for the 9 months.

Aashna : For 9 months, our after sales it contributes to around 49% of the revenue?

Kamlesh Shah : Our total sales -- the composition between the product and the service, it is 34%. From 34% is the service and 66% is the product sales.

Aashna : Okay. This is for 9 months?

Kamlesh Shah : Yes, 9 months.

Aashna : And do we have the same number for this quarter?

Kamlesh Shah : For this quarter, it is 38% from the service and 62% from the product.

Aashna : Understood. Okay. And sir, what portion of our order book would be slow moving right now, probably from steel and sugar if you could guide on that?

Kamlesh Shah : I'm just keeping the note of the same, and I'll just circulate this separately through our IR SGA.

Aashna : Okay. And within power, you said the power is a good growing segment for us, that I understand it gear division ?

Prayasvin Patel : No, it is for both. However, gear would have a higher effect.

Aashna : But for gears, what is the application for us within power, if you could give some outlook on that?

Prayasvin Patel: It is conveyer systems, it could be just about any equipment. All equipment have a huge amount of gear requirements.

Aashna : Okay. Is the understanding correct that this would be largely or -- I know the regular gears and not the catalogue products and not the customized ones?

Prayasvin Patel: It could be both.

Aashna : Okay. Understood. Okay, sir. So how confident are we in terms of reaching the new revenue guidance that you have given because that is close to some INR 740 crores of top line in Q4?

Kamlesh Shah : So now only 2 months are remaining, if I say practically. So , we have that clarity and accuracy available also.

Aashna : One last question on my side. So , the exports that you mentioned that we are doing right now, like our estimated doing -- delivering around INR 50 crores to INR 60 crores of OEM orders, right? So how -- my understanding is these are still the trial orders that we are doing for them. Have any of these OEMs converted to long -term sustainable orders?

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Kamlesh Shah : These OEMs are with the sustainable orders on

ly the long -term sustainable orders. So , the commercial products have already started. Most of them have already started the commercial production. And this is a sustainable order s. These are sustainable, the OEMs what we signed up also.

Aashna : Okay. So , these are -- so how do you analyze that in terms of these are regular orders. So , what kind of an annual revenue do we have a visibility of like beyond '25 for these orders right now?

Kamlesh Shah : So, the last question also I said, because there is some additional new product development is also offered to us by the se existing 11 OEMs also from them. And we also anticipate that this would also increase, not only from the existing 11 OEMs, but this will also help me to get more OEMs to the basket in our portfolios.

Aashna : I understand that. My question was basically like we've done around INR 50 crores, INR 60 crores of revenue in FY '25. So , this will further translate to higher orders, but this INR 50 crores, INR 60 crores is what I understand would largely come in Q3 and Q4, right? How much will this balloon to at least in '26, we would have some sense on that right now?

Kamlesh Shah : Yes, presently, the team is already working. I think my team will just working on that, how much we can generate additional business from these 11 OEMs or what new OEMs they are anticipating in the coming year also. So , I think we are, in April '25, when we'll have a Q4 earnings call, we'll have more clarity. Even if I say anything presently will not so lve the purpose, either on your side or on my side also.

Moderator: The next question is from the line of Anish from Girik Capital .

Anish: Congrats for a decent quarter, come back in H2. So , I just wanted to understand typically, like in terms of the order inflow over the 9 months, we have grown at almost like 9%, right, in the Gears division, but our revenue growth has been very divergent from the order inflow growth. And given that now we h ave much more shorter cycle of the products that we are supplying. So, why is that happen ing? Is it that the order inflow is not getting converted into revenues? And if you could help us understand why and also whether all of that will be executed in Q4? Is that how to think about our situation?

Kamlesh Shah : The situation is dynamic. I think what we discussed earlier. After the general elections and the first budget of the new government, all things started gearing up, and that's how we started getting the order and the flow started from July onwards to get the order s. This -- presently it appears that it may be a while compared to what you are seeing quarter -on-quarter in the earlier period. This year, that would be t wo, one the India election as well as the U.S. election.

Prayasvin Patel: The margins have been fluctuating slightly. And the reason being or have dipped slightly in the Gear division is because of the fact that the product mix is such plus the question is the supplies that have been manufactured, a lot of them have not yet been picked up by these clients. So , the expensive Gear units have yet not been picked up by the client. So that is changing the scenario. However, over a period of time, it should level out.

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Anish: Sir, so this quarter in Q4, like the sales and the revenue -- I mean, the revenues that we'll be doing. So , would it be largely from our existing order book, which will convert to revenues? I mean the order book as of Q3 FY '25?

Kamlesh Shah : Yes, it will be from the Q3 only. However, for the catalogue product, to some extent , I can also convert the order into revenue up to February, whatever the order s I'll get.

Anish: Okay. So basically, the Gear division order book is higher by 20%, right, versus the last year. So, this is giving the confidence to achieve this almost like INR 630-odd crores of top line from

the gear, right? Because -- how would this be split the INR 740 crores that we'll be doing, like how will this be split between the gears and material handling?

Kamlesh Shah : I don't have the break up available for Q4 of that INR 730 crores of the revenue what we are estimating. But I'll just for ward the same to you through IR.

Anish: Okay, sir. All the best for the coming quarter.

Moderator: Thank you. The next question is from the line of Dipin who is an Individual Investor. Please go ahead.

Dipin : Yes. I had a couple of questions, which are slightly longer term in nature since the quarterly number they've already been discussed. Sir, if you just have to look at the next couple of years. Earlier, we had given not guidance but a number of about 20% growth, which we expect in the next couple of years.

And Mr. Patel in the initial remarks spoke about some new products or diversification. Is there anything else which -- on which you can throw some color as to any new products or new geographies, which we are looking at? So that's the first question.

And then the second question, in terms of the margins, we are now guiding for a 24% margin in the current year. So over the next couple of years, what kind of levers do we have so that we can maintain the margins around these levels?

Kamlesh Shah : So far as the margins are concerned, we already said 23% is my sustainable margin, however on a year -to-year basis or maybe on a quarter -to-quarter basis, that margin may undergo change. Sometimes we are getting the better margins because of change the revenue mix. Whenever we give the guidance for the revenue as well as for the margin, this is based on certain historical data and the margin profile for each product range -- a group of products.

Dipin: And in terms of the overall revenue growth for the next couple of years, anything which we should know of in terms of new products or new geographies or any other diversification, sir?

Moderator: We request you to please come again to the question queue?

Dipin: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Akash. Please go ahead.

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Akash: Congrats on good set of numbers. Sir, my question would be to Prayasvin sir, I would like to understand from you the current on-ground picture in the Indian market, especially with respect to the capex that is happening. So we are hearing often that the government capex has slowed down, the private capex is not picking up? So what exactly is happening and going forward as well which sectors, especially do you expect to drive your Gears and MHE department, respectively, in FY '26 and FY '27?

Prayasvin Patel : See, normally, the MHE business rotates around the power sector, power, steel, cement sectors, these are the 3 major sectors from which we get orders. There are also other sectors from which we get orders like iron ore mines and so forth. But I would say, basically from these power, steel and cement sector.

Apart from this, in gears, it varies tremendously because almost every sector is requiring gears. So it's difficult to ascertain where exactly the thrust would come in from. Right now, the sectors which are hot are steel, power and to a slight extent cement. Does that answer your question?

Akash: Yes. Any comments on private capex and the government capex? How it is asking on ...

Prayasvin Patel : What I feel is the pace at which new projects that are coming in has slowed down. The large projects are still continuing, whichever has been in advanced stages are continuing. So they are not stopping. The new projects are slightly getting delayed, either it is due to lack of clarity or it is due to the fact that they might be pausing for a while, due to various reasons. But I believe that over a period of time, they will continue to pursue these projects, and it

will result into more orders.

Akash: Understood. Just last follow-up question on that, sir. So the last...

Moderator: Mr. Akash.

Akash: Just a follow-up question. Yes. Sorry. So sir, by larger projects, do you mean Greenfield capex is gone, but brownfield capex has been installed. Is that what you're planning to continue?

Prayasvin Patel : It is the Greenfield projects, which have already started up, and they are in the pipeline of being executed, they are continuing. It is the brownfield projects, which are slowing down.

Akash: Understood, sir. Thank you.

Moderator: Thank you. The next question is from the line of Kashyap from Emkay Investment Manager. Please go ahead.

Kashyap: Just wanted to reconfirm in earlier questions at one point, you mentioned that sustainable margin would be 20 %-22%, but later on, probably I heard in the other comments that it's about 23 %.

Now if I go back even a few years ago also in not so great periods also our gear margins always used to be adjusted for bad debts were about 22 %-plus kind of a number. So one, if you can clarify in that number?

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And two, is probably more modest commentary is because of the new OEM supplies through overseas market, which is supposed to start in some time? Is that the reason why we are not sort of giving a better than that number?

Kamlesh Shah : In terms of the sustainable margin, I said, considered at the consolidated level, we see 23% is my sustainable margin. 20% -22% margins is specifically for the MHE division.

Kashyap: Okay. Understood. And the 23% in gears would also take into account the OE supplies business at those market sometime next year?

Kamlesh Shah : Again, I'm repeating, 23% sustainable margin is the consolidated level , which includes both gear is domestic, my India business as well as my overseas business. That is a stand -alone as well as consolidated both put together.

Kashyap: Understood. Thank you so much.

Prayasvin Patel : And one more comment I need to make is that we, as a company, has been trying extremely hard to see to it that the margins are sustained or are continuously improving . So that has been the endeavour of the entire organization. And that has been also the endeavour of every employee in the organization. So that is what we are trying hard. And we also do a very vigorous exercise to see to it that we will be able to maintain this even during the tough times.

Kashyap: Understood. Thank you so much.

Moderator: Thank you. That was the last question. I will now request the management for closing comments.

Prayasvin Patel : In the closing, I would like to thank you all for joining this call and for your continued support of Elecon Engineering . While we face challenges in certain sectors, particularly in our Gear Division, we are confident in the resilience of our business model. Driven by our strong MHE Division and a diversified approach to growth.

We remain focused on long -term value creation and are optimistic about our ability to navigate the current environment. We have a solid order book, robust product offerings and a clear strategy for expanding our international presence. While we are revising our revenue guidance of this year, we continue to focus on maximizing value for our shareholders.

Thank you once again for your participation and trust in Elecon Engineering. If you have any further questions or inquiries, please do not hesitate to reach out to our Investor Relations advisers, SG A or our CFO, Mr. Narasimhan Raghunathan. Thank you, all.

Moderator: On behalf of Elecon Engineering Company, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

## Call: May 2025

2nd May, 2025

To,

The Manager (Listing),  
The BSE Ltd.  
Mumbai The Manager (Listing),  
National Stock Exchange of India Ltd.  
Mumbai  
Company's Scrip Code: 505700 Company's Scrip Code: ELECON

Sub. : Transcript of the Earnings Conference Call held on 25th April, 2025  
Ref. : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015

Dear Sir /Madam ,

With reference to the above referred Regulation and in continuation of our letter dated 16th April, 2025, please find attached herewith the transcript of the Earnings Conference Call held on 25th April, 2025 for Q 4 of the Financial Year 2024 -25.

The same is available on the website of the Company at  
<https://www.elecon.com/investors/audio-video-recordings-and-transcripts-of-post-earnings-quarterly-calls> .

You are requested to take the same on your records.

Thanking you.

Yours faithfully,  
For Elecon Engineering Company Limited,

Bharti Isarani  
Company Secretary & Compliance Officer

Encl.: As above

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"Elecon Engineering Company Limited

Q4 & FY25 Earnings Conference Call "  
April 25, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on 25th April, 2025 will prevail

MANAGEMENT : MR. PRAYASVIN PATEL – CHAIRMAN AND MANAGING  
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MR. AAYUSH SHAH – NON-EXECUTIVE DIRECTOR  
MR. M.M. NANDA – HEAD OF GEAR DIVISION  
MR. KAMLESH SHAH – GROUP CHIEF FINANCIAL  
OFFICER  
MR. NARASIMHAN RAGHUNATHAN – CHIEF FINANCIAL  
OFFICER

MODERATOR : MR. HARSHIT KAPADIA – ELARA SECURITIES

Elecon Engineering Company Limited  
April 25, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY '25 Earnings Conference Call of Elecon Engineering Company Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Harshit Kapadia from Elara Capital. Thank you, and over to you, sir.

Harshit Kapadia: Good evening, everyone. On behalf of Elara Securities, we welcome you all for the Q4 FY '25 and FY '25 Conference Call of Elecon Engineering Limited. I take this opportunity to welcome the management of Elecon Engineering represented by Mr. Prayasvin Patel, Chairman and Managing Director, Mr. Kamlesh Shah, Group Chief Financial Officer; Mr. Narasimhan Raghunathan, Chief Financial Officer along with their team. We will begin the call with a brief overview by management, followed by a Q&A session.

I will now hand over the call to Mr. Prayasvin Patel for his opening remarks. Over to you, sir.

Prayasvin Patel: Thank you, Harshit. Good evening and a very warm welcome to everyone on our Q4 and FY '25 Earnings Conference Call. I'm delighted to be joined today by my colleagues, Mr. Aayush Shah, Non-Executive Director; Mr. M. M. Nanda, Head of the Gear Division; Mr. Kamlesh Shah, Group CFO; and Mr. Narasimhan Raghunathan, CFO.

The press release and investor presentation have been uploaded to the stock exchanges as well as on our company website. I trust you have had the opportunity to go through the same. To begin with, I will provide a brief macro level overview of the industry and the prevailing business environment, followed by a detailed review of our financial performance, which Mr. Narasimhan, our CFO, will walk you through.

As one of the largest suppliers of Industrial Gear solutions in Asia, Elecon continues to be a leader in the organized Industrial Gear market in India. Internationally, our expansive distribution network spans approximately 95 countries, reinforcing significant presence of our global reach. Aligned with our long-term strategy vision, we are focused on increasing the contribution of international markets to 50% of our consolidated revenues by FY '30. This global expansion is underpinned by our strong R&D capabilities and ongoing investment in product innovation.

I'm pleased to report that Elecon has successfully met with revenue guidance set at the beginning of the year, delivering a record-breaking revenue and EBITDA in both Q4 and full financial year. This milestone reinforces our disciplined execution and deep alignment with our strategic road map.

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Our business is anchored by two primary divisions, industrial gears and material handling equipment each playing a distinct role into shaping our overall performance. The gear division, which contributes approximately 75% to Q4 FY '25 consolidated revenue has shown a stellar growth of 28.9% on a year-on-year basis. Despite some sectoral headwinds in the earlier part of the year, largely due to softness in domestic demand due to elections and global macroeconomic uncertainties. The division recorded its highest quarterly revenue of INR 597 crores, marking a significant reach.

This resurgence has been driven by robust demand in both domestic and international markets, particularly from the steel, power and cement sectors.

While growth was moderate in the first 9 months, the strong finish of the year reflects the division's resilience and our ability to capitalize on improving market conditions. We are also encouraged by sustained strength in inquiry levels and market sentiment improvement. We see a strong pipeline shaping up for FY26.

Our MHE division continues to exceed expectations. With FY '25 revenue up 72.8% year-on-year and Q4 FY '25 revenue surging 98.2%, this division is emerging as a prominent growing division for Elecon due to our focused strategy on developing this as a scalable business. This impressive performance is underpinned by a strong order book, primarily led by the demand from the steel and power sectors followed by cement.

MHE division's strong growth trajectory reflects the successful execution of our strategic initiatives, growing market demand and our ability to deliver tailored solutions across industries. We remain confident that the division will continue its upward momentum in FY '26 and beyond,

backed by a healthy order book and a robust outlook across core sectors. Together, the solid recovery in the gear division and the accelerating growth of MHE division provide a strong foundation for Elecon's continued performance and long-term value creation. Elecon remains firmly focused on executing its long-term growth strategy. We are actively diversifying our business portfolio and expanding our presence across new sectors and geography. Our wide range product portfolio backed up by strong in-house R&D and engineering capabilities continues to differentiate us in the industry. Looking ahead, we are seeing consistent demand from both domestic and international markets. Internationally, as part of the business strategy, we are actively pursuing opportunities to establish rapid build centers in Canada and Latin America, complementing our presence in the U.S. and Europe. Domestically, core sectors continue to drive sustained capital investments, and we are strategically positioned to capitalize on this trend. Our strong order book, proactive client engagement and the focus on customized high-quality engineering solutions provide a solid platform for growth. FY'25 has validated the resilience of our business model. And as we move into FY'26, we do so with renewed confidence, supported by a clear strategy and robust execution framework. Sustainability is deeply woven into Elecon's DNA. This year, we achieved a major milestone with the approval of our near-term targets based on the Science-Based Target Initiative, SBTi, reaffirming our alignment with global climate goals. We are also proud to have been recognized Elecon Engineering Company Limited  
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by one of our global clients in innovative and sustainable building solutions for our ESG practices, a testament to our transparent governance and operational excellence. These goals reflect our deep-rooted commitment to sustainability and our proactive steps to transition to renewable energy sources and reduce our carbon footprint across the value chain. Our ESG strategy extends beyond compliance, it is integral to our values and our approach to responsible business. We remain focused on driving positive environmental and social impact, fostering employee well-being, supporting community development, and maintaining the highest standards of corporate governance. With this, I would like to hand over the call to Mr. Narasimhan, our CFO, for financial highlights for Q4 and FY'25. Over to you, Mr. Narasimhan. Narasimhan Raghunathan: Thank you, sir. Good evening, everyone. A very warm welcome to our Q4 and FY '25 earnings call. I will now take you through the highlights of our financial performance for the quarter and the full year ended March 2025. We are pleased to report that we have successfully achieved our

annual guidance for FY'25 alongside delivering the highest ever quarterly and annual revenue, EBITDA, and PAT. We have exceeded our annual guidance by achieving 40 basis points higher EBITDA margins, reflecting strong operational efficiency and disciplined cost management. Financial performance Q4 FY'25. For the fourth quarter ended March 2025, our consolidated revenue from operations stood at INR 798 crores, reflecting a robust growth of 41.3% on a year-on-year basis compared to INR 565 crores in Q4 FY'24. This resurgence has been driven by robust demand in both domestic and international markets. Overseas business remains healthy and domestic demand has picked up meaningfully, particularly from the steel, power, and followed by cement sectors. The domestic market contributed 83% to the consolidated revenue, while the remaining 17% came from overseas markets. Domestic revenue in Q4 FY'25 stood at INR 662 crores, registering a strong growth of 48.8% on a year-on-year basis as compared to INR 445 crores in Q4 FY'24. Overseas revenue in Q4 FY'25 stood at INR 136 crores, registering a growth of 13.4% on a year-on-year basis as compared to INR 120 crores in Q4 FY'24. The order book visibility and heightened inquiries keeps us optimistic for higher growth in future. Consolidated EBITDA for the quarter was INR 195 crores, up from INR 135 crores in Q4 FY '24 representing a solid growth of 44.3%. Consequently, our EBITDA margin improved to 24.5% compared to 24.0% in Q4 FY'24, a 50-basis points improvement. This EBITDA margin improvement was mainly driven by a favourable product mix, improvements in after sales services, and operational efficiencies. Profit after tax for the quarter stood at INR 146 crores, representing an 18.4% margin, up from INR 104 crores or 18.4% in the same quarter last year. Financial performance FY'25. For the year ended March '25, our financial performance remains solid. The consolidated revenue from operations stood at INR 2,227 crores compared to INR 1,937 crores in the same period last year, reflecting a 14.9% year-on-year growth. Our EBITDA for the year was INR 543 crores compared to INR 474 crores in FY '24. The EBITDA margin Elecon Engineering Company Limited  
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for the period stood at 24.4%, which is stable despite the challenges faced in certain sectors and markets in the first half of FY'25. The PAT for the year was INR 415 crores compared to INR 356 crores in FY'24, reflecting a 16.7% year -on-year growth. The PAT margin for the period stood at 18.6%.

Segment -wise performance. The Gear Division contribute a significant portion of our overall revenue, accounting for 75% of the total revenue in Q4 FY'25. For the quarter ended March '25, the Gear Division's revenue stood at INR 597 crores, up by 28.9% year -on-year compared to INR 464 crores in Q4 FY'24. The EBIT for the Gear Division in Q4 FY'25 was INR 146 crores, up from INR 126 crores in Q4 FY'24, reflecting a significant turnaround as compared to previous quarters. The EBIT margin declined to 24.5% in Q 4 FY'25 as compared to 27.2% in the same period last year, mainly due to the change in the product mix.

The order intake for the quarter was INR497 crores, reflecting a healthy 20.6% year -on-year increase. As of 31st March '25, our order book stood at INR 583 crores, positioning us for sustainable growth in the upcoming quarters. The material handling equipment division delivered outstanding performance , contributing 25% to total revenue in Q4 FY'25. The MHE division's revenue for the quarter was INR 200 crores, up by 98.2% year -on-year compared to INR 101 crores in Q4 FY'24.

This growth was driven by a strong demand in both the product supply and aftermarket segments. The EBIT for MHE stood at INR 59 crores compared to INR 22 crores in Q4 FY'24, reflecting a significant growth due to higher demand for our offerings in the market.

The EBIT

margin surged to 29.6% in Q4 FY'25, up from 21.4% in Q4 FY'24, an increase of 820 basis points. This was primarily due to a favorable product mix and a higher contribution from the aftermarket business.

The order inflow for the quarter stood at INR 148 crores, up by 2.8% year -on-year compared to INR 144 crores in Q4 FY '24. As at 31st March '25, the open order book for MHE stood at INR 365 crores, reflecting strong demand and growth prospects. On the balance sheet front, we are pleased to report a strong cash position. Our consolidated net free cash surplus stood at approximately INR 550 crores as of 31st March '25, providing us with significant financial flexibility to pursue growth opportunities and maintain operational resilience.

The Board has recommended a final dividend of 150%, that is INR 1.50 per equity share, having face value of INR 1 each, subject to shareholders' approval.

As we look ahead to FY '26, we are providing a guidance of INR 2,650 crores in consolidated revenue with an EBITDA margin of 24%. This reflects our confidence in the continued strength of our business model, the resilience of our core markets and the strategic initiatives we have put in place to drive growth.

However, we are closely monitoring the global economic and geopolitical situation, which remains fluid. We remain committed to delivering value for our shareholders, and we are confident that our strategic investments, coupled with our focus on sustainable growth, will position us to achieve these targets and continue to strengthen our financial position.

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On that note, I would like to open the floor for questions you may have. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Bharat Shah: from ASK Investment Managers. Please go ahead.

Bharat Shah: Congratulations to the Elecon team. Finally, the fourth quarter kind of made it worth the wait.

Just one question. Given the fact that our overall asset turnover is shy of 1x, actually has fallen compared to last year, which was 1x and is now at 0.9x. That means our return on capital employed remains somewhat less ambitious a number than what otherwise one would look forward to in a quality engineering solution -driven firm. So I would like to hear your comments on that. How do we raise the bar on capital efficiency?

Kamlesh Shah: We started putting in the capex, which has completed in March 2025. So the capitalization has happened in the fourth quarter. So that is the reason it is reflected in the way what we are looking to. But going forward, that will cover up what we are just seeing in the earlier period also.

Bharat Shah: So what kind of asset turnover, total asset turnover we can expect?

Kamlesh Shah: We can expect more than 1x asset turnover is expected going forward also.

Bharat Shah: More than 1x.

Kamlesh Shah: Yes.

Bharat Shah: So that means return on capital employed will be in the band of 21% to 24%, if it is just on time or thereabouts, which I thought given the strength of our business, won't you think that that

number could have been higher?

Kamlesh Shah: Yes. But what we reflect our number will always be conservative. As you have seen, we have always crossed what we have given the guidance also in terms of our EBITDA margin and otherwise also. Our endeavour is always to improve than what we are estimating also.

Bharat Shah: But essentially, in the character of the business, what is the optimal asset turn we can expect overall?

Kamlesh Shah: The new machines have been started installing. So the efficiency may take its own time to settle down on the machines. And based upon that, we can see the good asset turnover as well as the improvement on our return on capital employed, maybe from next to next year, that is from FY '27, that

will get reflected. All our machines are fully automatic and robotic machines.

With the new technologies we are investing in. So it may have some training issues. It may require some more training and development for the operators who are operating the machines.

Bharat Shah: At that stage, do you think 1.2x, 1.3x asset -- total asset turnover is possible?

Kamlesh Shah: Yes, it is achievable, honestly. So that will get reflected from FY '27 onwards.

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Moderator: Thank you. The next question is from the line of Akash from Dalal & Broacha Stock Broking. Please go ahead.

Akash: Thanks for the opportunity and very strong set of performance, sir. So my first question would be to understand what would be the impact of the U.S. tariffs on our U.S. business and also our other export business? Like do we expect our U.S. business to go down and will we recover in some other market or how is it?

Prayasvin Patel: Regarding the tariffs, we are looking at this as an opportunity right now, though our order inflow is healthy from United States. They are also a hub for Canada and South America, which from now onwards, we are planning that we will establish entities separately in Canada, in Mexico and if required, even in South America, so that they will be able to do the business directly without going through United States. This, I would look upon it as an opportunity to further grow and expand our reach within the Americas. So I would look upon it as a great opportunity to do this.

Moderator: Yes, sir, the current participant has been disconnected. We will move on to the next question.

It's from the line of Pritesh Chheda from Lucky Investments. Please go ahead.

Pritesh Chheda: My question is on the gears division. So there is a deceleration in growth for the full year between this year and the last year. So this year, we grew at about 5% in the gears business. So I just want to understand from a sector perspective, which of the sectors in FY '25 would have done well and which of the sectors would have been weaker for the growth to come down versus FY '24.

And I have a corresponding question linked to this. So if you could answer this first?

Prayasvin Patel: See, what had actually happened last year is the first quarter was slow because of the elections. And that is the reason the customers were not willing to take the deliveries of the gears and the products that we had manufactured. There was a bit of slowdown. And then there was an acceleration that happened later on because we were keen to reach our targets or get as close to our targets as possible. So which was the reason why we accelerated. The same thing happened in the order inflow also.

The first quarter in the beginning, the order inflow was slow. The pending orders were less and then the acceleration happened in the second and third quarter, enabling us to further strengthen our requirements for execution of the orders. I can proudly say that today, as we talk our outstanding or pending orders in the Gear are INR 365 crores. And in material handling, it stands at INR 583 crores -- I'm sorry, INR 583 crores in gears and INR 365 crores in MHE, total lining up to INR 948 crores.

Pritesh Chheda: Sir, sectorally, let's say, power, cement, steel, marine, off the shelf, which part would have seen the lower growth momentum or any negative surprises in a certain sector versus others? If you could just comment there. We understood how it transpired during the year and reasons why it transpired that way. My question was the sectoral comments?

Prayasvin Patel: See, as I told you, if I tell you steel, it is a funny situation because it had slowed down and now it is again accelerating. So you can blame it on steel for the time being, but it is showing a robust inflow of orders.

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Pritesh Chheda: So let's say, your larger sectors are steel, cement, power, metal, marine and off the shelf, the last 6 or 7 ones. Is it that the steel grew less than the metal and the gear growth rate. So if your gear growth rate was 5%, steel grew lesser than this or maybe declined. If you could give that way the comment will be helpful?

Kamlesh Shah: Yes. The steel sector compared to last year, there was a 6% dip in that, which was one of the major impactor on the revenue contributors.

Prayasvin Patel: Contributors.

Kamlesh Shah: Yes, correct.

Pritesh Chheda: Any other sector which had a lower performance or lower growth rate?

Kamlesh Shah: No, the rest of them are in the same line in terms of the percentage of growth, but only the steel sector, which was one of the contributors, which has impacted that also.

Pritesh Chheda: Now when you are giving a growth guidance of 19% next year, which is higher than the growth of this year, what is the inherent assumption in this 19% growth number?

Kamlesh Shah: My order book position as of 31st March, which is quite strong. And all these are executable in the coming year, in the next year itself. Over and above power is also going to contribute in a good way in the revenue driver for us.

Pritesh Chheda: Okay. So basically, power is a sector which is a driver for growth next year?

Kamlesh Shah: Yes. One of the major driver.

Pritesh Chheda: Major drivers. Okay. Any sector which you think is weaker in the coming year based on whatever you're seeing today?

Prayasvin Patel: Sugar seems to be weak as of now.

Pritesh Chheda: Sugar.

Prayasvin Patel: However, let us hope that we are wrong and it picks up momentum during the later part of the year.

Pritesh Chheda: Okay. And just confirming, power means what? Basically, power means power generation side?

Kamlesh Shah: Thermal power.

Pritesh Chheda: Thermal power side.

Kamlesh Shah: Yes, power plants.

Pritesh Chheda: The steel, cement -- so the 6 sectors which you've mentioned, steel, cement, metal, power, off the shelf, if you could give a broader mix here, what was it in '25?

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Kamlesh Shah: FY '25, steel was in my total revenue. I'm talking about gear only. So my steel sector contributed 11% of my total gear revenue. Sugar contributed 4%. Cement contributed 9%. Power contributed 12%.

Pritesh Chheda: Okay. And balance is of the --

Moderator: I'm sorry to interrupt.

Kamlesh Shah: Yes, there are others also like MHE, then my marine is there and engineering sectors are there, plastic and rubber and tyre are there. And mining sector is also there.

Pritesh Chheda: Thank you very much, sir. All the best. Thank you.

Moderator: Thank you. The next question is from the line of Akash from Dalal & Broacha Stock Broking. Please go ahead.

Akash: Yes. So sir, I would like to understand if you could give a detailed breakup of the next year guidance. So of that INR 2,650 crores, how much are you planning to do in gears and how much in MHE? I mean, any ballpark percentage maybe you can give?

Kamlesh Shah: We are expecting INR 2,000 crores from gears division and INR 650 crores from MHE division. Both put together we'll have the revenue of INR 2,650 crores.

Akash: Understood. And within gears, if you could give a split for domestic and export, I mean, how much we are targeting?

Kamlesh Shah: Overseas revenue would touch nearly 27% to 30%.

Akash: So overseas will include both, right? The things that are exported from India and plus what we do in the subsidiary?

Kamlesh Shah: Yes, correct. Absolutely.

Akash: You said 27%, right?

Kamlesh Shah: Yes, between 27% to 30%.

Akash: Understood, sir. And one more question I wanted to ask, sir, was on MHE segment. So basically, on a quarter-on-quarter basis, we see the MHE orders dropping. So you menti

oned the INR 650

crores kind of a guidance for FY '26 in MHE. So for how much further will you expect such tailwinds in MHE to sustain?

Prayasvin Patel: Normally, the material handling business is on the rise because a lot of new power plants are likely to be tendered or ordered for. And therefore, there is going to be a larger demand for material handling equipment. The orders are normally finalized in packets. So you may find that

in a particular quarter, there might be a surge or there might be a flat line during the other quarters.

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So that keeps on varying from quarter to quarter, but I'm sure that overall, MHE would be doing fairly well. As of now, the way the things are the tailwinds are helping us looking at things that they will be very, very positive.

Akash : Understood. Sir, last question before I come back in the queue. How much is replacement business as a percentage of the total gears business we did this year?

Kamlesh Shah: I will give you the percentage just a minute . 34% is after-sales service.

Akash: Thank you so much, sir. I will come back in the queue.

Moderator: Thank you. Th e next question is from the line of Raj Shah from Enam Asset Managers. Please go ahead.

Raj Shah: Thank you so much. M y question is based on -- if you can provide any update on the progress with the OEM partnership, what kind of number have we achieved in this FY '25?

Kamlesh Shah: Yes. The major one we got 1 OEM order this year.

Raj Shah: In the quarter?

Kamlesh Shah: Yes.

Raj Shah: And in the last call, you mentioned, sir, that we will be able to clock around INR 50 crore s revenue from the OEM partnerships in Europe. If you can throw some idea what would be the approximate number that we achieved?

Kamlesh Shah: So we crossed INR 58 crores for this year against our target of nearly INR 50 crore s.

Raj Shah: And how do we see....

Kamlesh Shah: Yes. At the beginning of the year, we had given a projection of INR 25 crore s. But later part in the Q2 earnings call, we said it is expected to touch nearly EUR 5 million plus and we've touched INR 60 crore s, I think which would be nearly EUR 6 million -- EUR 6.3 million .

Raj Shah: Okay, sir. And how do we see this number going ahead in FY '26?

Kamlesh Shah: Yes that we see a good improvement in this OEM business. And our target is also to tap more and more OEM business so that one, we will have a sustainable growth in revenue as well as going forward, considering the warranty period of the gear of 6 to 12 months, that will further generate the after -sales service business for us.

Raj Shah: If I'm not wrong, this is entirely Europe business, right, or from U.S. as well?

Kamlesh Shah: Mainl y it is from Europe only. Only one is from Middle East.

Raj Shah: Got it.

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Moderator: The next question is from the line of Mayank Bhandari from Asian Market Securities. Please go ahead.

Mayank Bhandari: So my first question is on the margin side. As you have been guiding that next year, your margin would be 24%. So on this, what kind of segmental margin guidance you will give like for transmission and m aterial handling? So maybe you can just highlight the sustainable margin i n the material handling segment?

Kamlesh Shah: Yes. Material handling will have a sustainable margin of 23% and gear division will have a sustainable margin of 25.5%. So overall it'll be 24% sustainable margin at a company at a console revenue level.

Mayank Bhandari: And secondly, on this total revenue of almost INR 1,762 crore s in the transmission. What would be the comp osition in terms of standard and industrial?

Kamlesh Shah: Yes. We had the 60% is from the engineer product and catalog ue product 40% for this Q4. And if I say on a total level, for the full year, 52% is f

rom the engineered product and 48% is from the catalog ue product.

Moderator: The next question is from the line o f Hetvi from Catamaran . Plea se go ahead.

Hetvi : Hi, sir. Thank you for the brief. I might have missed this in the start, but can you brief a little bit more about the OEM business and strategy, like what sector clients are these a nd last year, you had mention that eventually we want the international business to be 50%. But right now, the guidance is around 27% to 30% which is what we had even this year. So I just want to understand how we're thinking to achieve the 50% mark?

Prayasvin Patel: See, our reach in various parts of the world is continuously increasing. Our marketing aggressiveness is showing results. The orders may have come in 1s and 2s, but it is just the beginning in various territories, new territories that we are looking for. A nd therefore, we believe

that over a period of time, it will help us reach the 50% that we are looking for.

Yes, the increase this year has not been substantial, but you have to also understand that there was a tremendous turmoil in the geopolitical situation all over the world including in Europe as well as in the Middle East, which is also having a severe impact in various countries. Together with that, now we have Americas, which is again getting destabilized due to tariff wars, which are going on.

So all these are situations which are beyond the control of the business economy. And therefore, you would see variations in what we have said. But overall, our strategy has been perfect or I would say, strong in what we believe, and it will give results over a long period of time.

Hetvi: Sir. If I may just ask about the strategy. So which geographies would be of main focus? And among that, which -- what sector clients are we seeing interest from?

Prayasvin Patel: See, our thrust has been in the Middle East, then also in the Americas, especially Canada and South America. And we are also seeing a good traction coming in now from the Far East.

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Hetvi: From the Far East?

Prayasvin Patel: Yes. Yes. Far East.

Hetvi: But the revenue that we have clocked right now is from Europe, right?

Kamlesh Shah: Europe is always the primary, which is considering the OEM business and the sustainable business over there also.

Moderator: The next question is from the line of Anish Jobalia from Girik Capital. Please go ahead.

Anish Jobalia: Hi, sir. Good evening. Congratulations for a very good performance in Q4 and a strong finish to the full year. Sir, just wanted to have one question. One is your depreciation amount is now INR 19-odd crores and finance cost is INR 5 crores. So I believe there is some impact of the leased assets on this number. So if you could just help to understand in FY '26, what will this number be between the depreciation and the finance cost?

We don't have any debt. So if you could help -- maybe there's other borrowing costs, et cetera.

But if you could just help to understand these two line items for FY '26?

Kamlesh Shah: This year, my full year depreciation is INR 50 crores. The same we consider my operating lease method, we are generally talking to everyone. So this year, in FY '26, we are expecting this to be nearly INR 70 crores to INR 75 crores for the full year.

Anish Jobalia: So this will be the total depreciation of INR 70 crores to INR 75 crores -- I mean, sorry, I didn't get that?

Kamlesh Shah: Yes, INR 70 crores to INR 75 crores for the full year FY'26.

Anish Jobalia: Okay. And finance cost, like anything coming in the finance cost from this line items?

Kamlesh Shah: Yes. Finance cost will be nearly INR 15 crores for the full year. INR 15 crores to INR 16 crores.

Anish Jobalia: Okay. So between the two of them, it will be around INR 90 crores, right?

Kamlesh Shah: Correct both, correct.

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Anish Jobalia: Okay. Sir. Thank you and wish you are very good FY 26.

Moderator: Thank you. The next question is from the line of Deepak Purswani from Swan Investments.

Please go ahead.

Deepak Purswani: Congratulations for the very good set of numbers, sir. Sir, my question is regarding the international market. I mean, if I were to look into the last year number, we've grown at 13%.

And next year, we are looking at a 27% kind of growth in this segment. So if you can just give some sense which are the key segments which we are looking into it?

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And also, I mean, in some of the OEM earlier, we used to say, I mean, we are exploring 6, 7 deals from the different OEM. And at what stage we are in terms of the current discussion? And what is the revenue contribution we are expecting from these?

Kamlesh Shah: So still some of them are in the pipeline. And I think we are quite hopeful it will be converted into the concrete order for us. And what we this year, we have achieved that -- from this OEM, we achieved INR 60 crores, which are from the different industry, steel, rubber, plastic, metal and engineering sector, which are there. And going forward, the same kind of mix will be there from the other OEMs we are going to encash in this financial year also.

And our endeavour is also the same, we have to tap more and more OEM businesses from Europe and maybe from other part of the Western world, which should help us to make a sustainable growth going forward. And after that, maybe a couple of years after that, we may start generating more revenue as an after sales service from that.

Moderator: The current participant has been disconnected. We will move on to the next question. It's from the line of Rishi Kothari from Pi Square Investments. Please go ahead.

Rishi Kothari: Thank you so much for the opportunity and congratulations on a good set of numbers. Can you again let me know what exactly impact will have for the tariff on us? I mean is it beneficial, as you said, it will be a good opportunity for us to tap the business. But can you just brief us what exactly would be the benefit? How will we incur that benefit?

Kamlesh Shah: So, considered the tariff in U.S.A., which is applicable across the board, across the territories and countries. So far India is concerned, we consider we've a sweet spot, but still we are not away from that impact on that also. So considering our business growing more on Canada, Mexico and Latin America, we are exploring to have our own setup over there.

That is in Canada, Mexico and Latin America, which will help us to directly supply from India over there and let them grow by itself so that I will not get impacted on the tariff side. And we are already at a very advanced stage to explore the same. And maybe in the Q2, we will have that setup from one or more territories what we are just exploring now.

Rishi Kothari: So in a way, we are going more for geographical diversification that is apart from U.S., we are exploring more of areas like Canada, Mexico, Latin and all that?

Prayasvin Patel: And as far as U.S.A. is concerned, while we would be subject to additional taxes, so would our competitors. So it would kind of nullify the situation. So the difference in tariff between various countries would not be more than 2% or 3%, so which is easily bridgeable. So we are not expecting a severe difference in pricing because of this.

Kamlesh Shah: Presently, what we are doing the business from U.S.A. to these territory that is Canada, Mexico and Latin America, that now we'll do directly instead of routing through U.S. our manufacturing channels over there.

Rishi Kothari: Okay. Got it. So in a way -- in terms of U.S. tariffs, we say the initial cost increase will be hardly 2% to 3% on other products that we supply to them, right?

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Prayasvin Patel: Correct. The difference in tariffs between us and our competitors from other nations would be 2% to 3%.

Rishi Kothari: Okay. So 2% to 3% we are advantageous compared to other countries to the U.S.

Prayasvin Patel: Advantageous or disadvantageous.

Moderator: Sorry to interrupt Mr. Rishi, I would request you to come back in the queue for further questions. The next question is from the line of Manish Goyal from Thingwise Wealth Managers. Please go ahead.

Manish Goyal: Thank you so much. Just to clarify on the depreciation number, you mentioned INR 70 crores, INR 75 crores versus INR 50 crores, is it on the stand alone basis, right?

Kamlesh Shah: Yes, correct standalone because my major capex is in India only. That is at the standalone level only.

Manish Goyal: So if you can just provide clarity, like what is the absolute capex in FY '25 and what will be in FY '26? And secondly, what I see in your balance sheet is that leased liability has increased significantly from INR 44 crores to INR 147 crores in stand-alone and similar jump is seen in the balance sheet. So now what is this lease liability pertaining to? Because is it particular to asset addition or what -- if you can clarify?

And if we take this combined effect capex outflow and lease liability, what is the kind of capacity we are creating on revenue generation front? Just want to get a sense on these numbers. Thank you so much. And also one more question. What was the export revenue from India? And how has it grown? And how do you see it growing? Because you give the international number, but how much is exports from India? Thank you.

Kamlesh Shah: So this additional lease liability is nothing but an addition to the capex. So what we have projected in the last 3 years, the capex addition of INR 300 crores, which is going to generate the additional revenue of INR 500 crores for us.

Manish Goyal: So when you say lease liability, it is probably -- we have probably taken some assets on the lease. And then what is the actual capex which we are doing? Because that number in the cash flow statement is roughly INR 65 crores. So what is the absolute capex you will be doing? When you are saying INR 300 crores, does it include lease liability also or it is excluding that?

Management: No, it includes the lease liability also. But then the cash flow is prepared as per the IndAS guidance. So in that Ind AS guidance, I know lease assets are not covered over there also.

Moderator: We will move on to the next question. It's from the line of Nidhi Shah from ICICI Securities. Please go ahead.

Nidhi Shah: Thank you so much for the opportunity. I just wanted to ask on the employee expenses. We are seeing a huge uptick this quarter, especially in the stand-alone. Are these at sustainable level? Or is there a one-off in this quarter?

Kamlesh Shah: These are our sustainable revenue growth only. Whatever the numbers are, it is sustainable for us.

Nidhi Shah: I meant employee expenses actually -- so the employee expenses are much higher this quarter?

Kamlesh Shah: Yes. Generally, employee, we also have to increase some employee, particularly more on the business development side as well as on the R&D side also, which is what is reflected. So whatever the new additions to the employees are there, it is mainly on the productivity side only, that is in R&D and on the marketing side, which is now required considering our growth trajectory, what we are looking for over the period of time.

And it is increased because there are always a fixed pay, as well as the variable pay are there.

So variable pay is always considered through our certain financial parameters to give to the employees and that is how it is reflected.

Nidhi Shah: Okay. Thank you so

much.

Moderator: Thank you. The next question is from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Good evening and thank you. Sir, one comment on Eimco Elecon the press release which you have put out. What is happening? You mentioned it won't be an associate anymore. So I understand that the tripartite agreement is being broken, but are we also selling a stake there?

Kamlesh Shah: No. Pratik, considering the SEBI guidelines, the associate when we terminated our agreements with the Sandvik Group or Tamrock U.K. So we are now nowhere -- earlier we were a part of the shareholders' agreement and that is the reason Eimco was considered as an associate company because of that agreement on. So now that agreement doesn't exist effective from 23rd of April.

So, my stake will continue because to be an associate company, we must have the holding of more than 25% on that. As my holding has remained less than 25%, this will not be considered as an associate company. That is the only change, nothing else. It is just a classification of my investment. There is no other interest so far as my holding is concerned. We have no plan to add anything so far as the holdings in the Eimco Elecon as well as we do not have any plan to offload our existing holding of 16.66% in the market or otherwise.

Pratik Kothari: Okay. And sir, in light of the opening remarks the Chairman or guidance that we have the order book that we have seen, when we look at capex, it's only INR65 crores this year. I believe we are going -- adding capacity through this lease route. So one qualitatively, be it on the employee side, be it on the capacity, machines, plant, et cetera, are we investing enough given the opportunity that we see?

We also see that we benefit out of this tariff issue, which is going on. So one, are we preparing enough for it and have we invested enough? Just if you can share your thought process to capture whatever is coming?

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Kamlesh Shah: Pratik, we have invested nearly INR160 crores in this year, nearly. Generally, lease assets, which are considered as a right-of-use asset in the fixed asset, which are not reflected in the cash flow.

You can see the note which is given in the cash flow statement. As per the Ind AS accounting guidelines, the lease assets are not reflected as an addition or the deletion to the asset.

And we have plan ourselves very well so far as the capex plan is concerned, considering the lead time of the machines for the delivery as well as the revenue projections from the marketing department. And we don't foresee any challenge so far as the capacity is concerned or any capacity constraint to manufacture and provide the timely delivery of our goods to the customers.

Pratik Kothari: Right. And sir, lastly, on dividends. 10%, 15% of profits we generated is being paid out as dividends. Our capex plan also is not very high, INR100 crores, INR200 crores a year. We have now enough cash on books. So you can share in this dividend we ramped up, what else are we thinking? How do we plan to spend the cash that we are generating?

Kamlesh Shah: We have already calculated and as per our dividend policy, we have declared the dividend. And while presenting proposed dividend to the Board, we are considering the different parameters to declare the dividend. I think this time, you might have seen we have increased our dividend by nearly INR0.50 per share. So that also is a good start.

And we already started from the last year to improve my dividend outflow. And this year, the same is reflected by increasing my dividend this time. That is 200%, including the interim dividend of 50% and going forward...

Pratik Kothari: And, Cash that we have ex of dividend and ex of capex , which is currently sitting on our balance sheet, what potentially can come out of that?

t?

Kamlesh Shah: So that -- because we also have to keep some considering my global business. So, we have to keep some amount, which may be a material amount for my contingency also like these geopolitical changes and different kinds of tests what we are expecting. And at the same time, we have to keep certain cash available for us for the capex also. Though we may explore the alternative options to do the capex, but I have to keep that money reserved with me also.

Prayasvin Patel: Let's put it this way that this is a war chest which has been created for any opportunities which come our way in the near future.

Moderator: Thank you, sir. Ladies and gentlemen, due to time constraints, that was the last question for today's conference call. I would now like to hand the conference over to the management for closing comments. Thank you.

Prayasvin Patel: In closing, I would like to thank you all for joining this call and for your continued support to Elecon Engineering . FY '25 has been a landmark year for the company. We are encouraged by the strong growth momentum across both our gear and MHE divisions. The gear division has demonstrated a solid recovery with robust demand across key geographies as well as other sectors, while the MHE division continues to outperform, driven by a healthy and diversified order book.

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Our consistent execution, focus on high -growth segments, disciplined approach positions us well for sustained performance. As we move into FY '26, we remain fully committed to scaling new heights, strengthening our leadership across markets and delivering long -term value for our stakeholders. We don't merely provide solutions. We shape the future of industrial gear technology.

Thank you once again for your participation and trust in Elecon Engineering. If you have any further questions or inquiries, please do not hesitate to reach out to our Investor Relations Adviser, SGA or our CFO, Mr. Narasimhan Raghunathan . Thank you all.

Moderator: Thank you. On behalf of Elecon Engineering Company Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

## Call: Jul 2025

17th July , 2025

To,

The Manager (Listing),  
The BSE Ltd.  
Mumbai The Manager (Listing),  
National Stock Exchange of India Ltd.  
Mumbai  
Company's Scrip Code: 505700 Company's Scrip Code: ELECON

Sub. : Transcript of the Earnings Conference Call held on 11th July , 2025  
Ref. : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015

Dear Sir/Madam,

With reference to the above referred Regulation and in continuation of our letter dated 5th July, 2025, please find attached herewith the transcript of the Earnings Conference Call held on 11th July, 2025 for Q 1 of the Financial Year 202 5-26.

The same is available on the website of the Company at  
<https://www.elecon.com/investors/audio-video-recordings-and-transcripts-of-post-earnings-quarterly-calls> .

You are requested to take the same on your records.

Thanking you.

Yours faithfully,  
For Elecon Engineering Company Limited,

Bharti Isarani  
Company Secretary & Compliance Officer

Encl.: As above

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"Elecon Engineering Company Limited

Q1 FY26 Earnings Conference Call "

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E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on 11th July, 2025 will prevail

MANAGEMENT ELECON ENGINEERING COMPANY LIMITED :  
MR. KAMLESH SHAH – GROUP CHIEF FINANCIAL  
OFFICER  
MR. NARASIMHAN RAGHUNATHAN – CHIEF  
FINANCIAL OFFICER  
MR. M.M. NANDA – HEAD OF GEAR DIVISION  
MR. DIPAK DALWADI – HEAD DESIGNATE OF GEAR  
DIVISION  
MR. KAUSHIK PATEL – HEAD OF MHE DIVISION

MODERATOR : MR. MAYANK BHANDARI – ASIAN MARKETS  
SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY '26 Earnings Conference Call of Elecon Engineering Company Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Please note that this conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Mayank Bhandari from Asian Markets Securities. Thank you, and over to you, sir.

Mayank Bhandari : Good evening, everyone. On behalf of Asian Markets Securities, we welcome you all for the 1Q FY '26 conference call of Elecon Engineering Company Limited. I take this opportunity to welcome the management of Elecon Engineering, represented by Mr. Kamlesh Shah, Group CFO; Mr. Narasimhan Raghunathan, CFO; along with their team.

Now I request Kamlesh sir to take us through the overview of the coming quarterly results, and then we shall begin with the Q&A session. Over to you, Kamlesh.

Kamlesh Shah : Good evening, and very warm welcome to everyone on our Q1 FY '26 earnings conference call. I'm joined today by my colleagues, Mr. M.M. Nanda, Head of Gear Division; Mr. Dipak Dalwadi, Head Designate of Gear Division; Mr. Kaushik Patel, Head of MHE Division; Mr. Narasimhan Raghunathan, CFO.

The press release and investor presentation have been uploaded on the stock exchanges as well as our company website. I hope everyone has had the opportunity to go through the same. To begin with, I'll provide a brief macro level overview of the prevalent business environment, followed by a detailed review of our financial performance, which Mr. Narasimhan, our CFO, will take you through.

Elecon Engineering is a leading manufacturer of gear solutions and material handling equipment, recognized for its innovation, superior quality and dependable performance, serving a broad spectrum of industries, including steel, cement, sugar, power and marine. We are dedicated to delivering customized best-in-class solutions that drive operational efficiency and growth.

As one of Asia's largest suppliers of industrial gear solutions, Elecon holds a leadership position in India's organized gear market. Our global footprint spans approximately 95 countries, supported by a robust distribution network and long-standing relationships with key industry players. In line with our strategic vision, we aim to increase the share of exports to 50% of total revenue by FY '30.

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This ambitious global expansion is powered by our strong R&D capabilities, continuous investment in product innovation and strategic partnership with OEMs across international markets. Our business is anchored by two divisions, Industrial Gear and Material Handling Equipment, each playing a distinct role in shaping our overall performance. The Gear division, which contributed approximately 73% to our consolidated revenue in Q1, delivered a steady performance during the quarter, with a growth of 6% in revenue on a year-on-year basis. The momentum shows some softness in Q1 is due to in terms of product deliveries, especially in Middle East markets. We have also seen some impact of geopolitical volatility in some overseas markets during the quarter. Having said that, we do not foresee any material impact on the business from a full year perspective. We

have shown our resilience in FY '25 also, where we have overcome comparatively more muted momentum in the beginning of the year, but we ended on a very strong note.

Compared to last year, the demand momentum currently is relatively better. We have received robust orders during the quarter and encouraging by the sustained inquiry levels, which bodes well for future order inflows. The division is well positioned to build on this momentum, supported by improving market sentiment and ongoing capital investment across key industries, along with steady momentum in the steel and cement sectors, we are seeing very strong growth coming from power sector this year.

In Q4 FY '25, we capitalized our new manufacturing facility in Gear division. While this marks

a significant step towards enhancing our capacity and long-term growth, it has had a short-term impact on margins in Q1. This is due to accelerated depreciation without corresponding revenue contribution from the new facility. As we ramp up production and begin generating revenue from this new capacity, we expect the margin in the Gear division to return to normalized levels. Coming to the MHE division, we continue to deliver consistent robust performance. On a reported basis, revenue has increased by 139% Y-o-Y. This includes one-time amount of around INR 25 crores from arbitration claim settlement of previous contracts which we have recognized as revenue in Q1. Even after adjusting this amount, our revenue has nearly doubled on a Y-o-Y basis in this quarter.

Our strong performance is supported by a healthy order book driven largely by sustained demand from the power and cement sector. We are also witnessing encouraging order visibility in the steel segment, reflecting broader industrial momentum. MHE division continues to demonstrate a strong growth trajectory, driven by the successful execution of our strategic initiatives, increasing market demand and our proven capabilities to deliver customized solutions across diverse industries.

Looking ahead, we remain confident in the division's continued momentum, supported by a healthy order book and robust demand outlook across the key sectors. All in all, the current order backlog and momentum of the order inflows across both our divisions provides a strong foundation and visibility for healthy growth in the coming quarters.

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Elecon remains strongly focused on executing its long-term growth strategy. We are actively diversifying our business portfolio and expanding our presence across new sectors and international markets. Our wide-ranging product portfolio backed by strong in-house R&D and engineering capabilities continues to differentiate us in the industry. Our ability to deliver customized high-quality solutions position us well to meet the evolving and complex needs of our customers.

The MHE is on the robust upward trajectory and emerging as a key growth driver for Elecon. In the Gear division, inquiry levels remains encouraging. We are seeing consistent demand from both, domestic and international markets. Although there are some geopolitical headwinds in some of the overseas market, the traction is quite steady on an overall basis. We are also seeing a positive outlook in the defense industry and expecting to receive orders in later part of this year.

We take pride with the way we have executed and delivered in the last year during the challenging macroeconomic environment in the earlier part, we displayed great resilience and discipline. As the external environment improved, Elecon showed its ability to capitalize on the same, and we ended FY '25 on a very strong footing. Looking ahead, the order inflow momentum continues to be consistent. Together with the current order backlog, it provides a good foundation and visibility for sustained momentum and growth in the coming quarter.

arter.

With this, I would like to hand over the call to Mr. Narasimhan, our CFO, for financial highlights for Q1 FY '26. Over to you, Narasimhan.

Narasimhan Raghunathan : Thank you, sir. Good evening, everyone. A very warm welcome to our Q1 FY '26 earnings call. I will now take you through the highlights of our financial performance for the quarter ended 30th June 2025.

We are pleased to report a resilient performance for Q1 FY '26. For the quarter ended June 2025, our consolidated revenue from operations stood at INR 491 crores compared to INR 392 crores in Q1 FY '25, reflecting a healthy growth of 25% on a year-on-year basis.

This has been driven largely by strong growth in the domestic business activities across both divisions, which has also been aided by a favorable base. In the overseas business, we have faced some geopolitical-led headwinds in Middle East market. Nonetheless, the inquiry levels in most overseas markets remains encouraging. Domestic demand too is picking up meaningfully, particularly from core sectors of power, steel and cement.

The consolidated revenue for Q1 FY '26 includes INR 25 crores pertaining to arbitration settlement for some of the earlier contracts in the MHE divisions, which has been recognized in the current quarter.

The domestic market contributed 75% to the consolidated revenue, while the remaining 25% comes from overseas markets. Our domestic revenue in Q1 FY '26 stood at INR 367 crores compared to INR 259 crores in Q1 FY '25, reflecting a growth of 41.4% on a year-on-year basis.

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Our overseas revenue in Q1 FY '26 stood at INR 124 crores compared to INR 133 crores in Q1 FY '25, reflecting a decline of 7% on a year -on-year basis. The order book visibility and continuing inquiry levels keeps us optimistic for higher growth in the coming quarters. Our consolidated EBITDA for the quarter was INR 130 crores, up from INR 92 crores in Q1 FY '25, representing a growth of 41%.

The EBITDA margin for the Q1 FY '26 stands at 26.6% compared to 23.5% in Q1 FY '25. After adjusting the onetime arbitration settlement income, EBITDA for Q1 FY '26 would come to INR 105 crores compared to INR 92 crores in Q1 FY '25, reflecting a growth of ~14% year -on-year. Adjusted EBITDA margin would come to 22.6% versus 23.5% in Q1 FY '25.

The consolidated EBITDA margin has been impacted by the increased cost in the Gear division, which was driven by employee cost, together with brand -building initiatives undertaken in the overseas markets. As our recently commissioned capacity ramp s up and the benefits from the above initiatives in the overseas markets in terms of revenue starts to come in, we expect the margin to return to a normalized level. At a consolidated level, we expect to maintain an EBITDA margin of 24% on a steady -state ba sis.

Apart from INR 25 crores recognized in the revenue, we have recognized another INR 10 crores pertaining to the arbitration settlement under other income as well during the quarter. In Q1 FY '26, we have also recognized INR 80 crores as an exceptional income. This pertains to the unrealized mark -to-market on reclassification of our investment in Eimco Elecon India Limited from associate to a financial asset. The profit after tax for the quarter including these one-time income s come to INR 175 crores.

Segment -wise performance. The Gear division accounted for 73% of the total revenue in Q1 FY '26. For the quarter ended June 2025, the Gear division's revenue stood at INR 357 crores compared to INR 337 crores in Q1 FY '25, up by 6% year -on-year. The EBIT for the Gear division stood at INR 66 crores in Q1 FY '26 compared to INR 80 crores in Q1 FY '25.

The EBIT margin declined to 18.4% in Q1 FY '26 compared to 23.7% in the same quarter last year, mainly due to the increase relating to employee cost and brand -building initiatives undertak

en in the overseas market. EBIT margin was also impacted by accelera ted depreciation on the new manufacturing facility, while the corresponding revenue has still not come in.

The order intake for the quarter was INR 480 crores, reflecting a healthy 21% year -on-year increase. As at 30th June 2025, o ur open order book stood at INR 710 crores, positioning us for a sustainable growth in the upcoming quarters.

The Material Handling Equipment division delivered another outstanding performance in Q1 FY '26. Including the arbitration settlement income, the MHE division's revenue for the quarter was INR 133 crores compared to INR 56 crores in Q1 FY '25, growing by 139% year -on-year. Excluding the one -off income, revenue growth would have been at 93.6%. This growth is driven by a strong demand in both the product supply and aftermarket segment across the core end -use sectors of powe r, steel and cement.

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The EBIT for MHE stood at INR 61 crores compared to INR 14 crores in Q1 FY '25, reflecting a significant growth. Even a fter adjusting for the arbitration income, the EBIT would have grown by 155% year -on-year. The adjusted EBIT margin stood at 27% in Q1 FY '26, up from 25.3% in Q1 FY '25. This was primarily due to a favorable product mix and a higher contribution from the aftermarket business. The order inflow for the quarter stood at INR 134 crores compared to INR 149 crores in Q1 FY '25. As of 30th June 2025, the open order book for MHE stood at INR 400 crores, reflecting a strong demand and growth prospects.

On the balance sheet front, we are pleased to report a strong net cash position of around INR 550 crores, providing us with significant financial flexibility to pursue growth opportunities and maintain operational resilience. Looking ahead, the capital expenditure budget for FY '26 to FY '28 is INR 400 crores for the next 3 -year period.

On that note, I would like to open the floor for questions you may have. Thank you.

Moderator: The first question is from the line of Vishal from Bandhan AMC.

Vishal : The first question is on the exports on the international business side. Could you elaborate exactly what happened? What led to the decline in exports of 7% on a year -on-year basis?

Kamlesh Shah: This was due to some hold of deliveries for the routes in the Middle East because of Israel and Iran war kind of situation, and the delivery will get clear by the Q2 sometime.

Vishal: How big would have these been? I mean what is the approximate quantum?

Kamlesh Shah: INR 14 crores.

Vishal: That's it. So sir, even if I adjust for this INR14 crores, we would have still reported a decline in the exports revenue?

Kamlesh Shah: Yes. That momentum will come up by Q2, Q3.

Vishal: Are we seeing any weakness in our core geographies, say, U.K., Europe or in any other geographies that we are...

Kamlesh Shah: In fact, this time, U.K. and Europe both have done better particularly compared to the Q1 last year.

Vishal: Okay. So which are the other geographies that would have been weaker for us, I mean because you've reported INR 124 crores of exports. Even if I adjust for INR 14 crores, you would have still reported a decline. So that is what I'm trying to understand?

Kamlesh Shah: What I said one is of INR 14 crore the delivery deferred to Q2 as well as some orders are on hold also in the Middle East.

Vishal: Okay. Okay. The other question is on the order inflow of INR 480 crores in the gear business that you've reported. What portion of these orders would have come from the international side -- international volumes?

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Kamlesh Shah: The MHE division?

Vishal: For the Gears business.

Kamlesh Shah: Gear business. So INR 119 crores is the order from overseas business.

Vishal: And this is what sort of growth o

n a year -on-year basis?

Kamlesh Shah: The growth -- I should grow on what basis, revenue of this quarter plus the future -- for the rest of the period?

Vishal: I was trying to understand this INR 119 crores of order inflow that you've got from the international business for Gears. This is a growth of what percent?

Narasimhan Raghunathan: On year -on-year basis?

Vishal: Yes.

Narasimhan Raghunathan: It is 10%.

Kamlesh Shah: 10% growth.

Vishal: 10% growth. Okay. And last question is on the profitability. You said that higher manpower cost and operational expenses of the new plant have impacted the margins in the Gears business. So by when do we see normalization of profitability here?

Kamlesh Shah: I think by the end of the year, we'll sustain our margin, what we already spelt out.

Vishal: So when you say that we should have 24% margin within -- for the Gears business, we should be about at the same level, 24%, 25%?

Kamlesh Shah: Further, this margin is also because of the change of product mix also. Generally, my product mix between the engineered product and the standard product is 50 -50. 50% plus in the engineered product. For Q1, my revenue from engineered product is 43% and 57 % from the standard product. Generally if you compare on a quarter -on-quarter basis, this change will be there. But by the end of the year it is getting up. It is getting covered up also.

Moderator: The next question is from the line of Pratik Kothari from Unique PMS.

Pratik Kothari: Sir, first, this Middle East order, the delay, this would be from the international subsidiaries, right, the delay which you spoke a bout, not from India to exports?

Kamlesh Shah: But ultimately, it is going from India to Dubai or directly to the customer as the case may be, depend upon what the order says about the delivery schedule and how the delivery is done. But the order is from Middle East and because of this current geopolitical challenges between Israel and Iraq, which also is escalating. So the customer has put the hold on the delivery for this period, and it's going to get in Q2 sometime.

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Pratik Kothari: Correct. Correct. And of this ROU assets, which we had capitalized last year in Q4, I mean, so everything is now capitalized and what we see in interest and depreciation is now fully accounted for?

Kamlesh Shah: Yes. Some part is there, it is of nearly INR 25 crores, which is getting capitalized in Q2 sometime.

Pratik Kothari: Okay, which will come subsequently.

Kamlesh Shah: Yes.

Pratik Kothari: Okay. Fair enough. And sir, on this arbitration now all of this past arbitration is behind us, I mean, after this order which we have...

Kamlesh Shah: Yes. Whatever we did, whatever we committed, we realized. I think we realized better than that. But still now we have initiated a further two arbitration proceedings -- one of them -- the outcome

will come by end of this year and another will come in the next year sometime, where we are expecting INR 20 crores plus in terms of the realization...

Pratik Kothari: Correct. Fair enough. And sir, this INR 400 crores of capex for next 3 years, including this one, I mean, some light where do we intend to spend this? What will be the -- where is it? And this will be again on the route of ROU or will we be taking it on a balance sheet? So two questions here.

Kamlesh Shah: So this will be -- both of it because some part will be at our own and some part we will go with an ROU because this is more beneficial to us. I see as a long-term benefit to the organization rather than the short term.

Pratik Kothari: Correct. And where will this spend be? I mean, this INR 400 crores, how do we intend to spend?

Kamlesh Shah: That will be over a period of 3 to 4 years. So what I will spend, but some part may come in the fourth year also, depending upon this.

Pratik Kothari:

I understand. My question was where do we intend to spend, I mean on what? Is it specific in Gear, somewhere in international or MHE?

Kamlesh Shah: INR 400 crores will be in the Gear division. And over and above this INR 400 crores, INR 35 crores, we are going to spend in MHE division also because my MHE division is also getting the momentum. That the INR 35 crores of MHE will come in this year, whereas the INR 400 crores of Gear division will be spent over the period of 3 years.

Moderator: The next question is from the line of Harshit Kapadia from Elara Capital.

Harshit Kapadia: Sir, could you give us some update on the domestic business, how it has been growing and which sectors have contributed to this growth? That's the first question.

Kamlesh Shah: We are quite positive and robust about the domestic market because that momentum is continuing for the last couple of years, and that will further continue for the next couple of years

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also. Now this year, we are seeing the momentum from steel, cement and the power sector is also giving the boost to us. So recently only we got an order for nearly INR 80 crores from the power sector itself.

And we also are going to see a good momentum, which is going to come in this year from the defense sector also because defense sector, I think we are expecting anything in the Q2, a small thing. But the big one we can expect any time now because everything is being geared up and we are quite positive for that.

Harshit Kapadia: And sir, any tentative size you can say, will it be like INR 500 crores or so for the defense part, sir?

M. M. Nanda : See, we are expecting close to INR 200 crores this year. And next year, we are expecting better numbers as we go further on that.

Harshit Kapadia: Understood. And by H2, do you think this margin would mainly move towards 24%, 25% range or it will start reflecting from Q2 onwards, sir?

Kamlesh Shah: This will be there from Q2 onwards. You can see that momentum of 24% margin.

Harshit Kapadia: Okay. And sir, the capex which you mentioned where is largely for the gearboxes. So which sector are we going to see more of these gearboxes being specific, if you can share something?

Is there anything also for the high-speed gearboxes, which you were earlier trying to enter into?

If you can give some clarity on that?

Kamlesh Shah: All our machines are in a general purpose because it is not for the specific line or for the specific sector or for specific customer, unlike in the automobile sector if it is. So this will be for the across the sectors and across the applications over the time, including for the high-speed gear. But we are mainly gearing up ourselves for our export market, where we see a good momentum is coming up from the OEM business, and we have to keep ourselves ready for any kind of volume, which we estimate to work for.

Harshit Kapadia: Okay. And sir, last question on the MHE segment side, sir, the margin this quarter has been the highest over the last few quarters. What is a sustainable margin that one can expect? And any number you can suggest for MHE for the full year basis? What is the number that we can expect?

Kamlesh Shah: Full year, I think we already spell out. MHE is expected to generate a revenue of INR 650 crores for this year. That is year ended March 31, 2026. And what we see that 23% is sustainable margin that we already see. When I said 23%, this over the period of next 2 to 3 years. So any change in the product mix are improving my margin profile. That 23% is conservative figure, which what we said is minimum achievable for us. Any good product mix, which are giving a better revenue margin for us in MHE.

Harshit Kapadia: Okay. And just sorry to add one more question. Sir, we started also exports business in the MHE. Can you share some update on where are we on that? And are we going

g to see more traction on  
the export side for MHE as well, sir?  
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Kaushik Patel : Yes. As we told last year, we secured one order of export that is of 1.4 million, and that has been successfully executed in last year. And yes, we have a focus on export, and we have ample inquiry from the overseas market. In fact, we are expecting one or der in coming quarter in Q2. That amount is near to US \$ 1.8 million. So going forward, export is our focus area, and we are going to create our footprint in the global market as far as MHE business is concerned.

Harshit Kapadia: And for...

Kaushik Patel : Sorry.

Harshit Kapadia: Yes, go ahead, sir.

Kaushik Patel : In fact, we are also expecting one good order earliest in Q4 of this financial year quarter and quarter 1 of next financial year.

Harshit Kapadia: Amount?

Kaushik Patel : US\$ 12 million.

Harshit Kapadia: That's a large order. And our stance on taking only the product part of MHE and not the complete EPC also stands for exports as well, right? So the orders which we have...

Kaushik Patel : We are going with the same strategy what we have adopted since 2017. So we are focusing on supplying of the equipment and of course, after sales market.

Kamlesh Shah: We have very clear business strategy to just go for the supply of equipment only and after sales, we don't want to export further in turnkey projects anymore .

Harshit Kapadia: Fair enough, sir. Thank you very much and wishing you all the best.

Moderator: The next question is from the line of Mythili Balakrishnan from Alchemy Capital Management.

Please go ahead.

Mythili Balakrishnan : A couple of questions. I wanted to check with you on the OEM business. You had mentioned that la st year, we had done around INR 60 crores in FY '25. What is the momentum you're seeing in that business currently?

Kamlesh Shah : That is a momentum which is keeping us busy and that is the reason we are quite confident and that is how we are putting our capex plan also. I think Nanda Ji would be the one who can just provide more.

M. M. Nanda : See, basically, we have supplied some of the prototypes in the past and then we have also started receiving the serial production on this basis. And as we projected last year, it was 6 million we got it against that. And going forward also, we are quite a robust situation on that. And we expect that almost 2 million now.

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Kamlesh Shah: In this Q1, we generated the re venue of EUR 2 million. And by end of this year, we are c onfident to generate nearly EUR 7 million of business for us.

Mythili Balakrishnan : Got it. In terms of our guidance of INR 2,650 crores of revenue, this does not include the INR 25 crores odd of arbitration that we have?

Kamlesh Shah : No. It is only revenue what we have projected, normal business revenue .

Mythili Balakrishnan: Got it. In terms of depreciation, if I remember in the last call you had mentioned that this should be in a INR 70 crores to INR 75 crore s run rate for the full year FY '26. But clearly, we are running ahead of that and it possibly is closer to INR 100 crores. Would that be the right number to look at?

Kamlesh Shah : Overall, at the consol idated level, the depreciation would be at that level of that size. As far as for this year, my depreciation by end of the year would be nearly INR 90 crores for Gear division.

Mythili Balakrishnan : And for the overall co mpany, it will be closer to INR 100 crores, right?

Kamlesh Shah : Yes, INR100 crores, INR105 crores.

Mythili Balakrishnan : Got that. Also in terms of the inflows to the MHE division, it seemed a little weak this quarter. So I just wanted to get a sense, is that so me seasonality to the business o r is it anything else to read into that?

Kaushik Patel : In MHE, yes, we were expe

cting certain order to come in Q1. That has been now coming in Q2.

In fact, we already secured a few orders in July itself in the last 10 days. So I think whatever gap is generated in Q1 comparing to last year quarter 1, I think th at has been covered up now. And going forward, there is a good traction in the MHE business from cement, steel and power.

Mythili Balakrishnan : Got it. That's all from my side. Thank you. Thanks a lot for this.

Moderator: Thank you. Th e next question is from the line of Raj Shah from Enam AMC. Please go ahead.

Raj Shah : So my first question was regarding the brand building activities and increase in employee cost, which led to lower margins in this quarter. If you can explain where this cost was spent in which areas and what was the quantum?

Kamlesh Shah: That amount is spent in Europe mainly, where we are just working more on the digital platform and engaging the service of the consultant over there for the brand building. And employee cost, yes, it is because of the normal increment plus we also increased some employees, so which also has there. I don't have the actual quantum of how much we have spent in this Q1 and what is our target to spend for the full year also. But that is as per our plan what we have spelled out earlier also.

Raj Shah : Okay. Got it. Another question was on borrowing cost, there was an increase last year same quarter, it was INR 2 crores. This year, it was INR 6 crores. So I was just trying to get the sense of what it could be for the entire year because as per March '25 balance sheet , our borrowings have increased?

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Kamlesh Shah : No, it's not the borrowing, but what we did, we also discussed earlier at the various forums. We have acquired the machinery, and we did the capex under the operating lease. So considering the Ind AS as applicable, this is to be divided into two parts. One is on account of the principal amount and the interest portion also, which is called the discounting based on the discount. So discounting part is getting reflected as a finance cost and the principal amount is reflected as depreciation also. It's not a borrowing, but it is the division of the lease amount over the period of 5 years between principal and discounting as per the Ind AS Standard.

Raj Shah : Got it. And around INR 25 crores, I guess you said it is yet to be capitalized, which will be in Q2?

Kamlesh Shah : Yes. It will be capitalized in Q2. We just received the machines in June sometime and it is under installation presently.

Raj Shah : Okay. Got it. And sir with this new capex getting commissioned, what will be our revenue potential?

Kamlesh Shah : Additional with this INR 300 crores capex what we did over the period of 3 years, it is going to generate additional INR 500 crores of revenue for us.

Raj Shah: Okay. Thank you, sir. That answers my question.

Moderator: Thank you. The next question is from the line of Niraj Mansingka from White Pine Investment. Please go ahead.

Niraj Mansingka : Thank you very much. I just wanted to know one small thing. You spoke about 11, 12 OEM customers in the past. Can you just give an overall color on -- I know you've got orders from them, but can you give some overall color on of these orders, how many are fructifying and how much are still work in progress prototype as such?

Kamlesh Shah : So now as on today, our number of OEMs are 18. So -- of which some are under the development, which is there also. And most of them have now started the commercial production also. That is a series production.

Niraj Mansingka : So when do you see this larger scale up for them happening in the commercial has started?

Kamlesh Shah : That larger scale will start, you can say, from January 2026 onwards.

Niraj Mansingka : And what can be the run rate? Any thoughts on that? And I know it's speculative to some extent,

but any color on the range that we can go on per customer basis?

Kamlesh Shah : So with the current geopolitical scenarios, which is there in Western countries as well as the Middle East level and particularly on the Western side of Asia. Presently it becomes very challenging for us. But this year, we are going to generate INR 70 crores of revenue from these OEMs.

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If all things get normalized, then I think we are quite sure it will generate INR 100 crores plus of revenue at a potential for us also at the first phase level, what we see. Going forward, the same will generate more revenue by adding more product portfolio in our basket or we may also explore the new opportunities from the other OEMs also.

Niraj Mansingka : Okay. Got it. Thank you for the color.

Moderator: Thank you. The next question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: Sir few questions. First is that what is the revenue mix from spares and refurbishment in the gear section? And do you actually offer on-site refurbishment or you actually do the refurbishment

at your sites, at your own location?

Kamlesh Shah : I think we are not -- I think your voice is not clear. Are you talking about refurbishment?

Lakshminarayanan: So my question is that what percentage of our revenues in gear is actually coming from spares and refurbishment? And then whether we do -- we offer on-site refurbishment or you actually bring the gears at your location and do the refurbishment?

Kamlesh Shah : So far as the numbers are concerned, for this quarter Q1 from our revenue, we have generated 32% from service, which includes both breakdown services or the spare parts plus refurbishment also. Regarding the on-site and off-site, I think Mr. Nanda, who will just give.

M. M. Nanda : See, normally, if you see small adjustments have to be done, we do it at the site. But the major refurbishment is to be done. The gearboxes come to our refurbishment center at Vallabh Vidyanagar and this -- Madurai actually. And that's how we normally work on that.

Lakshminarayanan: Got it. And do you see a potential of this refurbishment even in international markets? Because I'm told that refurbishment is a large market and it is slightly underpenetrated. If my assumption is right, what is your plan on this because it seems to be a large market?

Kamlesh Shah : You are right. Refurbishing is a huge market which is there. So we already planned last year and we already have placed one full-fledged service team in U.S.A. We also are going to explore the same to have a setup in further expanding the setup in the Europe also.

Lakshminarayanan: Got it. Sir, you had mentioned there is a hike in capex in sectors like cement, steel and power. Just want to -- in particular, domestic market in U.S., may I know how long is your capacity booked on these things, first? And second, do you actually see it continue for a longer time, which is 2 to 3 years, these three or four sectors you actually mentioned?

Kamlesh Shah : Generally, we get the order which is executable within a period of 6 months when it is customised or the engineer product it is there. So booking -- and all the customers know very well about our delivery capabilities. Accordingly, they place the order. They also don't place the order very much in advance also.

They place the order. And we have a clear visibility for next -- up to 2027, we have a very clear visibility of the order inflow as well as the execution of the order and the revenue visibility.

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Lakshminarayanan: This is for the domestic sector?

Kamlesh Shah : Yes, domestic. And also, we have the same clear visibility. But in overseas market, considering the -- just started the pace for the OEM market

that, we don't know how it will accelerate and take the larger space in the market considering the geopolitical scenarios.

Lakshminarayanan: Got it. One last question from my side. What percentage of revenues are contributed by products where only you have the capability to make and others don't have in your Gear division or maybe Material Handling division?

Kamlesh Shah : So in the Gear division, if I see more specifically, it is on account of the engineered product, where we have very less competition and to some extent, no competition. And particularly, if you see the capability on account of the defense side, we don't foresee any competition so far in India and domestic markets are concerned. So whatever competition is coming, that is only coming from the overseas market.

Lakshminarayanan: Got it. Thank you, sir. I will get back in queue.

Moderator: Thank you. The next question is from the line of Nirmam from Unique PMS. Please go ahead.

Nirmam: Sir, on a TV interview, you mentioned we can grow for 25% CAGR for the next 3 years. So according to which segments would drive this growth? I mean we have a lot of businesses. We've added new segments. We're working on new things. So what would be the major driver of growth for this 25%?

Kamlesh Shah : Growth is coming from the overseas market in the Gear division. As well now we're focusing on overseas market for the MHE division also. And MHE division also is coming very confidently for its growth trajectory. The overseas market for the OEM and the gear and MHE also as well as the normal business is from -- in the Gear division, both in domestic as well as the overseas market.

Nirmam: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Akash from Dalal & Broacha. Please go ahead.

Akash: Thanks for the opportunity. Sir, firstly, I just wanted some clarification on questions asked by earlier participants. So regarding capex. So I think we were planning around the INR 200 crores capex last year, of which INR 150 crores was spent on the P&L. So the balance INR 50 crores should reflect in this year's P&L, plus how much can we expect in FY '26, the capex?

Kamlesh Shah : The overall capex in FY '26 will not be more than INR 100 crores, overall.

Akash: Okay. And you also spoke about possibility of winning a defense order. So that order amount, if you could quantify, did you allude to INR 200 crores for that defense order?

Kamlesh Shah : There are various opportunities in the defense sectors. What you see in the Q2, we are expecting

an order of nearly INR 200 crores. The large order for the P -17, now the new version, which is Elecon Engineering Company Limited  
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called the P -17 Bravo, which we are expecting and which is going to come. Maybe it may come in the Q4 or maybe in the next year sometime.

Akash: And any ballpark guess on what would be that order value or worth?

Kamlesh Shah : That we are estimating it would be INR 1,000 crores plus order.

Akash: Okay. And all of these defense orders will be executable in -- more than 12 months, 12 to 18 months kind of a time frame, right, or even more than that?

Kamlesh Shah : The INR 200 crores, which we just said will come by Q2 sometime, which will be executed over the period of 2 years. And that the big order, which we are expecting maybe by Q4 or the next year sometime, that will be executable over the period of 3 years as per the delivery schedules.

Akash: Understood. And you also mentioned about some recent win in the power sector of INR 80 crores. So that was on the Gears or MHE side?

Kamlesh Shah : This is on Gear side. So we are seeing the same momentum also will be there in the MHE also.

Akash: Understood. And sir, you mentioned about -- so I think our total export book is around overseas business is INR 124 crores. So out of that, can you give us a split of h

ow much is overseas and

how much is export from India?

Narasimhan Raghunathan : Yes. The INR 43 crores is export from India and the remaining from the overseas business.

Kamlesh Shah : Which will be produced or assembled in overseas and will be delivered over there only.

Akash: Understood. And sir, if you could help us with the sector breakups, I mean, which you give every quarter, like how much of our revenue this quarter would be from power, cement, steel, for the top 3, 4 sectors?

Kamlesh Shah : So what I'll do, Akash, I'll forward an e-mail to you giving the entire picture of that.

Akash: No worries, sir. And sir, one question from the strategy standpoint. So I think last quarter, you mentioned that we'll be opening certain assembly centers in US. So to enhance our business there. So I mean, what's the progress on that?

Kamlesh Shah : Presently, we have worked out an alternatives for that to accelerate, rather than I'll put my own entity over there. We have worked out how we will outsource over there by taking at least the marketing efforts from our side. So that -- we are still waiting about the outcome of the tariff from the U S, which will help me to become more clear and specific on that.

Akash: Sir, my last question on MHE. So sir, MHE orders we have seen from the last 3, 4 quarters, they have been increasing. This is the first quarter wherein the orders have been slightly declined ?

And also secondly, this quarter, we have done such high margins in MHE, for approx almost 33%, even if we exclude the arbitration award. So how much is the service component to the business? These two things I'd like to understand.

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Kamlesh Shah : So if I give the answer for the first, the quarter -on-quarter comparison of the order flow and the revenue, I think so far our sectors in which we are there, it will not be there. Even earlier also, I was talking the same on the various work.

Not to compare us with a quarter -on-quarter basis, that I think will not be the right approach.

That's what. The margin is high is what you said. Yes, this time it is high, but there is a one -off item of the revenue is nearly INR 25 crores. If you remove that, our margin profile is 27%.

Akash: So how much would be the service or replacement component to it because of the margins are so high?

Kamlesh Shah : The service component in this quarter is 41% in MHE sector.

Moderator: The next question is from the line of Mayank Bhandari from Asian Markets Securities.

Mayank Bhandari : Sir, just wanted to understand the MHE business segment performance once again. So we have clocked in almost revenue of INR 133 crores, which includes INR 25 crores of arbitrage income.

Is it -- and this also includes -- so what is the net margin we have clocked in here in terms of EBITDA?

Kamlesh Shah : In terms of absolute value or in terms of percentage?

Mayank Bhandari : Percentage.

Kamlesh Shah : In terms of percentage, 27% in MHE division we clocked the margin for this quarter.

Mayank Bhandari : Okay. And for the full year, we are guiding how much?

Kamlesh Shah : What we said the full year 23% sustainable margin. We don't know how the revenue mix will perform over the period of time. But we generally have always delivered better margin on that.

Mayank Bhandari : On the Gears segment, how are we seeing off -take or the orders in the engineered segment,

particularly vis -a-vis standard? Is there any mix change in this quarter, which is resulting in very sharp decline in the margin?

Kamlesh Shah : So this quarter, there is a sharp decline in the Gear division on account of two. One is the product mix. This quarter, we did the standard product sales of 57%, and engineered products, we did a revenue of 43%. That is one. And second, the impact is on account of accelerated depreciation.

Mayank Bhandari : Apart from the depreciat

ion, what is the normal mix or the standard mix we should assume here?

Kamlesh Shah : Generally, normal mix in engineered product is 50% plus any time. It may be between 50% to 55% over there. I think that will start from Q2 onwards. So for the engineered products are concerned.

Mayank Bhandari : Margin will improve from...

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Kamlesh Shah : Yes, sure. And what we said yearly the margin profile for Gear division, which is 25% EBIT, I think it is achievable for us.

Moderator: The next question is from the line of Dibyansu Kumar from Craving Alpha Wealth Fund.

Dibyansu Kumar: So first question is, how do you see competition evolving in India industrial market, especially with the new entrants, if...

Kamlesh Shah : Yes. Competition generally will be there, but whosoever the new entrants are coming or existing players who are coming out with an additional product profile. However, it is going to because the highly engineered product is there, which require high skill. So one can add the new machines and the new technology, but absorbing the technology and using the machine at the optimum level also is taking its own time to reach to a certain level.

Dibyansu Kumar: So my another question is with India's rising defense capex, what's the Elecon's target for defense as a total percentage of total Gear division revenue by any future year?

Kamlesh Shah : In terms of the revenue, we can't execute the project, which is coming, which are executable over the period of 2 to 3 years or sometimes maybe 5 years also. And we see a good traction is coming in defense se ctor, particularly Indian Navy.

You might have heard about the recent developments on the strengthening the Indian Navy considering the challenges. So we see a good traction, and that is also we are betting upon a lot on this defense sector for Indian Navy or defense products.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, this was the last question for today's conference call. I now hand the conference over to the management for closing comments.

Kamlesh Shah : Thank you. In closing, I would like to thank you all for joining this call and for your continued support to Elecon Engineering. We are encouraged by the steady momentum across b oth our Gear and MHE divisions.

Our consistent execution, focus on high -growth segments and disciplined approach to cost and capital allocation position us well for sustained performance, and we remain confident in our ability to build on this momentum, strengthen our market leadership a nd continue delivering the value to all our stakeholders. And we will continue to focus on maximizing value for our shareholders.

Thank you once again for your participation and trust in Elecon Engineering. If you have any further questions or inquiries, please do not hesitate to reach out to our Investor Relations Advis or, SGA; or our CFO, Mr. Narasimhan Raghunathan; or Mr. Ashish Jain, our Investor Relations Officer. Thank you.

Moderator: Thank you. On behalf of Elecon Engineering Company Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines. Thank you.

## Call: Oct 2025

17th October, 2025

To,

The Manager (Listing),  
The BSE Ltd.  
Mumbai The Manager (Listing),  
National Stock Exchange of India Ltd.  
Mumbai  
Company's Scrip Code: 505700 Company's Scrip Code: ELECON

Sub. : Transcript of the Earnings Conference Call held on 13th October , 2025  
Ref. : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015

Dear Sir/Madam,

With reference to the above referred Regulation and in continuation of our letter dated 4th October, 2025, please find attached herewith the transcript of the Earnings Conference Call held on 13th October , 2025 for Q 2 of the Financial Year 202 5-26.

The same is available on the website of the Company at  
<https://www.elecon.com/investors/audio-video-recordings-and-transcripts-of-post-earnings-quarterly-calls> .

You are requested to take the same on your records.

Thanking you.

For Elecon Engineering Company Limited,

Bharti Isarani  
Company Secretary & Compliance Officer

Encl.: As above

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E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on 13th October , 2025 will prevail

MANAGEMENT : MR. PRAYASVIN PATEL – CHAIRMAN AND MANAGING  
DIRECTOR – ELECON ENGINEERING COMPANY  
LIMITED  
MR. AAYUSH SHAH– NON-EXECUTIVE DIRECTOR –  
ELECON ENGINEERING COMPANY LIMITED  
MR. NARASIMHAN RAGHUNATHAN – CHIEF  
FINANCIAL OFFICER – ELECON ENGINEERING  
COMPANY LIMITED  
MR. DIPAK DALWADI – BUSINESS HEAD OF GEAR  
DIVISION – ELECON ENGINEERING COMPANY LIMITED  
MR. KAUSHIK PATEL – BUSINESS HEAD OF MHE  
DIVISION – ELECON ENGINEERING COMPANY LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Elecon Engineering Company's 2Q FY '26 Conference Call, hosted by Emkay Global Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchstone phone. I now hand the conference over to Mr. Ashwani Sharma, Emkay Global Financial Services Limited. Thank you, and over to you, sir.

Ashwani Sharma: Thank you. Good afternoon, everyone. I would like to welcome Elecon Engineering Management and thank you for this opportunity. We have with us today, Mr. Prayasvin Patel, Chairman and Managing Director; Mr. Dipak Dalwadi, Head of Gear Division; Mr. Kaushik Patel, Head of Material Handling Equipment division, and Mr. Narasimhan Raghunathan, Chief Financial Officer.

I shall now hand over the call to the management for their opening remarks and post which we'll open the Q&A session. Over to you, sir.

Prayasvin Patel: Thank you, Ashwani. Good evening, everyone, and a very warm welcome to our Q2 and H1 FY '26 Earnings Conference Call. On the earnings call today, I am joined by my colleagues, Mr. Aayush Shah, Non-Executive Director; Mr. Dipak Dalwadi, Business Head of Gear division, Mr. Kaushik Patel, Business Head of MHE Division; Mr. Narasimhan Raghunathan, CFO. The press release and the investor presentation has been uploaded to the stock exchanges and are also available on your company website. I trust you've had the opportunity to review them. Let me begin with a brief overview of the macro environment and our business positioning, followed by a detailed review of our financial performance, which Mr. Narasimhan, our CFO, will take you through.

Elecon Engineering continues to stand strong as the leading manufacturer of Industrial Gear Solutions and Material Handling Equipment. Our commitment to innovation, engineering excellence and deep customer relationships across key industries, including steel, cement, sugar, power and marine, has enabled us to remain resilient in an evolving global environment. We hold a leadership position in India's organized industrial gear market, along with strong foundation for delivering solutions in the MHE division since 7 decades. Our global footprint spans nearly 95 countries, supported by a robust distribution network and a long-standing relationship with key industry players.

With long-standing experience and engineering capabilities, we are well placed to capture opportunities emerging from the ongoing capex side, both in India and overseas. As a part of our strategic vision, we aim to increase the share of exports to 50% of the total revenue by FY '30. This global ambition is underpinned by strong R&D product innovation and strategic tie-ups with global OEMs.

Our business is anchored by 2 divisions: Industrial Gears and Material Handling Equipment, each playing a distinct role in shaping our overall performance.

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The Gear division, which contributed approximately 76% of our consolidated revenue in Q2, delivered a steady performance, growing 9% year-on-year in revenue despite a challenging external environment. The domestic business continued to build on the momentum, while overseas business as demonstrated a resilience performance during the quarter, in spite of delays in order receipt and execution, primarily in select overseas markets affected by geopolitical volatility.

However, this is a matter of timing. I want to emphasize that the underlying demand remains healthy, and we have witnessed robust order inflows in both markets and encouraged by t

he sustained inquiry levels, which bodes well for the future order inflows.

The division is well positioned to build on this momentum, supported by improving market sentiment and ongoing capital investments across key industries, that is steel, power and cement, which is expected to drive growth. We are also witnessing encouraging order visibility in the Sugar segment reflecting broader industrial momentum.

Having said that, we do not foresee any material impact on the business from a full year

perspective.

Our MHE division continued its strong growth trajectory with 33% year -on-year revenue growth in Q2, supported by robust demand and increased execution. This performance is driven by a healthy order book, largely from power, cement, mining and port sectors.

As we pivot towards product supply and expand our aftermarket services, we believe this division will continue to deliver sustained growth in the years ahead, backed by a healthy, solid order backlog and a deep customer relationships.

All in all, despite short - term execution delays in international markets, the business fundamentals remain strong, the timing difference between order intake and execution has temporarily impacted revenue recognition, but with a solid order book and execution pipeline across both our divisions provides a strong foundation and visibility for healthy growth in coming quarters.

Elecon remains focused on driving its long -term growth strategy. We are actively diversifying our business portfolio and expanding our presence across new sectors and international markets.

Our wide range product portfolio backed by strong in -house R&D and engineering capabilities continues to differentiate us in the industry. Our ability to deliver customized high -quality solution positions us well to meet the evolving and complex needs of our customers.

With this, I hand over the call to our CFO, Mr. Narasimhan Raghunathan, for a detailed overview of our financial performance for Q2 and H1 FY '26. Over to you, Mr. Narasimhan.

Narasimhan R.: Yes. Thank you, sir. Good evening, everybody, and thank you for joining us today, it's my pleasure to take you through the financial highlights for the quarter and half year ended 30th September 2025, financial performance, Q2 FY '26. We are pleased to report a resilient and encouraging performance in Q2 FY '26 despite some short -term external challenges.

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For the quarter ended September 2025, our consolidated revenue from operations stood at INR578 crores compared to INR508 crores in Q2 FY '25, reflecting a growth of 14 percentage on a year -on-year basis. This growth was primarily driven by strong domestic demand across both our gear and MHE divisions.

The overseas business remained flat during the quarter, impacted by timing -related delays in order receipt and execution due to geopolitical volatility in select international markets.

Nonetheless, the inquiry levels in most overseas markets remains encouraging, and we expect execution to pick up pace in H2 FY '26.

Domestic demand too is picking up meaningfully particularly from the core sectors of power, steel and cement. The domestic market contributed 79 percentage to the consolidated revenue, while the remaining 21 percentage came from overseas markets.

The order intake for Q2 FY '26 is INR688 crores, a strong 28 percentage growth year -on-year.

It is contributed by domestic market, INR516 crores, up 32 percentage year-on-year and overseas market INR172 crores, up 18 percentage year-on-year. This robust order inflow along with healthy inquiry levels keeps us optimistic for higher growth in the second half of the year.

Our consolidated EBITDA for the quarter stood at INR126 crores compared to INR112 crores in Q2 FY '25, an increase of 12 percentage year-on-year. The EBITDA margin for the quarter was 2

1.7 percentage. EBITDA margin was impacted temporarily due to higher employee costs and a change in the product mix within the gear division. We expect margins to normalize in H2 FY '26 as volumes pick up and operating leverage comes into play through recently commissioned capacity ramp -up and order book converts faster into revenue.

Profit after tax for the quarter stood at INR88 crores, representing a PAT margin of 15.2 percentage.

For the half year ended September 2025, after adjusting for the one -time arbitration income of INR25 crores recognized in Q1 FY '26 in MHE division, adjusted consolidated revenue stood at INR1,043 crores, up from INR901 crores in H1 FY '25.

Adjusted EBITDA was INR231 crores, up from INR205 crores with an EBITDA margin of 22.1 percentage. Apart from the above INR25 crores recognized in the revenue in Q1 FY '26, an additional INR10 crores was also recorded under other income as part of arbitration settlement and further INR80 crores was recognized as an exceptional income below PBT, representing unrealized mark -to-market gains from investment reclassification. As a result, profit after tax for H1 FY '26 including these one -time income stood at INR263 crores.

Segment -wise performance. The gear division contributed 76 percentage of total revenue in Q2 FY '26. For the quarter ended September '25, the gear division's revenue stood at INR441 crores compared to INR405 crores in Q2 FY '25, up 9 percentage year-on-year. This performance was resilient despite delays in order execution due to delay in receipt of orders from customers. We anticipated faster conversion of order into revenue in H2 helping us stay on track to achieve the

The EBIT for the gear division stood at INR85 crores in Q2 FY '26 compared to INR87 crores in Q2 FY '25. The EBIT margin declined to 19.2 percentage in Q2 FY '26 compared to 21.5 percentage in the same quarter last year, primarily due to the increase in employee costs and change in the product mix with respect to engineered and catalog products. EBIT margin was also impacted by accelerated depreciation on newly assets capitalized. However, we are confident as the revenues scale up, we will be able to recoup the margins with operating leverage playing out in the H2 FY '26.

The order intake for the quarter was INR497 crores, reflecting a 15-percentage year-on-year increase. Open order book stood at INR771 crores as on September 30, 2025, providing strong visibility in the upcoming quarters.

The Material Handling Equipment division continued its strong growth momentum in Q2 FY '26 also. Revenue for the quarter was INR137 crores compared to INR103 crores in Q2 FY '25, up 33 percentage year-on-year. This growth was driven by solid demand in the product supply and the aftermarket segments, particularly from the cement, power and port sectors.

The EBIT for MHE stood at INR35 crores compared to INR26 crores in Q2 FY '25. The EBIT margins improved to 25.7 percentage, up from 25.4 percentage in Q2 FY '25. The order intake for the quarter stood at INR191 crores compared to INR104 crores in Q2 FY '25. Open order book for MHE stood at INR455 crores as at 30th September '25, reflecting strong growth prospects going forward.

On the balance sheet front, we continue to maintain a robust balance sheet with strong net cash position of around INR600 crores, offering us significant flexibility to pursue growth opportunities, capex plan and navigate macro uncertainties.

Looking ahead, the capex budget for FY '26 to FY '28 is estimated at INR400 crores aligned with our long-term strategic goals.

Furthermore, we are pleased that the Board has declared an interim dividend of INR0.50 each, that is 50% per equity share of face value of INR1 each, reaffirming our commitment to delivering value to shareholders.

To conclude, we are confident of achieving our annual guidance of achieving consolidated revenue of INR2,650 crores and EBITDA margin of 24 percentage in FY '26. Our strong order book, healthy inquiry pipeline, domestic demand momentum and anticipated acceleration in international execution in H2 provide the foundation for a strong finish to FY '26.

With that, I would like to open the floor for questions you may have. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Vishal Biraia from Bandhan AMC. Please go ahead.

Vishal Biraia: Sir, have any of our clients told us to delay the execution, especially in gears, domestic or abroad?

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Prayasvin Patel: The domestic market has taken some time in the beginning to take traction. However, there have been no incidences in the local market where they have asked us to delay the execution. On the other hand, in the international market, yes, there have been situations because of the geopolitical scenario where the customer is confident of the project that they are going to go through with it, but they have paused for a while.

Vishal Biraia: So, when I look at -- sorry, when I look at the gears business, the revenue growth of 11% seems to be much at the lower end. And the contribution of international business is not very significant. So, on the domestic side, could you elaborate as to what is happening for gears?

Prayasvin Patel: On domestic side, see, we are doing various projects, especially if you look at it in the power, cement sector as well as sugar. The orders quite often come in lumps. We recently received an order in gear in the power sector, which was one of the largest ever, which was amounting to INR80 crores.

So it comes in lumps. And therefore, the -- if you look at it, these orders have come in. However, the execution may be for a longer duration, because the customer wants the deliveries in the last quarter or in the first or second quarter of next year. So those kind of situations we have to play around. What is important that we are confident of reaching our annual targets of top line which is the revenue as well as the EBITDA margins by the end of the year.

Vishal Biraia: Okay. And could you also elaborate the reason for decline in margins in the Gear business?

Prayasvin Patel: See, it all depends on the product mix, as I told you. It not only depends on the product mix, but it also depends on the turnover on the top line. So, by the end of the year, it will all even out to the projected EBITDA that we have defined.

Vishal Biraia: We used to guide for about 25% margins in the Gear business. Should that be achievable for the year?

Narasimhan R.: Yes. Definitely. Once the turnover picks up in the second half as what CMD has said, the margin of whatever we have projected definitely is achievable.

Vishal Biraia: Okay. Thank you for answering my questions.

Moderator: Thank you. The next question is from the line of Mr. Balasubramanian from Arihant Capital.

Please go ahead.

Balasubramanian: Thank you so much for the opportunity. I just want to understand the decline of margins for Gears divisions. Like I just want to -- if you could share that product mix side, what is the mix between standard products and customized products in this quarter?

Prayasvin Patel: See, that information is always given to you. Obviously, you have to understand our product mix also means that it depends on the order, type of the size, ratios and the requirements, the turnover in aftersales products, etcetera, etcetera, okay. And the type of gears given even in whether they are helical, planetary couplings, okay. So various kinds of variables are there.

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However, as I told you

u, the margins that we have kept in various products at the end of the year, they will all even out to achieve our annual targets, that we are extremely confident of. It may even further improve more, which is a possibility. So please be rest assured that the margins will be made.

Balasubramanian: Okay, sir. Sir, we are targeting...

Prayasvin Patel: Would you still like to get the breakup? If you want, we can always give it to you, of the catalog and custom gears.

Balasubramanian: Yes, sir, definitely.

Narasimhan R.: Yes. See catalog products, it is 54% and engineered products, it is 46% for Q2.

Balasubramanian: Okay, sir. Sir, my next question is regarding aftermarket international expansion. I think we are targeting 50% of international revenue by FY '30. And right now, U.S. service team is in place, and we also planned for Europe, and I just want to understand what is the go-to-market strategy for winning international service repurchasement contracts? And is any targeted revenue contributions from International Services side, the next three to five years, timeframe?

Prayasvin Patel: See, basically, I would put it this way that our strategy is that we go and try and get orders to areas and territories where we have not yet focused much on, which is South America, certain countries of Europe, part of -- a small part of Middle East and so forth, okay, including the fact that Russia also has a good position in the future etcetera. So there are various areas that we would like to penetrate further.

The geopolitical situation is not helping the business environment. We all know there are wars going on, which is slowing down the situation quite often, projects are being held up. Certain projects are also getting canceled. Luckily, we have been the kind where our projects have not yet gotten -- any of them have got canceled.

So -- but the scenario still seems to be dull and slow. And we are hopeful that we will be able to reach our targets by the end of FY '30, which is, I'm sure we'll put the entire company in a very different position, because we will be able to gain the strength of -- able to cater to any recessionary trend for years to come.

Balasubramanian: Okay, sir. Sir, that OEM business side, I think we are targeting EUR7 million in this year and I just want to understand on the customer onboarding side, is there any concerns about the margin dilutions to onboard new OEMs because OEMs contracts are technically competitive?

Prayasvin Patel: We have considered all this situation. We are not expecting that what we had committed those margins, we will be able to maintain. And though the credit scenario in United States is fluctuating widely, day-on-day basis. However, we are confident that we will be able to achieve the margins that we have committed.

Balasubramanian: Sir, my last question on the defense side, P-17 Bravo projects is nearly around INR1,000 crores kind of opportunities, and what is the current status of this order? And what kind of timeline and

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for the official tenders, and like what kind of margins this kind of large different projects as of now?

Prayasvin Patel: See, the P -17 Alpha is just more or less about to get commissioned. Normally, what happens is the ships once they are launched and they go through the exercise of trying out all the equipment and testing all the equipment's and once they are satisfied with the performance of the ship, after which they will normally go in for the active order -- ordering of the ship as well as the equipment which will happen for the P -17 Beta or Bravo.

And they will place orders with the shipyards. We are expecting as of now that in the third quarter of this year, the tenders would be floated for the ships after which, once the shipyards get the order, they will then contact us for the requirement

of the gearboxes. We are expecting

that by Q3, Q4 of FY 2027, that is next year, the orders for P -17 Bravo would get finalized.

Moderator: The next question is from the line of Raj Shah from ENAM AMC.

Raj Shah: My first question was, sir, in the defense front, there was this P -17 Bravo large order that you mentioned about. And there was another order relatively of a smaller size around INR200 crores, about which we mentioned in the earnings call post Q1 results. Sir, so any update on that order?

Prayasvin Patel: Yes. That is regarding the Aircraft Carrier, okay? The Aircraft Carrier, the one that has already been launched, has been quite successful. So , it had been also used in the recent war that we had with INS Vikrant, which we had with Pakistan. However, it was not fully in action where none of the aircraft from there into the foreign territories.

What we find is that they will go in for this requirement very shortly. The duration -- time duration that we expect would be either the last quarter of this year, which would be last quarter at FY '26 or the first or second quarter of FY '27.

Raj Shah: Excellent. Okay. Another question was, sir, during the previous call, you mentioned that there was some pain point in the sugar sector when it comes to -- in the domestic space when it comes to ordering. So, any progress that has happened in the sugar sector on August?

Prayasvin Patel: This year, the order inflow from sugar has been much less. It has been a bit down. However, we see a good number of inquiries which have come up for the next coming, which means for the next crushing season, which would happen in FY '27. The deliveries would take place practically by September FY '27. And we are hoping that we should be able to back a good number of orders for that requirement, which would get finalized in the month of June.

Moderator: The next question is from the line of CA Garvit Goyal from Invest Analytics Advisory LLP.

Garvit Goyal: My question is on the shipbuilding part where the last quarter we talked about INR200 crores order happening and now the order will be coming more towards the end of this financial year.

So is there any specific reason that the orders are getting delayed? That is one. And secondly, are you anticipating any big order from any marine side or the port areas? That's my first question.

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Prayasvin Patel: Yes. First, the projects normally when it happens with the defense units normally gets delayed, okay, because there are too many agencies to coordinate with. It is the Indian Navy then the shipyards, the inspection agency, which would be a separate agency, then a certified body and so forth.

So it takes a huge amount of coordination to get everyone together and finalize orders. And therefore, they do get delayed by 2 or 3 months very easily. They are right now delayed. There is a project which is likely to happen soon. How soon? That we do not know , but they are NGMV, which is -- yes, it is called the next-generation missile vessel.

So that hopefully would get finalized soon. And right now, we are also manufacturing the units for the new generation petroleum vessels, OPVs as they call it, NG -OPVs. So these are the orders which are right now hot, and we believe that soon they will get finalized, especially the NGMV.

Garvit Goyal: Got it, sir. And secondly, you mentioned the international market, order procurements are getting delayed. So in this environment, what is giving us the confidence that H2 will give us the recovery and will we be able to meet our targets because environment is still tough, right? So can you put some color on that?

Prayasvin Patel: See, the pending order position is quite strong. The inquiry levels are also quite good, and the body language of the customers who have given us inquiry is they seem to be telling us that, look

, we want to finalize the order soon. So that is giving us the encouragement and confidence that we will be able to achieve our targets.

Garvit Goyal: So there can be the chances like they can further delay these deliveries, maybe before is the environment, right?

Prayasvin Patel: There's always a possibility, but we are reasonably confident because the orders that we have on hand, they have not stopped us from execution. The political scenario also seems to be such that we all seem to be ending, especially the one in the Middle East as well as the Russian war, people

seem to be getting fed up and wanting to bring into a positive conclusion. So rather than the situation deteriorating, we believe that the situation will be improved. And therefore, we are not worried that any of the orders would further get delayed.

Garvit Goyal: And the guidance which we are targeting, we need to do INR1,500 crores in next, which essentially means the quarterly run rate of INR800 crores. So can you tell us like is it going to be a uniform execution or we should expect like in the range of INR650 crores, INR700 crores in Q3 and rest will be in Q4?

Prayasvin Patel: See, we have done a fair good amount of capex and the new equipment have already started arriving. They are -- a lot of them have started producing for us, and we are reasonably confident that with the capacity increase that we have had and the new equipment, which are performing well, we should be able to achieve our targets with reasonable confidence.

Garvit Goyal: No, sir, I'm trying to understand like is it going to be a uniform in Q3 and Q4 or it will be like Q3 will be a little less than Q4 and Q4 will be a major has happened in the last year?

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Prayasvin Patel: See, Q3 normally has more holidays. That is number one. The other thing is normally when you try to increase the production and of course, it's slowly and gradually increase. So always Q4 values are always higher than Q3. I presume would be also the trend this year. However, we are keen that we would try as much as possible to increase our turnover in Q3 so that Q4 becomes more and more comfortable.

Garvit Goyal: Understood.

Prayasvin Patel: It is quite often difficult.

Garvit Goyal: And one last question. You mentioned...

Moderator: I'm sorry to interrupt in between, sir. We would request you to rejoin the queue for the follow-up question.

Garvit Goyal: Okay.

Moderator: Thank you very much. The next question is from the line of Kashyap Javeri from Emkay Investment Managers. Please go ahead.

Kashyap Javeri: First, bookkeeping question. On the international subsidiaries, if you can give some numbers for H1 in terms of revenue, how it has probably grown? And what has been the margins there? And second question is on the overall export side, I know there has been a significant amount of discussion here.

But my question is that between 2024 to 2029 or '28, over a period of 5 years, we are committing about 750 -- sorry, about INR650 crores of capex. And we are doing that even at accelerated depreciation given that capex coming from operating leases.

So one, it seems like the confidence on that export business seems to be extremely high over let's say, in next about 3, 4 years. So where does that come from on the longer term? And to surprise for that accelerated depreciation, should one assume that the EBITDA margins on now export business is going to be probably a bit higher than what we are doing today, given that it will have to be an engineered product?

Prayasvin Patel: See, I will put it this way. Our export margins have always been better than the domestic market.

That is number one. Number two is that these commitments or these targets that we have taken are the targets, which in the long term are very strategic for the company as a whole.

The reason

being that if we are able to achieve our targets by FY '30, which we are reasonably confident of doing so, it will help us hedge against recession especially domestic recession because what would happen is that while the inflow of orders out there reduced the orders from the international market would help us in sustaining not only the turnover, the top line but also the bottom line.

The margins -- the EBITDA margins that we are talking about and that is extremely important for us to achieve. And therefore there is a lot of focus. The entire organization is focusing more on exports and also seeing to it that the exports are coming from various territories, different

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territories from South America, from the Middle East, from Africa, the Far East, et cetera. So that you are able to automatically hedge against ups and downs in the economic activities globally. Have I answered your question?

Kashyap Javeri: I understand that sir, but when does that -- given the fact that INR650 crores of commitment and accelerated depreciation because of operating leases, this also come sooner than later. And as of today, at least in the numbers they don't give that kind of confidence, which is why there's this

question keeps coming up again and again because depreciation is going to be an issue if that does not happen. And particularly, once we spend another INR400 crores, which is why?

Prayasvin Patel: See, first of all, you have to understand that this capex is coming all from internal accruals. That is number one. Number two is the capex that we are doing are for various reasons. It is not only enhancement of capacity, but it is also to take care of the wear and tear that has happened to the machine tools where we have not done capex in the past. It also helps you in improving your quality and improve your productivity.

So that is a necessity and that happens with all engineering industry. That is number one. Number two is the margins that we have committed year-on-year since the last 3 years or last 4 years we have been able to maintain and we are confident that we will be able to maintain.

As long as the demand is concerned, we are fully capable of rising to an occasion where if there is an increase in demand, we would still be able to meet with it. So these are the strengths on which the company is driving itself further ahead. So I do not see why it is not giving you the confidence when the management is fully confident.

Narasimhan R.: Further Kashyap, just would like to further add few points. This INR400 crores of capex whatever we plan to do over a period of 3 years, not necessarily all the whole thing we don't plan to take it as an operating lease. Partly, it will be -- that has been historically in the past 2 years, if you see, partly it will be funded by our own internal accruals and the balance will take into the operating lease. So that we will decide depending upon our requirement and what we would like to keep it as a reserve.

Kashyap Javeri : Okay. And some numbers on H1 on the subsidiary side, if at all growth number also will do, if not absolute top line number and the margins also if possible?

Prayasvin Patel: Can you repeat the question, please?

Kashyap Javeri: The revenue number for the subsidiaries and their margins?

Narasimhan R.: Yes. The revenue numbers for the quarter is INR83 crores.

Kashyap Javeri: Okay. And the same quarter -- sorry, H1 and H1 last year?

Narasimhan R.: Just a minute. INR162 crores for the current year, H1. Last year, it is INR188 crores.

Kashyap Javeri: And the margins?

Narasimhan R.: only.

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Kashyap Javeri: Sorry, I could not catch that last bit.

Narasimhan R.: Yes, just a minute hold on.

Kashyap Javeri: So INR180 crores became INR156 crores. Have I understood that correctly?

Narasimhan R.: INR162 crores.

Kashyap Javeri: INR162 crores. Okay. And the EBITDA margins?

Narasimhan R.: Yes, just hold on. is what current year.

Prayasvin Patel: Current year, it is 12%.

Kashyap Javeri: Okay.

Prayasvin Patel: So compared to last year, it's a 15%.

Kashyap Javeri: Okay, sure. Thank you so much.

Moderator: Thank you. The next question is from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Yes. Hi, good afternoon. Sir, first question on -- I mean, we started this journey on onboarding OEMs, I guess, about 1.5 years, 2 years back. And last quarter, we had declared about 18 OEMs that we have onboarded. So one, how is this journey being with them in terms of -- because we started first providing them with prototypes and then some commercial supply? And just some ramp-up and conversation qualitatively, quantitatively. How has that journey been until now?

Narasimhan R. : Yes. See, the -- Pratik, last year earlier, this thing 18 OEMs is what. During this quarter, there has been no additions. However, the progress on those things remain the same. We are developing various products and various -- is into operations also. And inquiries has also been good from those OEMs.

Pratik Kothari: So one of the expectation was that once a year or two passes, you're expecting that there will be a sharp ramp-up because they were testing whatever with us and once the confidence build up, so are we seeing that or all of that seems delayed given the geopolitical situation?

Prayasvin Patel: Yes. That is the situation. However, they are promising a good number of orders because there have been -- most of them are saying that they are satisfied with the product that we have delivered. They had put it on trials and they seem to be happy. Okay. So we are now kind of controlling them to give us more or less. So that is the scenario rise.

There are some where we have received more orders. But I would say there is nothing that we can say with confidence that these are large number of orders. We are expecting more from them, okay. Approximately a few, at least INR30 crores, INR40 crores is what we are expecting.

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Pratik Kothari: Correct, correct, correct. And sir, one question to Narasimhan . In the cash flow statement, we see this...

Moderator: I'm so sorry to interrupt you in between.

Pratik Kothari: It's my second question, ma'am and first was a follow -up. Yes. So to Narasimhan, I mean, in cash flow statement, we see this INR22 crores of FX loss. If you can just highlight where does this get booked? And what is this regarding?

Narasimhan R.: This relates to the unre alized, when we translate our overseas accounts that relates to the unrealized loss. So that is the reason.

Pratik Kothari: So this will be under other comprehensive in the P&L?

Narasimhan R.: Yes.

Pratik Kothari: Okay, great. Thank you.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Mayank Bhandari from Asian Market s Securities. Please go ahead.

Mayank Bhandari: Thanks for the opportunity. Sir, this large order of INR80 crores in power sector, is this part of gears or gear plus MHE both?

Prayasvin Patel: Only gears.

Mayank Bhandari: And this is high speed gears or which type of gears?

Prayasvin Patel: These are, I would say, custom built gears required for a particular process.

Mayank Bhandari: So we are yet to qualify for the high -speed gears and how is our journey going on there?

Prayasvin Patel: High -speed gears, we have tested the gears given it to the desired client. He has also witnessed it, but he has not placed further orders on us. Some are the other, he is dwindling . However, we are trying to tell him that everything has been satisfactory. Now you need to place more ord

ers

on us. So that is where the position lies. But we are reasonably confident that in a month or two, we will receive some orders further.

Mayank Bhandari: Sir, this INR80 crores of order, like , what would be the execution timeline or margin profile, if you could highlight?

Prayasvin Patel: It would be executed within 2 years.

Mayank Bhandari: Okay. Within 2 years. And on the defense side, NGMV order is what you are expecting. What would be the quantum of the order?

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Prayasvin Patel: It is difficult to tell you right now because it will depend upon the entire pricing structure that would be done . But it is an order that would be reasonably good for the company to execute and we are looking forward to it.

Mayank Bhandari: And sir, on this different thing ....

Moderator: I'm sorry to interrupt you in between, sir. I would request you to follow -up -- I'm really sorry, I would request you to rejoin the queue for the follow -up questions. Thank you very much. The next question is from the line of Navani Naredi from Naredi Investment Private L imited . Please go ahead.

Navani Naredi : Thanks for the opportunity. So my first question is, as government is exploring the capabilities and looking to become self -reliant in rare earth production. So , what is our scope going forward in it? I mean do we have any scope in this line?

Prayasvin Patel: We have not explored any rare earth situation as far as we are concerned. So , we are into our own traditional equipments as of now. However, our material handling equipments can be utilized for rare earth exploration.

Navani Naredi: All right. And my next question is, since your investment -- total investment is around INR995 crores. So , how are you planning to deploy these funds?

Narasimhan R.: Yes. These funds we have put it in various instruments, which has been explained as safer instruments and considering the liquidity and safer instruments, various investments it has been deployed .

Navani Naredi: So, like, aren't you planning any further acquisition or like any further acquisition which I am talking about?

Prayasvin Patel: As of now, there is nothing on the horizon. However, if anything comes up, naturally, everyone will be informed about it.

Navani Naredi: All right. Thank you so much.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question. I now hand the

conference over to the management for closing comments. Thank you, and over to you, sir.

Prayasvin Patel: I would like to thank you all for joining this call and for your continued support. We are encouraged by the steady momentum across both our gear and MHE divisions. We remain committed to consistent execution, prudent capital allocation, focusing on high-growth segments, position us well for sustained performance, and we remain confident in our ability to build on this momentum, strengthen our market leadership and continue delivering value to our stakeholders, and we will continue to focus on maximizing value.

Thank you once again for your participation and trust in us. Should you have any further queries, please feel free to reach out to our CFO, Mr. Narasimhan Raghunathan. Thank you and have a great evening. Thank you all.

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Moderator: Thank you very much. On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: Jan 2026

17th January, 2026  
To,

The Manager (Listing),  
The BSE Ltd.  
Mumbai The Manager (Listing),  
National Stock Exchange of India Ltd.  
Mumbai  
Company's Scrip Code: 505700 Company's Scrip Code: ELECON

Sub. : Transcript of the Earnings Conference Call held on 9th January , 2026  
Ref. : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015

Dear Sir/Madam,

With reference to the above referred Regulation and in continuation of our letter dated 6th January, 2026 , please find attached herewith the transcript of the Earnings Conference Call held on 9th January , 2026 for Q 3 of the Financial Year 202 5-26.

The same is available on the website of the Company at  
<https://www.elecon.com/investors/audio-video-recordings-and-transcripts-of-post-earnings-quarterly-calls> .

You are requested to take the same on your records.

Thanking you.

Yours faithfully,  
For Elecon Engineering Company Limited,

Bharti Isarani  
Company Secretary & Compliance Officer

Encl.: As above

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"Elecon Engineering Company Limited

Q3 FY '26 Earnings Conference Call "  
January 09, 202 6

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on 9th January , 202 6 will prevail

MANAGEMENT : MR. NARASIMHAN RAGHUNATHAN – CHIEF  
FINANCIAL OFFICER – ELECON ENGINEERING  
COMPANY LIMITED  
MR. DIPAK DALWADI – BUSINESS HEAD OF GEAR  
DIVISION – ELECON ENGINEERING COMPANY LIMITED  
MR. KAUSHIK PATEL – BUSINESS HEAD OF MHE  
DIVISION – ELECON ENGINEERING COMPANY LIMITED

MODERATOR : MR. HARSHIT KAPADIA – ELARA SECURITIES INDIA  
PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Elecon Engineering Company Limited Q3 FY '26 Earnings Conference Call hosted by Elara Securities India Private Limited. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone.

Please note that this conference is being recorded. I will now hand the conference over to Mr. Harshit Kapadia from Elara Securities India Private Limited for opening remarks. Thank you and over to you.

Harshit Kapadia: Yes, good evening everyone. We welcome you all to the Q3 -FY '26 and nine months FY '26 Earnings Conference Call of Elecon Engineering Company Limited. Today, we have with us the management representative as Mr. Dipak Dalwadi, Head of Gear Division, Mr. Kaushik Patel, Head of Material Handling Equipment Division and Mr. Narasimhan Raghunathan, Chief Financial Officer along with his team to give us an overview outlook. Over to you, sir, to give us outlook for the Q3 FY '26.

Narasimhan R.: Yes, thank you, Harshit. Good evening everyone and a warm welcome to Elecon Engineering's Q3 and nine months FY '26 Earnings Conference call. Joining me today are Mr. Dipak Dalwadi, Head of Gear Division, Mr. Kaushik Patel, Head MHE Division. The earnings press release and the investor presentation have been filed with the stock exchanges and are also available on our website. I trust you have had the opportunity to review them. I will begin with a brief overview of our business performance followed by a detailed discussion on the financial results.

Elecon Engineering today stands among Asia's leading manufacturers of industrial gear solutions and material handling equipment built on decades of engineering excellence, deep domain expertise and trusted customer relationships.

Our material handling equipment division is emerging as a powerful growth engine for the company. Backed by over 75 years of experience, the division has unique capabilities to design and manufacture large , complex and high capacity equipment such as wagon tip plers, stacker reclaimers, crushers and specialized conveyor systems.

These capabilities are possessed by very few players in India, creating a strong competitive mode for Elecon . Serving sectors such as power, steel, cement, ports, mining and fertilizers, the MHE business continues to deliver customized high value solutions that enhance customer efficiency and reliability.

In our gear division, Elecon maintains a leadership position in India's organized industrial gear market.

We offer one of the widest and most comprehensive gear portfolios ranging from heavy duty gearboxes to precision engineered components catering to industries such as steel, cement, sugar, power and defense. Continuous investments in research and development and  
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infrastructure ensure that innovation, customization and life cycle support remain central to our value proposition.

With a presence across nearly 95 countries, a strong global distribution network and long-standing relationships with customers worldwide, Elecon is well positioned to benefit from the ongoing capital expenditure cycle in India and international markets.

With this, I now hand over the call to our gear division head, Mr. Dipak Dalwadi, who will walk you through the performance of the gear division.

Dipak Dalwadi: Thank you Mr. Narasimhan. The gear division which contributed approximately 78% of consolidated revenue in Q3 delivered a largely stable performance with revenue growth of 1.3% year-on-year. Both domestic and overseas businesses demonstrated

resilience during the quarter.

The muted growth was largely due to timing -related factors, including delays in order inflows during the first half of the year, followed by execution and dispatch deferrals arising from customer -driven dispatch schedules. Importantly, the underlying demand environment remains healthy. We are witnessing strong inquiry levels and improving order inflows across domestic and international markets.

Market sentiment is gradually improving, supported by ongoing investments in power, steel, cement and a visible pickup in the sugar segment. With this improving visibility, the gear division is well positioned to return to a stronger growth trajectory. To conclude the division's

performance, I now hand over the call to Mr. Kaushik Patel, head of the MHE division.

Kaushik Patel: Thank you, Dipak ji. The MHE division continued its strong growth momentum, delivering 16% year-on-year revenue growth during the quarter. This performance was driven by robust demand from the power, cement, mining and port sector, along with steady execution.

We remain confident that the MHE business will continue to perform well in Q4, FY26 and beyond, supported by a healthy order book, a strong project pipeline and deep customer engagement. With this, I now hand over the call back to Mr. Narasimhan to provide further overview on Elecon's financial performance.

Narasimhan R.: Thank you. I will now be walking you through the in-depth financial performance for Q3 and nine months FY26. Financial performance Q3 FY26. We are pleased to report a resilient and encouraging performance in Q3, FY26, despite certain short-term challenges.

For the quarter ended December 2025, our consolidated revenue from operations stood at INR552 crores compared to INR529 crores in Q3, FY25, reflecting a year-on-year growth of 4.3%. The gear business reported a largely flat performance during the quarter, primarily impacted by timing-related delays in order receipt and execution, as well as customer-driven dispatch deferrals.

However, the underlying demand environment remains healthy. We witnessed robust order inflows across both domestic and international markets, supported by sustained enquiry levels  
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which gives us confidence in future order inflows. The domestic market contributed 76% of the consolidated revenue, while overseas markets accounted for the remaining 24%.

The consolidated order intake during Q3, FY26 stood at INR701 crores, representing a 7% year-on-year growth. The order inflow, combined with a healthy enquiry pipeline, keeps us optimistic about growth prospects going forward.

Consolidated EBITDA for the quarter was INR109 crores compared to INR143 crores in Q3 FY '25, translating into an EBITDA margin of 19.8 percentage. Margins were temporarily impacted due to flat revenue performance, higher employee cost and a change in product mix.

We expect margins to normalize as volumes pick up. Operating leverage plays out and the order book converts more rapidly into revenue. Profit after tax for the quarter stood at INR72 crores, representing a PAT margin of 13 percentage.

Performance for 9 months ended December 2025. For the 9 months ended December 2025, after adjusting for the one-time arbitration of income of INR25 crores recognized in Q1 FY '26 in the MHE division, adjusted consolidated revenue stood at INR1,595 crores compared to INR1,429 crores in 9 months FY '25.

Adjusted EBITDA for the period was INR340 crores with an EBITDA margin of 21.3%. In addition to the INR25 crores recognized in revenue in Q1 FY '26, an additional INR10 crores was recorded under other income as part of arbitration settlement. Furthermore, INR80 crores was recognized as exceptional income below PBT, representing unrealized mark-to-market gains from investment reclassification. As a result, profit after

tax for 9 months FY '26, including

these one-time items stood at INR335 crores.

Segment-wise performance, Gear division. The Gear division contributed 78 percentage of total revenue in Q3 FY '26. Revenue for the quarter stood at INR429 crores compared to INR423 crores in Q3 FY '25, reflecting a flat year-on-year performance due to the aforementioned reasons.

We expect a faster execution of orders to convert into revenue in Q4, which should support improved performance going forward. EBIT for the Gear division stood at INR78 crores in Q3 FY '26 compared to INR118 crores in Q3 FY '25. The EBIT margin declined to 18.2 percentage compared to 27.8 percentage in the same quarter last year, primarily due to higher employee cost and product mix.

As revenues scale up, we are confident that margins will recover with operating leverage coming into play. Order intake for the quarter was INR464 crores, and the open order book stood at INR811 crores as of 31st December 2025, providing strong revenue visibility for the coming quarters.

Material Handling Equipment division. The MHE division continued its strong growth momentum during Q3 FY '26. Quarterly revenue stood at INR123 crores compared to INR105 crores in Q3 FY '25, registering a 16 percentage year-on-year growth. Growth was driven by  
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strong demand in the product supply and aftermarket segments, particularly from the power, cement, fertilizer and port sectors.

EBIT for the division stood at INR25 crores compared to INR33 crores in Q3 FY '25. EBIT margins during the quarter were impacted by product mix. Order intake during the quarter was INR237 crores compared to INR185 crores in Q3 FY '25. The open order book stood at INR561 crores as of 31st December 2025, reflecting strong growth prospects ahead.

While there have been short-term execution delays in the Gear business, the fundamentals of both the divisions remain strong. The temporary mismatch between order intake and execution has impacted near-term revenue recognition. However, our solid order book and execution pipeline provides clear visibility for growth in the coming quarters.

On the balance sheet front, we continue to maintain a robust financial position with a strong net cash balance of approximately INR600 crores, providing significant flexibility to growth opportunities, execute our capex plans and navigate macroeconomic uncertainties.

Our capex outlay for FY '26 to 2028 is estimated at INR400 crores aligned with our long-term strategic priorities.

Though our financial 9 months performance remains strong and demonstrates the underlying strength of the business, given the near-term softness, we believe it is prudent to revise our outlook for FY '26.

On a consolidated basis, FY '26 revenue may be lower by up to approximately 5 percentage and adjusted EBITDA margins may be lower by up to approximately 2 percentage compared to our earlier guidance. That said, we remain confident about an improvement beyond the near term, supported by a healthy order book, a robust inquiry pipeline and improving execution momentum.

With that, I would now like to open the floor for questions. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. We take the first question from the line of Sanjay Ladha from Bastion Research. Please go ahead.

Sanjay Ladha: Hi, thank you for the opportunity. So, my first question would be, sir, we have seen order intake was the slowest in the last eight quarters. How are you seeing this and what's your view going forward?

Dipak Dalwadi: Hello. Can you hear me?

Sanjay Ladha: Yes.

Dipak Dalwadi: See, now in near future, means coming quarters, there is a good expecting business in the power sector. There is a substantial capacity increase going on in this segment. So we are hoping good orders from the

power sector, then even steel sectors are also now growing and overall trend for the steel sector is also showing in the growth. So we are also hoping good orders from the steel  
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segment. And as the sugarcane growth is very well in the last quarter, so we are also hoping the good business in the sugar sector, sugar industry also.

Sanjay Ladha: Sir, can you throw some light on the inquiry which you are talking about? So, what I want to understand is when you say we have a good inquiry, then we have a good bid pipeline. So, can you throw some light on how much is the bid pipeline we have and how much is going to convert it into the order book so that we get to know that how much percentage it is going to accrue on you?

Because from the last three, four quarters, we are mentioning that, but the order intake and the order flow has been quite a lower side on that front. I understand the business dynamics, but just wanted to have your views on that.

Dipak Dalwadi: See, whatever orders we actually now the power investment has started and they have released the order. So, we also received very good orders from the L&T, MHI, and QLR and all. So, we are getting the orders from the power industry, but at the later stage, they want their requirements. So, that's why it is to be executed in the next financial year.

And also, there are many inquiries floating from the power industries and they are in pipeline and we are hoping all inquiries to be converted into the orders. So, we have a very, full confidence for achieving the good inquiries and whatever in the pipeline, it will be converted into orders, which will be useful in the next coming quarters.

Sanjay Ladha: So, my another question, we are seeing comparatively better demand for the domestic market for quite some time, while when we communicate to the, in our investor presentation, we say that export revenue should be over 50% going forward by FY '30. So, how do you see this divergence? Because how do you see export market will pick up? What is the growth strategy for export? Any inorganic acquisition we are evaluating on that space?

Narasimhan R.: Yes. At the moment, we are not looking at any inorganic acquisitions. At the same time, how we look at the export business as such, we have explained in many investors conference call

earlier, that we are putting a lot of efforts, lot of activities has been ongoing for past three, four years.

We also lined, we also backed, lined up OEMs and we have met the guide revenue targets of what we were looking for. And these are the OEMs, you are aware that they are going to give us a sustained business in forthcoming years. So, overall the long term export growth or prospects what we are looking at and considering how we are at present the market share is and there is a huge potential. So, all those aspects and internal what are the efforts which we are doing, all are in place.

At the same time, we are aware that certain geopolitical situations and certain regions, economic growth and other things, those are all the external factors which is presently impacting us.

Having said that, for the efforts, all the activities which we have been doing for four to five years now and all the orders which were executed and how the customers are looking at presently based on the experiences which they had with us for three, four years, we are confident that in coming years, we will be able to reach our milestone of 50% revenue coming from the exports.

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Sanjay Ladha: Sir, can you also throw some growth guidance? I am not talking about a year perspective from that point of view. I am talking about the longer three -year timeframe, what the growth we are targeting. So, last time we say that it is 20% growth guidance. We have lo

wered down. That is

okay. That is the business part of that. But if I see three -year timeframe, what are the growth prospects we are looking for?

Narasimhan R.: It is around 20 % to 25% what we are looking at as the guidance.

Sanjay Ladha: Thank you. Will get back in later. Thank you.

Moderator: Thank you. We take the next question from the line of CA Garvit Goyal from Serene Alpha . Please go ahead.

CA Garvit Goyal: Hi. Good evening, sir, and thanks for the opportunity. Sir, in continuation to the earlier participant only, over the last one and a half year or two years, we are continuously seeking or putting some emphasis on the export side. While we also received a few orders that were announced earlier, these have not been yet translated into materials in the larger volumes.

So, as a result, if we benchmark export against FY '23 pace, the business has delivered only a marginal annual growth of around 4% to 5% despite a consistent effort and focus that we are putting into. But at the same time, if we look at the domestic market, India appears to be in a strong capex cycle, particularly across the sectors that we serve to.

We have not heard from management a clear articulation around the incremental market share gains in India and maybe targeting at 25 -30% kind of growth, at least in the domestic market, while exports are muted. Even in the Indian market, we are currently growing at 15 %-20% kind of number. So, I agree that the margins can be a thing you as a management try to protect. But anyway, if we look at last two quarters, margins have also started falling.

So, I just wanted to understand from you , why we are not aggressive on the domestic side? And number two, despite the cautious take that we are taking on the domestic market, why are we facing a fall in the margins? Is it because even within the existing market share that we are speaking about continuously around 40%, we have started facing the competitive pressure?

Narasimhan R.: Yes, Yes, I'll address it. So, while we continue to focus on our export market, we have been very strong in the domestic market. As you know that nearly 40% of the organized market share is what we hold. That still continues. We continue to be the leadership leading the market in the Indian scenario. And we are taking all the efforts to, while we may not go for aggressive market increase from now on, which comes with an additional competitive scenario and compromising on the margins, etc etera .

At the same time, we continuously look at how we could enhance the product, upgrade our products, reduce our cost, all those aspects and how to retain the current market like you see that whatever the incremental business segments like power sector and thin gs like that which is happening, we are able to continuously improve our revenue on account of that. So, therefore, our domestic approach continues to remain robust.

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We got a separate team who are continuously bagging those orders and approaching the market.

So, all those efforts are also always there. And in terms of margins, we see more that it is a scenario which is playing out due to the lower turnover in the first three quarters.

Once we see in the fourth quarter, while of course, a turnover from a point of view as what we

have given the guidance, there has been a little bit of a lower outlook in the current year. In terms of margins, overall margins as how we see, it gets normalized when we approach the Q4. So, we remain on the same, more or less the same.

Of course, considering the market in the current year, our marketing team generally uses its flexibility to increase and decrease the price at which we sell the products. At the same time, overall, our approach towards margins remains the same in the domestic market.

CA Garvit Goyal: So, now you are saying going ahead also, we will

be focusing on maintaining the market share

instead of focusing on increasing the market share in the domestic market. Is that understanding correct?

Narasimhan R.: Yes, your understanding is correct. We would reasonably try to increase the market share. But if it comes within a very aggressive competitive scenario, then we would like to look at maintaining the margins.

CA Garvit Goyal: But in that case, how will we be able to grow?

Moderator: I would request you to join the...

CA Garvit Goyal: No, no. It's just a follow-up. It's just a follow-up, actually.

Moderator: All right. Please go ahead.

CA Garvit Goyal: So, in this particular case, I'm not understanding. At the same time, we are speaking about 20% to 25% growth, right? And we are aware geopolitical tensions are there. So, export is a bit on toast right now for us. So, if we are not looking to grow in Indian market, maybe at more than 25%, how will we be able to achieve that guided numbers? So, that I'm not able to understand.

Narasimhan R.: Yes. See, the growth, the export growth, what we had indicated to be around 20% to 25% is how we see it. At the same time, we will have to factor in the geopolitical situations which are beyond our control.

At the same time, our efforts definitely would be there to reach our milestones subject to these geopolitical considerations. At the same time, our approach towards export market in terms of adding new clients, identifying growth opportunities in different markets, approaching different markets with different approaches, connecting with the OEMs, consultants, and distributors in different regions.

All those efforts and expanding our network of branches and wherever required, if there is an assembly centers sort of thing we'll have to establish, we are keenly looking at. So, therefore, all the efforts are on to improve that, to reach that milestone of export projections.

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Moderator: Thank you. We take the next question from the line of Sunil Manikant Kothari from Unique PMS. Please go ahead.

Sunil Manikant Kothari: All right. Thanks for the opportunity, sir. My question is to Kaushik Bhai. Basically, looking at the power sector opportunity, which seems to be materializing thermal power mainly. So, just wanted to understand your thoughts for the next two, three years. How you see energy divisions, the opportunity, how prepared we are?

Because I think for some years we were not investing much in MHE division. So, in terms of team, technical capability, our investment in machines, little bit detailed thought process on MHEs preparedness to capture the growth and possibility of growth will be very helpful?

Kaushik Patel: First of all, I will give you the updates on the market. Yes, presently, as you mentioned, there is a good opportunity for us as MHE to grow and to cater the business in the power sector because there are many projects that have already been announced by the various end users like NTPC and other state government bodies. So, I think few orders have been finalized and out of it we got the good business in current year.

So, in couple of years, yes, there is a good visibility for us to grow further. And apart from the power, of course, other sector also helping us to grow because most of the end user has already announced their capex investment and of course, some capital investment also there to upgrade their existing equipment. So, we are hoping good growth in next 2-3 years.

Sunil Manikant Kothari: Regarding our preparedness, how much?

Kaushik Patel: Now, coming to our capability, we have been in this business for more than 75 years. We have our own manufacturing setup over here. We have a design, dedicated design team for our equipment.

In fact, we have upgraded our equipment considering the present market requirement and customer needs. And as far

as manufacturing is concerned, if you see our most of the products

require the fabrication activity. Although we have our internal setup for the fabrication, but for fabrication, we have been now outsourcing to get the things done.

Only to get it machining, we have an internal process. And apart from the upgrading our existing

machines, we have a capex plan near to INR35 crores to INR 40 crores. And out of it few machines, we are expecting to get it in next quarter. Next quarter means Q1 of next financial year. So, we are also investing in our machinery as well as the expanding our capacity to meet the near future opportunity or grab the opportunity to that.

Sunil Manikant Kothari: Yes. My second question is on the competition. I mean, compared to say previous cycle for 2000 -2007, how do you see the competition, competitor, pricing and what, I mean, ability we have added in terms of maybe product or are we again planning or thinking about entering some maybe EPC or something? What's your thought process for future growth?

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Kaushik Patel: Okay, let me make it clear. We have adopted the strategy that we should focus on equipment supply and providing the after-sales service and that we continue over the next 2 years. Means, we don't have a thought to enter into EPC business.

But looking to the present market needs, I think for us, we have ample opportunity to put our equipment in the new projects which is being announced by the end user. Reason is only that many end users have changed their strategy for quoting the tender and those strategies are favourable to MHE, in fact, favourable to Elecon to supply the equipment in the market or for particular projects.

As far as the competitor is concerned, you must be aware about the market scenario that few players like McNally Engineering and TRF, McNally has become bankrupt. TRF has already announced to shut down their material handling operations. So, only few competitors are there like L&T and TKL.

But again, if you see the business strategy of L&T and TKL, they are more focusing on the EPC projects. Of course, we have a competition with them but not to the extent that every sector. And Elecon being the first equipment manufacturer for material handling equipment, most of the PSUs preference is with Elecon.

Sunil Manikant Kothari: Okay. Thank you and my good wishes to Mr. Narasimhan for future career and thank you very much.

Moderator: Thank you. We take the next question from the line of Gaurav Nigam from Tunga Investments . Please go ahead.

Gaurav Nigam: Yes, sir. Sir, I have one question on the gear division. What was the mix of engineered gears in this quarter's revenue and on the gears specifically, you mentioned about the revenue deferral which happened. So, would you be able to quantify how much was this revenue deferral that you are talking about?

Narasimhan R.: Yes, just a minute. In terms of revenue deferral, it is around INR30 crores to INR40 crores where some of the dispatches, what is where we try to squeeze before December, that is getting extended to January or February.

Management: So, the revenue mix in the EP and CP, so the CP is 52% this quarter and the remaining is 48% EP for this quarter.

Gaurav Nigam: Understood, sir. So, that was question number one. Just a quick on the second question on the export side, I mean we had indicated our OEM count that we had acquired, had tied up. Can you update on that business, what is their status and how much business did we do with them in this quarter or in 9 months, whatever you are comfortable with?

Narasimhan R.: Yes, it is around 18 OEMs where we are tied up with. Having tied up with the 18 OEMs, the revenue what we got during this nine months is around INR31 crores and what we look forward in future is that repetitive business which could com

e in future.

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Gaurav Nigam: Got it, sir. This is great, sir. Thank you.

Moderator: Thank you. We take the next question from the line of Raj Shah from ENAM AMC . Please go ahead.

Raj Shah: Okay, sir. My first question is regarding the gross margins. So, if you see the gross margins of 43% that we reported in this quarter is lowest in last 5 years. I know you cited some reasons relating to customer deferrals and product mix, but can you throw some light on exactly where big customers visit international or domestic and product mix changes. As you mentioned, engineered products in the CP business were 52%. I am trying to understand why the 600 -700 bps fall in gross margins according to this quarter?

Narasimhan R.: Yes, the gross margin, see the product mix is around 52% from catalogue products and 48% from engineered products. The gross margin largely while in certain things like, for example,

exports during this quarter were a little bit low where the margins are better off. Then the product mix sometimes keeps fluctuating between catalogue products and engineered products.

So, that is also one of the sort of I would say that it is more of a timing thing. And specifically, we are also few specific orders which we are executing presently. This is for sort of indigenously developed product for the Indian Navy, though it is of a smaller order value.

Since it is being done for the first time by us, it has got higher sort of manufacturing cost, which is more towards the learning and understanding and designing and things like that. So, that is also again from a one time point of view. At the same time, overall, there is no significant gross margin in the long term, it is impacting us.

Only thing is that probably 0.5 % or 1% is what we had explained. Considering the competitive scenario, our marketing team, how we have viewed, how our approach towards it, we look at the pricing of the products and accordingly factor those things. But otherwise, gross margin per se in gear division as well as of course, MHE division is strong. In the gear division, the overall gross margin levels remain the same except for during this year, it has been on the lowest side.

Raj Shah : Okay. So just to follow up with that, you said 1% you attribute towards competitive scenarios.

Now, the amount that you told regarding the Indian Navy order, if you can attribute some percentage to that and whether this will be beneficial for us in the future orders of Indian Navy?

Narasimhan R.: Yes, it is around 0.5 percentage . Definitely that is a thought process that by bagging those orders which is of a significant for us. In the first time when we execute, we are this thing , but once we establish our credentials, then there is a potential that such orders could come in the future. And whatever the learning costs which we incur in the first year, obviously, we will not be incurring it for a similar product in future years. And we are eager to bag those orders and while in the initial years it could be a little bit on the lower side on the margins. Definitely, there is a huge prospects for such orders.

Raj Shah: Okay. Sir, any update on...

Moderator: Raj, I would request you to rejoin the queue for follow -up questions.

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Raj Shah: Sir that was a follow up question. This is the second question that I am asking.

Moderator: Okay, please go ahead.

Raj Shah: Sir, any update on the INR200 crore s aircraft carrier order that was expected in Q4 and next generation missile vessel orders in defence?

Narasimhan R.: Yes, one is that it is getting a bit longer time. So, probably Mr. Dipak Dalwadi , you can explain.

Dipak Dalwadi: Yes, that new generation Corvette, that is we are expecting the GSL and GRSE are expecting the orders anytime

and we are expecting RFP by the Q3 of next financial year.

Raj Shah: And aircraft carrier orders sir?

Dipak Dalwadi: Yes and regarding this indigenous aircraft carrier that follow -up project is expected to be given to the shipyards in coming future and for that we can get the RFP in the Q1 of financial year 27.

Raj Shah: Okay, sir. This is not a question, but if you can just be more detailed in guidance regarding the segment wise guidance. Last quarter it was INR650 crores in MHE, INR2,000 crores in Gear .

Similar breakup if you can give , that would be great?

Narasimhan R.: Yes, it is broadly around INR700 crores from MHE and the balance is towards the Gear division .

Raj Shah: Okay. Thank you, sir.

Moderator: Thank you. We take the next question from the line of Niraj Mansingka from White Pine Investment Management Private Limited, Please go ahead.

Niraj Mansingka: Sir, two questions. One is on the margins front, I think you have discussed that. But if you remove the Indian Navy margins, how much would the margins for the gear division come back to?

Management: Sorry, can you repeat again?

Niraj Mansingka: Sir, if you remove the exceptional lower margins in the Indian Navy, how much would the margins come back to on the gear side?

Narasimhan R.: You are looking at gross margin or net margin?

Niraj Mansingka: EBIT margin?

Narasimhan R.: EBIT margin if you remove that?

Niraj Mansingka: If you remove the lower margins of the Indian Navy, how much would the adjusted margins for the gear division be?

Narasimhan R.: Yes, so specifically probably we will come back to you and clarify to you specifically.

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Niraj Mansingka: Sir it would be useful if you discuss here because how will the public know because public forum or you can just tell us some broad range because the margins fall has been quite large in the last five quarters in the company. So that is the reason I was asking you?

Narasimhan R.: It is around 2 percentage to 3 percentage.

Niraj Mansingka: Okay. The other question is in the last few quarters odd orders for the order intake has been good in the gear division. But the revenue reported for the gear has not increased. So our cumulative order book from March is increased from INR583 crores to INR811 crores. But our run rate of gear revenue has slowed down. What might be the reason and can we also correlate that the margin will be lower in the existing orders because there is as you said employee cost and other cost increase or those have been taken care of?

Dipak Dalwadi: See, for the answer to your first question, whatever orders we have booked in Q3, they are major for the power industries and their requirement are at the later stage. So all these orders will be executed in the next financial year. So that's why the order books are showing high, but the order executions, they have been deferred by the customers in the next financial year.

Niraj Mansingka: I got it. Any timeline you have a thought on when it will start, those revenues because the run rates have gone down quite low actually?

Dipak Dalwadi: From Q1 itself.

Niraj Mansingka: Q1 itself. Okay. And so last question on the US tariff, on the export, how are you managing it like would not you be impacted if the tariff status quo maintains?

Narasimhan R.: You're asking of the tariff and impact to us?

Niraj Mansingka: Yes, sir.

Narasimhan R.: Broadly, you know that as the US economy per se is not growing well. At the same time, while we are looking at more growth opportunities, the present revenue is not that much impacted. We are able to manage that due to the tariff implications.

Niraj Mansingka: Okay. Sir, and the question you did not...

Moderator: Niraj, I would request you to please join back the queue.

Niraj Mansingka: The question was not answered. Just one second.

Sir, the question was that, the orders that you have in hand, do they have higher margins or do they have lower margins? The orders of INR811 crores on the Gear side?

Narasimhan R.: We'll work out that and clarify a little later point of time.

Niraj Mansingka: Okay, sir.

Moderator: Thank you. We take the next question from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

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Saket Kapoor: Yes. Sir, I hope I'm audible.

Dipak Dalwadi: Yes.

Saket Kapoor: Sir, firstly, the small point is about our existing order book. The closing order book is at INR1,372 crores. So if you could just give us some color, what is the execution cycle? I think so you mentioned about some power companies order, which is there in the order book, but they will get executed for Q1.

And then, sir, you have also spoken about some product mix and absorption of cost because of the increased employee costs and others. So, if you could just give us some color, as the other participants have asked, how is the margin profile likely to be on the existing order book? And lastly, sir, on the utilization level, since we have already done capex and we are also emphasizing further addition, what is our current capacity utilization levels for both the divisions?

Dipak Dalwadi: See, for the answer to your first question, actually, mostly orders are for EP divisions. So their execution cycle is around 5 to 6 months. So all orders will be executed mostly in the next financial year and starting from the quarter 4. So few orders will be executed in quarter 4 and maximum orders in next financial year.

Moderator: Thank you. We take the next question from the line of Rohan from Envision Capital. Please go ahead.

Rohan: Hello, sir. Thank you for the opportunity. So, sir, my question was broadly on the impact of increasing commodity price -- metal prices. So how does that impact our existing order book in terms of margins going forward? Thank you.

Dipak Dalwadi: See, as such, because of this demand situation in the existing markets, the price trends are more or less stagnant. So there is no such increment in the commodity markets. And because of that, our raw metal prices are almost stagnant. So there is no much impact because of the raw metal prices for getting the orders from the market.

Rohan: Sure, sir. But for our existing order book, you know, some of the metal we'll purchase right in future and at a higher price. So will we be able to pass this on to our customers?

Dipak Dalwadi: I don't think in the near future also there will be a price increase in the market for the metals and all the major commodity items. We don't see any increase because normally we look forward for the 6 months onward for the raw material prices for the booking the orders as well as the study of the market.

And that we find that there are no, it doesn't seem any increase or, I mean, major change in the raw material prices of the major category items of the, this commodity materials.

Rohan: No, no, absolutely, sir. So I am talking about the increase in commodity price that already happened. The metal prices that have gone up in the last 1, 2 months, I'm talking about that, sir.

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Management: Yes, if you see...

Dipak Dalwadi: But we are also managing and having a good relationship with our suppliers. So we are managing the prices.

Rohan: Okay. Okay, sir. Thank you.

Moderator: Thank you. We take the next question from the line of Aman Soni from Nvest Analytics

Advisory . Please go ahead. Aman, please unmute your line and proceed with your question.

Aman Soni: Hello, am I audible now?

Moderator: Yes, please go ahead.

Aman Soni: Sir, just a clarification on the guidance part. You mentioned most of the order book in the Gear

segment will be getting executed next year, right? But at the same time, we are targeting INR1,800 crores in gear for this year.

If that number, we need to do around INR575 crores in last quarter, right? So out of the existing order book of INR800 crores , if we have to execute INR575 crores , that means we have to execute a significant portion in Q4 itself, isn't it?

Dipak Dalwadi: Yes. So we have lined up because now we are having good orders on hand. So we have lined up all our manufacturing activities and we are confident that we will achieve all the numbers what we have guided.

Aman Soni: No, no. Actually, I'm asking, while you are saying out of the existing gear order book, significant portion will be executed next year, right? Then how we will be managing like INR575 crores of execution in Gear division in Q4?

Dipak Dalwadi: See, we -- what I talked about that was for the engineering product. But for the catalogue products, we are having less manufacturing cycles of say 1 month or 30 days or 60 days. So for that, we are getting the orders and we will execute orders. And there is a very good order s in pipeline. So we will definitely execute these orders in the shorter lead time.

Aman Soni: So does that mean in Q4 also, we will be particularly executing more of catalogue products and that's why margins can be on lower side, because production is not getting things then?

Management: No, no, no. It is not like that. The CP orders which we are getting, we are executing in the same quarter. The EP product orders we get in September month in Q2, it will be delivered somehow in Q4.

And some orders we received in Q3 for the EP product, it will be delivered in Q4 only. So the mix of the CP and EP would be similar in Q4. But the EP products which we got in the December month only, that would be spillover in Q1 next year.

Aman Soni: And sir, in the last two quarters...

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Moderator: Aman, I would request you to join back the queue for follow -up questions.

Aman Soni: Just a follow -up on the -- on this question on the margins part. Means in last two quarters, we have been speaking again and again about like product mix is getting impacted, product mix is getting impacted. So I just wanted to understand like when this picture will get cleared, like if that is going to be the case, like if we are facing any delay in execution of our engineering products, then our total margin profile is going to be suffered, right?

Management: Yes, this is the one case. The other case is that if you see the product and the service mix, so that also includes in the margins. So this quarter, that is another one case, the service portion from the revenue that also impacted the margins.

But we have the good order in the service business also. So that will be executed in Q4. So that is not the case, Q3 the margins are lower. In the Q4 , the EP products, CP products and the service, that will be mix of all the things. So margins, it will not like that, it happened in Q3.

Have you got it?

Moderator: Thank you. We take the next question from the line of Senthil Kumar from Joindre Capital

Services Limited . Please go ahead. Senthil, please unmute your line and proceed with your question. Since there is no response, we will move on to the next question, which is from the line of Sani Vishe from Axis Securities. Please go ahead.

Sani Vishe: Yes, so this is kind of a follow up on the earlier question - the question from the earlier participant. So at the end of Q2 also, we had a very strong order book and we were very confident about achieving good revenues in Q3 and Q4. But as it went, there were some external factors which were beyond our control and we could not achieve it in the Q3.

Now again, we have a good order book and we are expressing confidence and very good performance in the Q4. So

what is the change? What gives us the confidence that this time it

will happen? And are there any similar risks that we will not be able to achieve this guidance ?

Narasimhan R.: Yes, see, what happened is like what Mr. Ashish also said. For catalogue products, whenever we project, we factor in that from the time we enquiry to the execution, it takes about one month or so. So based on that, we considering the market scenario, we get the understanding of how the market is performing and accordingly factor that.

And more since for the engineered products, there is more clarity, we are able to provide better clarity on that aspect. So therefore, depending upon how for that quarter it is fluctuating, we factor both the order on hand, how it will be executed plus the order in take, what we will be getting for catalogue products which will be delivered in the quarter. So this sort of mix and match fluctuates and that is what will be factoring in when it comes for revenue.

Sani Vishe: Okay. So simply say the confidence levels of achieving this guidance is higher compared to the earlier quarter. Is that right?

Narasimhan R.: Yes. The guidance, whatever we have spelled out with the revision, you would know what we have spelled out. That is achievable definitely.

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Sani Vishe: Okay sir. Thank you.

Moderator: Thank you. We take the next question from the line of Ashwini Sharma from Emkay Global Financial Services Limited. Please go ahead.

Ashwini Sharma: Yes, my questions have been answered. Thank you.

Moderator: Thank you. We take the next question from the line of Juhi from Ar i hant Capital Markets Limited. Please go ahead. Juhi, please unmute your line and proceed with your question. Since there is no response, we will move on to the next question which is from the line of Manish Gupta from Equinox Investment Advisors. Please go ahead.

Manish Gupta: Sir, with the US trade deal being debated again and again and there is rather no clarity when it will be signed, what are the geographies where you are more optimistic about growth?

Dipak Dalwadi: Yes. We are more expecting the Middle East and the Europe.

Manish Gupta: Okay, and since China is also facing tariffs from US, they would be competing hard in these geographies as well. So, how is our competitiveness compared to China in these markets?

Dipak Dalwadi: See, you may be knowing that China, though they are competing, but they are not very good in the after -sales service. So, that's why we are not facing any competition from China in terms of the order executions and getting the traction from the Europe and the Middle East , because in the after -sales service, we are having an upper edge compared to China.

Manish Gupta: And the second question would be, sir, you moderated financial year 2026 guidance. So, beyond financial year 2026, what would be your guidance in terms of top line as well as how would you expect the margins to behave in the period after financial year 2026?

Narasimhan R.: Yes. Probably, in the current quarter, we will have to do the budgeting exercise wherein we get the inputs from both the divisions and the different markets. And then we will be able to spell out how we look at it in the next year.

Management: Generally, we do, we give our guidance in Q4 con call. So, we will maintain the same and we will spell out the next year guidance in Q4 con call. Thank you.

Manish Gupta: All right, sir, considering that private cap ex is just not taking off and geopolitics is kind of very, very volatile as far as export markets are concerned. So, do you feel there is a downwardness to growth in coming years for you or you expect things to normalize sooner rather than later?

Dipak Dalwadi: See, power industry has started now performing and they have now released, I mean, investments. Government is releasing inv

estment in power. So, we are hoping good traction

from the power industries. And even sugar industries are also expecting to pick up in coming months. So, we are expecting good traction from the sugar industries and also from the steel industries. And cement also started now showing some expansion. So, we are expecting good traction from all these segments.

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Narasimhan R.: Since we are also spread out fairly well in different industries across this thing, any uptick and downtick on a few industries, we are able to manage that. And that is how we are optimistic that the growth will be better.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question and conclude the question and answer session. I now hand the conference over to the management for their closing comments.

Narasimhan R.: In closing, I would like to thank all of you for joining us today and for your continued trust and support. While the Gear division delivered a resilient performance during the quarter, we are particularly encouraged by the strong momentum and long-term potential of the MHE division, which brings balance and incremental growth to our overall business. Even as we revise our near-term guidance, our focus remains firmly on disciplined execution, prudent capital allocation and strengthening our leadership in high growth segments.

We are confident in our ability to build on the current momentum, navigate short-term challenges and continue delivering sustainable value for our shareholders and all stakeholders. Thank you once again for your participation. Should you have any further questions, please feel free to reach out. Have a great evening. Thank you.

Moderator: Thank you. On behalf of Elara Securities India Private Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

## Call: Apr 2026

22nd April , 2026

To,

The Manager (Listing),  
The BSE Ltd.  
Mumbai The Manager (Listing),  
National Stock Exchange of India Ltd.  
Mumbai  
Company's Scrip Code: 505700 Company's Scrip Code: ELECON

Sub. : Transcript of the Earnings Conference Call held on 16th April, 2026  
Ref. : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015

Dear Sir/Madam,

With reference to the above referred Regulation and in continuation of our letter dated 11th April, 2026 , please find attached herewith the transcript of the Earnings Conference Call held on 16th April, 2026 for Q4 of the Financial Year 2025 -26.

The same is available on the website of the Company at  
<https://www.elecon.com/investors/audio-video-recordings-and-transcripts-of-post-earnings-quarterly-calls> .

You are requested to take the same on your records.

Thanking you.

Yours faithfully,  
For Elecon Engineering Company Limited,

Bharti Isarani  
Company Secretary & Compliance Officer

Encl.: As above

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"Elecon Engineering Company Limited

Q4 FY '26 Earnings Conference Call "  
April 16, 2026

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on 16th April , 2026 will prevail

MANAGEMENT ELECON ENGINEERING COMPANY LIMITED :  
MR. AAYUSH SHAH – DIRECTOR –  
MR. CHINTAN SHAH – CHIEF FINANCIAL OFFICER –  
MR. DIPAK DALWADI –HEAD OF GEAR DIVISION –  
MR. KAUSHIK PATEL –HEAD OF MATERIAL

## HANDLING EQUIPMENT DIVISION

MODERATOR : MR. ABHISHEK TAPARIA – EMKAY GLOBAL  
FINANCIAL SERVICES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Elecon Engineering Company Limited Conference Call hosted by Emkay Global Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch-tone phone. I now hand the conference over to Mr. Abhishek Taparia, Emkay Global Financial Services Limited. Thank you and over to you.

Abhishek Taparia: Good afternoon, everyone. I would like to welcome the management and thank them for this opportunity. We have with us today Mr. Aayush Shah, Director, Mr. Chintan Shah, CFO, Mr. Dipak Dalwadi, Head of Gear Division and Mr. Kaushik Patel, Head of Material Handling Equipment Division. I shall now hand over the call to the management for their opening remarks. Over to you, gentlemen.

Aayush Shah: Thank you, Abhishek. Good evening, everyone, and a very warm welcome to Elecon Engineering's Quarter 4 and FY26 Earnings Conference Call. Joining me today are Mr. Dipak Dalwadi, Head of Gear Division, Mr. Kaushik Patel, Head of MHE Division and we would like to welcome our CFO, Mr. Chintan Shah, who joined us recently. He brings nearly 19 years of experience and we are confident that he will play an important role in driving Elecon's continued growth.

The earnings press release and investor presentation have been uploaded to the stock exchanges and are also available on our website. I trust that you have had the opportunity to review them. I will begin with a brief overview of the operating environment and our business performance, following which Chintan will take you through the detailed financials.

Elecon Engineering marks a significant milestone this year as we celebrate 75 years of engineering excellence, innovation and strong customer partnerships. Over the decades, we have established ourselves as one of Asia's largest and leading providers of industrial gear solutions and material handling equipment, supported by deep domain expertise and strong technical capabilities. Our Material Handling Equipment Division continues to build strong momentum and remains a key growth driver for the company.

With a legacy of over seven decades, the division has developed specialized capabilities in designing and manufacturing large, complex and high-capacity systems including conveyors, port equipment, feeders and other critical infrastructure. These capabilities are limited to a select group of players in India, providing Elecon with a distinct competitive advantage, serving core sectors such as power, steel, cement, ports, mining and fertilizers. The MHE business consistently delivers customized, high-value solutions that enhance operational efficiency and reliability for our customers.

In the Gear Division, Elecon continues to maintain a leadership position in India's organized industrial gear market. We offer a comprehensive and diversified portfolio ranging from heavy-duty gearboxes to precision engineering components catering to industries such as steel, cement, sugar, power and marine. Our continued focus on research and development ensures that

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innovation, product customization and end-to-end life cycle support remain central to our offerings.

With a strong domestic presence, an established distribution network and long-standing customer relationships, Elecon is well-positioned to enter the next phase of growth and further strengthen its presence across key markets both in India and internationally.

Moving to segment-wise performance, the Gear Division, which accounted for approximately 63% of consolidated revenue

in Q4, reported revenue of INR 472 crores, reflecting a decline of 21% year-on-year. This was primarily due to delayed order inflows, extended dispatch timelines and customer-led deferment of delivery amid ongoing macroeconomic and geopolitical uncertainties.

While near-term performance was impacted by external factors, the underlying demand

fundamentals remain intact. We expect a gradual normalization in timing differences for order flows and execution as market conditions stabilize. During the year, we secured a healthy inflow of orders across key sectors including power, steel, cement and material handling equipment. And as we are carrying a strong open order book for the next year supported by a strengthening demand environment and a healthy project pipeline, we remain confident in the Gear Division's ability to regain momentum and deliver improved performance going forward.

The MHE Division, which contributed approximately 37% of the consolidated revenue in Q4, continued its strong growth trajectory, posting a 37% year-on-year increase in revenue during the quarter. This performance was driven by sustained demand across core sectors such as power, cement, mining and ports along with consistent execution. Looking ahead, we remain confident that the division will maintain its growth momentum supported by a healthy order book, strong sectoral outlook and continued customer engagement.

Despite the challenging environment, we delivered moderate consolidated revenue growth of 6% in FY26. The underlying fundamentals across both divisions remain strong. A robust order book and strong order execution pipeline provide clear visibility for sustained growth in the coming financial year.

Elecon remains committed to its long-term growth strategy with a clear focus on portfolio diversification, expansion into new sectors and geographies and continuous strengthening of our engineering and execution capabilities. As part of our strategy to expand into international markets, we are pleased to announce the recent establishment of a step-down subsidiary in Mexico, further strengthening our presence in the Latin American region.

On the domestic front, core sectors are expected to continue driving sustained capital investment and we are well-positioned to capitalize on these opportunities through our strong capabilities and market presence. Supported by strategic capital expenditure, strong in-house R&D, differentiated product offerings and a proven ability to deliver customized, high-quality solutions, we are well-positioned to address the evolving and increasingly complex needs of our customers. We believe that current challenges are transient and do not alter our long-term growth trajectory.

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With this, I now hand over the call to our CFO, Mr. Chintan Shah, who will take you through the detailed financial performance for the quarter and full year FY26. Over to you, Chintan.

Chintan Shah: Thank you, Aayush. Let me give a quick walkthrough of the financial performance for Q4 and then for the full year FY26. Financial performance Q4 FY26 ; for the quarter ended March 2026, our consolidated revenue from operations stood at INR746 crores compared to INR798 crores in the corresponding quarter of the last year, reflecting a moderate year-on-year contraction. This quarter's performance was primarily impacted by a slower conversion of the order pipeline into revenue, in line with a broader industry trend of uneven execution cycles across all capital-intensive sectors. Several customers across key end-user industries recalibrated their capex schedules, leading to a shift in the business direction across the value chain. The underlying demand environment remains constructive.

Domestic markets contributed almost 82% of the consolidated revenue, while international markets accounted for 1

8%. During the quarter, consolidated order inflows stood at INR657 crores, registering a year-on-year growth of about 1.9%. Consolidated EBITDA for the quarter stood at INR158 crores, with a margin of 21.2%.

Profitability was impacted by operating leverage due to lower revenue conversion, marginally higher employee costs, along with a change in the product mix. Net profit for the quarter came in at INR108 crores, translating into a PAT margin of 14.5%. This excludes the one-time impairment of goodwill of INR102 crores, recognized as an exceptional item. We expect margins to improve gradually as execution accelerates and volumes pick up.

Now moving to performance for the year ended March 2026. For the full year FY26, adjusted consolidated revenue stood at INR2,341 crores compared to INR2,227 crores in FY25. This excludes the realized arbitration award of INR25 crores recorded in the first quarter of FY26 in the MHE division. Adjusted EBITDA for FY26 stood at INR498 crores, with margins of 21.3%, remaining broadly stable despite near-term execution volatility.

Apart from arbitration award realized as said earlier, additionally INR10 crores were recognized under other income as part of the arbitration settlement. Furthermore, this year also included an exceptional gain of INR80 crores below profit before tax, representing unrealized mark-to-market gain arising from the reclassification of investments as well as impairment of goodwill. Impairment of goodwill of INR102 crores was recognized as an exceptional item. Including all exceptional and one-time items, reported PAT for FY26 stood at INR341 crores.

Moving to segment-wise performance, starting with the Gear Division. The Gear Division

contributed 63% of consolidated revenue in Q4 FY26 and continues to be the largest contributor. Revenue for the quarter stood at INR472 crores compared to INR597 crores in Q4 FY25. The performance reflects a temporary gap between the order booking and deferment of delivery driven by the phasing of execution in large industrial projects. Importantly, demand fundamentals remain strong, supported by sustained customer engagement and a healthy inquiry in pipeline across both domestic and overseas markets. EBIT for the division stood at INR91 crores versus INR147 crores in the same period last year, with margins

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at about 19.3%. Margins were impacted by lower throughputs and changes in the product mix. However, these are transitional factors and we are expecting the same to be normalized as execution improves. Order intake remained strong at INR550 crores during the quarter and the open order book that we have is about INR894 crores as of March 31, 2026. This provides good visibility for the coming quarters. As execution timelines normalize and macro conditions stabilize, we expect the Gear Division to return to a steady growth trajectory. Moving to Material Handling Equipment Division, the MHE Division continued its strong growth momentum in Q4 FY '26, reinforcing its role as a key growth driver. Revenue for the quarter increased to INR274 crores from INR200 crores in Q4 FY '25, reflecting a robust growth of 36.8% year-on-year. This performance was driven by sustained demand across sectors such as power, cement and ports, supported by both replacement demand and ongoing industrial infrastructure investments. EBIT for the division stood at INR62 crores compared to INR59 crores in the corresponding quarter of the last year, reflecting stable profitability despite a dynamic revenue mix. Margins remained healthy, supported by a balanced contribution from equipment sales and aftermarket services. Order inflow during the quarter stood at INR107 crores and the order book closed at INR398 crores as of March 31, 2026, which again provides a strong foundation for continued growth. We continue to see the MHE D

ivision as a structurally high -growth segment, supported by long -term trends in industrial automation and increasing focus on materi al handling efficiency. Moving to balance sheet and capital allocation. On the balance sheet front, we continue to maintain a strong financial position, with a net cash balance of approximately INR700 crores. This provides significant strategic flexibility to pursue growth opportunities while maintaining financial discipline. The Board has recommended a final dividend of INR1.50 that is INR 1.5 per equity share having a face value of INR1 each, which is subject to shareholders' approval. While our performance for the year was below initial expectations, this was primarily due to geopolitical uncertainty, an unfavourable product mix and delays in customer -led deliveries. Given the continued macroeconomic uncertainty and limited near -term visibility, we believe it is prudent to adopt a cautious approach. Accordingly, we are holding our guidance for FY '27 at this stage and will revisit our outlook once there is greater clarity and stability in the operating environment. With that, we conclude the detailed financial review and now open the floor for questions. Thank you. Moderator: Thank you. We will now begin the question -and-answer session. We have the first question from the line of Animesh Jain, an Individual Investor. Please go ahead.

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Animesh Jain: Thank you for the opportunity. My first question is, the Gear -to-MHE ratio was 63:37 for quarter 4, as against the historical trend of 75:25. Do we expect this as per the trend going forward and its effect on the EBITDA margin?

Aayush Shah: No. Going forward, the EBITDA margin should not be affected. We still do expect further growth in the Material Handling Division going forward while the Gear Division also grows. So, the mix might change further, but we do not expect the long -term margin to vary.

Animesh Jain: Thank you. And my second question is, can you give me the number of domestic and export split for Gear and MHE, and the ...

Aayush Shah: Can you repeat it? We could not hear you very clearly. If you could repeat that please.

Animesh Jain: So can you give me the domestic and export split for Gear and MHE and engineered versus catalogue mix for Gear for the quarter 4?

Management : So, the mix of engineered versus catalogue is -- for the quarter CP is 55%, that is the standard product, and engineered product is 45%, that is the customized product. And for the year FY '26, catalogue product is 55% versus engineered product being 45%.

Animesh Jain: Okay. And my last question is, what issues is MHE facing since order inflow for the quarter was a 10-quarter low? .

Kaushik Patel: It is a timing difference. In fact, we were expecting certain opportunities to be converted into orders, but it has been deferred for Q1. In fact, in the month of April, we have already received almost more than INR15 crore s orders. So, we are hoping that in April month itself, we can mitigate that gap of Q4, which has been generated.

Moderator: We have the next question from the line of Balasubramanian from Arihant Capital.

Balasubramanian : Sir, we have a capex program of INR400 crores. How much was spent in FY26? And if you could share what is the capex split between Gear and MHE? And I am trying to understand the ROCE part also. I think ROCE has fallen from 29% in FY24 to 20.4% in FY26. So, I am trying to understand with high capex and lower margins, when we can be able to bounce back to at least a 25% level by FY28.

Chintan Shah: So, let me take the lead on this question. This is Chintan. We have a capex plan, as we just last quarter of these INR400 crores between FY26 to FY28. We have roughly spent about INR95 crores towards different -different categories. After that, if you want to have a split, Gear ha

s

almost 80% of the spend and MHE has the rest of the spend . Coming back to your question on ROCE from FY24 to FY26, it's a valid question.

What I want to highlight right now is, as we grow, our base for equity and capital employed increases. And if you look at the quality of the total capital that we employ, almost INR800 crores of the balance that we have is parked in different forms of investments. Now, we have a policy of investments where we are very conservative with the investments, and so the yield on the investment is about 8%.

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So, this is point number one. Point number two, every year in the last two years, we have generated average cash post -tax of about INR300 to INR350 crores. So, every year, we have added new cash to the capital employed. But to that extent, our capex has not happened. So, we have not increased our installed capacity by way of increasing the capex. So, as we move through this year and the next two years, we will have our own capex.

We will build the capability, increase the installed capacity and have and we will see the results in terms of revenue increase and the EBIT DA increase, improving the margin. Having said that, this position of INR750 to INR800 crores that we have as an investment is a good problem to have.

That gives us the flexibility to remain open for any strategic investments as well as expansion. We are just closely monitoring the macroeconomic conditions and would like to continue with this same approach at least for some more time till the time we have clarity on the expansions that we want to do.

Balasubramanian : Sir, on the defense side, one of the Navy orders impacted our margins. However, the future RFPs also pushed out, like Corvette by Q3 FY27 and IAC also in Q1 FY27. So, like whether we can be able to win at least one or two Navy orders by FY27 and how long it will take to get larger defense contracts, and are we qualified for upcoming Navy orders?

Dipak Dalwadi: Yes, I am Dipak here. So, for this financial year, Q4, we are expecting a very good order from the Indian Navy and that is a big order at this moment.

Balasubramanian : Okay, sir. As a follow -up on that, I think it's an initial order and we might have a lower margin. Maybe in upcoming defense orders, can we expect higher margin levels?

Dipak Dalwadi: So, as far as these are project orders, margins are actually good margins. For small orders, of course, there will be a margin gap. But for this kind of a big project order, there are good margins.

Chintan Shah: Just to refine the answer, the first order that we executed, and as we discussed in our last call, since the first order has a lot of developmental initiatives and activities, we had a slightly lower margin as we communicated last time that 1% or 2% margin was lower. If we get a repeat order of the same grade that we are talking about, then yes, the margin will be good. And in terms of timeline, it's almost two years that we see.

Dipak Dalwadi : Yes, these kinds of project orders are executed between two to three years.

Balasubramanian : Okay, sir. My last question, first thing about what is our current capacity utilization level in Q4? And secondly, I try to understand our pricing power. If we could you rank your end markets -- power, steel, cement, mining, defense, sugar, plastic and rubber by the pricing power side? So where have we seen more competitive pricing pressure and where we are getting a higher margin?

Dipak Dalwadi: So far capacity utilization is concerned, we are at this moment with the addition of capex is

around 56% to 60% utilization is there .  
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Balasubramanian : Yes, sir the second one.

Dipak Dalwadi : So for a answering your second question, our engineered products have a better margin than the catalog ue prod

ucts. So, definitely, we are going for the better margin engineering products.

Balasubramanian : Okay, sir. Okay, thank you.

Moderator: Thank you. We have the next question from the line of Raj Shah from ENAM AMC. Please go ahead.

Raj Shah: Thank you for the opportunity. My first question was, sir, on the revenue front, if we see on the export side for the quarter, we have largely maintained what was there in the same quarter last year. But when it comes to gears, especially in domestic gears, the revenues are down by 27%. So within gears that too in the domestic geography, exactly where are we seeing such kind of delays in dispatches where customers are not ready to take up the delivery? Can you be a little specific in sharing your thoughts?

Aayush Shah: In this space we faced these issues where the customers asked us to defer the delivery, specifically in the steel sector, a little bit more. Another reason why also there was a reduction in the turnover is specifically because we got the order booking a little bit later because everyone was trying to defer their capex investment because of the current geopolitical scenario. Hence, the order booking was late, so it could not be executed within the year. But we expect it to really improve in this quarter.

Raj Shah : Got it. Okay. And this delay in orders was it specific to any large order or it was broad -based within the steel sector that you are talking about?

Aayush Shah: It was not for a specific large order. It was deferred across the board.

Raj Shah : Okay. Got it. Secondly sir on this Mexico part, we are aware that the management was contemplating investing or setting up some assembly center even before the tariffs kicked in. So, today, what is the scenario? Do we still attract 50% tariff or what kind of strategies are we seeing to cater to that part of the geography?

Management : So, right now in the USA, we have the 50% tariff. Whatever we are exporting from India to our subsidiaries in USA or to customers in USA. So that is 50% because of Section 2 (32), but with the establishment of this Mexico we will have the Latin America and that tariff is not applicable there. So, we want to get the opportunity to establish and to supply our products from here to Latin America.

Raj Shah : Okay. And will we be investing or incurring any capex in Mexico?

Management : Not much right now. We just established . We will come back to you after some time.

Raj Shah : Okay, sir.

Moderator: Sorry to interrupt, Mr. Raj. Request you to come back in the queue for follow -up questions.

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Raj Shah : Sure. Thank you.

Moderator: Thank you. We have the next question from the line of Harsh Patel from Share India Securities. Please go ahead.

Harsh Patel: Hello. Thank you so much for the opportunity. I wanted to just get an update on the export side. So, as we had planned, we would be ramping our exports up to 50% in the next 3 to 4 years. So, what would be in the current geopolitical scenario, our export mix going forward? And how would be our sustainable margins till FY27 -28, if we are focusing more on domestic or exports?

Aayush Shah: Going forward, this year despite the existing scenario, we have managed to maintain at least what we were able to perform last year. So, we expect going forward it will still improve. We have some improvement in order booking in a few of our entities, while the Middle East obviously has suffered significantly. So, we still expect regardless of what the situation is that we will be improving going forward. And the product mix, I mean, the EBITDA that you asked regarding the product mix and export versus domestic, we expect it to not affect us that much going forward.

Harsh Patel: So, what would be the sustainable margins which we would be focusing on going forward?

Aayush Shah: Right now, we can't co

mmment on that specifically because of the current scenario and it is currently an ever-changing scenario. So, we cannot comment on it right now. We will address

the situation and get back once we have a better understanding.

Harsh Patel: And one more thing I wanted to ask. Going forward, what kind of orders would be on the gear side? Is it customized gears or catalog ue gears are on a sale point for Elecon? Since the last couple of quarters, the mix has been on either way on catalog ue kind of.

Chintan Shah: So, major it will be from the power industry and steel industries and cement is from there . So, major will be contribution for engineering and customized products. And catalog ue products, it will be 2 %-3% lower than the engineering product.

Harsh Patel: Okay. And what would be the margins in this industry in customized products we would be seeing?

Chintan Shah: See, typically we do not reveal the margin profile. We give a broad range in terms of how the product mix is moving and how it impacts our gross margin percentage . So customer level, product level and mixed level margins, we do not provide a comment .

Harsh Patel: Okay. Congrats . Thank you.

Moderator: Thank you. We have the next question from the line of Kashyap Javeri from Emkay Investment Managers . Please go ahead.

Kashyap Javeri: Two questions from my side. One is to -- the first one is to Chintan. On this goodwill side, there is a comment number 8B in the notes to accounts. If you can explain that comment. And also, did we get any tax benefit from that goodwill write -off? That is the first question.

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And second is to Mr. Dalwadi. From the Gear Division side, or even in fact if Mr. Aayush can also throw some light. You mentioned that because of the geopolitical risk, there was some deferment of order booking. But overall, if you look at the geopolitical risk, that sort of rose only on the intervening night of 27th, 28th February. So, could 1-month make such a large difference?

Chintan Shah: Right. So, let me take up the first question about the goodwill. Yes, as you are referring to note number 8.B, there is detail ed note in the notes to accounts which we will comprehensively cover.

But let me explain to the entire large audience that we have. This goodwill represented the goodwill that we acquired way back in 2010 -11 when Elecon did the acquisition of Benzlers and Radicon Group in the European region.

Now, what happens is over the last 15 years, Elecon has done an integration of all these business into the Radicon group of products and the geographies that we have. We do not have any separate structure. The single team , sales and marketing and the operations team takes care of all the mix of the products that we have it.

So, eventually, we realized that goodwill as a standalone on this acquisition do not have much value in our financials. Of course, the business as a whole has a valuation which doesn't need to be like discounted right now , but it has a good cash flow profitability and all. But from a goodwill alone standalone basis, we do not see that the carrying amount should continue like this. And that is the reason we did the impairment.

Coming back to your sub -question about the tax deduction of this write -off that we have done , this goodwill was never in the standalone financials. It was always a part of our consolidated financial statements. So, as far as tax deduction is concerned, it will be in the books of the entity where this goodwill is i.e in UK.

As far as the tax deduction in the local tax is concerned, there is a tax deduction which is being claimed every year, and now only about 5 years are left with only a 1 million GBP . So, that is going to be claimed as a deduction in the next 5 years' time gradually. So, this is how the position is.

Kashyap Javeri: Okay, understood.

Aayush

Shah : Regarding your question about the -- sorry, if I got it right, you were asking about ...

Kashyap Javeri: So, my question was that the geopolitical risks, the major part of it played out starting February 27-28. And that one month has probably made a fairly large difference on the overall revenue height . So, if you can, so was this largely to do with the month of March or this played out throughout the quarter?

Chintan Shah : Actually, as you rightly said, I think the news about this discussion started coming in the last week of February. It got intensified in the first week of March. The largest impact is in the month of March. About INR77 crores of the orders were in a different bucket , like a couple of orders of INR12 crore s, which were ready for dispatch, but it was on hold by the customer.

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We also had the order of about INR34 crores in the month of March which were scheduled to

be delivered , but now it needs to be delivered probably in April and if the situation is clarified itself in April . We also had INR31 crores of the orders which were scheduled to be dispatched in March, but their production was put on hold on an immediate basis. And that's how we had almost INR70 crores impact for this event in the month of March .

And if you look at your end I know where you are coming from. In the December quarter itself, we had lower down our guidance and we communicated that we are reducing the revenue in the quarter ending March by at least 5%. So, that's the guidance we already had released in the month of January when we were talking about December quarter and March quarter.

Kashyap Javeri: Okay , okay. Just one last question on the receivable side. That number has gone up from INR610 crores to about INR720 crores. Any particular reason for that if I look at what's in September ?

Chintan Shah: The increase of about INR90 crores compared to last year's balance sheet if you look at it. From INR90 crores, INR70 crores to INR75 crores is largely because of the sale which has happened in the February and in the March, which has not due even as on 31st March. And about INR15 - odd crores is overdue compared to the same bucket of the last year, which is getting the effect in the month of April.

Kashyap Javeri: Okay , Okay. Understood. Thank you.

Moderator: Thank you. We have the next question from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Yes, sir. Good afternoon. Sir, in domestic gears , we did highlight the delays in terms of from steel sectors . If you can touch upon the various other sectors we cater to from sugar, power, cement , how are things standing out there and because we see the order book kind of building up from INR600 crores last year to INR900 crores. So, across sectors, is the execution expected to be delayed , gradual , if you can just touch upon that ?

Dipak Dalwadi: Moving forward the executions are not being delayed because for the domestic, now there is visibility and we are having a good orders in the on hand and at the same time, good orders in the pipeline also. So, we anticipate that there won't be any delays in , I mean, deliveries for the power sectors and for the cement and steel, because steel is also now expanding their execution s. And power, of course, they are demanding the projects to be closed very fast. So, they all are demanding. So, I do n't see any delays in delivery for the power sectors and cement , steel sectors.

Pratik Kothari: And how about the cement , sugar?

Dipak Dalwadi: Cement is stagnant as such, but even though we are getting good orders from 2 -3 major contractors . But cement they are more in the brownfield projects than the greenfield. So, they are moving at their own pace. And sugar industry is now, because of this, we are anticipating good orders from the sugar beca

use now with gas and these petroleum, we are facing we may face problems from this war situation. So, ethanol will be now on the demand. So, we are also anticipating good demand from the sugar also.

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Pratik Kothari: Correct, correct. So, one of margins I mean, usually, our engineered products are in I mean when you look at the mix, it is usually in 50s. I mean, this, I think, was a different year where we saw it at 45%. So one, if this goes back, I mean, why aren't we guiding that our margins will go back to the earlier numbers?

Dipak Dalwadi: I mean, we will sustain the margins . But at this moment, we are not I mean...

Management: Generally, when we calculate the margins, what we projected at the beginning of the year , we, based on the EP and CP is the 50-50 standard we considered . But during the year, the orders we received in the catalogue product was the delay from the customer side of the projects they have. So, catalogue product orders we received much more than the engineered product . In the beginning of the year and the second part of the year. So, that's why that execute in the same year, but the EP products order we have in hand on the 31st of March of 2026. So, it may be executed next year sometime.

Aayush Shah: Just to clarify what Ashish is saying, what we are not giving clear guidance that we expect it to go up simply because of the current geopolitical scenario and we don't know how it could pan out. But if all the domestic orders go smoothly and what demand we are expecting comes in, you are right, we will be able to go back to the EBITDA levels that we had suggested even earlier, which is close to 22% to 24%.

Pratik Kothari: Right, right, right. And the last one capex ...

Moderator: Sorry to interrupt you . Mr. Pratik , sorry to interrupt you. Could you please kindly come in the follow -up -- in the queue for follow -up questions?

Pratik Kothari: Done. Okay.

Moderator: Thank you. We have the next question from the line of Aman Soni from Nvest Analytics Advisory . Please go ahead.

Aman Soni: Thanks for the opportunity. First question , do we have any applications for order visibility from

the nuclear side?

Aayush Shah: Sorry from the?

Management: Nuclear side.

Aayush Shah: No, we don't.

Aman Soni: Okay. And secondly, you are mentioning that visibility is there in the domestic market, particularly from the steel and the power, and things are improving. Then I am not able to understand why are we not getting any real guidance on that part, maybe on the growth side, as well as the margins front for FY27?

Chintan Shah: We have a strong order book, right? But we have our own learning in the last two quarters where despite having order books, there were delay in the dispatch schedules and all. So, we have,

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based on that learning, decided to stay at least for a few months, till the time we have clarity on the situation that we have.

Aayush Shah: The situation is quite good till at the moment, where we see that there is a possibility that everything will be smooth going forward. Again, I believe yesterday or today, we have seen conflicting news and information. So, this is the reason we want to keep a hold on that for right now. And once things clear out, we will be able to give you a much clearer picture.

Aman Soni: Okay. Got it. And because of all this scenario in the Middle East, there must be some infra redevelopment requirements, right? Do you people see any history of that, like some new orders may be coming in because of this infra redevelopment that will be required in the Middle East?

Aayush Shah: Yes. There is no doubt that there will be a strong requirement going forward once everything clears out. But which direction it is going in, we are

still not sure based on how the outcome goes

ahead. So, while you are right, there is a possibility for a significant uptick in orders from the Middle East, we can't guarantee that which way it's going to go until the war situation.

Aman Soni: Got it. And regarding the defence orders, specifically that aircraft carrier that we were expecting by FY27, what is the current update on that sir?

Dipak Dalwadi: Yes, so Shipyard already got the orders from the Indian Navy. So, anytime in the Q1, they are going to release the RFP. And then we are expecting orders to come by Q4 of the financial year.

Aman Soni: So, it is getting delayed, right? Because earlier I think you mentioned Q2 of FY27?

Dipak Dalwadi: It is a little bit deferred from the defense.

Aman Soni: Okay. And what about the P-17 Alpha, sir?

Dipak Dalwadi: P-17 Alpha also they have deferred, but it may come in the financial year of '28, around Q3. Because even shipyard have not even received the RFQ.

Aman Soni: Okay. Got it. So, all in all, can we expect marginal growth over FY26? Or there can be a scenario of degrowth as well in FY27?

Aayush Shah: No, we are not expecting any degrowth to happen compared to FY26. We are expecting growth. The amount of growth is currently what is under question. But otherwise, we are expecting growth.

Aman Soni: And how confident are you on the margins front? Like, you will be able to at least maintain or grow it from FY26?

Aayush Shah: From FY26 we will be able to definitely maintain or grow it. We are expecting growth, but the geopolitical situation will control it a little bit. What we are anticipating there is going to be an increase in some raw material costs or logistic costs. We are already filling that into our new orders. So, that shouldn't affect us.

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Aman Soni: And any kind of supply chain issues are you people observing right now because of the Strait of Hormuz closure and all? That can further lead to some problems maybe in the margins front or the execution of the orders?

Aayush Shah: Generally, for our domestic orders, we don't see that happening. Only wherever there is something in the Middle East, we expect that to be affected. So, our overseas entity, which is in UAE, that one will be affected. But our other entities and domestic operations, we don't see it affecting us.

Aman Soni: Got it, sir. Thank you very much, sir, and all the best for the future.

Moderator: Thank you. We have the next question from the line of Ashwani Sharma from Emkay Global Financial. Please go ahead.

Ashwani Sharma: Yes, good evening, sir. Sir, my first question is on the inquiry pipeline, which you indicated that we have a healthy inquiry pipeline. Is it possible to quantify for both the segments, gear and the

MHE?

Chintan Shah: Yes, so as on June 4 FY26, the open orders that we had for the Gear Division was about INR894 crores. And for the same period last year, what we had was about INR583 crores. If I look at the MHE Division, for Q4 FY26, it's roughly about INR398 crores versus what we had in Q4 FY25 is INR365 crores.

That's how it's about totaling to about INR1,292 crores of open orders we have as on 31st March 2026 versus what we had as an open order book of about INR948 crores as of 31st March 2025.

And basically, this only gives us the confidence in a lot of the questions that are being raised right now in terms of how we maintain the margins or revenue. So this is one of the m.

Ashwani Sharma: I was referring to the inquiry pipeline which did not get converted, which got deferred because of geopolitical reasons.

Kaushik Patel: Okay. Yes. For MHE, yes, we have a good inquiry inflow. If I am quantifying, it is more than INR1,000 crores inquiry we have right now for various sectors.

Dipak Dalwadi: And for the Gear Division, it is very good news for all of us

that in the first week itself, we are having whatever inquiry was in the pipeline it is converted -- going to be converted in the order in 1- or 2-days' time. We have already got the LOI. So, it's a very single largest big order ever got in the industrial gear business market. So that is, in few days, you will get the good news.

Ashwani Sharma: Okay.

Dipak Dalwadi: From the power sector.

Ashwani Sharma: Okay. And secondly, since deferred revenue when you talk about, is it possible to quantify how much was that?

Chintan Shah: We are at the last leg and we are having an LOI right now. We would like to publish further details once the things materialise.

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Ashwani Sharma: Okay. The second question I had on the MHE. If you look at the growth trajectory of MHE, I think it's been very, very strong in the last 4 to 5 years. This year, I think obviously there is some moderation in terms of order inflow and that we see in the order backlog as well. What kind of growth one should estimate given the fact that power in the space is doing really great, thermal especially? From an estimation perspective, what kind of growth should we assume going ahead within the next two to three years? Is it possible to quantify?

Kaushik Patel: As I mentioned that we have a good inquiry flow for the MHE business. Definitely, that power sector is going to help us to grow further. But at this point of time, I can only assure you that whatever growth trajectory we have shown in the last two, three years, we can definitely continue with the same pace and growth percentage.

Ashwini Sharma: All right, sir. All the very best to you. Thank you.

Moderator: Thank you. We have the next question from line of Pathanjali Srinivasan from Sundaram Mutual Fund. Please go ahead.

Pathanjali Srinivasan: Hello, sir. Thank you for the opportunity. I have a couple of questions. So firstly, with respect to the increase in prices of input costs, how do they get passed on with respect to the order book business because you would have taken the order some time back, right?

Aayush Shah: In those cases, we would have already placed the orders or secured the prices for the raw material as soon as we received the order because we were expecting this situation to take place. So, to safeguard us, we have already taken action as soon as we have received.

Dipak Dalwadi: Our execution cycle is also not long. So, it will be taken care of. Whatever orders are on hand, we have already placed the order and we are executing. So, even suppliers are not in a position to claim what is their need actually. So, it is all the pending orders, we taken care.

Pathanjali Srinivasan: Whatever inflation is there has already taken care of already with respect to order book. So, there will not be much impact in terms of margins for whatever existing business you have. Is that the correct way to understand?

Dipak Dalwadi: Yes. Yes.

Pathanjali Srinivasan: And one more question with respect to our current order book, Gear and MHE segment. What would be the segments where we have a sensible point? Let's talk two to three segments.

Dipak Dalwadi: Power, steel and cement. These are the three main sectors where we are seeing good demand.

Pathanjali Srinivasan: Okay. And within this, you are saying there is a slowdown or something with respect to steel, right? Could you explain a bit on that?

Aayush Shah: There was a deferment of delivery that was requested from the customer end. The orders were, the gearboxes were ready in that case, but we could not deliver it to the customer and we could not invoice because of that. So, there are a few cases where there was deferment, but it will be cleared in Q1 and ...

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Pathanjali Srinivasan: Okay, Got it. Thanks.

Aayush Shah: T

his is a usual phenomenon. It can happen, but specifically because of the geopolitical situation, it was affected even more.

Moderator: Thank you. We have the next question from the line of Rohan from Envision Capital. Please go ahead.

Rohan: Hello. Thank you, for the opportunity. So, sir, you mentioned that in sugar, given the geopolitical issues related to crude prices, we expect strong demand going forward, and order excess going forward. Can you explain a little bit more? Because what we are hearing from some other players is that there is excess capacity built in, in the country for ethanol. So, how should one look at it? Thank you.

Dipak Dalwadi: No, actually, because of this war situation only we anticipate that if it continues till further, then there will definitely be a lack of supply for the gases and the petroleum. So, that's why we anticipate that there will be demand for ethanol and we will need to produce more and more ethanol. That is all anticipation.

Rohan: Okay. Okay. Understood. Thank you.

Moderator: Thank you. We have the next question from the line of Manish Goyal from ThinkWise Wealth Managers. Please go ahead.

Manish Goyal: Yes. Thank you so much, sir. Sir, this is particularly for the Gear business margins. As you provided the revenue mix for quarter 4 where catalogue was 55% and engineered was 45%. But, sir, if I look on Y-o-Y basis and compare with Q4 of last year, your catalogue has actually come down from 60% to 55% and your engineered product has improved from 40% to 45%. So, I just do not understand why there is such a margin impact.

And also, a related question which you earlier alluded to in terms of development orders from the Navy which are being implemented and have lower margins. So, what is the impact? What is the size and what kind of these development orders are you referring to? Is this something related to your P-17 Alpha orders or if you can highlight that?

And, sir, if we see your overall margin for the entire year for the Gear business, what we have reported in FY26 these margins are in fact lower than what was reported in FY22. In FY22, you were roughly at a 20% margin and which increased to 26% in FY24 and now has fallen to 18.8%. So, how do we see this going forward, sir? I would really appreciate if you can provide perspective on this. Thank you.

Management: Yes. Your first question for the engineered products versus catalogue products. So, yes, we have done, the catalogue products 55% and engineered products 45%. We have better margins in the engineered products. But this year, we could not execute the order, or we couldn't supply/dispatch the orders to the customers because of the customers' requirements.

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So, the margins are not reflecting in our financials. Despite because we have some inventory of the engineered products so it will and we have not invoiced during the quarter and during the year. So, because of this, the margins have not improved this year against the last year.

Manish Goyal: So, what is this number, sir? How much of these orders? Earlier you had mentioned INR77 crores. So, I just want to reconfirm how much of these orders are pertaining to Gear business and engineered products?

Management: Almost 50% of the open orders we have in engineered products. But the inventory we have is around INR45 to INR46 crores. That includes the margin because we are valuating the inventory at cost. So, around 25% to 30% margins, if we consider them in the inventory, when we are invoicing. So that is not reflecting in the financials.

Manish Goyal: Okay, okay. And so just to complete my earlier question on the five-year picture where your margins are lowest right now. Ideally, sir, do you really expect that margins should revert to your green level of 23%-24%? Now with your dispatches improving, you will

probably get

operating leverage with the revenue growth. So, in FY27, do you expect the margins to improve, sir?

Management: If you compare with FY22-23 because India was in a growth trajectory, the capex was going on and it is still going on. We were getting good orders in engineered products. So, that's why margins were good at that time. Now we are also getting orders in engineered products, but that was not reflected in the invoicing this year. So, that's why the margins are not reflecting.

The second thing is R&D cost because we are developing some new products. If you see our

investor presentation, we have taken four patents and we are applying for three more patents. So, we are also working on R&D to develop new products and upgrade existing products. So, we are also spending some cost there.

Manish Goyal: And what is pertaining to the development orders, sir, what you referred to earlier? In earlier calls also you had mentioned that there is a couple of percentage point margin impact due to some orders related to the Navy. So, if you can just clarify on this.

Management : For the navy orders, we will come back to you.

Manish Goyal: Sure. And last question on the MHE margins, sir. How do we see that sustainable? Because now for MHE margins, you are adjusting the inter -segmental numbers also. And after that, you are providing the margins in the presentation. So, what is the sustainable margin for MHE? Would it be at 22 %-23% going forward? Considering now that equipment contribution will increase and your spare parts may not grow in the same pattern as your equipment business.

Management : Considering the revenue mix, as you mentioned, the sustainable margin is around 20% to 22% in between .

Manish Goyal: Okay, sir. Thank you so much.

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Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question. I would now like to hand the conference over to the management for closing comments.

Management: Thank you all for taking the time to join our investor call today and for your continued trust and engagement. While the Gear Division experienced a temporary moderation in performance in FY26 due to execution timing factors, the underlying fundamentals of the business remain strong.

At the same time, the MHE division continues to demonstrate consistent growth momentum and has delivered revenues ahead of the guidance set for the year , supported by robust demand across these sectors and has strong execution pipeline . With two well -established divisions, the business remains structurally balanced and is not reliant on a single segment for the overall performance. Together, both the divisions position up well for sustained and resilient growth going forward.

As previously communicated, we will not be providing forward -looking guidance for FY27.

However, our strategic priorities remain unchanged, focused on disciplined execution, operational efficiency, prudent capital allocation, and strengthening our presence in high growth markets.

Despite near -term challenges, we remain confident in our ability to take advantage of long -term growth process and to deliver long -term sustainable value to our stakeholders. Thank you once again for your participation and continued support. Should you have any further questions, please feel free to reach out to our CFO. Thank you and have a great evening.

Moderator: Thank you. On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## Call: Jul 2026

18th July, 2026  
To,

The Manager (Listing),  
The BSE Ltd.  
Mumbai The Manager (Listing),  
National Stock Exchange of India Ltd.  
Mumbai  
Company's Scrip Code: 505700 Company's Scrip Code: ELECON

Sub. : Transcript of the Earnings Conference Call held on 13th July , 202 6  
Ref. : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015

Dear Sir/Madam,

With reference to the above referred Regulation and in continuation of our letter dated 7th July, 2026, please find attached herewith the transcript of the Earnings Conference Call held on 13th July, 2026 for Q 1 of the Financial Year 2026 -27.

The same is available on the website of the Company at  
<https://www.elecon.com/investors/audio-video-recordings-and-transcripts-of-post-earnings-quarterly-calls> .

You are requested to take the same on your records.

Thanking you.

Yours faithfully,  
For Elecon Engineering Company Limited,

Bharti Isarani  
Company Secretary & Compliance Officer

Encl.: As above

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Q1 FY27 Earnings Conference Call "  
July 13, 202 6

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MANAGEMENT : MR. CHINTAN SHAH – CHIEF FINANCIAL OFFICER –  
ELECON ENGINEERING COMPANY LIMITED  
MR. DIPAK DALWADI –HEAD GEAR DIVISION –  
ELECON ENGINEERING COMPANY LIMITED  
MR. KAUSHIK PATEL –HEAD MATERIAL HANDLING  
EQUIPMENT DIVISION – ELECON ENGINEERING  
COMPANY LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Elecon Engineering Company Limited's Conference Call hosted by Emkay Global Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. Abhishek Taparia, Emkay Global Financial Services Limited. Thank you and over to you.

Abhishek Taparia: Good afternoon, everyone. I would like to welcome the management and thank them for this opportunity. We have with us today Mr. Chintan Shah, CFO; Mr. Dipak Dalwadi, Head of Gear Division; and Mr. Kaushik Patel, Head of Material Handling Equipment Division. I shall now hand over the call to the management for the opening remarks. Over to you, gentlemen.

Chintan Shah: Thank you Abhishek. Good evening and a very warm welcome to Elecon Engineering's Q1 FY '27 Earnings Conference Call. Joining with me today are Mr. Dipak Dalwadi, Head of Business Gear Division, and Mr. Kaushik Patel, Head of Business for MHE Division. Our earnings press release and investor presentation have been submitted to the Stock Exchanges and are also available on our website. We will start by sharing an overview of our business. This will be followed by a detailed review of our financial performance, after which we will be happy to take your questions.

Elecon Engineering today stands among Asia's leading manufacturers of industrial gear solutions and material handling equipment. It is built on decades of engineering excellence, deep domain expertise, and trusted customer relationships.

In our Gear division, Elecon continues to maintain a leadership position in India's organized industrial gear market, offering one of the industry's broadest product portfolios across sectors such as steel, cement, power, and marine.

Our Material Handling Equipment division is backed by over 75 years of experience. The division possesses the capability to design and manufacture large, complex, and high-capacity equipment such as wagon tipplers, stacker reclaimers, crushers, and specialized conveyor systems.

Our key differentiator is fully integrated manufacturing model where every critical process from drawing to design to manufacturing to testing to quality control is carried out under one single roof. Today Elecon serves customers across more than 95 countries through its domestic operations and overseas subsidiaries. It provides us with a diversified growth platform.

With that, I would like to hand over the call to Mr. Dipak Dalwadi and then to Mr. Kaushik Patel to discuss the performance of the gear and MHE division respectively.

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Dipak Dalwadi: Thank you Chintanji. The Gear division which contributed nearly 80% of our consolidated revenue to INR416 crores during the quarter delivered a strong performance with revenue growing by 16.3% year-on-year. The growth was underpinned by steady execution of our order book and supported by a gradual improvement in the international market.

The international market has accounted for nearly 36% of our consolidated Gear division revenue showing a robust growth of 37.6% Y-o-Y. Similarly, the growth momentum can also be seen in our order inflows and our open order book. The consolidated order intake increased 18.8% year-on-year to INR570 crores during the quarter.

Moving on to our open order book, which currently stands at INR1,043 crores, is up 46.9% year-on-year, providing strong revenue visibility and giving us confidence in our growth trajectory over the coming quarters. This demand shown in across key user industries.

However, the major

key contributors were from power, steel, cement, and MHE. Specifically, the power sector has contributed approximately 27% in total order intake in the form of a large single order which was mentioned in during our Q4 FY26 con-call.

As we look ahead, the business environment continues to remain encouraging. Enquiry activity has been healthy and order inflows are showing steady improvement across both domestic and

international markets. Demand across our key user industries continues to strengthen, providing greater visibility for rest of the financial year. We remain confident in Gear division's ability to build on this momentum and deliver sustainable growth going forward.

With that, I would like to hand over the call to Mr. Kaushik Patel, Head of our Material Handling Equipment division, who will take you through the performance of MHE business. Thank you.

Kaushik Patel: Thank you Dipak ji. The MHE division reported a marginal decline in revenue during the quarter with revenue moderating by 2.9% year -on-year. This was primarily on account of project execution delays. Nevertheless, the underlying business momentum remains encouraging. Our healthy order book and improving order inflow provide the strong visibility for the quarters ahead.

During the quarter, order intake witnessed a significant growth of 38.1% year -on-year reaching INR185 crores . The order intake was primarily driven by the strong demand from power, cement, followed by port, reflecting the continued investment momentum in these key end -user industries.

Our open order book stood at INR475 crores as of June 30, 2026, reflecting a 18.8% increase compared to the corresponding period last year. These indicators reinforce confidence in the division growth trajectory as project execution gathers pace. We continue to see encouraging enquiry activity across the key sectors which provides confidence in the medium to long -term outlook for the division.

We are pleased to share that the MHE division has secured a overseas order worth approximately INR21 crores in port industry, reflecting the growing acceptance of our capability in international market.

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With that, I would now like to hand the call back to Mr. Chintan Shah, who will take you through Elecon's financial performance in greater detail. Thank you.

Chintan Shah : Thank you Kaushik bhai. I will now briefly review our consolidated financial performance for the quarter. Before I begin, I would like to highlight that all year -on-year growth comparisons are based on Q1 FY '26 adjusted performance. The Q1 FY '26 numbers have been adjusted to exclude the impact of INR25 crore s towards arbitration award, the additional INR10 crore s towards arbitration claim settlement recorded under other income, and also excludes the one -time exceptional income of INR80 crore s arising from the unrealized mark -to-market gain on the reclassification of investment, which was recorded below PBT as exceptional income. Income of INR25 crore s & INR10 crore s, are pre -tax and INR80 crore s is post-tax numbers that we have excluded.

For the quarter ended June 2026, Elecon reported consolidated revenue from operation of INR521 crore s. This represents a healthy year -on-year growth of 11.9% over adjusted revenue of INR465 crore s in Q1 FY '26. This performance was primarily driven by the gear division, which returned to a stronger growth trajectory during the quarter.

During the quarter, our revenue mix witnessed a shift. Our overseas business contributed INR151 crore s, which was approximately 29% of consolidated revenue. This reflects the improving momentum across our international markets, while the domestic business environment remained relatively muted.

Despite a spike in input cost due to geopolitical tensions, our consolidated EBITDA remained resilient

and grew by 3.9% year -on-year to INR109 crore s. EBITDA margins remain stable and sustainable at 21%, reflecting the strength of our business model, disciplined cost management, and continued focus on the operation efficiency.

Profit after tax stood at INR70 crore s with the margin of 13.5% registering a growth of 2.3% year-on-year.

Our consolidated order intake increased by 23% year -on-year to INR755 crore s from INR614 crore s in the corresponding quarter of the previous year. Our consolidated open order book also strengthened significantly, rising 36.8% year -on-year to INR1,518 crore s, providing a healthy revenue stability for the quarters ahead.

Now moving on to the divisional performance, I will begin with our gear division. In gear division, we delivered a stronger quarter with revenue increasing to INR416 crore s, up by 16.3% year-on-year. This reflects healthy execution and sustained demand across all our key markets. EBIT grew by 14.7% year -on-year to INR75 crore s. Despite higher input cost during the quarter, we maintain a resilient EBIT margin of 17.9% through disciplined cost management and operational efficiencies.

Moving now to MHE division, MHE division reported revenue of INR105 crore s during the quarter compared to adjusted revenue of INR108 crore s in Q1 FY '26. This represented a marginal decline of 2.9% year -on-year. As highlighted earlier, the moderation in the revenue

was primarily due to temporary delays in the project execution. EBIT for the quarter stood at INR27 crore s, declining by 25.3% year -on-year.

This was largely due to sales mix during the quarter coupled with the increase in the input cost and delayed execution of few critical orders. However, the underlying fundamentals of the division remain strong and we are confident of the MHE business regaining the momentum in the coming quarters. The strength of our order pipeline, the healthy order intake, and robust enquiry levels provide us with the strong visibility and confidence for the quarters ahead.

Moving on to our overseas business, we delivered a strong performance during the quarter. This was supported by improving market conditions and gradual easing of geopolitical tensions.

Overseas revenue increased to INR151 crore s from INR124 crore s in the corresponding quarter of the previous year. This registered a year -on-year growth of 21.9%.

The momentum was equally encouraging on the order front. Overseas order intake grew by 63% year-on-year to INR194 crore s with INR21 crore s contributed by the MHE division. Our overseas open order book is now strengthened significantly. It has increased by 73% year -on-year and it has reached to INR256 crore s as of June 30, 2026. This provides healthy visibility for the future growth in this market.

Moving on to balance sheet and capital allocation, we continue to maintain a strong balance sheet with a net cash position of approximately INR700 crore s. We also remain committed to our previously announced capital expenditure program of approximately INR400 crore s over FY '26 to FY '28. The capex program remains on track.

As we progress through FY '27 and complete our first quarter, this is a time for us to provide full year guidance.

Given the ongoing macroeconomic uncertainty and limited near -term visibility, we are targeting to have a low double -digit consolidated revenue growth while maintaining the EBITDA margin as it we had it in the last year. This is supported by healthy order b ook, strong enquiry pipeline, and disciplined execution and w e remain confident in our long -term growth prospects.

With that, I would now like to open the floor for the questions.

Moderator: Thank you sir. We will now begin the question and answer session. The first question comes from the line of Shubhi Gupta with Trin etra Asset Managers. Please go ahead.

Shubhi

Gupta : Good afternoon sir. So my question is that our MHE division margins fell this quarter, so wanted to understand how much of that is from product mix change and how much is from the higher costs? My second question is that our 29% of our revenue is coming fr om international markets, so I wanted to understand does this business carry higher margin profile than the domestic business?

Chintan Shah : Yes, so coming back to the margin decline, there are three factors which has contributed to margin decline when it comes to MHE business. One is the shift in the sales mix, second is the input cost increase, and third is overall revenue degrowth.

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Our data suggest that it's almost 2.5% to 3% margin decline is because of the input cost increase, almost 3% margin decline we see is because of the change in the sales mix, and the rest 3% we see the balance is decline because of the lower throughput volu me for the quarter for the MHE division .

Coming back to the export market, we do have slightly higher margins on the products that we supply to the exports market and we continue to see that margin profile for the coming quarter also.

Shubhi Gupta: Sir, what should be the sustainable margins for MHE division going forward?

Chintan Shah : We are seeing a 22% to 24% EBITDA margin for MHE business for the year as a sustainable margin.

Shubhi Gupta : Just one more last question. So I see that we have few patents that we have applied for, so just wanted to know what are the commercial prospects for the same?

Chintan Shah : We have these patents which are we have applied for, but we would not like to openly discuss the kind of markets that we are targeting and the segments we are targeting as of now, so we'll remain silent on that.

Shubhi Gupta : Sure sir. Thank you.

Moderator: Thank you. The next question comes from the line of Balasubramanian from Arihant Capital . Please go ahead.

Balasubramanian: Sir, thank you so much for the opportunities. Sir, on the international revenue side, it's grown nearly 22% this quarter. Could you please talk about which are the geographies majorly contributed for this growth? Also, you can talk about Middle East impact on the international revenue side. Is there any specific end markets within Middle East regions like oil and gas and infra driving this weakness? And when we can expect the recovery in the Middle East side?

Chintan Shah : Right. So bulk of the growth that we see right now in this quarter has come from Middle East as well as US , and both these growth we have because some of the orders which were on hold in Q4 last year because of the improvement in the macroeconomic conditions, the hold has eased out and so we have started doing the dispatch. This is number one.

Number two, if we look at the open order book as well as the nature of and the quantum of the enquiries, we also see that both these regions witness a stronger traction. What was your next question?

Balasubramanian: In Middle East, like which are the specific end markets like oil and gas, infrastructure, which are the things we are seeing weakness and growth?

Dipak Dalwadi: Mainly it's cement and mining and minerals.

Balasubramanian: Yes. Sir, goodwill related to 2010 -'11 Benzler Radicon Europe acquisitions was impaired. That balance sheet is around INR102 crore s in FY25, it's reduced to nil in FY26. Also, a tax deduction

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of GBP 1 million remains over 5 years in the UK entity . So I'm trying to understand or like does this goodwill impairment have any cash tax impact or it was purely a non -cash accounting charge? Whether we can expect any future tax benefits from this write -down? And is there any changes in our future acquisition strategy?

Chintan Shah : So I will break your question into two parts. One is t

he tax impact on the goodwill and secondly

on the acquisition strategy. In the year ending on 31st March 2026, we did the impairment of goodwill, but we did the impairment in the consolidated financial statement. The goodwill which was recorded as an asset in the local books of accounts in UK entity, there is a tax deduction which is available and we have been claiming on a yearly basis by way of amortization.

So the accounting impact of the impairment of goodwill is purely a non -tax, there is no tax impact of this impairment of goodwill. There is a marginal amount of goodwill which is now left as a book value in a UK entity that we have it and we will continue to amortize over the balance years which are like 3 to 4 years now.

Coming back to the acquisition opportunities, we are not actively looking for any acquisition opportunity in European region, especially where the opportunity demands significant investment in a manufacturing setup. So this is what all we can communicate right now.

Balasubramanian: Okay sir. Sir, then thirdly small questions. On the defense side, if we are taking order, it would take execution of at least 2 to 3 years, while other sectors it might be less than a year. So I'm trying to understand what is the working capital cycle difference between defense and other sectors? Is there any upfront investment required in the defense side?

Chintan Shah : Yes, so we have done the investments over the last 3 to 4 years where we have kind of created a dedicated not just the manufacturing setup but also the business and operating vertical for the defense. In terms of working capital cycle, naturally if we have a execution timeline over 2 to 3 years, the working capital for that particular business will have a higher number of days.

But that being said, what we are communicating is that the total order that if at all we receive, we will execute over 2 to 3 years. So within those 2 to 3 years' time, we can always plan our manufacturing in line with the dispatch schedule and try and see how we can keep our working capital at the minimum level.

So in the past also we had similar execution of the orders where working capital was, increased by 15% to 20% compared to overall gear division that we had it. So this is how we see it right now. But at the same time with the margins slightly higher in those kind of orders, we'll be able to absorb the cost of the working capital interest for that particular business.

Balasubramanian: Got it sir. Thank you.

Moderator: Thank you. The next question comes from the line of Raj Shah with ENAM AMC . Please go ahead.

Raj Shah : Yes, am I audible?

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Moderator: Yes sir, you're audible. Please go ahead.

Raj Shah : Yes, thank you for the opportunity. So my first question was regarding the margins. As you

mentioned that in MHE there have been two -three reasons why margins have declined, but on console level also if we see there has been a decline in gross margins. So if you can explain within gears why there was no margin growth despite having the revenue growth?

Chintan Shah : Yes, so within gear the margin growth has not happened because whatever growth that we could see that has been dragged by raw material price increase at the gear business also and that is the reason it has slightly lower margin or maybe I would say it's a same margin percentage in gear compared to last corresponding quarter.

At the same time what we see is that in a gear business for the full year last year we did a EBIT margin of about 18.8%. Right now we are at 17.9% EBIT margin. So we are hopeful that we will be able to regain the margin loss that we had we are seeing it right now. Similarly for MHE if you look at, if we compare for the last corresponding quarter, then yes there is a margin decline.

But we also had published over the last year the results on

MHE division and categorically said

that Q1 was a quarter with the exceptional margin because of the couple of orders that we had it. So if you look at MHE division for the full year FY26, we had EBIT margin of 24.7%. So against that we are at EBIT margin of 25.6%. So which is broadly in line with what we are we were expecting for this quarter and this year going forward. I hope this answers your question.

Raj Shah : Got it. Secondly on the revenue growth, I was not able to understand if our order book is up by 37%, our order inflows are up by 23%, I think we are running on record order books now, then why are we guiding only for low double -digit revenue growth?

Chintan Shah : I'll tell you what happens is this. This quarter Q1 and again the way we see Q2, we see the quarter with the high input cost and we are not talking about a minor increase, we are talking about significant increase in the raw material price. So with this kind of increase in the price, the time taken for converting the enquiries into order has significantly increased and that is the reason even if we had a good order book in Q1, we ended up with the very high order book and we could not convert the order book into the revenue. So this is number one.

Secondly in the Q2 also we are seeing that we will pick up, the market will pick up, but it will still gradually pick up. So we are expecting Q2 also with the improvement, but not that a stiff percentage improvement. So Q3 and Q4 is what we are expecting to improve significantly when it comes to market's acceptance of the stabilized prices.

Raj Shah : Okay, got it. And within material handling you mentioned that there is some even in the press release that there is some execution related temporary moderation that you are seeing. So can you go little specific in which kind of orders, is there any large order where you are seeing some kind of delays and by when, do you see the pace increasing to the normal?

Kaushik Patel : Yes, Kaushik here. In MHE yes, there are I think two big order we have. In fact in MHE let me give you the update, all the products are customized and the major business we are getting it Elecon Engineering Company Limited

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from power sector. In fact what two orders I am talking about those are related to power sector.

So normally design engineering taking much time.

In fact in this particular case in fact we were expecting to get our design engineering clearance

I think in beginning of quarter in month of April itself, but somehow we could not get success.

So design engineering taking much time for end customer and we are not directly linked with the end user, it is through the main contractor who are taking complete EPC. So there are number of hierarchy and that is the reason it is taking time. But, of course, over the period I think in quarter 2 yes, we will see some progress on it and we will get good amount of revenue in Q2 from those orders.

Raj Shah : Okay, got it. Lastly for this gears can you give us a break -up of catalogue and engineered products?

Ashish Jain: Sorry. So for the quarter catalogue product given the revenue mix is 54% for the catalogue product and for the engineered product it is 46%.

Raj Shah : Okay. Thank you. I will get back in the queue.

Moderator: Thank you. The next question comes from the line of Abhijeet Singh with Systematix. Please go ahead.

Abhijeet Singh: Yes, thank you for the opportunity sir. Sir, first question could you give us the split of the geographies in terms of the export revenues for the full year?

Chintan Shah : For the full year means you are seeing a guidance to be broken into respective geographies?

Abhijeet Singh : No sir, this year FY 26 export revenue to be broken down into geographies?

Chintan Shah : Okay, FY26 to be broken down into geography. Okay, so almost INR66 crore s we had it from Middle East, almost INR102 crore

s we had it from Radicon USA, UK contributed again INR102 crore s, we call it Benzler Europe group where we had INR171 crore s and Singapore about INR22 crore s.

Abhijeet Singh : All right. Sir and in terms of the commodity price impact on our margins, so have we taken any price hikes in any of the segments?

Chintan Shah : Yes, so the most of the orders that we have accepted in Q1, these are with the price increase. And the moment we have the orders acceptance, we have a back -to-back strategic tie -ups with all our key raw material suppliers where we lock the raw material prices.

Abhijeet Singh: Right. I'm just trying to understand why in the MHE division we have seen a larger impact compared to the gear division. What are the dynamics that play out that bring out these differences?

Chintan Shah : So MHE as just we discussed, it's purely an engineering business there is no EP and C P. In gear we have a EP plus where more than 50% close to 50%, 54% comes from a catalogue product and in catalogue products we have a price list which is refreshed on every month by month basis .

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So imagine a business where 55% of the revenue comes where the prices are always almost a latest prices and that's how your 50%, 60% of the impact is diluted. The second is the EP business where we have also had the raw material price locking which we had done it . So that's how the impact in the EP business is also reduced.

When it comes to MHE, what happens is that it is a business which involves a lot of customization and it includes a working at the project level. So when we are talking about the conveyor belt system, the wagon tippler, the crushers and everything, it is installed in a integrated way at the at the particular client's location.

So there even if we try to lock the raw material, there are also other components than the raw material which includes our delivery cost which is like fuel cost, packing material cost, so and so forth. So these are the reasons where we are seeing that there is a price increase impact which is broader in material handling equipment division versus what we see in a gear business.

Abhijeet Singh: Okay, thank you sir. And lastly, sir you mentioned that we have seen a large impact on the commodity front. But given our business I would assume the impact would be not as large maybe. So what would be the blended BOM increase in the in the cost, in the BOM cost?

Chintan Shah : So it all depends upon the product -to-product because see some of the so if I look at if I break down our key raw materials which are like cement -- which are like steel where we see 5% to 7% increase in a particular grades where we are operating. Some of the bearings we have about 6% to 7% increase, fabricated gear case in a case -to-case basis we do procurement from outside is about 7% increase and the tooling is also about 6% to 10%. So the combination of these materials can change the BOM cost, but on an average basis I would say there is a 5% increase the way we see as on today is a BOM cost increase.

Abhijeet Singh: Understood, sir. Thank you for answering the questions.

Moderator: Thank you. The next question comes from the line of Pratik Kothari with Unique PMS. Please go ahead.

Pratik Kothari : Hi, good afternoon and thank you. So my question specific on the India or the standalone business in gears. I mean if we look at last few quarters the growth there has not been very high, I mean low single digits, while the order book etc etc has been building out. So if you can just call out, I mean these are some legacy orders which are not going through, customers is asking something because earlier our execution also used to be very quick. So just something about here what by the winning orders, the order inflow also is very strong, but the execution is not happening?

Chintan Shah : Yes, so if w

e look at couple of events which has happened last year, I will be able to relate it more with the last year. Say last year we had a good starting in Q1, but immediately from Q2 onwards we had the tariff from US side. That event significantly impacted the order pipeline that we had it.

And the Q4 event which happened between US and Iran. So two major event which has happened a gear division. Typically gear division compared to MHE, MHE has a long lead time

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and so whatever orders which we receive from MHE we are able to convert. In the gear which is not the case.

I mean if you look at CP itself catalogue product which is on a monthly price list basis, that also goes down that we are not able to -- we were not able to grow it the way we wanted and so is

the EP. So even in the current quarter, even if we are sitting on a very healthy order book for the gear division, a bulk of the order has been received in May second part and the June.

And that is why we have not been able to convert these orders into the kind of the revenue that you would like to see. And that is the only reason we are having with the open order book of INR1,000 crore s plus. During the quarter itself if you look at the quality of orders, we have the order for 27% for CP business and 73% for EP business. So that speaks about the volume drop and the huge order book that we have on hand.

Pratik Kothari : And on this segment's margin again. So like yes while you compare it to last year to those 18% odd, but this same segment used to report 24 %, 25%, 26% margins. I mean one part I understand this depreciation and the cost I mean the capex that has gone through . EBITDA level on this standalone gears it's materially lower than what it was 2 years, 3 years back.

And just to supplement this we called out that EP order book like you said this quarter has been strong, last quarter also we had called out EP has been strong, exports should be stronger. So why only match last year's kind of margins? I mean and do we ever go back to those numbers that we saw for three -four years in mid -20s?

Chintan Shah: I think our immediate focus is on the current year where we are giving a guidance where we are saying that we'll be able to reach back to the margins that we had in the last year. If you ask me loosely speaking we should be able to maintain 24% margin EBI TDA margin for gear division. So, 1% above the current level about 18.8% is what we had in the last year, we should be able to somewhere around 19% to 20%, 20% on an average is what we are meeting at EBIT level margin for gear that is how we see it right now for a year plus one year from now.

Pratik Kothari: And lastly sir on exports from India, right? So for last three quarters we have seen material deceleration in exports. I mean last quarter we called out the war and hence we couldn't ship out things. Again this quarter I mean it's down 35 %-odd. I'm saying exports from India which is sub-INR30 crore s now. If you can just talk about what is happening there because this was a large focus area for us, we are focusing on OEMs, exporting things from here.

Chintan Shah: So we at a n organization level , we look at the total exports rather than the exports from India. The reason is we also have set up the assembly centers, multiple assembly centers outside of India. So the whole reason of setting up these assembly centers is to have the customers connect and customers proximity.

So that's how we are seeing it. Nevertheless when it comes to exports we are expecting a growth from now. In terms of the overall growth we will see a double -digit higher percentage growth at least for this year when it comes to exports.

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Pratik Kothari: And fair to assume this the assembly centers , these are all purely assembly, right

? So the main manufacturing happens here in Anand ?

Chintan Shah: Yes, but there are certain parts in those assemblies which are locally outsourced also because it is not cost effective for us to transfer from this location. So there is a lot of value addition which happens from those assembly centers.

Pratik Kothari: Correct, correct. No, fair enough. Thank you and all the best sir.

Chintan Shah: Yes.

Moderator: Thank you. The next question comes from the line of Prolin Nandu with Edelweiss Public Alternatives. Please go ahead.

Prolin Nandu: Yes, hi team. Thank you for giving me the opportunity. Just on this again the gear part, right, the mismatch between revenue growth and the order book growth and your guidance for the whole year, right? So you mentioned that you know there is a price inflatio n which has took place. Now last year also we called out that there have been some delays and the orders are more back -ended.

So when you think about the tenure of the order book or in what time this order book will convert to sales, how was it one year back, where is it right now? And from a point of view of the customer, right, like let's say for example he's building a large f actory, now he's not going to stop his capex for a 5% 6% increase in the gear cost, right?

So all these delays that you talk about the whole idea is that our product is so small in the overall scheme of things that such costs should be easier to pass on, right, especially in the gears part. So is our understanding wrong in how in the quality of our product or where it goes in the entire factory or you know industrialization cycle and also has the tenure of the execution of order book increased significantly versus what it used to be historically?

Chintan Shah: So coming back to I think I will divide your questions into multiple parts. One is what your observation about average BOM cost increase of 5% and our gear portion in the overall capex population of the customer. Your observation is correct , but the problem that we have is a large part of our business is routed through PSUs and typically PSUs are dependent on many factors,

the fiscal budgets released by the government and the fund allocation and all and not. We have a dependency on sectors like thermal power, cement, and the steel and all the three segments are dominated by many PSU sectors. And therefore any macroeconomic conditions or even the conditions at our own economy level disturbs the capex plan and which in turn delays the kind of the projections that we see for the gear business. So this is number one. Number two, if I look at the quality of order book today, almost INR1,050 crore s order book we have open order book for gear division. Out of that we see almost INR160 crores of the order book which are beyond FY27. Which is in line with typically the kind of order that we receive on year -on-year basis. We do not see any major shift i n this kind of timelines. So I hope I'm able to answer your question.  
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Prolin Nandu: No, so I w ant to double -check double -click on this, right? Steel, cement and power, right? In terms while I agree that in power it's lots of PSU, but in steel and cement most of the capex is done by private sector. And what is our share in , what is our share of the business which is coming from ...

Chintan Shah: So I'll give you an interesting story, right? The large part of cement industry is growing because a lot of initiatives on infrastructure is taken by a government. So cement is dependent on couple of things.

One is the infrastructure and secondly you might have heard about government building lot of dams across the Chenab River, there are four to five projects large scale which is going on since last one and half year. So lot of factors like this drive the exp ansion and the cement industry and also the steel industry.

And that in turn drive their capex plan and our growth plan.

Prolin Nandu: Okay, understood. What is the is there any competitive intensity which has gone up, right, which is taking us longer right for us to pass on the price increases in any segment do you see heightened competitive intensity? I am talking about the gear part of it, right, in a way. Anything that you want to call out, some of the MNCs are putting local plants here, right? So is that any which ways affecting our competitive position and our ability to pass on the increase in prices?

Chintan Shah: So there are two events happens whenever there is a abnormal price increase. The market works towards the corrections and then towards the acceptance. We have seen Q1 as more of a corrections and Q2 is more of we are seeing Q2 is more of a acceptance. Now let us take an example what do I am trying to convey.

Whenever there is a stiff price increase, the customer gets the quote and whenever the customer gets a quote, he would like to revalidate as much as possible. So there'll be always few players in the market who will be sitting on with the higher inventory. Higher inventory at a lower price or at the historical prices. And therefore the customers will try to squeeze Elecon as a company by taking the advantage of some of the competition sitting on the higher inventory.

So typically whenever there is a price increase of this kind of scenario happens, the market works towards the correction where the inventory level gradually goes down and every player in the market will then end up with the similar level of prices for the ir inventory. So we are moving through that phase.

In Q2 , we are looking over looking forward to have the acceptance phase. When it comes to the competition landscape where some of the multinationals are putting their facilities and doing expansion, I have Mr. D ipak Dalwadi to focus more on that. So Dipak ji can you please add on that?

Dipak Dalwadi: Yes, actually for this kind of competition and for the gear being a product for the catalog product it's the manufacturing cycle is two to three months and for engineering product it's four to five months. So even in the competitions, whatever orders are on h and we are taking and protecting the price. But for the new projects, definitely there will be a price pressure from the MNCs and all the competitions.

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But it's a strategic call we are taking and at the same time we are the preferred suppliers to all our industry segments being a quality and being a having a infrastructure which can produce at a very quick time compared to the competit or . So being a preferred suppliers, we can take care of the price and at the same time we are competing with the MNCs even though if they are offering at a competitive price.

Prolin Nandu: Thank you. One last set of questions, right? On the export side, now our relationship with the OEMs have increased, right, in terms of number of OEMs we have relationship with, right?

When do you think is the time to monetize these relationships, right?

Because Europe in some sense is going through the whole you know cycle of increase in defense spending, some increase in, you know, industrial cycle as well. So, are we seeing more near-term opportunities to monetize some of the relationships that we have with OEMs on the export part?

Chintan Shah: So, as you rightly said and as I explained in one of the questions earlier that we have grown in the Middle East as well as USA. We are expected to grow in both these regions based on the earlier signs that we see based on the enquiry and the open order book. In the European market we are still expecting the traction to happen. Based on the early feelers, it looks like two quarters minimum that we see for the European market to bounce back.

Prolin Nandu: Thank you so much management. All

the very best.

Chintan Shah: Thank you.

Moderator: Thank you. The next question comes from the line of Garvit Goyal with Serene Alpha. Please go ahead.

Garvit Goyal: Hi, thank you for the opportunity. Most of my questions are answered, but I still wanted to get more clarity on the demand side. Two things are there. Number one is the international market where the tariff situation is more of clear now as compared to last year and government has signed many FTAs now specifically with the European and domestic side of it we are seeing steel, power, defense, shipbuilding, all are doing well.

I also want you to put some color on sugar how you are seeing the outlook there on. So, considering all these all these things and also the orders order book that we are getting, right? And why we are thinking about again this lower double-digit that again is not making sense from our perspective because demand environment is good and what I understand is if a company in a good demand environment and capability like you people, right?

You've been working for so long time and then in the kind of capability in the kind of market share do we have, why we are not able to reap the fruit from this? That's what I wanted to understand sir.

Chintan Shah: See when we look at the lower double-digit growth percentage, we are doing that projection for the full year of FY27 where we have already lost Q1 and Q2 also as of now as we speak, we are  
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seeing improved traction but not that significant improved traction. In fact, there are too many variables which are still playing around.

If you look at last 48 hours event itself, the intensity between US and Iran again has picked up. So, these kind of things are still not giving us enough comfort for the full year guidance and this is the reason we are little conservative in the numbers that we have and we want to be conscious in whatever communication and the expectations that we set for our shareholders for the year.

Garvit Goyal: Okay. And regarding the pass on like previous participant also raised this question, 5% increase for our kind of company should not be a big problem in passing on, isn't it? Like are you really facing some challenges even in the domestic market in the terms of the competitive intensity that you people are not able to pass on the same? Is that the situation right now?

Chintan Shah: So, as you rightly said and as I explain in one of the questions earlier that the Q1 we see at as a quarter with the consolidation where some of the players in the market were sitting on the inventory with the very traditionally historical low cost and so we had a stiff competition. But nonetheless given the legacy that we have, the 75 plus years of experience that we have now, the proven track record that we have, we still carried a significant competitive edge and we have been able to get the orders. And this is the reason that we have the high order books to start for the upcoming quarters.

Garvit Goyal: Okay. And what is the update on the defense side of it? We were expecting some orders there on and also from the shipbuilding side of it sir?

Chintan Shah: So, there is no significant update in last 90 days. So whatever guidance we had the update that we had in the call that we had given in April versus today, there is no significant movement. The same update.

Garvit Goyal: Okay. And how's the outlook on sugar side of it after this ethanol blending is getting further traction? So how are you looking from the perspective near to medium term?

Dipak Dalwadi: See, so far sugar sector is concerned this year the monsoon has again I mean the prolonged and the it's not a good rain situation what we are experiencing. So far sugarcane crop is concerned, the sugar season is not anticipated the good traction. But we are hopeful that if ethanol idea and

ethanol is working well, then again, the sugar plant can be expanded and we can have a better traction from the sugar. But as of today, because the rain is not as expected, so sugar is muted

actually.

Garvit Goyal: Okay, okay. And sir, are we looking to get some certifications in like aerospace kind of area? Means is it possible is it a possibility going ahead?

Dipak Dalwadi: No, so far in aerospace still we are not so deeply working on it.

Garvit Goyal: Got it, got it. That's it from my side. All the best for the future. Thank you.

Chintan Shah: Thank you.

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Moderator: Thank you. The next question comes from the line of Vaibhav Mehta with Axis Mutual Fund. Please go ahead.

Vaibhav Mehta: Hi sir, thanks for taking my question. Sir, while we have given low double -digit growth for FY '27, sir my question was from long -term and medium -term perspective. We might not be able to give exact guidance in terms of number, but what are our aspirations for the same given the fact that we are doing significant capex around INR400 crore s till FY28? And sir secondly with regards to that, I would want to understand the split of capex between Gear and MHE Division if you can provide the same.

Chintan Shah: So, coming back to the lower double -digit growth for this FY27, as I said it's a conservative and as the things improve, we might even revisit in a next quarterly call that we have. This is number one. Number two, when it comes to now the mid -term guidance, we had set the target of reaching to 5000 crore s in a top line by FY30.

That target looks challenging but still achievable for us given the fact that we are targeting couple of large enquiries from marine, given the fact that we are targeting expansion in export territories, and given the fact that we are still sticking to our capex plan what already has been committed and we are further evaluating other capex which we will seek the board's approval in a near future's time. So, this is the mid -term guidance that we would like to stick to.

Vaibhav Mehta: Sure sir, thanks. And split between MHE and Gear Division.

Chintan Shah: We are expecting Gear to take a larger role. The kind of revalidation that we have done internally for the numbers that we would like to achieve by FY30, we expect Gear to be almost 70% - 75% of the total revenue in FY30 and almost 25% to 30% for MHE for the overall revenue in FY '30.

And when we say Gear, Gear will also include the marine business.

Vaibhav Mehta: Got it. Thank you.

Chintan Shah: Yes, thank you.

Moderator: Thank you. The next question comes from the line of Sanjay Ladha with Bastion Research . Please go ahead.

Sanjay Ladha: Yes, hi sir. Thank you for the opportunity. Sir, my first question is on so you know the last quarter you said that the INR77 crore s revenue would be shifted to Q1 FY27. So, the Gear division which we see the growth is largely because of last quarter deferment of revenue or is there something else attached to that?

Chintan Shah: Yes, so this quarter we had the revenue carry over of the last quarter as you rightly said. And at the same time what happened is that during the quarter, since we had delayed receipt of the orders, and also clearances from the customer, this quarter also we have FGs which were like INR70 crores which we could not convert into the sales.

And let me tell you these all FGs were dispatched before 30th June, but because of the India AS compliance that we have to do in terms of the cut -off for the sales, we could not do the revenue

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recognition because the timeline for those goods to reach to the customers and conversion of title from us to the customer, that criteria we could not meet it. And again, as I said, it is just because the delayed clearance from the custom

er and delayed receipt of the order which typically happen in the in the later part of the quarter.

Sanjay Ladha: Sure. Sir, another question would be, you in the last quarter as well and the last year as well, you said that, this Naval gearbox project has an impact of 1% or 2% due to learning and manufacturing cost. So, are these costs now largely behind us going forward?

How do we see a gear division margin because as MHE division margin you rightly said that it roughly around 22% to 24% you are expecting. But is there any ballpark number or range expectation for gear division margin is there any?

Chintan Shah: So, let me break your questions into multiple parts. The first part is about the cost that we had, where there was an impact on the margin for 1% or 2% when we were executing the one of the naval orders. I think that order was way back and that order has already been executed. The

reference to that cost came because we were discussing on the anticipated large orders , and there was a question on whether we will have a good margin on those orders or we will have a margin similar to what we had in the executed order.

So, we responded that , the first of the kind order that we had, it was more of we had a lot of learnings and lot of engineering back and forth , and so we had a lower margin compared to what we were targeting. And if we receive the similar orders, we will have an edge because we already have our own curve of learnings, we already have the detail engineering done for the similar products that we have supplied. So, this is one. In terms of the margin guidelines for the gear, we expect gear EBITDA to be in the range of about 24%. So, this is how we would like to maintain. Yes.

Sanjay Ladha: Okay. And sir my last question would be , in the last year we said that Q3 onwards , we are expecting some order from Naval or defense probably if I am not wrong. The INR1000 crore s order book which you guys mentioned in the last year, is that is that timeline attached to that or are we seeing some difficulty going forward?

Chintan Shah: So, in our guidance on our call for the Q4 last year, we said it that , these orders the enquiry of these orders are likely to be released in Q4 of this year. So as on today , we maintain the same communication.

Sanjay Ladha: Okay sir. Thank you. Thank you so much for answering.

Chintan Shah: Yes.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Chintan Shah: Yes. So, thank you all for your participation and continued support. As we discussed, the Gear division delivered a strong start to the year , driven by healthy demand and execution, while the MHE division continues to be supported by strong order pipeline despite a relatively softer

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quarter. This is supported by robust order book, strong balance sheet, and continued focus on operational excellence.

Based on this, we remain well positioned to pursue sustainable growth and create long -term value for our stakeholders. We appreciate each of you for your continued support and continued interest in Elecon Engineering , and look forward to speaking with you again next quarter. Thank you and have a good evening.

Moderator: Thank you. On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.